

Retail Management

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Harry Chambers

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PREFACE

Retail management information systems support distributed stores by linking them. By allowing the instant exchange of information, store managers can stay in contact to more effectively control profits for the whole company. The system should support product management. It should also enable detailed analysis of customer data. A flexible system allows managers to set prices for variable time periods based on the store location. To meet the needs of sales and inventory managers, retail management information systems include a mobile user interface.

Retail management involves running a store where merchandise is sold. Retail management information systems include the use of hardware, software and procedures to manage activities such as planning, inventory control, financial management, logistics and point of sale transactions. Use a retail management information system in your business when you need to manage your store, finances and inventory from one office.

Retail management information systems can be customized for each industry, including, for example, fashion, department store, supermarket, furniture or prescription drugs. Some systems support multiple languages, currencies, tax systems and cost structures. In addition, some retail management information systems can support different business models such as franchise, consignment, direct sales or online.

Retailing consists of the sale of goods or merchandise from a fixed location, such as a department store or kiosk, or by post, in small or individual lots for direct consumption by the purchaser. Retailing may include subordinated services, such as delivery. Purchasers may be individuals or businesses. In commerce, a retailer buys goods or products in large quantities from manufacturers or importers, either directly or through a wholesaler, and then sells smaller quantities to the end-user. Retail establishments are often called shops or stores. Retailers are at the end of the supply chain. Manufacturing marketers see the process of

retailing as a necessary part of their overall distribution strategy. Retailing is expected to change with the rapid development of new online sales and distribution channels that literally can be used from anywhere, anytime – from work, school, a hotel, car or airplane. As an example of the Electronic retailing we can see Amazon which sells books online and Dell computers who sell computers online. These retailers started as small players in a market, which did not trust them. However, they have become major players after taking over some small retailers. Almost every retailer is now re-evaluating every aspect of its operation from customer service to advertising, merchandising to store design and logistics to order fulfilment and further more reacting to the pressure of retailers, suppliers are assessing technology based solutions to drive down costs and become more efficient producers of goods. Online channels are impacting traditional retail business models with online retailing constraints of time and space disappear.

In today's retail industry, cyber security and consumer privacy becomes a compliance risk which the retail management should address. Financial concerns such as adhering to the suggested retail price, paying sales tax on products and services sold in certain states, and more should also be addressed by retail managers, especially when the retail business has physical store locations, back office systems, and in-store staffing.

The book is concluded with an insight into rural marketing and finally a study of the retail business management faced by the organisations in the new century.

– *Harry Chambers*

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Introduction

A significant aspect of the intense competitive rivalry in retailing is the fact that small-scale retailers have dominated it continuously. The struggle between small- and large-scale organizations is explored, with emphasis upon competitive conditions, compensatory activities, trends, and future outlook.

Retail is India's largest industry. It accounts for over 10 per cent of the India's GDP and around eight per cent of the employment. Retail sector is one of India's fastest growing sectors with a 5 per cent compounded annual growth rate. India's huge middle class base and its untapped retail industry are key attractions for global retail giants planning to enter newer markets. Driven by changing lifestyles, strong income growth and favourable demographic patterns, Indian retail is expected to grow 25 per cent annually. It is expected that retail in India could be worth US\$ 175-200 billion by 2016. The organized retail industry in India had not evolved till the early 1990s. Until then, the industry was dominated by the un-organized sector. It was a sellers market, with a limited number of brands, and little choice available to customers. Lack of trained manpower, tax laws and government regulations all discouraged the growth of organized retailing in India during that period. Lack of consumer awareness and restrictions over entry of foreign players into the sector also contributed to the delay in the growth of organized retailing. Foundation for organized retail in India was laid by Kishore Biyani of Pantaloon Retails India Limited (PRIL). Following Pantaloon's successful venture a host of Indian business giants such as Reliance, Bharti, Birla and others are now entering into retail sector. A number of factors are driving India's retail market. These include: increase in the young working population, hefty pay-packets, nuclear families in urban

areas, increasing working-women population, increase in disposable income and customer aspiration, increase in expenditure for luxury items, and low share of organized retailing. India's retail boom is manifested in sprawling shopping centers, multiplex-malls and huge complexes that offer shopping, entertainment and food all under one roof. But there is a flip side to the boom in the retail sector. It is feared that the entry of global business giants into organized retail would make redundant the neighbourhood kiriyana stores resulting in dislocation in traditional economic structure. Also, the growth path for organized retail in India is not hurdle free. The taxation system still favours small retail business. With the intrinsic complexities of retailing such as rapid price changes, constant threat of product obsolescence and low margins there is always a threat that the venture may turn out to be a loss making one.

A perfect business model for retail is still in evolutionary stage. Procurement is very vital cog in the retail wheel. The retailer has to fight issues like fragmented sourcing, unpredictable availability, unsorted food provisions and daily fluctuating prices as against consumer expectations of round-the-year steady prices, sorted and cleaned food and fresh stock at all times.

Trained human resource for retail is another big challenge. The talent base is limited and with the entry of big giants there is a cat fight among them to retain this talent. This has resulted in big salary hikes at the level of upper and middle management and thereby eroding the profit margin of the business. All the companies have laid out ambitious expansion plans for themselves and they may be hampered due lack of requisite skilled manpower. But retail offers tremendous for the growth of Indian economy. If all the above challenges are tackled prudently there is a great potential that retail may offer employment opportunities to millions living in small town and cities and in the process distributing the benefits of economic boom and resulting in equitable growth.

Definition and Scope of Retailing

The word retail is derived from the French word "retailer", meaning "to cut a piece off" or "to break bulk". In simple terms, it implies a first-hand transaction with the customer. Retailing can be defined as the buying and selling of goods and services. It can also be defined as the timely delivery of goods and services demanded by consumers at prices that are competitive and affordable.

Retailing involves a direct interface with the customer and the coordination of business activities from end to end-right from the concept or design stage of a product or offering, to its delivery and post-delivery service to the customer. The industry has contributed to the economic growth of many countries and is undoubtedly one of the fastest changing and dynamic industries in the world today.

Types of Retail Operations

Retail operations enable a store to function smoothly without any hindrances. The significant types of retail operations consist of:

- Department store
- Speciality store
- Discount/Mass Merchandisers
- Warehouse/Wholesale clubs
- Factory outlet.

Retail Management System targets small and midsize retailers seeking to automate their stores. The package runs on personal computers to manage a range of store operations and customer marketing tasks, including point of sale; operations; inventory control and tracking; pricing; sales and promotions; customer management and marketing; employee management; customized reports; and information security.

The Emerging Sectors in Retailing

Retailing, one of the largest sectors in the global economy, is going through a transition phase not only in India but the world over. For a long time, the corner grocery store was the only choice available to the consumer, especially in the urban areas. This is slowly giving way to international formats of retailing. The traditional food and grocery segment has seen the emergence of supermarkets/grocery chains (Food World, Nilgiris, Apna Bazaar), convenience stores (Convenio, HP Speedmart) and fast-food chains. It is the non-food segment, however that foray has been made into a variety of new sectors. These include lifestyle/fashion segments (Shoppers' Stop, Globus, LifeStyle, Westside), apparel/accessories, books/music/gifts (Archies, MusicWorld, Crosswords, Landmark), appliances and consumer durables, drugs and pharmacy (Health and Glow, Apollo).

The emergence of new sectors has been accompanied by changes in existing formats as well as the beginning of new formats:

- Hypermarts
- Large supermarkets, typically 3,500-5,000 sq. ft.
- Mini supermarkets, typically 1,000-2,000 sq. ft.
- Convenience stores, typically 750-1,000sq. ft.
- Discount/shopping list grocer.

The traditional grocers, by introducing self-service formats as well as value-added services such as credit and home delivery, have tried to redefine themselves. However, the boom in retailing has been confined primarily to the urban markets in the country. Even there, large chunks are yet to feel the impact of organised retailing. There are two primary reasons for this.

First, the modern retailer is yet to feel the saturation' effect in the urban market and has, therefore, probably not looked at the other markets as seriously.

Second, the modern retailing trend, despite its cost-effectiveness, has come to be identified with lifestyles. In order to appeal to all classes of the society, retail stores would have to identify with different lifestyles. In a sense, this trend is already visible with the emergence of stores with an essentially 'value for money' image. The attractiveness of the other stores actually appeals to the existing affluent class as well

as those who aspire for to be part of this class. Hence, one can assume that the retailing revolution is emerging along the lines of the economic evolution of society.

Retailing Scenario-Global View

Retailing in more developed countries is a big business and better organized than what in India. According to a report published by McKinsey & Co. along with the Confederation of the Indian Industry the global retail business is a worth a staggering US\$ 6.6 trillion. In the developed world, most of it is accounted for by the organized retail sector. The service sector accounts for a large share of GDP in most developed economies. And the retail sector forms a very strong component of the service sector. In short, as long as people need to buy, retail will generate employment. Globally, retailing is a customer-centric with a emphasis on innovation in products, processes and services.

With total sales of US\$ 6.6 trillion, retailing is the world largest private industry, ahead of finance and engineering. Some of the worlds largest companies are in this sector: over 50 Fortune, 500 companies and around 25 of the Asian Top 200 firms and retailers. Wal-Mart, the worlds second largest retailer, has a turnover of US\$ 260 billion, almost one-third of India's GDP. As many as 10% of the world's billionaires are retailers. The industry accounts for over 8% of GDP in western countries, and is one of the largest employers. According to the U.S. Department of Labour, more than 22 million Americans are employed in the retailing industry in over 2 million retail stores.

Retailing in India

Retailing is one of the pillars of the economy in India and accounts for 13% of GDP. The retail industry is divided into organised and unorganised sectors. Over 12 million outlets operate in the country and only 4% of them being larger than 500 sq ft (46 m²) in size. Organised retailing refers to trading activities undertaken by licensed retailers, that is, those who are registered for sales tax, income tax, etc. These include the corporate-backed hypermarkets and retail chains, and also the privately owned large retail businesses. Unorganised retailing, on the other hand, refers to the traditional formats of low-cost retailing, for example, the local kirana shops, owner manned general stores, paan/beedi shops, convenience stores, hand cart and pavement vendors, etc. In India, a shopkeeper of such kind of shops is usually known as a dukandar. Most Indian shopping takes place in open markets and millions of independent grocery shops called kirana. Organized retail such supermarkets accounts for just 4% of the market as of 2008. Regulations prevent most foreign investment in retailing. Moreover, over thirty regulations such as "signboard licences" and "anti-hoarding measures" may have to be complied before a store can open doors. There are taxes for moving goods to states, from states, and even within states.

Growth

An increasing number of people in India are turning to the services sector for employment due to the relative low compensation offered by the traditional agriculture

and manufacturing sectors. The organized retail market is growing at 35 percent annually while growth of unorganized retail sector is pegged at 6 percent.

The Retail Business in India is currently at the point of inflection. Rapid change with investments to the tune of US \$ 25 billion is being planned by several Indian and multinational companies in the next 5 years. It is a huge industry in terms of size and according to management consulting firm Technopak Advisors Pvt. Ltd., it is valued at about US \$ 350 billion. Organised retail is expected to garner about 16-18 percent of the total retail market (US \$ 65-75 billion) in the next 5 years.

India has topped the A.T. Kearney's annual Global Retail Development Index (GRDI) for the third consecutive year, maintaining its position as the most attractive market for retail investment. The Indian economy has registered a growth of 8% for 2007. The predictions for 2008 is 7.9%. The enormous growth of the retail industry has created a huge demand for real estate. Property developers are creating retail real estate at an aggressive pace and by 2010, 300 malls are estimated to be operational in the country. With over 1,000 hypermarkets and 3,000 supermarkets projected to come up by 2011, India will need additional retail space of 700,000,000 sq ft (65,000,000 m²) as compared to today. Current projections on construction point to a supply of just 200,000,000 sq ft (19,000,000 m²), leaving a gap of 500,000,000 sq ft (46,000,000 m²) that needs to be filled, at a cost of US\$15–18 billion.

According to the Icrier report, the retail business in India is estimated to grow at 13% from \$322 billion in 2006-07 to \$590 billion in 2011-12. The unorganized retail sector is expected to grow at about 10% per annum with sales expected to rise from \$ 309 billion in 2006-07 to \$ 496 billion in 2011-12.

The Indian Retail Market

Indian market has high complexities in terms of a wide geographic spread and distinct consumer preferences varying by each region necessitating a need for localization even within the geographic zones. India has highest number of outlets per person (7 per thousand) Indian retail space per capita at 2 sq ft (0.19 m²)/person is lowest in the world Indian retail density of 6 percent is highest in the world. 1.8 million households in India have an annual income of over Rs. 45 lakh (US\$97,650).

Delving further into consumer buying habits, purchase decisions can be separated into two categories: status-oriented and indulgence-oriented. CTVs/LCDs, refrigerators, washing machines, dishwashers, microwave ovens and DVD players fall in the status category. Indulgence-oriented products include plasma TVs, state-of-the-art home theatre systems, iPods, high-end digital cameras, camcorders, and gaming consoles. Consumers in the status category buy because they need to maintain a position in their social group. Indulgence-oriented buying happens with those who want to enjoy life better with products that meet their requirements. When it comes to the festival shopping season, it is primarily the status-oriented segment that contributes largely to the retailer's cash register.

While India presents a large market opportunity given the number and increasing purchasing power of consumers, there are significant challenges as well given that over 90% of trade is conducted through independent local stores. Challenges include: Geographically dispersed population, small ticket sizes, complex distribution network, little use of IT systems, limitations of mass media and existence of counterfeit goods.

Major Indian Retailers

Indian apparel retailers are increasing their brand presence overseas, particularly in developed markets. While most have identified a gap in countries in West Asia and Africa, some majors are also looking at the US and Europe. Arvind Brands, Madura Garments, Spykar Lifestyle and Royal Classic Polo are busy chalking out foreign expansion plans through the distribution route and standalone stores as well. Another denim wear brand, Spykar, which is now moving towards becoming a casualwear lifestyle brand, has launched its store in Melbourne recently. It plans to open three stores in London by 2008-end.

The low-intensity entry of the diversified Mahindra Group into retail is unique because it plans to focus on lifestyle products. The Mahindra Group is the fourth largest Indian business group to enter the business of retail after Reliance Industries Ltd, the Aditya Birla Group, and Bharti Enterprises Ltd. The other three groups are focusing either on perishables and groceries, or a range of products, or both.

- Next retail India Ltd
- Vivek Limited Retail Formats: Viveks, Jainsons, Viveks Service Centre, Viveks Safe Deposit Lockers
- PGC Retail -T-Mart India[2], Switcher, Respect India, Grand India Bazaar,etc.,
- REI AGRO LTD Retail-Formats:6TEN Hyper & 6TEN Super
- RPG Retail-Formats: Music World, Books & Beyond, Spencer's Hyper, Spencer's Super, Daily & Fresh
- Pantaloon Retail-Formats: Big Bazaar, Food Bazaar, Pantaloons, Central, Fashion Station, Brand Factory, Depot, aLL, E-Zone etc.
- The Tata Group-Formats: Westside, Star India Bazaar, Steeljunction, Landmark, Titan Industries with World of Titans showrooms, Tanishq outlets, Chroma.
- K Raheja Corp Group-Formats: Shoppers Stop, Crossword, Hyper City, Inorbit Mall
- Lifestyle International-Lifestyle, Home Centre, Max, Fun City and International Franchise brand stores.
- Pyramid Retail-Formats: Pyramid Megastore, TruMart
- Nilgiri's-Formats: Nilgiris' supermarket chain
- Subhiksha-Formats: Subhiksha supermarket pharmacy and telecom discount chain.
- Trinethra- Formats: Fabmall supermarket chain and Fabcity hypermarket chain
- Vishal Retail Group-Formats: Vishal Mega Mart

- BPCL-Formats: In & Out
- Reliance Retail-Formats: Reliance Fresh
- Reliance ADAG Retail-Format: Reliance World
- German Metro Cash & Carry
- Shoprite Holdings-Formats: Shoprite Hyper
- Paritala stores bazar: honey shine stores
- Aditya Birla Group - more Outlets
- Kapas- Cotton garment outlets.

ENTRY OF MNCS

The world's largest retailer by sales, Wal-Mart Stores Inc and Sunil Mittal's Bharti Enterprises have entered into a joint venture agreement and they are planning to open 10 to 15 cash-and-carry facilities over seven years. The first of the stores, which will sell groceries, consumer appliances and fruits and vegetables to retailers and small businesses, is slated to open in north India by the end of 2008. Carrefour, the world's second largest retailer by sales, is planning to setup two business entities in the country one for its cash-and-carry business and the other a master franchisee which will lend its banner, technical services and know how to an Indian company for direct-to-consumer retail.

The world's fifth largest retailer by sales, Costco Wholesale Corp (Costco) known for its warehouse club model is also interested in coming to India and waiting for the right opportunity. Opposition to the retailers' plans have argued that livelihoods of small scale and rural vendors would be threatened. However, studies have found that only a limited number of small vendors will be affected and that the benefits of market expansion far outweigh the impact of the new stores.

Tesco Plc., plans to set up shop in India with a wholesale cash-and-carry business and will help Indian conglomerate Tata group to grow its hypermarket business.

CHALLENGES

To become a truly flourishing industry, retailing needs to cross the following hurdles:

- Automatic approval is not allowed for foreign investment in retail.
- Regulations restricting real estate purchases, and cumbersome local laws.
- Taxation, which favours small retail businesses.
- Absence of developed supply chain and integrated IT management.
- Lack of trained work force.
- Low skill level for retailing management.
- Lack of Retailing Courses and study options
- Intrinsic complexity of retailing – rapid price changes, constant threat of product obsolescence and low margins.

To overcome some of the challenges faced by modern retail, the country is developing a support infrastructure in form of specialised retail schools. One such skill development

initiative has been taken by TKWs Group. Its TKWs Retail School has already training over a thousand students and retail professionals for different retail skills. TKWs Retail School is also associated with government projects like enhancing retail experience of foreign tourists, improving retail of handicraft and local produce, skill development of village youth.

COMPENSATORY ACTIVITIES BY SMALL-SCALE AND BY LARGE-SCALE RETAILERS

Small-scale merchants and large-scale organizations have competed effectively with each other over many decades, largely because of the manner in which progressive institutions within each class have adapted to their competitive environment and compensated for their disadvantages.

COMPENSATORY ACTIONS WITHIN SMALL-SCALE RETAILING

A host of developments has tended to make retail store operation somewhat more efficient. For the most part these developments have stemmed from innovating practices originated from experimental or research activities of large, well-financed retailers. To survive, the smaller retailer has had to improve his operations in like manner. Ordinarily, this has been very difficult to accomplish through individual efforts. Thus the burden has fallen primarily upon groups of merchants with similar interests or upon other institutions which have identified their own welfare with small-scale business enterprise.

One facet of this development consists of assistance programs of wholesalers. Since small independent merchants constitute their principal group of customers, wholesalers have engaged in a variety of activities to increase their competitive efficiency. It is common for progressive wholesalers to provide various kinds of advice and store operational assistance. This may take the form of aid programs in merchandising, store arrangement and display, modernization, accounting, and sales training.

The voluntary chain concept is another device which has tended to equalize the competitive situation. By associating themselves with a wholesaler who sponsors a voluntary chain, or by pooling interests with other retailers who wish to establish a cooperative chain organization, small retailers have been able to match large chain rivals in a number of respects. Where the voluntary chain movement is analyzed at some length, such associations have enabled small retailers to attain greater buying power through a pooling of efforts, and to perform a number of retailing functions within a central office organization, much in the manner traditional within a chain store administrative office.

A third factor consists of activities of trade associations. Most progressive small merchants belong to an association which may provide them with a variety of aids. Common services include publication of magazines or newsletters which contain information that is helpful in store operation; collection and exchange of operating cost

information used for planning and control of store expenses; group purchasing of items of store supplies, such as wrapping paper and gift boxes; sponsorship of special schools and clinics at which members receive information on recommended business practices; and store display and modernization services.

As previously explained, public sympathy for the small merchant has resulted in a variety of legislative controls which have curbed certain advantages and excesses of large-scale organizations. It has also resulted in various positive measures designed to enhance the market opportunities for small business organizations. While the U.S. Department of Commerce has for many years engaged in a variety of forms of aid to small firms, it was not until 1953 that a special independent government agency was established by an Act of Congress for the express purpose of advising, assisting, and encouraging small business enterprises. In the Congressional legislation which created the Small Business Administration in that year, public policy was stated as follows:

The essence of the American economic system of private enterprise is free competition. Only through full and free competition can free markets, free entry into business, and opportunities for the expression and growth of personal initiative and individual judgment be assured. The preservation and expansion of such competition is basic not only to the economic well-being but to the security of this Nation. Such security and well-being cannot be realized unless the actual and potential capacity of small business is encouraged and developed.

The principal responsibilities of the Small Business Administration of interest to retailers are:

- To help small firms gain access to adequate credit on reasonable terms,
- To assist them with their management problems, and
- To provide financial assistance when businesses have been damaged or destroyed by disasters such as hurricanes or floods.

Much government effort has been expended in studying the peculiar problems of small retailing firms and in disseminating knowledge to help solve them. A wide variety of publications has been issued on merchandising, accounting, and store management topics, and these are distributed free or at a nominal charge. The Small Business Administration also cooperates with local organizations of businessmen and educational institutions in sponsoring courses or seminars.

These are designed to fill the gaps in the businessman's knowledge so that he can acquire a better grasp of the problems of administering a business enterprise. By the end of 1960, more than 75,000 business owners or managers had participated in some 900 such courses conducted at more than 300 educational institutions.

Compensatory Activities of Large-Scale Retailers

Perhaps the outstanding handicap of large retailers is their lack of flexibility in meeting the competitive challenge of small merchants who have close personal contact with their customers and employees. In order to attain some degree of this traditional small-

scale advantage, large retailers have tended to increase the extent to which they delegate responsibility and authority to store managers, department managers, and service division supervisors.

Whereas it was once common for top management executives to formulate budgets, operating policies, and merchandising plans for the whole organization, it is now common to regard each department in a department store or each store in a chain store organization as a separately managed profit centre. Store managers and department managers in progressive large organizations have greater responsibility than formerly with respect to the selection and training of personnel, buying and merchandising planning and control, expense budgeting and control, merchandise display techniques, and related matters.

Experience with this type of decentralized management has been varied, but it is believed that it has enabled large national organizations to compete with greater flexibility and with greater effectiveness in meeting situations which vary from one locality to another.

Labour costs are the most important ingredient of the expense structure in retailing, usually making up one-half or more of total operating expense. The large firm, to a much greater extent than the small, is dependent upon the services of paid employees who have a wide variety of alternative opportunities. It is, therefore, more seriously affected by trends in labour market conditions. Wage rates and fringe benefits increased considerably in the late 1940's and 1950's. This resulted in rising personnel expense ratios while gross margins of profit, from which store operating expenses must be paid, have tended to remain stable. Large firms especially have been in a tight cost-margin squeeze and have attempted to compensate for this by reducing the labour component of the total expense mix. By and large, innovations related to this objective are in the nature of automation.

They are ordinarily possible only under conditions of fairly high specialization and ability to make substantial investment in equipment. A few illustrations include prepackaging and prepricing of merchandise items at central or regional warehouses utilizing machinery and specialized personnel; installation of modern data processing equipment to provide more rapid, less costly, more accurate, and more refined statistical information, often permitting reductions in labour clerical costs and, at the same time, better balanced merchandise stocks maintained at a lower level of inventory investment; and streamlined store layouts, permitting exposure of a greater number of items in given floor space, facilitating maximum customer self-selection of merchandise, and handling of all transactions at a centralized cashiering station of a supermarket type, contributing to increases in the number of transactions handled per person employed.

Certain of these activities, of course, involve the shifting of marketing functions to the consumer who, in a selfservice store, selects her own merchandise, pays cash for it, and carries it home-thus doing part of the work done by store employees in fullservice enterprises.

IMPORTANCE OF SMALL- VERSUS LARGE-SCALE RETAILING

Just what constitutes small- or large-scale retailing has been debated vigorously with little resulting agreement. A precise dividing line is of dubious value for present purposes because it is easy to demonstrate that the most prevalent form of retail enterprise is the independently owned store that would be judged small by anyone's standards.

Scale of operations is reflected in part by legal form of organization and also by size of assets. Of all retailing firms, 91 per cent are unincorporated business-77.6 per cent sole proprietorships and 13.4 per cent partnerships. To this group may well be added corporations with total assets of less than \$1,000,000. These categories of firms together account for 99.8 per cent of all firms classified in retail trade and account for some three-fourths of total sales volume.

On the other hand, retailing corporations with assets of over \$1,000,000 (most of which would be commonly regarded as large-scale enterprises) account for only 0.2 per cent of the total number of firms but handle about one-fourth of total retail sales.

The data of retail firms (separate business enterprises) are from a new series first published in 1960 and hence cannot be evaluated historically. From other sources it is apparent that large-scale retailing has increased somewhat in significance in recent years.

SMALL-SCALE RETAILERS

Smaller independent stores, as a class of institutions, enjoy certain competitive advantages which favour the growth and development of organizations where management has the ability to capitalize opportunities. On the other hand, smaller organizations are subject to certain rather general disadvantages which limit the growth and development of weaker firms and which, by the same token, contribute to the expansion of largescale enterprises. Knowledge of these considerations is essential in appraising the present and probable future competitive situation in retailing.

Competitive Advantages

One advantage contributing to survival ability is that throughout the independent store field explicit costs of doing business are generally low in relation to sales. These costs include out-of-pocket outlays and other items, like depreciation, carried on the accounting records as costs. Selling costs are low because the proprietor and other family employees often derive their compensation in the form of "profit" rather than salary payments which are charged against business income. Often the location of such stores enables them to pay low salaries to hired employees and to utilize rather unskilled part-time help. Rental costs tend to be low, partly because large numbers of such stores are located in neighbourhood or rural areas, also because ownership of store premises by the retailer is much more common among smaller independents than it is among

chains or large-scale independent operators. Second, in many cases a small independent store is operated by one who devotes only a part of his time to the store. Were it not for this advantage, it would be impossible for many small retailers to continue in business. Consider the problem of operating a store with about \$25,000 annual sales volume. While gross profit margins vary considerably with different lines of trade, about 25 per cent is reasonably representative. This means that about 75 per cent of sales or \$18,750 would be required to cover the cost of merchandise sold and that only about \$6,250 would be available as gross profit, from which all expenses must be paid before there is any residual net profit.

If reasonable allowance is made for operating expenses such as rent, advertising, store supplies, telephone, heat and light, and depreciation, it is apparent that such a merchant would have a difficult time in realizing enough personal income to afford a decent standard of living. Nevertheless, more than 600,000 retailers in the sole proprietorship category report annual sales volume of less than \$25,000. It is possible for many such merchants to continue businesses only because they may be engaged in some other gainful employment, either as salaried workers or as entrepreneurs in other enterprises, or because they are able to supplement store income with disability benefits or retirement income. When due consideration is given to this point, one must refrain from passing judgment on the economic justification of such stores merely on the basis of their small size.

The advantages thus far mentioned may be thought of by some as uneconomic or even antisocial. Yet the fact remains that a store which can operate only with the help of unpaid members of the family, or one which exists only because the owner has other income, constitutes a definite part of our distribution system, and it does have the advantages mentioned. Moreover, in its limited way it may serve urgent needs of customers who find it convenient or otherwise desirable, while at the same time supporting in part or entirely many persons who might not otherwise be gainfully employed.

Third, and undoubtedly most important, is the advantage of convenience of location. One of the outstanding characteristics of smaller retailers is they are to be found nearly anywhere that trade occurs. Since most of them deal in convenience goods, they are located mainly with reference to homes of customers.

Only rarely does one have to go far to find a small independent store, and numerous studies of patronage motives have revealed the importance of location as a fundamental reason why consumers buy from independent merchants.

A fourth common advantage is the opportunity for close personal contact that grows out of the size of smaller independent stores. The ability of the owner-manager to establish and maintain friendly relationships with customers and cater to their personalized tastes is a strong argument for the well-being of the independent merchant. A corollary to this advantage is the opportunity to develop a unique store personality. In one survey of informed trade opinion, lack of a well-defined character was cited as a

common characteristic of independent stores while, at the same time, the opportunity to create an identity or image that differentiates a given independent store from all others of like type or size was recognized as the most outstanding single opportunity for betterment of competitive situation.

Unfortunately, opportunity and realization do not always go hand in hand. A strong and distinctive store personality, brought about by an integrated approach to all aspects of customer contact activities, is developed only by merchants with energy, initiative, and ability.

Competitive Disadvantages

An outstanding limitation of smaller independents is their buying handicap. They cannot enjoy the lower prices which come from largescale purchases unless they join some form of group-buying organization, and even then they are rarely able to offset entirely this handicap. Wholesalers who must make small and frequent deliveries cannot offer the same low prices which they can give to the larger buyers who have both the storage space and the finances to permit quantity purchases.

Second, the smaller retailer is handicapped by the absence of specialized employees. Generally speaking, the entrepreneur must be his own personnel manager, advertising manager, sales manager, accountant, sales person, and, all too often, janitor as well. Lack of specialized skill is often of great importance in making wise selection of goods for resale, especially in fashion merchandising. The lack of the trained accountant and the important statistical information provided by him are serious weaknesses, yet they constitute, as was so well said many years ago, "the rudder which shows which way the ship goes."

A third competitive limitation is the inability to advertise on a scale comparable with chain store organizations or large-scale independent stores. Small stores often spend as large or even a greater proportion of their sales volume for advertising as their larger rivals, yet the dollar expenditures are necessarily small. This limits the small merchant's ability to utilize media with large circulation. Even in small cities where such merchants may be able to afford advertising space comparable with chain units, the limited funds and lack of specialized talent often result in ineffective layouts or poor copy.

Fourth, the small independent is distinctly limited with respect to ability to innovate or experiment. A chain store can try out a new merchandising technique or idea in one unit, or a department store in one department, and if the results prove unfavorable, the loss may be easily absorbed by profits arising from other operations. The small merchant, however, does not have this favorable distribution of risks and usually must follow rather than lead in new developments.

Fifth, most smaller stores suffer from inability to utilize personnel and capital resources efficiently. Surveys of operating results conducted by various associations reveal that the smallest classes of stores have lower ratios of sales per employee than

the medium-sized and larger stores in the same trade classification. For example, in a 1959 survey of hardware stores, the ratio of sales per person employed was \$23,145 for stores with sales under \$50,000 as compared with \$30,745 for those with over \$200,000 annual volume. The ratio of total assets per \$10,000 of sales was about one-fifth less for stores in the larger of these two sales volume classes. Ratios of sales volume per square foot of store area also vary directly with the sales volume size of establishments in most lines of trade, demonstrating that space and other capital resources are utilized more efficiently in larger firms.

This disadvantage makes it necessary for small retailers to employ unskilled personnel that can be hired for low wages and to use physical facilities in low-rent locations; these conditions, in turn, contribute to continuing low levels of operating efficiency in the smallest firms.

Another common though not universal disadvantage of smaller stores is lack of managerial ability. Although it is impossible to measure this alleged lack of ability, it is evident that a large number of independent store owners cannot boast of great business acumen. Because of location, friendship, lack of competition from more capable merchants, or other favorable circumstances, these merchants have been able to stay in business.

But this does not constitute proof that either the individual involved or that members of his class can continue to withstand newer types of competition. A question of serious import is whether small stores can attract efficient owners or pay the going rate for capable managers. There are reasons to believe that the general level of managerial ability has risen in recent years among independent stores generally, but this does not apply to the management of the smallest such establishments. If this is true, independent store operation may prove less attractive to young men of outstanding ability and thus add to the difficulties of existing independents in meeting competition from larger-scale institutions.

Failures and Survival Ability

Operation of a retail store, like that of other business enterprises, involves considerable risk. Many stores are closed each year because of inability to meet financial obligations. Even more are closed because the proprietor has not been able to secure the return on his capital and invested time to justify continuation of the enterprise. When a retailer ceases to operate his store, some disturbance of normal trade relationships usually occurs. Often closing-out sales are at price levels which, if met by competitors, result in loss to them. Landlords lose tenants. Supply houses may have to take back fixtures which are no longer new. A failure, rather than voluntary cessation of store operation, involves losses to creditors. It is therefore important to note the extent of failures, some of the common causes, and possible remedies.

Numerous studies have been made of failure rates among retailers and the basic causes thereof. The most comprehensive data on this subject are those collected by the

well-known mercantile credit agency, Dun & Bradstreet, Inc. Records from this source indicate that about one-half or more of business failures are usually failures of small retailing businesses. This is explained not so much by the unusually hazardous character of retailing as it is by the fact that the number of small business firms engaged in retailing (including consumer service enterprises) is so much greater than in other business classifications. Failures in retailing occur particularly in the smallest sales-volume classes of stores and in the first two or three years of their operation.

Studies of the causes of retailing failures, based on the opinions of informed creditors as reported by Dun & Bradstreet, Inc., indicate that it is relatively rare for a retail business to fail because of reasons which are beyond the realm of managerial ability or control.

About 85 to 90 per cent of retailing failures are attributed to inexperience, incompetence, or other factors related to management qualifications or performance, and this situation does not change much from one year to another. Yet, as one small merchant succumbs, another usually rises to take his place, as evidenced by continuing stability of total number of independent retailers over many years. While individual merchants, especially the less well qualified, are highly vulnerable, smaller merchants as a class demonstrate remarkable survival ability regardless of numerous failures.

An important underlying cause of retailing failures is relative ease of entering the field without the experience or capital necessary for successful operation. In retailing, more than in any other field, many persons with relatively little chance for success manage to get a start. To the extent that it is desirable for the door of opportunity always to be open to all, this is encouraging. But when the costs of failure are considered, it may be that entry is too easy.

Although many students of marketing and of social progress believe this last conclusion to be sound, no effective way of preventing the opening of stores by persons unlikely to succeed has yet been devised. Proposals urging more careful credit-granting by banks, wholesalers, and manufacturers have been made for years, but there is little valid evidence that credit is harder to secure than in the past except in periods when the supply of capital is unusually limited.

Systems of licensing based upon examinations have been suggested, but it is not likely that the probabilities of success can be adequately measured by tests. If a license to open a store were required, some governmental agency would necessarily be charged with the responsibility of determining who should receive a license. It does not seem probable that any such agency could select from many applicants those with high probability of success. It must therefore be concluded that as yet the various attempts to reduce the failure rate of merchants have met with little success.

LARGE-SCALE RETAILING

The antithesis of the small-scale retailer is illustrated by a variety of specific kinds of stores—the metropolitan department store, large departmentized stores in the apparel

and home furnishings trades, mail order companies, large supermarkets and discount houses, and multiunit or chain organizations of many kinds.

Each of these types has its unique problems and advantages, but all of them have attributes in common, to the extent that they arise out of scale of operation or size of enterprise. One of the most important advantages of scale is the elaborate division of labour that results from specialization in effort. Size permits employment of experts for executive positions. Skilled buyers, advertising managers, accountants, statisticians, and personnel directors are all at the command of such big businesses. Large firms can usually afford extensive departmentization.

By carefully classifying merchandise and creating departments for the sale of particular lines of merchandise or for more specific appeal to differentiated groups of customers, management enjoys not only advantages of specialization on the part of buyers and salespeople but is also facilitated in discovery of profitable and unprofitable classes of goods and in a more accurate measurement of the efficiency of department or store managers.

A most important competitive advantage is large buying power. Since purchases are large and hence important to suppliers, large-scale retailers can often circumvent the wholesaler in an economical manner and, by so doing, can obtain the most favorable prices. Not only are large discounts from list prices secured when big quantities are purchased, but other concessions, such as advertising allowances, exclusive rights for distribution, or free goods, may also be obtained. While manufacturers' freedom to quote more favorable prices to large buyers has been somewhat limited by legislation, particularly the Robinson-Patman Act, large-scale retailers remain in a position to purchase on much more favorable terms than their smaller rivals on purely economic grounds. Further buying advantages are realized through ability to employ experts to perform this function.

The financial strength of large institutions often attracts investors and facilitates the acquisition of capital for expansion. Size is an advantage in making banking connections which may enable the borrower to secure loans on favorable terms. Large financial resources make it possible to take advantage of cash discounts offered by sellers and to attract vendors who may be led to offer especially favorable terms of sale.

Large retailers have the ability to command the most favorable locations. Many leases in retailing involve rental payments calculated as a per cent of sales volume. In such cases, the large firm, with a demonstrated capacity to generate substantial volume, is generally a preferred tenant. Shopping centre developers prefer to obtain leases from large, financially strong companies because such leases can be used as security in obtaining loans from banks, insurance companies, and other sources of capital for shopping centre construction.

Many large-scale retailers achieve operating economies or derive additional income from the integration of other business activities with retail merchandising. Many chains, department stores, and mail order companies have established their own warehouses

which are operated on an efficient scale and in which are performed the distributive functions of the regular wholesaler, with the exception of personal selling activities which are largely eliminated between these two levels in the channel of distribution.

Outright ownership or control of manufacturing plants is not uncommon among large organizations in the apparel, general merchandise, and food trades. Some retailing corporations have subsidiary companies which perform essentially a banking service by financing accounts receivables for the parent organizations. Real estate developments, particularly of the planned shopping centre type, are also integrated into the operation of some department store groups and food chains, usually by means of separately incorporated subsidiaries.

The prestige which results, in part at least, from the great size of the leading chain, department store, and mail order companies is a distinct advantage in attracting patronage. The reputation of such firms is well established, either because of a long history in a given location or the publicity associated with their operations on a widespread geographic basis. This prestige, when accompanied with integration, is particularly suitable for the promotion of private brands of merchandise.

All forms of large-scale retailing benefit from a certain amount of risk distribution. Customers are drawn from large areas or many different lines are sold. The organization can usually assimilate severe losses in some departments or operating units, without greatly impairing the profitmaking possibilities of the entire organization.

Finally, experimentation and research represent types of activity which may prove most effective in increasing efficiency and which, while practical for the large retailer, may be too expensive to be undertaken by his smaller competitors.

Inherent Disadvantages

The unfavorable factors incident to large-scale retailing are less numerous than the advantages and for that reason may be stated much more briefly. This should not, however, lead to an underestimation of their importance, because it is these disadvantages that contribute a great deal toward explaining the significance of small-scale operation in our retailing structure. Furthermore, each of the various forms of large-scale retailing has some disadvantages that are peculiar to it, but which are not discussed at this point.

A major weakness of large companies lies in the absence of close personal contact between the owners or general managers and the consuming public. Most consumers meet only the rank and file of subordinate employees, rarely the owners or major executives. While the self-interest of routine workers, together with their training and supervision, may produce some measure of efficiency, hired managers usually function with less effectiveness than do the more able owners of small businesses with their sharpened personal interest in customers.

Another disadvantage consists of high overhead costs arising out of the complex organization structures of large-scale enterprises. Some advantages of specialization are offset by lack of close contact between top management and subordinates and may

have unfavorable effects upon efficiency. Larger concerns ordinarily have a much greater proportion of nonselling employees than smaller retail organizations. Much nonselling labour results from the need for costly methods of recording and checking the activities of the various divisions and maintaining the minute supervision necessary to fix responsibility, check performance, and minimize waste.

Legal Limitations

Belief in small business as a manifestation of the American way of life has had an important bearing upon the history of trade legislation. Numerous enactments have been designed to curb some of the buying power and other advantages of large organizations and to provide, thereby, legal methods of balancing the competitive situation between the large and the small. Noteworthy are the Robinson-Patman Act, and fair trade and unfair trade practices legislation designed to curb uneconomic price-cutting tactics.

The Robinson-Patman Act

It is important to note briefly how such legislation operates to limit large organizations. The Robinson-Patman Act, a federal law enacted in 1936, represents an attempt to curb certain uneconomic advantages of large retailers, which they enjoyed merely because of large size and great purchasing power. Numerous instances are on record in which large-scale buyers have more or less compelled manufacturers to sell to them at prices much lower than paid by wholesalers who supply small independent merchants.

Supporters of this legislation contend that such manufacturers must then charge wholesalers or independent retailers a higher than normal price to compensate for abnormally low prices given to large-scale buyers. To prevent unjustifiable differences in prices, the Act makes it unlawful for sellers to discriminate in price between different buyers (of the same type or class) on goods of like grade and quality where the effect of such discrimination may be substantially to lessen competition, to tend to create a monopoly, to injure, destroy, or prevent competition. In substance, the law provides that only those price discriminations are allowed which are justified by differences in cost to the vendor or when done in good faith to meet the lower price of a competitor.

Thus, in many instances large retailers are deprived of the sizable discounts and other price concessions which they once enjoyed. In some cases, however, a manufacturer may show that his economies in selling to large buyers are greater than the discounts given, but in general the effect has been to reduce the buying advantage of the large firms.

Because of their great importance to resources, large retailers have been able to secure substantial advertising allowances. Numerous manufacturers follow a policy of advertising cooperatively with their retail outlets, with part of the cost paid by the manufacturers. This established practice usually works to the benefit of both parties and is above criticism. Objections arise not from the nature of the practice but from its

abuse in the form of unjustified discrimination. Chains and large department stores were able to secure substantial advertising allowances from many companies which did not grant such allowances to small independents. In essence, such discrimination amounts to a subsidization of the big retailer's advertising programme at the expense of independents who are not able to obtain comparable discounts. A second major provision of the Act attempted to prevent this kind of discrimination by prohibiting advertising and all other forms of sales promotional or service allowances, unless they are made available on proportionally equal terms to all customers. It is perfectly legal for a manufacturer to give a large buyer an advertising allowance amounting, for example, to 3 per cent of such buyer's purchases, but it cannot do this legally without making the same percentage allowance available to all customers.

Another practice curbed by the Act pertains to brokerage fees. Numerous manufacturers cannot support their own sales force and hence employ brokers who also serve other manufacturers. In performing the selling function for the manufacturer, the broker renders a valuable service for which he is entitled to reasonable compensation. Many large chains and department store buying offices set up subsidiary purchasing companies which were, in effect, dummy brokerage offices. Retailers required manufacturers to sell through these subsidiaries and grant to them the usual brokerage fee. In such an instance, the dummy brokerage office is not a representative of the seller, but rather an agent of the purchaser. As a purchasing company seeking out sources of supply, it would be logical to expect that it should be compensated by the buyer rather than the seller.

When an organization owned by a buyer obtains a brokerage fee from a seller whom it does not serve, this merely amounts to an unjustified price discrimination, because other purchasers must pay the manufacturer's factory price with perhaps a brokerage fee added rather than deducted.

A third major provision of the Robinson-Patman Act was designed to prohibit sellers of merchandise from paying brokerage fees to other than their own agents. A broker may only collect a commission or fee when he acts as a bona fide third party, rather than as an employee of the buyer, for services rendered to the principal who pays the fee.

These provisions do not curb any economic advantages of large-scale retailers. To the extent that a seller can deal with a large buyer at lower costs of marketing than encountered when dealing with small independents, he can give a lower price. The large retailer can still obtain advertising allowances, but only if the allowances are made available to all of the vendor's customers on proportionally equal terms. It cannot obtain brokerage fees for itself, but this does not place it at a disadvantage with respect to small merchants.

The effect of the Robinson-Patman Act has been substantially that of restricting power advantages of giant retailers, that is, benefits that they once enjoyed to a high degree because of ability to secure concessions by coercion. It does not penalize them

through curbing any natural advantages they enjoy because of ability to perform marketing functions in a more efficient and economical manner.

State Pricing Legislation

In many states, laws have been enacted which limit pricing freedom, thereby restricting the price appeal and price-cutting tactics of some merchants, primarily in the large-scale classification. Other laws place restrictions on price discrimination in intrastate commerce. The best known of these are the so-called fair trade laws. The first such law was enacted in California in 1931, for the purpose of putting a floor under the resale prices of the branded items of manufacturers that chose to operate under this type of law. These laws became highly controversial in the 1950's.

Constitutionality was challenged in the court systems of most states, and judicial opinion was approximately equally divided regarding the constitutionality of such laws, either in entirety or in regard to some major provision. In 1961 some 26 states still had fully operative fair trade laws with respect to nonsigners.

Fair trade laws permit the manufacturer of a branded item to set the minimum, or in some cases the actual, price which must be observed by retailers in reselling such merchandise. To establish a resale price under the state laws, a manufacturer must ordinarily obtain a contract with one retailer who agrees to maintain the resale price. In most states, the price is then binding on all other retailers as soon as they are notified of the agreement. Fair trade legislation has been described by opponents as "handicap competition."

It has been compared with a cross-country race in which handicaps are placed on the swiftest, to assure equality of opportunity for retail contestants of varying strengths vying for consumer acceptance in the market place. Proponents, on the other hand, attribute to it all the qualities that make for healthy competitive business enterprise. Regardless of the intent, these laws have been widely utilized in only a few lines of trade. Although effectiveness has been limited, they have enabled some small merchants to compete on more nearly equal terms, in sale of fair-traded items, with price-cutting competitors.

While fair trade laws are only permissive, that is, they merely allow a brand owner to operate under them if he so elects, there are so-called unfair trade practices acts which are mandatory. Some 31 states have enacted such legislation and it was still operative in 1961 in 27 states where constitutionality has been upheld or uncontested. These laws directly prohibit sales below cost, or sales below cost plus some designated per cent of markup. Also, some 26 states have laws prohibiting "sales below cost" of specifically designated products (e.g., cigarettes, liquors and malt beverages, dairy products) which are commonly used as "leaders" by price-cutting stores.

About one-half of the states have specific price discrimination laws which are in essence state Robinson-Patman Acts. They prohibit price discrimination such as is forbidden in the federal law but apply, of course, only to transactions in intrastate

commerce. The net effect of the federal and state trade legislation has been to curb buying advantages incident to mass purchasing power and to render it more difficult for large retailers to engage in price-cutting practices designed to make consumers believe they have tremendous operating advantages over independent merchants. Large organizations, however, have not been the only price cutters. This practice has been important among some small independent merchants, and the laws apply to them with equal force. Because of limited buying power, somewhat higher operating costs, and less emphasis upon price appeal among independents as a class, the laws are to be regarded primarily as limitations to large-scale operations.

The Indian Retail Sector

India is the country having the most unorganized retail market. Traditionally it was a family's livelihood, with their shop in the front and house at the back, while they run the retail business. More than 99% retailer's function in less than 500 square feet of shopping space. Global retail consultants KSA Technopak have estimated that organized retailing in India is expected to touch Rs 35,000 crore in the year 2005-06. The Indian retail sector is estimated at around Rs 900,000 crore, of which the organized sector accounts for a mere 2 per cent indicating a huge potential market opportunity that is lying in the waiting for the consumer-savvy organized retailer.

Purchasing power of Indian urban consumer is growing and branded merchandise in categories like Apparels, Cosmetics, Shoes, Watches, Beverages, Food and even Jewellery, are slowly becoming lifestyle products that are widely accepted by the urban Indian consumer. Indian retailers need to advantage of this growth and aiming to grow, diversify and introduce new formats have to pay more attention to the brand building process. The emphasis here is on retail as a brand rather than retailers selling brands. The focus should be on branding the retail business itself. There is no doubt that the Indian retail scene is booming. A number of large corporate houses —Tata's, Raheja's, Piramals's, Goenka's — have already made their foray into this arena, with beauty and health stores, supermarkets, self-service music stores, new age book stores, every-day-low-price stores, computers and peripherals stores, office equipment stores and home/building construction stores. Today the organized players have attacked every retail category.

The Indian retail scene has witnessed too many players in too short a time, crowding several categories without looking at their core competencies or having a well thought out branding strategy. The growth rate of super market sales has been significant in recent years because greater numbers of higher income Indians prefer to shop at super markets due to higher standards of hygiene and attractive ambience. With growth in income levels, Indians have started spending more on health and beauty products. Here also small, single-outlet retailers dominate the market.

In recent years, a few retail chains specialised products have come into the market. Although these retail chains account for only a small share of the total market, their

business is expected to grow significantly in the future due to the growing quality consciousness of buyers for these products. Numerous clothing and footwear shops in shopping centres and markets operate all over India. Traditional outlets stock a limited range of cheap and popular items; in contrast, modern clothing and footwear stores have modern products and attractive displays to lure customers. With rapid urbanization, and changing patterns of consumer tastes and preferences, it is unlikely that the traditional outlets will survive the test of time. Despite the large size of this market, very few large and modern retailers have established specialized stores for products.

There seems to be a considerable potential for the entry or expansion of specialized retail chains in the country. The Indian durable goods sector has seen the entry of a large number of foreign companies during the post liberalization period. A greater variety of consumer electronic items and household appliances became available to the Indian customer. Intense competition among companies to sell their brands provided a strong impetus to the growth for retailers doing business in this sector. Increasing household incomes due to better economic opportunities have encouraged consumer expenditure on leisure and personal goods in the country. There are specialized retailers for each category of products (books, music products, etc.) in this sector. Another prominent feature of this sector is popularity of franchising agreements between established manufacturers and retailers. A strong impetus to the growth of retail industry is witnessed by economic boom and driver of key trends in urban as well as rural India.

Opportunities in various segments: These are different segments concerned with food, beverage, grocery, fashion & life style etc. it can be discussed separately:

FOOD RETAILING SEGMENT

The Food World (FW) supermarket chain has been one of the pioneers in organized food retailing in India. Before FW entered the food retailing market, it carried out an extensive survey in consumer attitude towards retailing. An important finding of the survey was that in terms of overall satisfaction, traditional Indian grocery stores scored 5 – 6 on a 10-point scale. FW believed that this was largely due to the absence of organized retailing and low brand proliferation. The company thus decided to offer people a pleasant shopping experience and work towards making grocery shopping less cumbersome. The main challenge for FW was to alter the existing mindset of Indians with respect to price and value and add excitement to grocery shopping.

On the basis of the above information, FW defined its objective as: “To offer the Indian housewife the freedom to choose from a wide range of products at a convenient location in a clean, bright, and functional ambience without a price penalty.”

Initially, the target markets were identified as neighbourhoods that had at least 4,000 households with an average monthly income of more than Rs. 4,000. For this kind of customer base, FW needed to start operations in a metropolitan city. Considering the fact that the cost of real estate was low in Southern India, FW chose Chennai, Hyderabad and Bangalore as initial locations for setting up FW stores.

FW adopted a self – service format for its stores, which typically had around 4500 sq ft of selling space. The designing of the stores was given special attention and a uniform look was adopted for all the stores. The colours red and yellow (as used in the FW logo) were used liberally while designing the stores. To give the outlets an up market look, the interiors were kept completely visible to the public by using huge glass panes for the frontage. The interiors were kept brightly lit and emphasis was given to creating a clean, pleasant ambience. All the outlets were air – conditioned and played popular music continuously. All this was done with the objective of providing an enjoyable and refreshing shopping experience to customers.

The merchandise primarily comprised groceries, personal care products, kitchenware and tableware. Over the years, this list was expanded to include music, magazines and a few other product categories to cater to a wider customer base. Every item in the store was marked individually with both price and bar codes. Separate payment counters were set up for people planning to pay through credit/debit cards and for people buying only 3 – 5 items.

FW also entered into alliances with the fast food major, Pizzas Corner and the satellite radio broadcasting company, World Space. While Pizza Corner sold pizzas from FW outlets. World space displayed and sold its services and products at the stores. Such tie – ups and promotional exercise have become a routine feature for FW.

RETAILING OF LIFESTYLE PRODUCTS SEGMENT

Shopper's Stop Limited (SSL) is the pioneer in India's organized retail revolution. SSL redefined the concept of 'shopping' by making efforts to provide the Indian consumers with an international shopping experience. In 1991, SSL set up its first outlet in Mumbai, Maharashtra, with a floor space of around 4,000 sq ft. Since then, SSL has established its stores in all major cities in India with store space ranging from 18,000 sq ft to 60,000 sq ft. SSL stores provide a complete and in – depth range of fashion and lifestyle products and accessories to meet the lifestyle pattern of every shopper. Around 85% of SSL's merchandise is branded and it stocks more than 150 national and international brands. Within a short period, SSL emerged as the largest single retailer for Levis, Pepe, Lee, Arrow, Zodiac, Reebok, Nike, Parker, Ray Ban, Swatch, Chambor, Revlon, Lego, Mattel and many other leading brands. The company closely monitored the movement of all brands, and if any brand failed to meet customer expectations, it was phased out. SSL also launched a range of private labels like Life, Kashish and Karrot in the premium classic, value classic and value fashion segments. A team of designers were recruited from India's premier fashion design institutes to develop private labels.

Earlier, Indian customers were used to shopping for their apparel and accessories at various shops (as no shops offered all the products at one place), which paid little or no attention to the ambience or the comfort of their customers. SSL, apart from offering a complete range of garments and accessories, included central air – conditioning, impeccably maintained trial rooms, beautiful rest rooms, play area for children, large

car parking, in – store café, and other services such as alterations, goods exchanged without any questions and gift wrapping. As a part of differentiating its product offerings from that of other major lifestyle stores such as Life Style and Globus, SSL also began conducting many events and promotion campaigns to combine entertainment with shopping. These included the 101 – day Seven Wonders of the World Festival, Surprise Sale, Salon Streets, and Men in Vogue, Great Store Robbery, Campus Stoppers and Valentine Promotion. One of the major events offered by SSL, which attracts hoards of customers, is *Parikrama* a crafts fare aimed at showcasing the diverse ethnic arts and traditions in India.

Two Sharply Contrasting Segments: Small Stores and Large Chains

The retail sector comprises two sharply contrasting segments: the large chain outlets and a multiplicity of small, traditional retail stores. Retail in India is highly fragmented and is dominated by the traditional retail sector—that is, retail shops run by the owner or the caretaker of the store.

These shops include most of the fastmoving consumer goods (FMCG) stores. India has one of the highest retail densities in the world— around 6 percent, or 12 million retail shops for 209 million households (Ernst & Young 2006). The dominance of the traditional retail sector is also evident from its share in total retail sales in India, accounting for 97 percent of such sales in 2005 (Ernst & Young 2006). Henceforth, the terms traditional retail sector and FMCG stores will be used interchangeably, as will modernformat stores and large chain outlets. To understand what hampers the growth of the sector, the World Bank conducted a nationally representative survey in 2006 in connection with this report. The Retail ICS 2006 covered 1,433 outlets in 41 cities. All the data presented in this chapter refer to data collected through this survey except when indicated otherwise.

Small stores are mainly sole proprietorships (more than 93 percent). Small stores have, on average, two workers, usually the owner and an employee. The average small store has been operating for 13 years. This period coincides with the average number of years of experience of managers of small stores, suggesting that such stores have been managed since their inception by the same individual.

Although still limited in size, organized retail is growing fast. Modernformat stores began appearing in South India in the late 1980s. Though such stores accounted for only 3 percent of total sales in 2005, the segment is expanding rapidly (Ernst & Young 2006): between 2003/04 and 2006/07, total sales by small retailers grew by 11 percent per year, while sales of modernformat stores grew by about 20 percent per year (Joseph and others 2008). The Retail ICS shows that growth in sales is strongly correlated with growth in employment, with a correlation between the two of 0.88. Modernformat stores in urban areas employed, on average, 37 employees, and 37 percent of such stores are publicly listed companies. Private companies, partnerships, and sole proprietorships represent the balance of the modernformat stores.

Effect of the Investment Climate on ModernFormat Stores

Despite these efforts, investment climate is a bigger problem for large retailers than for small stores. Modernformat stores perceive the investment climate as more of an obstacle to their business than do unorganized stores in all areas except the following: trade regulations, practices of informal competitors (defined as street sellers or sellers of spurious goods), access to finance, and to a lesser extent, electricity.

This difference in perception exists mainly because the current regulations are more favorable for small retailers. Because of their different legal status and location, small retailers enjoy lower rates for inputs, such as power and land. In fact, small retailers normally pay lower land rents (because of their location in residential areas, which have lower rentals) and lower power prices (because most of them pay residential rates, which are not quite half of the commercial rates paid by the modern retail chains). Small stores are also subject to a lower tax. Such differences affect the profitability of the larger stores.

In addition, given their size, small retailers can operate outside of the investment climate. The labor productivity analysis shows that the effect of the investment climate is larger for modernformat stores than for the small retailers. The econometric analysis confirms a strong association between investment climate factors and labor productivity for the retail sector. According to the results of this regression, the investment climate and control variables explain 22 percent of the observed variability of labor productivity of small retailers and 44 percent of the observed variability of the modernformat stores. This difference can be attributed to the fact that small stores, thanks to their size, can operate outside of the investment climate more easily.

Obstacles to Increased Productivity and Employment Generation for ModernFormat Stores

Electricity, corruption, tax rates, and access to land remain the biggest obstacles to increased productivity and employment. When asked, 23.28 percent of the managers of modernformat stores identify electricity as the main obstacle to their growth and 10.58 percent identify both tax rates and corruption. Although access to land was identified as the biggest obstacle by only 8.47 percent of the store managers, its magnitude was underrepresented in the survey, as explained subsequently. The obstacles identified by store managers are relevant also in the productivity analysis. The infrastructure and the red tape, corruption, and crime categories of obstacles each accounted for roughly 15 percent of the total effect of investment climate on the average labor productivity of modernformat stores.

Power shortages occur daily, disrupting the business operations for two hours on average, and despite the presence of generators, a considerable part of sales are lost. Obtaining a power connection is a lengthy endeavor; retail stores wait an average of 53 days to obtain it. Having a connection does not, however, ensure receiving electricity. In fact, 80 percent of the respondent stores experienced power outages in the year prior

to the survey—averaging more than one per day and two hours in length. To cope with the shortages, 70 percent of large stores own a generator. Despite the alternative arrangements, modernformat stores estimate that they lose 3.3 percent of their annual sales because of power outages.

Tax rates and corruption is a major obstacle. It is identified by almost 11 percent of the surveyed firms as the most severe obstacle to their growth. Stores report that they regularly pay informal gifts to get connected to the electricity grid, water system, and so forth and to pass inspections. Although the amounts paid are small (on average, equivalent to less than 1 percent of annual sales), dealing with government agencies is also time consuming: managers of organized retail stores spend, on average, 5 percent of the workweek dealing with government officials, and almost 60 percent of the modernformat stores are visited, on average, six times per year. Managers of modernformat stores spend more time dealing with government officials than do their counterparts in small stores.

The issue of tax must be analyzed in terms of a level playing field between the organized and unorganized segments. First, the majority of modernformat stores are subject to the corporate income tax regime, which is higher than the individual income tax that is paid by unorganized retailers. Second, because organized retailers are larger, it is more difficult for them to evade taxes. When asked to estimate the percentage of total annual sales reported for tax purposes by stores similar to their own, unorganized retailers reported 70 percent on average, whereas managers of modernformat stores reported 85 percent.

Third, although the elimination of sales tax and the octroi⁵ and the introduction of VAT have simplified the tax regime and could bring many unorganized retailers into the tax net, the existing tax regime nevertheless creates difficulties for stores operating across various states. In fact, various states have different VAT rates, and the central sales tax, a central levy on interstate sales, has not yet been abolished.

Access to land was identified as a major problem by 8.47 percent of the modernformat stores. However, this statistic underrepresents the magnitude of the problem.⁷ Of the survey respondents who tried to acquire land or buildings during the year prior to the survey, only 60 percent were successful.

The majority attributed the failure to expand to the impossibility of obtaining land in the desired zone, while a smaller percentage reported that the municipality did not provide the required infrastructure for the desired site.⁹ Limited land availability in urban areas forces larger stores out of urban areas, which are difficult for consumers to access because of poor roads. Even when suitable land is identified, the transaction process is very long. On average, the survey respondents who tried to expand found that it took four months to formally take ownership of the property once they had identified it. Because of the lengthy and complex land transfer process, informal payments to get transactions completed are considerable, estimated at 8 percent of the total costs.

Sector Performance: Low Productivity and Modest Employment Growth

Although the retail sector has been growing, its growth has been slightly below average when compared with that of the wider services sector. The trade sector, including both retail and wholesale, has been growing at 7.7 percent over the period from 1990/01 to 2006/07, while the average rate for the services sector has been 7.9 percent. Moreover, the growth of employment in the trade sector has been around 2.7 percent per year over the period from 1999/2000 to 2004/05—a modest rate when compared with that of the entire services sector (7.6 percent).

Labor productivity in the retail sector is low. A study (McKinsey Global Institute 2001) comparing labor productivity in the Indian retail sector with that in the U.S. retail sector found that Indian levels of productivity were only 6 percent of U.S. levels. The United States was used as a comparator because labor productivity in the services sector there is among the highest in the world. In addition, India's average labor productivity in retail, as a percentage of U.S. productivity in the same sector, fares badly when compared with other Indian services sectors, such as telecommunications, software services and products, and banking.

Low labor productivity is attributable to the large presence of small, less productive stores. In line with secondary data, the results of the labor productivity analysis for the sample show that traditional FMCG stores are the least productive types of outlets. The productivity of the average FMCG store is only about half that of the average modernformat store, or US\$3.60 per hour worked versus US\$7.60.

The labor productivity decomposition shows that the most productive outlets in India are the single stores with the largest market share. These findings are consistent with the results of the productivity analysis. The aggregate productivity, which measures the total productivity of the sector, is the sum of the efficiency terms and the average productivity. The efficiency term measures the efficiency in the allocation of resources: a large and positive efficiency term (61 percent of the aggregate productivity for the retail sector) indicates that in India the most productive retailers are the individual stores with the largest market share. The overall productivity of the retail sector can therefore be increased by letting the most productive outlets acquire an even larger market share.

Employment data for the past three years show that modernformat stores also have a higher average growth rate in employment. Although starting from a much lower base, the modernformat stores' average employment growth has been five times higher than that of FMCG stores in the past three years.

Thus, to increase productivity and promote employment generation in the retail sector overall, the Indian government should promote an environment that facilitates the growth of the largest market players, which are the most productive ones. Hence, the analysis of the effect of investment climate variables on the sector productivity and employment generation focuses on modernformat stores, which are predominantly those that have the largest market share. A description of the effect of investment climate variables on

labor productivity and employment generation for FMCG stores is presented in box 5.1. The recent report on the effect of modern format retailers on the traditional retail segment (Joseph and others 2008) finds a marginal increase in employment in the latter for the period during which modern format stores covered by the survey existed (on average, 21 months), indicating that an expansion of larger stores does not have to come at the cost of unorganized retailing.

Government Reform Efforts to Improve the Investment Climate

In recent years, state governments have adopted a number of policies to facilitate the growth of the retail sector, particularly of the modern format store. These policies cover such issues as real estate, opening hours for shops, agricultural marketing, and foreign direct investment (FDI) in the sector. Examples of state governments' efforts to facilitate the growth of the retail sector include the following:

- The state governments of Delhi, Karnataka, and Maharashtra have increased the land available for commercial purposes by allowing land formerly designated for residential use to be used for commercial purposes and by releasing unused state-owned company land.
- In Bangalore, Delhi, Kolkata, and Mumbai, the state governments have permitted flexibility in the use of labor and have allowed retail outlets to operate seven days a week.
- States such as Haryana, Himachal Pradesh, Madhya Pradesh, Punjab, and Rajasthan have amended the Agricultural Produce Marketing Committee Act to permit implementation of "modern forms of distribution" for agricultural produce. The amendment allows farmers to sell directly to companies instead of requiring them to sell in the mandis (market centers).

The central government has partially liberalized FDI in the retail sector and introduced the value added tax (VAT). To facilitate FDI inflow, the central government has allowed FDI of up to 51 percent, with prior government approval, in "single brand" products and FDI of up to 100 percent, without government approval, for cash-and-carry wholesale trading and export trading. Although not specifically aimed at promoting organized retail, the VAT could indirectly facilitate its growth.

By levying a tax on value added at each stage of sale, the VAT system should bring all retailers, including small ones, under the tax regime. However, if not evenly implemented, the VAT could create a very uneven playing field between the modern format and small store segments.

Conclusions

To increase productivity and promote employment generation in the retail sector overall, policy makers should facilitate the growth of the largest players. In line with secondary data, the results of the labor productivity analysis for the sample show that traditional FMCG stores are the least productive types of outlets. In fact, the labor

productivity decomposition shows that the most productive outlets in India are the individual stores that have the largest market share—namely, the modernformat stores. Employment data for the past three years for the sample also show that with the same growth in sales, modernformat stores generated more employment than other types of stores. Hence to increase productivity and promote employment generation in the retail sector, the Indian government should facilitate the growth of the largest players.

The labor productivity analysis shows that the effect of the investment climate on the modernformat segment is considerable. In particular, both the perceived obstacles and the productivity analysis show that unreliable infrastructure (power shortages in particular), tax rates, corruption, and land access are the largest obstacles to the growth of the sector. The issue of tax rates must be analyzed in terms of uniform application and a level playing field with small retailers, which, in practice, are subject to more favorable conditions. (Reforms to the tax regime that took place after the ICS was conducted, however, have reduced the discrepancy between the FMCG stores and modernformat tax regimes.) Finally, with respect to land, the problem lies both with land availability and with the complex and costly land transfer process.

2

Distribution of Retailing

RETAILERS

The characteristic that sets a retailer apart from other members of its distribution channel is that the retailer is the party who ultimately sells the product to its end user or consumer. As you know if you've ever shopped for anything, Participants in the Distribution Channel retailers come in many shapes and sizes, so to speak. Retailers may be grouped according to any of the following four categories: Ownership. Every brick-and-mortar retailer can be classified as a large, national chain store; a smaller, regional chain store; an independent retailer; or a franchisee.

Pricing philosophy. Stores are generally either discounters or full-price retailers. Within the "discounter" category, there are several subcategories such as factory outlets, consignment stores, dollar stores, specialty discount stores, warehouse membership clubs, and so on.

Product assortment. The breadth and depth of product lines carried by the store depends a lot on its ownership. An Ann Taylor store, for example, sells Ann Taylor branded clothing—not much breadth of product line there, but extensive depth in that line. A Kmart, on the other hand, carries thousands of brands, but perhaps does not have much depth (not many brands) in any given category of product.

Service level. The more exclusive or specialized the store, the more types of services it will generally offer—from a name-branded credit card, to on-site alterations, to liberal return policies for its loyal customers. With the "big box" discounters, on the other hand, customers pay for convenience and bypass traditional service, by bagging their

own groceries and the like. These distinctions between various types of stores will be important as we discuss their participation in certain distribution channels.

DISTRIBUTION

“Place” is the fourth traditional element of the marketing mix. The other three are Product, Price and Promotion. Most businesses use third parties or intermediaries to bring their products to market. They try to forge a “distribution channel” which can be defined as *“all the organisations through which a product must pass between its point of production and consumption”*. Why does a business give the job of selling its products to intermediaries? After all, using intermediaries means giving up some control over how products are sold and who they are sold to. The answer lies in efficiency of distribution costs. Intermediaries are specialists in selling. They have the contacts, experience and scale of operation which means that greater sales can be achieved than if the producing business tried run a sales operation itself.

Functions of a Distribution Channel

The main function of a distribution channel is to provide a link between production and consumption. Organisations that form any particular distribution channel perform many key functions:

Information: Gathering and distributing market research and intelligence important for marketing planning.

Promotion: Developing and spreading communications about offers.

Contact: Finding and communicating with prospective buyers.

Matching: Adjusting the offer to fit a buyer’s needs, including grading, assembling and packaging.

Negotiation: Reaching agreement on price and other terms of the offer.

Physical distribution: Transporting and storing goods.

Financing: Acquiring and using funds to cover the costs of the distribution channel.

Risk taking: Assuming some commercial risks by operating the channel (e.g. holding stock).

All of the above functions need to be undertaken in any market. The question is-who performs them and how many levels there need to be in the distribution channel in order to make it cost effective.

Distribution Channels

Why are all these layers needed in distribution? Why can’t a producer simply sell to a retailer, who sells to a consumer? It’s a fair question, and in some cases, that is exactly how it happens. But the fact is that many producers are either too small or too large to handle all the necessary functions themselves to get their products to market.

Consider the small, specialty manufacturer who is terrified at making leather handbags but may not have the expertise to market its products as well as it makes them, or they

may not have the money to hire a team of full-time sales people to court the customers and secure the orders. An intermediary who works for several small, non competing firms can easily handle those functions cost-effectively. An intermediary who specializes in importing and exporting can handle the intricacies of customs paperwork, overseas shipping, and foreign markets, too.

Conversely, large companies need intermediaries because they are also in the business of manufacturing, not marketing. Turning out tens of thousands of cases of soft drinks, for instance, do you think Pepsi has time to take and full individual orders from households? Channel members like wholesalers and retailers are useful because they are best at specific aspects of sales in their markets, leaving the manufacturers to do what they do best—which is turn out the best possible product.

Having a distribution channel breaks the whole buying and selling process and all its related negotiations into manageable tasks, each performed by companies that specialize in certain skills. Using an import wholesaler, for example, can be handy because they know the laws and customs of the suppliers' nations; and they generally offer their own lines of credit so the retailer won't have.

Types of Channels

Currency exchange or negotiate payment terms with a bank in another country.

Another advantage of the distribution channel is its ability to even out the natural ebbs and flows of a supply chain. This comes from the ability of some channel members to store excess goods until they are needed, and to stockpile goods in anticipation of seasonal sales peaks. Depending on how close their relationships, channel members may also work together to purchase goods or services in greater quantity at discounts, passing the savings on to customers. Even for consumers, the distribution chain is handy—beyond handy, in fact! It has become a necessity in our society. What if there were no supermarkets, for instance? Can you imagine how much more time and money you would spend having to buy every item at its source? How practical would it be to run out to the nearest farm to pick up a quart of milk and some salad ingredients on your way home from work?

We'll set aside business-to-business channels for now and look at the four simple types of retail distribution channels for consumer products:

Direct channel. This is when the same company that manufactures a product sells it directly to the consumer or end user. Dell, Mail-order catalog sales companies, like Lands' End, are also direct channel sellers.

Retailer channel. This is when the producer sells to the retailer, and the retailer sells to the consumer.

Wholesaler channel. Intermediaries play a role here, as the manufacturer sells to a wholesaler... who sells to a retailer... who sells to the consumer.

Agent or broker channel. The most complex arrangement involves several transactions, often because the merchandise is being imported. The producer sells to an

agent... who sells to a wholesaler... who sells to a retailer... who finally sells to the consumer or end user. Dual channel or multiple channel. This term refers to the use of two or more channels to sell products to different types of customers. A lawnmower manufacturer, for example, might sell some product lines at retail and others to commercial lawn care companies, each requiring different intermediary services.

Channel Relationships

The fact is that modern-day companies are often forced to participate in distribution channels for practical reasons—not really because they want to be “part of the team.” They need the efficiency and the economy of scale, although in some ways, this kind of cooperation runs counter to the tough, competitive side of traditional retailing.

Channel cooperation would be ideal—a joint effort of all the members to create a supply chain that is flexible, gives each partner a competitive advantage, and ultimately provides the best product and related services to the customer. However, whether you’re selling candy bars or luxury automobiles, conflict does occur when the members of a distribution channel choose different ways to operate within the system, have differing goals, or balk at sharing information. Areas of potential channel conflict are many. They can arise naturally from competition between multiple members of the same channel—retailers or wholesalers—who carry the same product line. They will also occur when retailers have service issues with the products and want to handle returns, repairs, or exchanges differently (say, more generously) than what the manufacturer is willing to do. A very common source of channel conflict is a producer’s decision to either increase or decrease prices. The wholesalers take the fack about it from retailers—who, in turn, must listen to consumers’ complaints, at least in the case of price hikes.

There is a hierarchy in all distribution channels, whether the participants like it or not. The company that has the most authority in the channel is referred to as the channel leader or channel captain. In this case, “authority” means the partner’s ability to either influence or control the behaviour of any of the other partners in the channel.

It’s safe to say that no one in any distribution channel or supply chain wields as much authority in retail today as Wal-Mart. The world’s largest retailer literally treats its suppliers like extensions of its own business—manufacturers and wholesalers have free access to real-time data about how their product lines are selling at any Wal-Mart store, any time. Sharing this information allows the suppliers to plan their production runs, make their importing decisions, and so on. Hundreds of manufacturers have offices in Bentonville, Arkansas, just to be conveniently located for Wal-Mart, and they consider it a small price to pay for increased access to their giant retail partner. In exchange, this Channel Captain Extraordinaire can require extraordinary things of its smaller partners, from price cuts to the acquisition and use of expensive new technology like radio frequency identification. In business-to-business channels, Ford is known for its incredibly collaborative relationships with suppliers, who do more than provide materials and parts—they help design the vehicles Ford produces. Similarly, any manufacturer

that uses a Just-In-Time (JIT) system, with offices for supplier representatives on-site in its plants, has forged a unique type of channel relationship.

Like any kind of power, channel leadership can be wielded to the benefit or detriment of the other companies. Wal-Mart's situation aside, channel captains may take the lead in negotiating with a participating company that is not fulfilling its responsibilities—orders are late; the company hasn't updated its computer systems; it may be struggling financially; the CEO is uncommunicative or argumentative. Whatever the case, if the end result is that it's bogging down everyone else in the channel, then something must be done. It is important to note that in a distribution channel, any of the participants can refuse to do business with any of the others—as long as someone amenable to the entire group is tapped to take over the role that the ousted business has played. This game of “musical chairs” is difficult at best, and disastrous at worst. It's better for everyone if the participants can figure out how to get along.

Types of Distribution within Channels

The channel members may handle different portions of the transaction, but they must all agree on the end result—that the product(s) will be placed in the market in the manner desired by the producer or manufacturer, and that placement of the product(s) meets the contractual agreements of producer, retailer, and everyone in-between.

Once a channel is selected, the distribution strategy can take three different forms. They are listed as follows, from most restrictive to least restrictive—and remember, in retail, the term “restrictive” does not automatically have a negative connotation. Exclusive distribution is thought of most frequently for high-dollar products such as luxury cars or Rolex watches, but the fact is that even small-ticket items like toys are considered exclusive when they are in high demand.

In an exclusive distribution agreement, one retail store or chain of stores has the legal right to market and sell the product line in a geographic area. Exclusive distribution is sometimes requested by the retailer, not the producer, to ensure that the retailer has something unique, that customers can't get anywhere else. This may also mean the retailer commits to not selling any products that are going to compete with the line. In exchange, the producer or manufacturer offers sales assistance, training, point-of-purchase materials, and other perks to the exclusive distributor.

Such a distribution arrangement can work toward the “exclusive” image of the product (because it's harder to get), the retailer (for having “the only ones” available), and the manufacturer (by implying that the company is interested in marketing “quality, not quantity.”)

In B2B commerce, exclusive distribution works well for extremely specialized product lines, such as heavy equipment or high-tech products, ordered to the customer's specifications and budgeted for in advance of the purchase.

Selective distribution means the retailers are carefully screened, and only a few are permitted to carry the product line. As with exclusive distribution, part of the goal here

is to enhance the image of the product by making it harder (but certainly not impossible!) to obtain. This allows the retailer to charge full price. Business realities do not always support the sharing of data among partners in distribution channels and/or supply chains. It makes sense that concerns about privacy and competitive advantage often lead channel partners to decisions not to share some data, such as sales and demand forecasts.

Jim Alexy is the CEO of Network Services Company, a multibillion-dollar distribution organization. Prior to coming to Network Services, he held senior management positions at several of the manufacturers whose products Network Services sells, so he speaks from the perspective of both manufacturer and wholesale distributor.

“In a perfect world, yes, [sharing data] is a great idea,” Jim told us,” But if you do, it’s only a matter of time before some company turns it against you. Each company has its own quarterly management incentive plans, and people will do what they need to do to meet their numbers.” Companies do share data about things such as product demand and inventory levels. The problem is that they often modify this data to their own advantage—infating their demand numbers, for instance, in order to ensure that they will get the amount of product they think they will really need.

“Most manufacturers have some sort of productivity targets they need to hit,” Jim explained. “When they look at the demand data they get from customers, it is so inaccurate that if they responded to all the fuctuations, their production costs would go up and they still wouldn’t be producing the right items anyway.”

So companies take the data that others share with them and run their own projections.” When I was CEO at Sweetheart Cups,” Jim recalled,” there was a guy who worked for me who built great demand forecast models. He collected all the data and factored in historical trends and ran the model. Then, he looked at the results and tweaked them in places where he had a strong hunch or some special information. And then after all of that, his forecasts still weren’t as accurate as they could be—because one of our major customers, like McDonald’s, wouldn’t tell us about a big promotion they were planning to run, and we’d be caught short in 12-ounce cups or something. They didn’t always tell us, because they didn’t want word to get out and then have a competitor take action to counter their promotion.”

As a result of the tinkering that companies do, the data can get pretty distorted at times. Nonetheless, data sharing has enabled some major improvements. “I think there has been a lot of inventory taken out of the system,” said Jim.” Just-In-Time inventory has resulted in major savings for everyone.”

Just-In-Time (JIT) inventory is often implemented through a technique called vendor-managed inventory (VMI). Using this technique, as Wal-Mart suppliers do, they can monitor inventory levels of Channel Relationships. Their own products within the companies sell to. The retailers share inventory and sales numbers, so the supplier can keep the inventory stocked at the right levels. Retailers continuously weigh the costs and benefits of sharing data and working together. Do they work with only a small group of trusted suppliers and allow them to manage their own inventory in-store? Can

they risk the downsides of working with only a few suppliers, when things like labour strikes, sudden price hikes, or production problems might leave the stores in the lurch? And there are more nagging questions: Can they risk confidential information being leaked to competitors? How open should they be with other channel members? It is very hard for companies to develop the level of credibility and trust needed to establish tight working relationships. In the meantime, they do realize the benefits of sharing tools and skills that allow them to analyse data and make decisions.

Like so many other aspects of business, information sharing is a trade-off. Intensive distribution is the closest thing to blanket coverage in retail, a “you can and it anywhere” theory of marketing. Snack items, like candy and soft drinks, are great examples of intensive distribution—their individual unit prices are so low that thousands must be sold to make a profit. Ironically, this intensive product availability requires a large and complex distribution channel in order to cover all the sales outlets, from supermarkets and convenience stores to vending machines and restaurants. Manufacturers of these products depend heavily on their wholesalers to handle the sales functions—and will drop a wholesaler who is not performing well based on sales figures—which makes this type of wholesaling very competitive.

How Channels Are Chosen

Although retailers drive distribution channels, it is not usually the retailer who makes the decision to utilize one channel over the others. The producer of the product makes this decision. There are several characteristics of product lines that make them more or less appropriate for a particular type of channel.

Briefly, these characteristics can be summarized as follows: The products themselves. If a product is perishable, like many grocery items, it requires the shortest, most direct distribution channel—which means the fewest possible intermediaries along the way. If a product is customized, like an expensive assembled-to-order computer system, it also benefits from a short distribution channel. There is no need for intermediaries when a customer orders a custom product directly from the company that makes it.

Long distribution channels correspond to small purchases, either because the retailer doesn’t carry much inventory or the consumer buys the item in small quantities. The type of customer. Who are the customers, what do they need and expect from their shopping experience, and where are they willing to go to buy this type of product? How much quantity do they buy at a time? A channel may be chosen because it best reflects the end users’ buying habits.

Business-to-business customers have completely different needs and buying habits than individual consumers. Market size. This factor encompasses two things: the population of an area and whether it is urban or rural. It is easier to sell direct to customers in a large city with lots of potential outlets for a product line. The more widely dispersed the stores, the more logical the dependence on agents and wholesalers—or on multiple retailers in different cities—to keep product sales strong and steady.

The producer's level of control. Most top-dollar clothing designers and fragrance manufacturers do not want their products showing up anywhere and everywhere. They've worked hard to build an exclusive reputation, and they expect their distribution channel to work just as hard to protect and enhance their upscale image. These producers will choose a distribution channel that ensures no discount merchants have access to their lines, and they will count on the members of their channel to honour their wishes and not make bargain "deals."

The size of the producing company. A producer is likely to sell direct when the company is large enough to handle the additional responsibilities that intermediaries would otherwise provide—credit to customers, warehouses for their own goods, the ability to hire and train their own sales representatives. Smaller producers require a larger distribution chain in order to full these roles.

The size of the retailers. A segment of the industry that is fragmented, with most of the stores operating as single units, requires the distribution channel to be longer. This was the case in the 1980s with video rental stores, for example, until Blockbuster Video opened and began its climb to dominate the market.

General Store in the Development Countries

The general store or general merchandise store is a store that carries a general line of merchandise. In Australia, Canada and the United States, a store named or subtitled "general store" is traditionally a retailer located in a small town or in a rural area. It carries a broad selection of merchandise crammed into a relatively small space where people from the town and surrounding rural areas come to purchase all their general goods. The store carries routine stock and obtains special orders from warehouses.

In the United Kingdom, similar retailers tend to be referred to as a village shop in rural areas or a corner shop in urban areas or suburbs. Bodeguita comes from the Spanish language as a diminutive of *bodega* which means "small store" or "small warehouse". Traditionally, Bodeguita existed selling general merchandise, then they were replaced slowly by the chain store, the same way large US chains have practically eliminated the "mom and pop" store. General stores often sell staple food items such as milk and bread, and various household goods such as hardware and electrical supplies. The concept of the general store is very old, and although some still exist, there are far fewer than there once were, due to urbanization, urban sprawl, and the relatively recent phenomenon of big-box stores. The term "general merchandise store" is also used to describe a hybrid of a department store, with a wide selection of goods, and a discount store, with low prices. Examples include J. C. Penney, Sears, and sometimes Kohl's.

Canada

In Canada the French term *dépanneur* is used for a general store in the province of Quebec. The oldest continually run general store in Canada is Trousdale's, located in Sydenham, Ontario, which has been operated by the Trousdale family since 1836.

United Kingdom

Village shops have become increasingly rare in the densely populated parts of England, although they remain common in remote rural areas of Scotland, Wales and Northern Ireland along with some lesser populated areas of England such as North Yorkshire, Northumberland and The Lake District. Their rarity in England is due to several factors, such as the rise in car ownership, competition from large chain supermarkets, the rising cost of village properties, and the increasing trend of the wealthy to own holiday homes in picturesque villages, consequently houses which used to be occupied full-time are often vacant for long periods.

Of those villages in England who still have shops, these days they are often a combination of services under one roof to increase the likelihood of profit and survival. Extra services may include a post office, private business services such as tearooms, cafes, and bed and breakfast accommodation; or state services such as libraries and General Practitioner (GP) or Dental clinics; and charity partners such as Women's Institute (WI) coffee mornings held on the day most elderly villagers might collect their weekly pensions.

Some villages now no longer have either shop or post office, but the village pub has largely survived (although recent economic downturns and changed drinking laws have begun to impact upon and change the survival of even this village stalwart) and these often function as small shops or post offices as well. Many village pubs have become notable dining experiences, attracting trade from their villagers, tourists and nearby town dwellers with their trendy chefs or local produce/organic menus. In village areas close to Towns and Cities with a modern, mixed ethnic picture, out of town dining experiences of an ethnic kind have become popular in former pub premises. Most notable are large Indian and Chinese restaurants in areas such as Leicestershire, in the English East Midlands.

Community shops have become popular in some villages, often jointly owned and run by many villagers as a co-operative. The Village Retail Services Association ([1]) promotes the role and function of the village shop in the UK. Many modern village shops choose to stock items which draw in customers from neighbouring areas who are seeking locally sourced, organic and specialist produce such as local cuts of meat, local cheeses, wines etc.

In towns and cities, the corner shop has largely survived by dominating the local and light night convenience market. The 1970s saw the death of the traditional grocery shop, which would have once dominated in the kind of buildings most corner shops operate from today, such old traditional family grocery stores began to face competition on two fronts: on the one hand from immigrant-owned corner shops, trading longer hours (typically British Asian families), and on the other from the rise of the supermarket, which amalgamated many specialist retailers such as butchers, bakers, and grocers under one roof at increasingly cheaper prices and with room for a greater choice of products. With the gradual loss of the traditional grocers came the loss of many aspects

of old British shopping culture such as grocery deliveries and being enabled to have a “Tic” account with the grocer, a form of unofficial advanced credit. The cornershop is now much more the local convenience shop than the family grocer of days gone by.

Cornershops are usually so called because they are located on the corner plot or street end of a row of terraced housing, often Victorian or Edwardian factory workers’ houses. The doorway into the shop was usually on the corner of the plot to maximise shop floor space within, this also offered two display windows onto two opposing streets. Many have now altered the original shop front layout in favour of a mini-supermarket style. Although it is common that cornershops found in the UK were former grocer shops, other specialist retailers also occupied such slots and have suffered the same fate of being largely replaced by super and hypermarkets, such retailers as greengrocers, bakers, butchers and fishmongers.

In popular Culture

Many British TV and Radio series, especially soap operas, feature corner shops or village shops as cornerstones for community gatherings and happenings. Prominent examples are the Village shop in Ambridge, the fictional village in the BBC Radio 4 series, *The Archers*, (1950–present day). Or the ITV1 soap opera *Coronation Street* (1960–present day) featuring a cornershop; it was owned, until recently, by Alf Roberts the grocer and after his death in the late 1990s was bought by Dev Alahan, reflecting this common change in British culture.

The dying days and changing culture of the traditional British grocer was explored to great effect in the BBC TV comedy series *Open All Hours* (1976–1985), set in the real suburb of Balby in Doncaster, the shop front used for the street scenes in the series does actually exist in the area and is a hair salon in reality. The BBC Scotland comedy series *Still Game* has a corner shop as a recurring location where characters can meet and gossip; the actor who plays its owner, Navid Harris (Sanjeev Kohli), plays a similar role as Ramesh in the Radio 4 comedy series *Fags, Mags and Bags* which is set entirely in Ramesh’s shop.

The band Cornershop in part base their image on the perception that many convenience stores are now owned by British Asian people. In terms of British popular culture these media representations give some idea of the importance attached to local shops in the national psyche and as a mainstay of community life.

United States

During the first half of the 20th century, general stores were displaced in many areas of the United States by many different types of specialized retailers. But from the 1960s through present, many small specialized retailers are in turn crushed by the so-called “category killers”, which are “big-box” wholesale-type retailers large enough to carry the majority of best-selling goods in a specific category like sporting goods or office supplies. However, the convenience inherent in the general store has been revived in

the form of the modern convenience store and the hypermarket, which can be seen as taking the general store or convenience store concept to its largest possible implementation.

Charity Shop

A charity shop, thrift shop, thrift store, hospice shop (U.S., Canada), resale shop (when not meaning consignment shop [U.S.]) or op shop (Australia/N.Z.) (from “opportunity shop”) is a retail establishment run by a charitable organization to raise money. Charity shops are a type of social enterprise. They usually sell mainly second-hand goods donated by members of the public, and are often staffed by volunteers. Because the items for sale were obtained for free, and business costs are low, the items can be sold at very low prices. After costs are paid, all remaining income from the sales is used in accord with the organization’s stated charitable purpose. Costs include purchase and/or depreciation of fixtures (clothing racks, bookshelves, counters, etc.), operating costs (maintenance, municipal service fees, electricity, telephone, limited advertising) and the building lease or mortgage.

Popularity of Charity Shops

Charity shops are often popular with people who are frugal. In the United States, shopping at a charity store has become popular enough to earn a slang term: thrifting. Environmentalists may prefer buying second-hand goods as this uses fewer natural resources and would appear do less damage to the environment than by buying new goods would, in part because the goods are usually collected locally. In addition, reusing second-hand items is a form of recycling, and thus reduces the amount of waste going to landfill sites.

People who oppose sweat shops often purchase second-hand clothing as an alternative to supporting clothing companies with dubious ethical practices. Second-hand goods are considered to be quite safe. The South Australian Public Health Directorate says that the health risk of buying used clothing is very low. It explains that washing purchased items in hot water is just one of several ways to eliminate the risk of contracting infectious diseases.

New Goods Sold at Charity Shops

Some charity shops, such as the British Heart Foundation, also sell a range of new goods which may be branded to the charity, or have some connection with the cause the charity supports. Oxfam stores, for example, sell fair trade food and crafts. Other stores may sell new Halloween supplies and decorations where old vintage clothes are popular for use as costumes. Some stores specialise in selling books, music, or bridalwear. Charity shops may receive overstock or obsolete goods from local for-profit businesses; the for-profit businesses benefit by taking a tax write-off and clearing unwanted goods from their store instead of throwing the goods out, which is costly.

United Kingdom

The first Oxfam charity shop in the United Kingdom was established in Broad Street, Oxford, and began trading in December 1947 (although the shop itself did not open until February 1948). Oxfam opened some of the first charity shops.

However, pre-dating this, one of the first Red Cross shops was opened at 17 Old Bond Street, London, as early as 1941. In total, over two hundred “permanent” (for the duration of the war) Red Cross gift shops and about 150 temporary Red Cross shops were opened during the war years. A condition of the shop licence issued by the Board of Trade was that all goods offered for sale were gifts. Purchase for re-sale was forbidden. The entire proceeds from sales had to be passed to the Duke of Gloucester’s Red Cross and St John Fund. Most premises were lent free of rent and in some cases owners also met the costs of heating and lighting. There is also evidence that the Wolverhampton Society for the Blind (now called the Beacon Centre for the Blind) opened up a shop in Wolverhampton in 1899 to sell goods made by blind people to raise money for the Society.

During World War I, similar fund-raising activities occurred such as a bazaar in Shepherd Market, London, which made £50,000 for the Red Cross. Oxfam has the largest number of charity shops in the UK with over 700 stores. Many Oxfam shops also sell books, and the organization now operates over 70 specialist Oxfam Bookshops, making them the largest retailer of second-hand books in Britain. Other Oxfam affiliates also have stores, such as Jersey, Germany, Ireland (45 shops in NI/ROI), the Netherlands and Hong Kong. Other charities with a strong presence on high streets in the UK include YMCA, British Heart Foundation, Barnardos, Cancer Research UK, Roy Castle Lung Cancer Foundation, Age UK (formerly Age Concern and Help the Aged), Oxfam, Save the Children, Scope and Sue Ryder Care. Many local hospices also operate charity shops to raise funds. There are over 9,000 charity shops in the UK and Republic of Ireland. Their locations can be found on the Charity Retail Association (CRA) website, along with information on charity retail, what shops can and can’t accept, etc. The CRA is a member organisation for charities which run shops.

British charity shops are mainly staffed by unpaid volunteers, with a paid shop manager. Goods for sale are predominantly from donations-87% according to the official estimate. Donations should be taken directly to a charity shop during opening hours, as goods left on the street may be stolen or damaged by passers-by or inclement weather. In expensive areas, donations include a proportion of good quality designer clothing and charity shops in these areas are sought out for cut-price fashions.

‘Standard’ charity shops sell a mix of clothing, books, music and bric-a-brac (like cutlery and ornaments). Some shops specialise in certain areas, like vintage clothing, furniture, electrical items, or records. Almost all charity shops sell on their unsold textiles (i.e. unfashionable, stained or damaged fabric) to textile processors. Each charity shop saves an average of 40 tonnes of textiles every year, by selling them in the shop, or passing them on to these textile merchants for recycling or reuse. This grosses to around 363,000 tonnes across all charity shops in the UK; based on 2010 landfill tax value at

£48 per tonne, the value of textiles reused or passed for recycling by charity shops in terms of savings in landfill tax is £17,424,000 p.a.

Gift Aid is a UK tax incentive for individual donors where, subject to a signed declaration being held by the charity, income tax paid on donations can be reclaimed by the charity. Although initially intended only for cash donations, the scheme now (since 2006) allows tax on the income earned by charity shops acting as agent for the donor to be reclaimed. Sue Ryder Care was the first to 'Gift Aid' its donations with a pioneering new system developed with Eproductive Ltd.

Charity shops in the UK get mandatory 80% relief on business rates on their premises, which is funded by central government (not by local ratepayers) and is one illustration of their support for the charity sector and the role of charity shops in raising funds for charities. Charities can apply for discretionary relief on the remaining 20%, which is an occasional source of criticism from retailers which have to pay in full.

Australia

In Australia, major national opportunity shop chains include the St. Vincent de Paul Thrift Store (trading as Vinnies), the Salvation Army (trading as Salvos), the Red Cross, MS Australia, and the Brotherhood of St. Laurence. Many local charitable organisations, both religious and secular, run opportunity shops. Common among these are missions and animal shelters.

United States and Canada

In the United States, major national thrift shop operators include Arc Thrift Stores, Goodwill Industries, Salvation Army, St. Vincent de Paul Thrift Stores, ReStore). Regional operators include Deseret Industries in the western United States, and those run by the Bethesda Lutheran Home in the Upper Midwest. Many local charitable organizations, both religious and secular, operate thrift shops.

Common among these are missions, children's homes, homeless shelters, and animal shelters. In addition, some charity shops are operated by churches, and are fundraising venues that support activities including, in some cases, missionary activities in other countries. Several U.S. stores are for-profit, with the charity that collected the goods making money from the wholesale of those items to the store.

In July 2009, a U.S. government report revealed that several banks are punishing their customers for saving money by using their credit cards at thrift stores. This includes raising interest rates, lowering the credit limit, or even damaging a shopper's overall credit score, which may cause other credit issuers to further harm the shopper by taking similar actions (universal default), or denying credit applications altogether. The automatic and unfounded assumption is that thrift-store shoppers are in financial trouble. Even if this were true in a given case, such actions would put the customer in an even worse financial situation. Laws passed by Congress the month before are expected to stop issuers from these practices.

Thrift Stores

Thrift stores are generally owned by a charity but run as an independent business under contract: they are licensed by the charity, which provides the merchandise for sale, and benefits by the sale of these goods directly to the contractor who operates the shop. The shop may then make a profit from this arrangement. In some cases, e.g. 'Savers' and 'Value Village' they pay a small percentage of the profit to the charity. Charities in the US are supported by tax legislation but this does not extend to the 'for profit' thrift shop. Unlike directly charity-run shops run by volunteers, thrift shops pay taxes, and must under their contract have employees with proper contracts of employment.

In many countries around the world, not just exclusively in the Third World, second-hand clothing that is initially donated, are resold and is considered a commodity throughout the world. Some countries forbid it as it harms the local textile industry, as it is in the case of the Philippines. Other times, countries would increase tariffs to reduce imports. Some countries ban it as it is a distributor of disease and poor hygiene. Second-hand clothing is an ongoing issue, there has also been cases when drugs have been hidden in the shoes and clothing for illegal purposes. The author of an article, Karen Transberg Hansen suggested that in Zambia, however, *salaula*, or the selling of second-hand clothing actually helps the local economy in generation income. Hansen insisted it helped because it provided more jobs (handling, cleaning, repairing, en restyling) for people to do. It has also provided governments with revenue from tariffs.

Customer Engagement as Consumer Behaviour

CE behaviour became prominent with the advent of the social phenomenon of on-line CE. Creating and stimulating customer engagement behaviour has recently become an explicit aim of both profit and non-profit organisations in the belief that engaging target customers to a high degree is conducive to furthering business objectives. Shevlin's definition of CE is well suited to understanding the process that leads to an engaged customer. In its adaptation by Richard Sedley the key word is 'investment'.

"Repeated interactions that strengthen the emotional, psychological or physical investment a customer has in a brand."

A customer's degree of engagement with a company lies in a continuum that represents the strength of his investment in that company. Positive experiences with the company strengthen that investment and move the customer down the line of engagement.

What is important in measuring degrees of involvement is the ability of defining and quantifying the stages on the continuum. One popular suggestion is a four-level model adapted from Kirkpatrick's Levels:

1. Click-A reader arrived (current metric)
2. Consume-A reader read the content
3. Understood-A reader understood the content and remembers it
4. Applied-A reader applies the content in another venue.

The following consumer typology according to degree of engagement fits well to Ghuneim's continuum.

- Creators (smallest group)
- Critics
- Collectors
- Couch Potatoes (largest group).

Engagement is a holistic characterisation of a consumer's behaviour, encompassing a host of sub-aspects of behaviour such as loyalty, satisfaction, involvement, Word of Mouth advertising, complaining and more.

Satisfaction: Satisfaction is simply the foundation, and the minimum requirement, for a continuing relationship with customers. Engagement extends beyond mere satisfaction.

Loyalty-Retention: Highly engaged consumers are more loyal. Increasing the engagement of target customers increases the rate of customer retention.

Word of Mouth advertising-advocacy: Highly engaged customers are more likely to engage in free (for the company), credible (for their audience) Word of Mouth advertising. This can drive new customer acquisition and can have viral effects.

Awareness-Effectiveness of communications: When customers are exposed to communication from a company that they are highly engaged with, they tend to actively elaborate on its central idea. This brings about high degrees of central processing and recall.

Filtering: Consumers filter, categorise and rate the market from head to tail, creating multiple, overlapping folksonomies through tagging, reviewing, rating and recommending.

Complaint-behaviour: Highly engaged customers are less likely to complain to other current or potential customers, but will address the company directly instead.

Marketing intelligence: Highly engaged customers can give valuable recommendations for improving quality of offering.

The behavioural outcomes of an engaged consumer is what links CE to profits. From this point of view, "CE is the best measure of current and future performance; an engaged relationship is probably the only guarantee for a return on your organisation's or your clients' objectives."

Simply attaining a high level of customer satisfaction does not seem to guarantee the customer's business. 60% to 80% of customers who defect to a competitor said they were satisfied or very satisfied on the survey just prior to their defection.

The main difference between traditional and customer engagement marketing is marked by these shifts:

- From 'reach or awareness focused' marketing communications and their metrics (GRP or pageview) towards more targeted and customised interactions that prompt the consumer to engage with and act on the content from the outset.

- From absolute distinctions and barriers between an organisation and its target customers towards the participation of consumers in product development, customer service and other aspects of the brand experience.
- From one-way, top-down, formal B2C and B2E interaction to continuing, dialogic, decentralised and personalised communications initiated by either party.

Specific marketing practices involve:

- *Encouraging collaborative filtering*: Google, Amazon, iTunes, Yahoo LAUNCHcast, Netflix, and Rhapsody encourage their consumers to filter, categorise and rate; that is, to market their products. They realise consumers are not only much more adept at creating highly-targeted taxonomies (folksonomies) given that they are more adept at delineating the segment they themselves constitute, but, also, that they are willing to do so for free. And to the extent they cannot, they do it for them. If enough people like the band Groove Armada as well as the band.

The Crystal Method, there may well be a stylistic connection between them, despite the fact that one's categorised as 'downtempo' and the other 'beats and breaks'.

Such strong associations tell Yahoo! to put the two on the same playlist more often, and if the positive ratings continue to come in, that connection is reinforced. (Anderson 2006:101) Amazon does the same with their 'customers who bought this item also bought...' recommendations.

- *Community development*: Helping target customers develop their own communities or create new ones.
- *Community participation*: Consumers do not filter and rate companies and their offerings within company websites only. Being able, with little effort, cost or technical skills, to create their own on-line localities, a large percentage of the filtering and rating takes place in non-sponsored, on-line spaces. Organisations must go and meet their target customers at their favoured on-line hangouts to not only listen but also participate in the dialogue.
- *Help consumers engage with one another*: Give them content (viral podcasting, videocasting, games, v-cards etc) they can use to engage with one another.
- *Solicitation of user generated content*: Engage them directly or indirectly with your product by giving them the means or incentive to create user generated content.
- *Customer self-service*: Help them create a customer service FAQ in wiki or blog format. Create a blog where technical support staff and customers can communicate directly.
- *Product co-development*: Create a blog where product developers and consumers can communicate directly.

Customer Engagement as a Metric

All marketing practices, including Internet Marketing include measuring the effectiveness of various media along the Customer Engagement Cycle, as consumers travel from awareness to Purchase. Often the use of CVP Analysis factors into strategy decisions, including budgets and media placement.

The CE metric is useful for:

- a. *Planning:*
 - Identify where CE-marketing efforts should take place; which of the communities that the target customers participate in are the most engaging?
 - Specify the way in which target customers engage, or want to engage, with the company or offering.
- b. *Measuring Effectiveness:* Measure how successful CE-marketing efforts have been at engaging target customers.

Real-life Marketing

Real-life marketing primarily revolves around the application of a great deal of common-sense; dealing with a limited number of factors, in an environment of imperfect information and limited resources complicated by uncertainty and tight timescales. Use of classical marketing techniques, in these circumstances, is inevitably partial and uneven. Thus, for example, many new products will emerge from irrational processes and the rational development process may be used (if at all) to screen out the worst non-runners. The design of the advertising, and the packaging, will be the output of the creative minds employed; which management will then screen, often by 'gut-reaction', to ensure that it is reasonable.

For most of their time, marketing managers use intuition and experience to analyse and handle the complex, and unique, situations being faced; without easy reference to theory. This will often be 'flying by the seat of the pants', or 'gut-reaction'; where the overall strategy, coupled with the knowledge of the customer which has been absorbed almost by a process of osmosis, will determine the quality of the marketing employed. This, almost instinctive management, is what is sometimes called 'coarse marketing'; to distinguish it from the refined, aesthetically pleasing, form favoured by the theorists.

Customer Engagement

Customer engagement (CE) refers to the engagement of customers with one another, with a company or a brand. The initiative for engagement can be either consumer-or company-led and the medium of engagement can be on or off-line. Unlike marketing terms such as positioning, customer engagement has not been traced to a single source. Customer engagement has been discussed widely on-line; hundreds of pages have been written, published, read and commented upon. Numerous high-profile conferences, seminars and round tables have either had CE as a primary theme or included papers on the topic.

Customer engagement marketing places conversions into a longer term, more strategic context and is premised on the understanding that a simple focus on maximising conversions can, in some circumstances, decrease the likelihood of repeat conversions (Customer engagement interview with Richard Sedley). CE aims at long-term engagement, encouraging customer loyalty and advocacy through word-of-mouth.

On-line customer engagement is qualitatively different from off-line engagement as the nature of the customer's interactions with a brand, company and other customers differ on the internet. Discussion forums or blogs, for example, are spaces where people can communicate and socialise in ways that cannot be replicated by any off-line interactive medium. Customer Engagement marketing efforts that aim to create, stimulate or influence customer behaviour differ from the off-line, one-way, marketing communications that marketers are familiar with. Although customer advocacy, for example, has always been a goal for marketers, the rise of on-line user generated content can take advocacy to another level.

The concept and practice of on-line Customer Engagement enables organisations to respond to the fundamental changes in customer behaviour that the internet has brought about, as well as to the increasing ineffectiveness of the traditional 'interrupt and repeat', broadcast model of advertising. Due to the fragmentation and specialisation of media and audiences, as well as the proliferation of community-and user generated content, businesses are increasingly losing the power to dictate the communications agenda. Simultaneously, lower switching costs, the geographical widening of the market and the vast choice of content, services and products available on-line have weakened customer loyalty.

So today, leveraging customer contributions is an important source of competitive advantage – whether through advertising, user generated product reviews, customer service FAQs, forums where consumers can socialise with one another or contribute to product development. Amazon recently re-branded into 'serving the world's largest engaged on-line community', the World Federation of Advertisers (WFA) has created a 'Blueprint for Consumer-Centric Holistic Measurement' and the Association of National Advertisers (ANA), American Association of Advertising Agencies (AAAA) and the Advertising Research Foundation (ARF), have put together the 'Engagement Steering Committee' to work on the customer engagement metric. Nielsen Media Research, IAG Research and Simmons Research are also all in the process of developing a CE definition and metric.

On-line customer engagement refers to:

1. A social phenomenon enabled by the wide adoption of the internet in the late 1990s and taking off with the technical developments in connection speed (broadband) in the decade that followed. On-line CE is qualitatively different from the engagement of consumers off-line.
2. The behaviour of customers that engage in on-line communities revolving, directly or indirectly, around product categories (cycling, sailing) and other

consumption topics. It details the process that leads to a customer's positive engagement with the company or offering, as well as the behaviours associated with different degrees of customer engagement.

3. Marketing practices that aim to create, stimulate or influence CE behaviour. Although CE-marketing efforts must be consistent both on-line and off-line, the internet is the basis of CE-marketing. (Eisenberg & Eisenberg 2006:72,81)
4. Metrics that measure the effectiveness of the marketing practices which seek to create, stimulate or influence CE behaviour.

Marketing and Sales of Retailing

While originally focused on manufacturing and logistics, TOC has expanded lately into sales management and marketing.

Its role is explicitly acknowledged in the field of sales process engineering. For effective sales management one can apply Drum Buffer Rope to the sales process similar to the way it is applied to operations.

This technique is appropriate when your constraint is in the sales process itself or you just want an effective sales management technique and includes the topics of funnel management and conversion rates.

The TOC Thinking Processes

The Thinking Processes are a set of tools to help managers walk through the steps of initiating and implementing a project. When used in a logical flow, the Thinking Processes help walk through a buy-in process:

1. Gain agreement on the problem.
2. Gain agreement on the direction for a solution.
3. Gain agreement that the solution solves the problem.
4. Agree to overcome any potential negative ramifications.
5. Agree to overcome any obstacles to implementation.

TOC practitioners sometimes refer to these in the negative as working through *layers of resistance* to a change.

Recently, the Current Reality Tree (CRT) and Future Reality Tree (FRT) have been applied to an argumentative academic paper.

Development and Practice

TOC was initiated by Dr. Eliyahu M. Goldratt, who is still the main driving force behind the development and practice of TOC.

There is a network of individuals and small companies loosely coupled as practitioners around the world.

TOC is sometimes referred to as "Constraint Management". TOC is a large body of knowledge with a strong guiding philosophy of growth.

Claimed Suboptimality of Drum-Buffer-Rope

While TOC has been compared favourably to linear programming techniques, D. Trietsch from University of Auckland argues that DBR methodology is inferior to competing methodologies. Linhares, from the Getulio Vargas Foundation, has shown that the TOC approach to establishing an optimal product mix is unlikely to yield optimum results, as it would imply that $P=NP$.

Unacknowledged Debt

Duncan (as cited by Steyn) says that TOC borrows heavily from systems dynamics developed by Forrester in the 1950s and from statistical process control which dates back to World War II. And Noreen Smith and Mackey, in their independent report on TOC, point out that several key concepts in TOC “have been topics in management accounting textbooks for decades.”

People claim Goldratt’s books fail to acknowledge that TOC borrows from more than 40 years of previous Management Science research and practice, particularly from PERT/CPM and JIT. A rebuttal to these criticisms is offered in Goldratt’s “What is the *Theory of Constraints* and How Should it be Implemented?”, and in his audio program, “Beyond The Goal”.

In these, Goldratt discusses the history of disciplinary sciences, compares the strengths and weaknesses of the various disciplines, and acknowledges the sources of information and inspiration for the Thinking Processes and Critical Chain methodologies. Articles published in the now-defunct Journal of *Theory of Constraints* referenced foundational materials.

Goldratt published an article and gave talks with the title “Standing on the Shoulders of Giants” in which he gives credit for many of the core ideas of Theory of Constraints. Goldratt has sought many times to show the correlation between various improvement methods. However, many Goldratt adherents often denigrate other methodologies as inferior to TOC.

Performance Indicator

A Performance Indicator or Key Performance Indicator (KPI) is an industry jargon term for a type of Measure of Performance. KPIs are commonly used by an organization to evaluate its success or the success of a particular activity in which it is engaged. Sometimes success is defined in terms of making progress toward strategic goals, but often, success is simply the repeated achievement of some level of operational goal (zero defects, 10/10 customer satisfaction etc.).

Accordingly, choosing the right KPIs is reliant upon having a good understanding of what is important to the organization. ‘What is important’ often depends on the department measuring the performance-the KPIs useful to a Finance Team will be quite different to the KPIs assigned to the sales force, for example. Because of the need to develop a good understanding of what is important, performance indicator selection is

often closely associated with the use of various techniques to assess the present state of the business, and its key activities. These assessments often lead to the identification of potential improvements; and as a consequence, performance indicators are routinely associated with 'performance improvement' initiatives. A very common method for choosing KPIs is to apply a management framework such as the Balanced Scorecard.

E-Commerce and Retailing

Retailing is expected to change with the rapid development of new online sales and distribution channels that literally can be used from anywhere, anytime – from work, school, a hotel, car or airplane. As an example of the Electronic retailing we can see Amazon which sells books online and Dell computers who sell computers online. These retailers started as small players in a market, which did not trust them. However, they have become major players after taking over some small retailers.

Almost every retailer is now re-evaluating every aspect of its operation from customer service to advertising, merchandising to store design and logistics to order fulfilment and further more reacting to the pressure of retailers, suppliers are assessing technology based solutions to drive down costs and become more efficient producers of goods. Online channels are impacting traditional retail business models with online retailing constraints of time and space disappear.

Electronic Retailing

Today electronic retailing is still far from being a competitive threat to more traditional store retailing but it is becoming increasingly attractive as technology and application improve and retailers gain experience.

Some traditional retail outlets:

1. Shopping malls and departmental stores.
2. Super Centres
3. Factory outlets
4. Warehouses
5. Mail order and catalogue shopping.

Television Retailing

The T.V. retail marketing and programming are divided into segments that are televised live, with a show host who presents the merchandise and conveys information relating to the product including price, quality, features and benefits.

Success of T.V. shopping is the result of effective utilization of electronic media for capturing the power and influence of celebrity and the magic of showmanship and bringing them to bear on a sale.

CD-ROM Based Shopping has the following advantages:

- A CD-ROM catalogue has multimedia capability and can enable a merchant to add sound, photographs and a full motion video to a product presentation.

- It can be interactive enabling the customer to select which category to view.
- Relatively inexpensive to produce and distribute.

It has the following disadvantages:

- Not all possible customers may have a CD-ROM drive or software to see it.
- It is a static device to catalogue a company's products, but the list or style of the products a company makes may vary from time to time.

Electronic Publishing

Publishing is another area where the Internet has impacted. With all web sites having web pages that show some content or other visitors, get hordes of web page based information on almost any topic. In fact, the web has become a very big virtual information library. Taking advantage of this are some web sites like the www.rocketlibrary.com. These web sites encourage people to write for them free and encourage members to get e-books free. E-Books are nothing but electronic forms of paper books, these books are a part of a wave of innovation, these include Palmtop computers, E-Book readers etc. These readers and Palmtops can store thousands of books in a very small size as compared to paper books.

The big publishing houses are taking hue and are now offering some chapters or complete books online. This has also lead to a new trend in which authors are now offering their books online without actually going to publishing houses, eg. Stephen King is offering one chapter of his new book *The Plant* at a dollar. All this has become due to the fact that Internet can handle micro-payments. Like retailing it may appear that books may vanish one day due to these online publishers but it is not so as books are still a favourite pastime of many, but e-books will become a supplement to the paper books this is for sure.

Online publishing can be viewed in two ways:-

- Activity of disseminating information.
- Activity of publishing for sale. In order to realize revenue from their information, publishers package their product as a bundled commodity rather than disjointed information.

There is a fundamental difference between information and commodity. A commodity such as digital book needs to be sold in volume in order to generate revenue, so publishers must keep their material from spreading freely all over the planet. On the other hand, value of information is not lost when it is sold because the contents are not limited by their medium of expression.

Technical Issues:

1. How to improve and enforce copyright protection.
2. How to create compelling content using the available technology.
3. How to conduct financial transactions for individual articles (Micropayments).
4. Publishers have to constantly innovate and challenge present concepts if this form of commerce is to become widely accepted and popular.

The following factors are to be considered for a successful online publishing business:

1. Content
2. Incentive
3. Services
4. Quality
5. Price
6. Speed of delivery
7. Bundling of products
8. Diversity of choice.

The following approaches are to be followed for online publishing:

1. *Online Archive Approach:* (Includes bibliography databases and full text searches). This is new to the web and appeals to corporate publishers and to some extent, commercial publishers (such as academic or journal publishers) who have an existing digital archive that they want to deliver over the web, as well as on paper, CD-ROM or other media.
2. *The new medium approach:* (Including real-time news delivery, personalized news delivery and entertainment). It aims to create new material for the web; to treat the web, as its own medium. This will appeal mostly to commercial publishers, such as magazines, that view web as an alternative, not a replacement for print publication. This approach is more controversial and more difficult to implement, but also more exciting.
3. *The Publishing Intermediation Approach:* This approach (including online directories) exploits new service opportunities for intermediaries. The future is bright for the publishing intermediaries who offer ease of operation speed & details information because there will always be a need for a good directory to help people locate goods, service & products.
4. *The dynamics & Just-in-Time Publishing Approach:* In the approach, content is assembled in real-time and transmitted in the format best suited to the user's faster and perfection. It is just in time publishing i.e. the stories, applets and content flow into the computer just as consumer need and then self-destruct after usage.

3

Retailing and Retail Sale

Retailing is an activity word and denotes selling at retail. Among authorities who have given the most serious study to the question, the consensus is that the only clear, sound criterion for distinguishing retailing from other business activity is the status or motive of the purchaser. Thus, a retail sale is one in which the buyer is an ultimate consumer, as opposed to a business or institutional purchaser, and the motive is personal or family satisfaction stemming from the final consumption of the article being purchased, in contrast with purchases for resale or for business, industrial, or institutional use.

It is, however, impractical to obtain data pertaining to all such transactions. Insurmountable difficulties would be encountered in distinguishing retail sales from sales to business firms when a business user of a commodity makes a purchase of a small quantity of an item in a regular retail store and at the same price as paid by the ultimate consumer; consequently, such sales to business users are usually regarded as retail in character.

CONSUMER SERVICE ESTABLISHMENTS

Any broad examination of the retailing structure must include some consideration of the hundreds of thousands of service establishments that market primarily to the ultimate consumer. While such establishments are not included in the Retail Trade portion of the Census of Business, they operate on the same plane of distribution and are similar to retail stores in most other respects; moreover, service establishments that market to the general consuming public are recognized as being of the same essence as

retail stores, for purposes of administering the Fair Labour Standards Act and have been so judged by federal courts.

The sale of services produced upon the premises is the predominant characteristic of so-called "service establishments." Many, however, sell tangible commodities as well, either as part of the process of rendering a service (as supplies or parts used in shoe or automotive repair) or on a merchandising basis (as hair preparations sold in barber shops or bowling equipment and supplies sold in bowling places).

The magnitude of the structure of consumer or "retail" service establishments is suggested by the data. Such establishments, for the most part, can be classified according to the various bases previously outlined for retail establishments. In terms of ownership or location, for example, the same classifications used for retail stores are appropriate for consumer service establishments. By line or kind of business, however, most partake of the attributes of specialty stores, as opposed to single-line or general merchandise establishments, due to the lack of variety of offerings at a given place of business.

The foregoing discussion of classifications of retail stores has revealed many varied characteristics of our retailing structure. It has not been sufficiently detailed, however, to present all significant institutional developments. Consequently, department stores, chain stores and voluntary chains, supermarkets, planned shopping centers, discount houses, mail order companies, house-to-house selling organizations, and vending machine operations.

ADAPTIVE BEHAVIOUR IN RETAILING

Early in the evolution of American retailing was the fur trading post at which pioneer trappers traded furs for manufactured goods. Later the Yankee peddler brought cutlery and tinware from New England and other producing centers to the Ohio Valley and even on to the West as settlers demanded goods which they themselves could not produce. As population increased, the need for the trading post and the peddler diminished, since the general store could take their place and render more complete service. It performed many functions which the more simple institutions could not render and which became necessary as the standard of living became somewhat higher.

With further increases in the size of cities and an enhanced flow of manufactured goods, single-line stores came into being and began to dominate the retail trade structure. Specialization in merchandise continued in the largest market centers, with the advent of specialty stores.

Many single-line and specialty stores that had established a reputation by about the time of the 1860's added other merchandise lines, thus enlarging the scale of their business by the operation of a number of separate shops under the same ownership in the same establishment. In this manner department stores were born, but this was not possible until urban areas had grown in size to permit the functioning of rather large establishments and until developments in urban transportation made it relatively convenient for consumers to visit downtown areas with some frequency.

Almost paralleling the development of the department store was the mail order house which was evolved to bring large selections of merchandise to consumers in sparsely populated areas that could not support a variety of retailing establishments. Spectacular growth in mail order sales took place after 1913, with the inauguration of rural free delivery service and parcel post.

As factory production increased, a number of astute and far-seeing merchants conceived the idea of applying standard operating procedures to multiunit organizations. The Great Atlantic & Pacific Tea Company was founded in 1858 and the F. W. Woolworth Company in 1880. A number of other leading chains were also formed in the nineteenth century, but their greatest expansion came with increasing urbanization which proceeded at a fast pace during the 1920's. Through the consolidation of buying strength in a large central organization and by standardized procedures for limited-service retailing, such organizations won public favour by satisfying price-conscious consumers whose wants had apparently grown faster than their purchasing power.

Corporate chain developments of the 1920's had an adverse effect upon independents and their wholesaler suppliers. These groups adapted their operations to changing conditions, partly through the defensive mechanism of the voluntary chain which was conceived to bring similar kinds of purchasing and operating economies to the independent's sphere of activity.

The supermarket, a development of the 1930's, reflects the growing importance of the automobile and also the more general recognition that consumers are willing to assume responsibility for the performance of some part of the marketing functions, provided that self-service activities are accompanied by price advantages and an attractive atmosphere for shopping.

Recent Developments

In the post- World War II era, institutional changes have taken a variety of forms. The branch store of the large city department store has arisen in response to the movement of population to the suburbs and to communities surrounding the cities. The modern type of completely planned or "controlled" drive-in shopping centers reflects also the impact of the decentralization of urban population, increased use of the automobile, and downtown traffic congestion and parking problems associated therewith.

In the early 1950's, traditional concepts regarding the gross margin of profit necessary to cover the normal costs of merchandising many types of items were shattered by "discount houses."

Such stores offered nationally advertised merchandise under conditions of limited store service at substantial discounts from prevailing prices in regular outlets. Their success may be attributed to their ability to make a large volume of sales at a relatively low gross profit per unit, and cover all necessary costs from the large volume obtainable in a modern mass market dominated by middle- income classes of consumers with unparalleled levels of purchasing power.

The growth of such organizations forced department stores and other retailers to re-evaluate their performance, and to bring about changes in operating methods, pricing policy, and promotional strategy so that they could compete effectively.

Conflicting trends have been observable with respect to the extent of the line of merchandise handled by stores. On the one hand, there is a tendency toward greater variety, especially in newer shopping centers.

Grocery stores of the supermarket type have become strongly entrenched in merchandising nonfood lines including drugs, toilet goods, paper products, books and magazines, and many items of housewares. Variety stores have expanded price ranges and have increased their relative emphasis upon apparel and other shopping goods lines.

Many new drugstores and hardware stores, and even gasoline service stations, carry much more diversified lines than historically associated with these lines of trade. Increased variety has resulted from the desire to add items with a larger gross profit margin and to increase sales volume per store, thus reducing certain overhead expenses.

It also reflects a stronger consumer orientation in retailing, as stores have departed from tradition-bound emphasis upon generic classifications of products and have sought to pull together in planned merchandise offerings a greater variety of items which consumers may seek to purchase in combination or from a given source of supply, based on their attitudes and shopping preferences. On the other hand, higher levels of buying income in more densely populated market areas have made possible increasing degrees of specialization.

While some drug chains have opened larger and more diversified establishments, many independents have reverted to the older concept of specialized ethical drugstores, without soda-fountains and miscellaneous merchandise departments.

Many shopping areas now include highly specialized establishments like drapery fabric stores, sewing machine stores, toy stores, greeting card shops, floor covering establishments, and even automobile laundries.

Effective specialization has often taken the form of an appeal to some specific segment of the consumer market, as opposed to mere fractionizing of a line of commodities. Common examples include hobby shops, apparel stores for tall girls, and children's stores.

RETAIL ESTABLISHMENT

The composite of its transactions gives an establishment its principal character. A retail establishment is, therefore, a single or separate place of business, principally engaged in the performance of marketing functions, wherein or out of which sales are made primarily to ultimate consumers. ¹ In borderline cases such as are encountered in attempts to classify split-function establishments (i.e., those that sell partly at retail and partly at wholesale), the classification is usually effected on the basis of the rule of more than 50 per cent of the dollar volume of business.

Thus an establishment is considered as retail if more than one-half of its dollar volume of business consists of sales to ultimate consumers.

Retail Store

Most retail establishments are stores or places of business open to and frequented by the general public, and in which sales are made primarily to ultimate consumers, usually in small quantities, from merchandise inventories stored and displayed on the premises.

Some retail establishments are operated by nonstore retailing organizations. The major types in this category consist of mail order establishments, offices that serve as headquarters for house-to-house selling companies, and facilities from which vending machine operators conduct their businesses.

Retailer

Any person or business firm can own and operate a retail store or a retail establishment. The very great majority, however, are operated by retailers. Retailers are merchant middlemen who are engaged primarily in selling to ultimate consumers. Unlike manufacturers or farmers who may operate retail establishments, retailers specialize in retailing activities. They stand in the channel of distribution between manufacturers, farmers, or wholesale middlemen and ultimate consumers; they buy and assemble stocks of merchandise which they own and hold at their own risk and attempt to resell them at a profit.

Differences in Concepts. It is evident that distinct conceptions Underlie proper use of the terms retailing, retail establishment, retail store, and retailer. Retailing, the broadest conception, is the activity of selling to consumers for personal or household use. While most of this activity takes place through stores, it may be engaged in by anyone—for example, a farmer selling vegetables door to door, a wholesaler selling to a personal acquaintance, or a manufacturer selling direct to consumers by mail. Such retailing activities are not included within the scope of operations of retail establishments, which constitutes the basis for all Census of Business data presented in this part of the text.

On the other hand, many retail stores make some sales which are essentially wholesale because the goods are purchased by businesses for purposes of resale or for business use. Most retail stores are operated by retailers, merchant middlemen selling primarily to consumers, but this is not universal, for some are owned and operated by manufacturers, consumers, governmental agencies, and others.

Economic Basis of Retailing

The role of retailing in our economic life is related to the values created in the retailing process and the marketing functions performed by retailing organizations as they produce such values.

Productive Character of Retailing

Retailing organizations add values to commodities principally through the creation of place, time, and possession utilities and, to a limited extent, by the creation of form utility. Place utility is added by bringing goods from wholesale markets to conveniently accessible stores and, in some cases, by providing delivery service to consumers. Time utility is provided by anticipating consumer wants and storing goods from time of receipt until time of consumer purchase.

Retailers make a substantial contribution to possession utility by transferring the ownership from business organizations that have no use for goods other than trading, to ultimate consumers for whom value in use is high. Many kinds of retail stores engage in form utility production as is illustrated by food preparation in eating places, meat preparation and packaging in food stores, and the operation of drapery and clothing alteration workrooms in department stores. For the most part, however, the creation of form utility by retailers is incidental rather than the principal attribute of the organization.

Marketing Functions Performed by Retailers

In the process of creating economic values, most retailers perform all basic marketing functions, at least to some extent.

Buying is an important function of merchants since they serve as purchasing agents and assemblers for their customers. This may be relatively simple or exceedingly complex. Some small appliance stores without repair service departments may have fewer than twenty different merchandise items in stock, and all of these may be obtained from one or two local wholesale distributors.

In a modern supermarket there may be as many as 4,000 to 6,000 or more different items purchased or assembled from several hundred manufacturers and wholesale middlemen. At the extreme, a few large department stores carry more than 1 million different items in a wide variety of departments, and their buyers assemble merchandise from thousands of wholesale sources in almost all trade classifications.

Selling is the basic reason for the operation of stores. In stores that sell merchandise of high unit value and low replacement frequency, major reliance is often placed on personal selling so that the product line can be interpreted to the consumer and selling can be adapted to circumstances that vary appreciably among individuals.

Almost, all classes of stores engage in some form of advertising. Those that sell predominantly convenience or standardized goods tend to rely heavily upon nonpersonal selling effort, making sales from visual displays that permit self-selection by consumers.

The significance of the transportation function varies considerably. Small retailers in convenience goods lines tend to rely upon wholesalers for long-distance spatial movements from farms or factories to the local market and from the wholesaler to the retail store.

Large retailers, especially chain and department store organizations, often arrange for transportation of merchandise from distant sources to their local warehousing facilities

and operate their own transportation equipment for moving goods from warehouses to individual stores or departments. Consumers have tended to assume the transportation function in store-to-household movements of merchandise, as use of automobiles has increased and retail trade has become more decentralized within metropolitan areas.

Delivery service remains of great significance, however, for stores that serve a large trading area or sell heavy or bulky merchandise.

The historical significance of the storage function is suggested by the designation retails "store."

In an early era, when transportation and communication services were slow and uncertain, the major function of retailers was that of maintaining a storehouse of merchandise, but modern developments have placed more emphasis upon the retailer's role as a distributor or seller. Storage remains, however, a key function and its importance varies in relation to stock turnover which may be more than 50 times per year for meat markets but as low as once per year for some jewelry stores. The significance of storage varies also with special facilities that often must be provided.

For example, while food-store turnover is high, the investment for all of the various types of refrigeration equipment required for a modern supermarket may amount to more than \$50,000.

Many large retailers are concerned with standardization in that they set product specifications for items manufactured or packaged under their own brand names. Food stores often prepackage meat and fresh fruits and vegetables in standard units of sale. Some retailers confine their financing activities to providing an investment in fixtures, equipment, and inventory; but this is often supplemented by credit arrangements with wholesalers, manufacturers, and financial institutions.

Many retailers finance purchases by ultimate consumers through charge account and instalment sale credit. For some retailers like department stores that sell on credit, this function has assumed tremendous significance, so that much more may be invested in receivables than in merchandise inventories. Since retailers are merchant middlemen, they assume the risk associated with ownership of various assets including receivables and inventories.

This is especially hazardous in fashion merchandising where the wants of consumers change seasonally and within seasons. Every retailer must analyse the needs of consumers by collecting and interpreting marketing information if his merchandise offerings are to be in harmony with their buying wants and the goods are not to stagnate upon his shelves.

The degree to which the total performance of any given marketing function is assumed by the retailer, is divided among other marketing institutions, or is assumed by consumers through self-performance of marketing activities, varies from time to time and with different kinds of business. The costs incurred and the values contributed by retailers thus shift from time to time, as some functions increase in importance and others decrease.

Total Retail Trade Structure

Some appreciation of the magnitude of the total retail trade structure and changes therein may be gained from a consideration of the dollar and physical volume of sales of all retail establishments, as related to trends in population growth, disposable income, and number of stores in operation.

Volume of Sales

Over some three decades covered by the Census of Business, total sales of retail establishments fluctuated greatly with business conditions. In current dollars there was a decline from 1929 to 1939-years which, respectively, are regarded as highly prosperous and reasonably normal for the pre-World War II period. In more recent times, however, volume increased to such extent that 1958 sales in current dollars were 4.2 times the 1929 level.

Much of this variation is due to changing price levels. After adjustment by an appropriate price index to calculate physical volume in dollars of constant value, it is apparent that sales actually increased between 1929 and 1939. The long-run increase was much more moderate than indicated by data in current dollars. Physical volume in 1958 was 2.3 times that of 1929. This is, nevertheless, an increase that would have been regarded staggering in any preceding comparable period.

In recent years the trend has been for an increase in the scale of store operations. Physical volume of sales per establishment in 1958 was more than twice that of the 1939 level. Such a development has resulted from enhanced efficiency in utilization of personnel and capital resources in retailing as a whole and in certain kinds of business in particular.

CLASSIFICATION OF RETAIL STORES

The same term, retail store, is used to refer to the vast R. H. Macy and Company department store in New York City and to the smallest cigar and newsstand operated in the lobby of a public building. Such a varied structure of retail institutions limits the extent to which it is possible to generalize about the totality. For proper understanding and evaluation of this structure and changes therein, it is essential to break it down into significant components through meaningful classifications, each of which may be studied by itself and in comparison with other segments with which it comes into competitive conflict or which may be deemed as socially or economically desirable alternatives.

It is possible to classify retail stores in an almost unlimited variety of ways, as illustrated by the outline of various alternatives. All of these classes are meaningful for some purposes, but it would be an endless and repetitious task to discuss all of them in detail. A limited number of classification bases which have been selected with care to reveal the more significant characteristics of the retailing structure and to point up the major competitive, social, and economic problems and implications resulting therefrom.

Ownership Classes

Analysis of retail stores in terms of ownership classes has long been of great interest because this approach involves numerous competitive and other implications. Such a breakdown reveals what groups have an entrepreneurial interest in retailing and which tend to dominate the institutional structure. Certain legislative and tax questions are involved. Certain regulatory and tax legislation tends to preserve or fortify the status of some ownership classes while placing handicaps or limitations on others. Type of ownership often reflects differences in operation, especially with respect to financial structure, method of procuring merchandise, and the degree to which retail store operations are integrated with the performance of wholesaling and manufacturing functions.

Single-Unit Independent Stores

Over a long period of years, the independent retailer who operates a single store has dominated the retailing structure. The importance of this ownership class is indicated by the fact that such stores have comprised 86 to 90 per cent of total retail establishments enumerated in the various Censuses of Business from 1929 to 1958.

Even though "typical" independent merchants operate smaller stores than their chain competitors, they dominate in total sales volume. Over the same period, sales of single-unit independents have amounted to about 66 to 70 per cent of sales of all retail establishments. With only limited exceptions, single-unit independents are relatively small, family-type enterprises that operate solely or almost altogether on the retail level. In view of the visual prominence of chain retailers, as reflected by conspicuousness in shopping centers and advertising media, the persistence of the independent is indeed remarkable.

Chains or Multiunit Retailers

The major competitor of the independent is the chain. Multiunit or chain stores comprise about 10 per cent of all retail establishments counted in the Census of Business. Prior to World War II, the proportion of chain retail stores was somewhat higher, the decline being accounted for by the operation of larger scale establishments. Relatively, sales volume of chain organizations has been fairly stable in the long run, amounting to about 30 to 34 per cent of total retail trade, with some increase in competitive position in more recent years. About one-third of the total business of chains is done by fairly small multiunit organizations (ten stores or less) whose sympathies and outlook are in most respects more closely akin to the independent than to the large chain system. All but a small part of multiunit stores are owned by retailers, as opposed to manufacturers and other ownership classes.

Manufacturer-Owned Stores

In certain lines of trade, independent and chain retailers compete with manufacturers who have integrated their operations forward in the distribution channel by the use of

their own retail outlets. Several reasons account for this practice. First, some manufacturers have opened stores in the belief that complete control over the entire marketing channel constitutes their most profitable alternative. This motive accounts for the presence of various well-known, manufacturer-owned chains in the men's clothing, shoe, candy, and millinery lines of trade. Second, some manufacturer-owned stores are used to supplement other forms of distribution.

Three of the best-known tire manufacturers operate company-owned retail outlets, but in no case do these constitute the company's sole outlets for tires and related automotive and household products. Such locations are usually established only in communities where there is an expectation of an unusually large volume of sales or where suitable independent outlets are not available.

Third, a limited number of manufacturer-owned stores serve as experimental stations for testing product innovations or for developing merchandising methods or techniques that may be adapted for use by regular retailers.

Finally, some manufacturers utilize their own retail establishments at factory locations in order to dispose of off-selected, rejected, or "stale" merchandise that is not salable through regular channels.

Expansion of retailing activities by manufacturers is limited by two major principles. First, manufacturer-owned stores are feasible only for well-financed companies that produce a relatively full line of related products, or products which are of relatively high unit value. In the absence of this condition, adequate sales volume cannot be obtained in a single retail establishment. As a corollary of this principle it has become apparent that successful manufacturer-owned stores usually function as merchant middlemen to some extent. Leading stores owned by men's clothing and tire manufacturers sell many items which are purchased from outside sources. Such goods are bought to round out the merchandise line, thus increasing sales volume per establishment and enhancing the efficiency of operation.

Second, many manufacturers who might prefer to develop some retail outlets are restrained by independent wholesalers and retailers, who object to such ventures as introducing unfair methods of competition. On certain occasions, the animosity of retailers has been so vociferous that attempts have been made to prohibit by legislation the operation of retail stores by manufacturers. Integration in marketing channels is now widely accepted, so that such public restrictions appear highly improbable. Fear of incurring "ill will" of regular outlets remains sufficiently strong, however, that it deters many manufacturers from engaging in retailing.

It is probable that the total of manufacturers' sales distributed through their owned retail stores does not exceed 2 per cent of the total of all manufacturers' sales distributed through all channels. To the extent that manufacturers make supplementary purchases from other sources, their retailing activities differ little from those of other multiunit retailers, except with respect to the major merchandise line of their own manufacture.

Farmer-Owned Stores

Another ownership class consists of farmers, some of whom maintain roadside establishments or leased facilities in public retail markets. The character of such establishments often results in a misleading impression that they involve, principally or entirely, direct farmer-to-consumer marketing. It is practically impossible for farmers to operate a regular retail establishment on a continuing basis solely by the sale of their own produce. When an investment is made in physical facilities or when market space is leased, it is almost always necessary for the farmer to buy many items from other farmers and from regular wholesale sources.

Experience has revealed that the typical farmer cannot afford to devote time and energy to retailing and expect the same returns that are afforded to him by concentrating on agricultural production and marketing his output through regular wholesale trade channels. Genuine direct retailing of farm produce is confined largely to seasonal and sporadic efforts. There is, for example, a considerable volume of roadside marketing during the home canning season for fresh farm produce. There is also evidence that farmers are most likely to resort to retailing as a desperation measure when prices are low or declining rapidly. So long as wholesale prices are adequate to cover the costs of agricultural production and afford the farmer a fair living, he is not likely to engage in the complex of activities necessary for satisfactory retailing.

Government-Owned Stores

In a socialist commonwealth the government would own and operate business organizations for the benefit of the state. In the United States, however, the organization of practically all productive facilities reflects the democratic ideal of private competitive enterprise. Nevertheless, there are exceptional circumstances in which governmental units engage in retailing. Certain state governments maintain liquor stores: While such stores constitute an important source of government income, that cannot be considered as the motivating factor.

The state has the alternative of levying excise taxes of any reasonable amount and could probably obtain the same or greater revenue on alcoholic beverages distributed through orthodox retail channels. State operation must then be viewed primarily as a device to effect social control of the distribution of alcoholic beverages.

Another form of government stores consists of commissaries, post exchanges, and similar establishments often used in connection with military installations, for the purpose of providing a special type of "fringe benefit" to employees on military bases. It is estimated that all classes of government operated stores account for only about 1 per cent of total retail sales volume.

Consumer Cooperatives

A consumer cooperative is a marketing organization owned and operated for the mutual benefit of consumerowners, who have voluntarily associated themselves for the

purpose. Such an organization is an attempt to substitute joint or cooperative efforts of consumers for those of private enterprise. Properly speaking, consumer cooperation does not embrace cooperative dealings in industrial or business goods, such as farm supplies or equipment.

There are, however, many farm cooperative associations that also handle consumer goods, and thus serve the farmers' interests as individual consumers, although such organizations are primarily concerned with the advancement of the interest of farmers as owners and operators of profit-making agricultural enterprises.

The modern consumer cooperative movement dates from 1844 when a group of poverty-stricken English weavers opened a crude store in Rochdale. Out of their experience a set of basic principles was developed and these have governed most consumer cooperatives throughout the world. These so-called "Rochdale principles" highlight the character of consumer cooperation and distinguish it from retailing as carried on by private business organizations. In brief, they are as follows:

- Membership is open to all adult persons, without regard to political or religious affiliations or social status;
- Democratic control is achieved by providing all members with one vote, regardless of amount of capital stock owned;
- Limited interest is paid on capital investment in accordance with the view that capital is to be regarded as the servant, not the master, of the organization;
- Sales are made at prevailing market prices to accumulate a surplus to be distributed in lump sums to patrons;
- Services are limited, as exemplified by the policy of selling only for cash;
- Any surplus accruing from the spread between prevailing market prices and cost of merchandise and store operation is paid to members in proportion to their volume of purchases as patronage dividends;
- Consumer cooperatives are supposed to adhere to a policy of religious and political neutrality; and
- Certain percentages of earnings are usually set aside for purposes of education in order that alleged benefits and ideals can be spread among nonmembers, thus expanding the scope of operations and influence.

While such "principles" have been widely observed, some cooperative organizations have found it expedient to depart from them. For example, some have tried to attract a wider membership by selling at unusually low prices, offering some types of credit service, and others have worked actively for political candidates who favour consumer cooperation and by stimulating legislation favorable to the cooperative programme. In certain European countries, consumer cooperation has achieved notable success, especially in England, Scotland, Wales, Sweden, Norway, Finland, Denmark, Switzerland, and Holland.

By way of contrast, in the United States strictly consumer cooperative establishments (i.e., excluding the operations of those primarily engaged in selling feed, farm supplies,

and petroleum products for farm business use) account for only a small fraction of 1 per cent of total retail sales volume.

Considerable controversy about consumer cooperatives has resulted from the fact that "earnings" or "savings" distributed as patronage refunds are not treated as profits for purposes of income taxation. This, it is often alleged, gives the cooperative an unfair advantage compared to private enterprises that pay income taxes on all profits. Consumer cooperatives, on the other hand, have obtained judicial support for the view that patronage dividends are a refund of purchase price rather than profits, and they point out that they comply with income tax laws, the same as any other business, on profits paid to shareholders as a return on capital investment and on all other profits not distributed on the basis of patronage. In any event, the tax advantage is a relatively minor one which gives this type of organization little or no pricing advantage, even though it may operate to increase the amount of annual patronage refund accumulated on a member's total purchases.

In the light of more than a century of experience with consumer cooperation, some explanation must be offered for the negligible part of this ownership group in the United States. For one thing, cooperatives in Europe achieved notable success in a competitive environment characterized by small, inefficient, tradition-bound, retail shops.

In the United States, their success has been limited because consumers have had the opportunity to patronize chains and other limited-service retailers who have succeeded in attaining all types of economies sought by cooperatives.

Second, in most European countries, the population has been more homogeneous in terms of heritage, social status, and religious affiliations, which has been conducive to cooperative effort.

In our country, the population of urban areas usually reflects a variety of occupations, social interests, and cultural values. This has made it difficult to assemble large groups of people who are favorably inclined to the cooperative movement. Third, under economic conditions favorable for the masses, the American consumer has had a higher level of real income, has felt much less need to "pinch pennies," and has preferred to shop in a wide variety of stores which afford him an exceedingly wide range of choice of novel and unusual merchandise as well as basic necessities.

Indeed, the consumer cooperatives which have achieved most notable success in this country have tended to be the ones which have sought to serve their owner-patrons by having better or superior stores rather than by emphasis upon savings or economy alone.

When due consideration is given to the efficiency of our mass distribution retailing organizations and other circumstances that have limited cooperative development, it appears certain that consumer cooperatives will not become a significant competitive factor in our retail trade structure. Consumer cooperatives are, nevertheless, of considerable and continuing marketing interest due to various factors, including the

following: distinctive ownership arrangement; idealistic objectives including operation for the economic benefit of patrons; rather substantial concentration in one line of trade, food stores; and conspicuous success in some localities.

Extent and Nature of the Line of Goods Handled

Classification of stores on the basis of the extent and nature of the line of goods handled is useful because size, location, and, to a degree, merchandising methods are greatly affected by this factor. Three broad classes of stores are discernible:

- General merchandise stores,
- Single-line stores, and
- Specialty stores.

In distinguishing stores on this basis, the terms "variety" and "assortment" may be employed to advantage. As used in retailing variety implies generically different kinds of goods. Variety may be present in a related line of merchandise such as foods and is indicated by such diverse products as bread, canned tomatoes, frozen peas, cheese, and so on. It may also exist without any natural relationship among items, as in the variety store where one may find candy, toilet articles, stationery, toys, hardware, apparel, and so on. Assortment, on the other hand, relates to the range of choice among substitutable characteristics of a given type of article. A millinery store or department may be said to have broad or extensive assortments if a woman can choose the most suitable hat for a given purpose or use from many styles, colours, materials, and prices of hats.

General Merchandise Stores

General merchandise stores handles such an extensive variety of goods that they cannot be classified into some kind of business grouping designated by the name of a principal type of commodity. Stores within this broad group are of several distinct types, including general stores, department stores, dry goods stores, and variety stores.

General stores are found chiefly in areas of scattered and isolated population, often as the only retail outlet in a small town or at some rural location. Such stores are usually small and non departmentized. Among the principal commodities commonly sold are groceries, hardware, dry goods, notions, toilet goods, staple lines of apparel and furnishings. A gasoline pump and very limited automobile service facilities are often a part of such businesses. The general, store was once a very significant type of outlet but has greatly declined in importance due to population growth, urbanization, and increases in automobile use and highway improvements which have made larger shopping districts more accessible to rural residents.

Department stores are usually large urban retail institutions that handle a wide variety of lines, such as women's ready-to-wear and accessories, men's and boys' clothing, piece goods, small wares, and home furnishings. Merchandise is segregated into separate departments for purposes of promotion, service, accounting, and control. Because department stores normally serve a large trading area, they are usually located in

downtown areas or in major secondary shopping districts of large cities. The distinguishing feature of department stores is variety of shopping goods offerings, organized departmentally. When the department store is operated on a sufficiently large scale, individual departments are as large as or larger than ordinary specialty stores and are characterized by breadth of assortment as well as variety. Dry goods stores are similar to department stores in terms of merchandise handled, although home furnishings are often absent. They are classified separately because they do not meet certain department store classification criteria, including sale of all required merchandise lines, large scale operation, or departmental organization.

As the name implies, variety stores handle many different kinds of merchandise, mostly of low unit value. They were the first important type of institution to emphasize self-service methods of retailing. Operations are characterized by giving merchandise maximum open display, rather than by providing active personal selling assistance by salespeople. The role of the salesperson is that of maintaining the stock in order and handling the transaction for the consumer. These stores are still popularly known by their historical connotation, "5 and 10 cent stores," even though this term is no longer descriptive due to extension of price lines and greater emphasis on shopping goods. Originally, they were essentially convenience goods stores. They are generally situated at points of heavy concentrations of consumer traffic, and most of them are units of chain organizations.

Single-Line Stores

An extensive variety of one line of merchandise that is related in sale or use is the basis for classification as a single-line store. Such stores are usually designated in terms of the principal line of goods, such as groceries, drugs, hardware, men's clothing, furniture, or jewelry. In a men's clothing store, for example, a consumer expects to find all kinds of men's apparel including hosiery, shoes, underwear, shirts, neckware, suits, coats, and hats. Large assortments of any one of these kinds of merchandise are found only in fairly large clothing stores. Thus it may be said that the basis for the single-line store is related variety; wide assortments are dependent upon a scale of operation that permits an extensive inventory investment. When single-line stores operate on a very large scale, they are usually departmentized. This is especially true in the supermarket and chain drugstore fields, as well as in the furniture and apparel trades. Stores handling men's, women's, or family apparel and organized on a departmental basis are commonly known as "departmentized specialty stores."

This gives rise to some confusion because the word "specialty" in this case is used to distinguish such stores from regular department stores rather than to denote the type of limited variety characterizing small specialty stores which are described in the following section. Historically, single-line stores tended to replace general stores as small communities grew in size. While their variety of merchandise is ordinarily much more limited than in stores of the general merchandise group, it is much more extensive than in the case of specialty stores.

Specialty Stores

This term refers to stores which handle an extremely limited variety of goods. In some trades, practically all establishments are of this highly specialized character. Examples include automobile dealers, gasoline service stations, florists, and book stores. In other instances the specialty store handles only part of a line of goods customarily sold by single-line stores. Single-line grocery stores compete with specialty stores such as baked-goods establishments, dairy stores, and meat markets. In the clothing field single-line stores divide the market with specialty stores such as shoe stores, millinery shops, lingerie establishments, maternity dress shops, and furriers. Because specialty stores confine their offerings to a narrow range of items, they have more extensive assortments than single-line stores of comparable size.

A men's shoe store, for example, is a highly specialized operation in which the consumer expects to find a wide range of styles, colours, and prices in his size. The operation of a specialty store should not be confused with the sale of specialty goods. The term "specialty" when used to designate a store implies limited variety of goods. These may be convenience goods as illustrated by cigar stands, they may be shopping goods such as apparel items, or they may be specialty goods such as automobiles, vacuum cleaners, or collectors' items as, for example, rare postage stamps.

Specialty stores often have relatively simple buying problems in that most or all merchandise is drawn from one or few suppliers in the same trade. They have a competitive advantage over single-line stores in terms of assortments, but have a more limited opportunity for related, item selling. Specialty stores, for the most part, operate in well-established shopping districts.

Kind of Business Groupings

Single-line and specialty stores are not separately classified in Census tabulations, and it would probably be impossible to provide quantitative information about each of these two classes. For purposes of business use it is more desirable to classify both single-line and specialty stores within kind-of-business classifications. With the exception of the general merchandise group, all stores included in this table may be considered as single line or specialty. It is easy to distinguish certain single-line operations, such as grocery stores, from specialty establishments like meat markets or candy stores. In other cases, such distinctions are not possible. One women's dress shop may handle a large variety of apparel, and be classified as a women's clothing store; another may specialize to the extent of selling only cotton dresses within a narrow price range, but still be grouped in the same classification.

Classification by Location

Classification of stores according to location indicates the extent to which retail trade is concentrated or dispersed, and it is indicative of consumer buying habits. Stores are found in:

- Rural buying centers;
- Small cities or towns, in their downtown areas or in neighbourhood locations; and
- Urban areas in a wide variety of specific types of locations.

The distribution of retail establishments and sales volume corresponds rather closely with the distribution of population and disposable personal income among the largest metropolitan areas, other metropolitan areas, and the remainder of the country.

Somewhat fewer establishments are to be found in the largest metropolitan areas than would be expected on the basis of population and income, due to the location of many stores of unusually large size in such areas. Sales volume is greater in the largest areas than would be expected on the basis of population, because of a tendency of major shopping goods stores to draw trade beyond the boundaries of the metropolitan area; it is less, however, than would be expected on the basis of income distribution, owing to a tendency for families of unusually high incomes (and with relatively low propensity to consume) to be concentrated in the largest population areas.

The local character of retailing is well illustrated by the fact that outside of the 189 major metropolitan areas are to be found 43.0 per cent of the retail establishments, 32.7 per cent of the sales volume, 38.2 per cent of the population, and 30.3 per cent of the disposable personal income. Retail trade has tended to become more localized than was formerly the case. Since 1929 the proportion of the total population residing in metropolitan areas has increased substantially, but the proportion of retail sales accounted for by such areas has remained constant.

As a result, per capita retail sales in nonmetropolitan areas have risen faster than in metropolitan areas, and nonmetropolitan areas have become relatively more important as trade centers than would be expected on the basis of their population importance. Among the plausible explanations for this situation are the following conditions:

- Changes in food purchasing patterns, reflecting increasing purchases of food store products for home use by farm families, and diminishing importance of home production for home use;
- Growing importance of brands as standards of value and increasing widespread distribution of most branded items of merchandise;
- Changes in consumer tastes and shopping habits which have tended to increase the number of items purchased on a local, or convenience, basis; and
- General decline of the attractiveness of shopping in the central retail districts of major cities.

The local nature of retailing is also demonstrated by the dispersion of sales volume within metropolitan areas. Between 1954 and 1959 the proportion of retail trade transacted within the main city of the ten largest metropolitan areas declined from 61.0 to 54.8 per cent while the proportion of total sales in the remainder of such areas (consisting primarily of suburban communities which accounted for most of the population growth of the period) increased from 39.0 to 45.2 percent..

MAIL ORDER AND CATALOG RETAILING

The number of firms operating exclusively on a mail order basis is relatively small, but this method of operation is sufficiently widespread to justify detailed consideration. Moreover, it represents a distinctive way of doing business and illustrates the effect of changing conditions upon retailing institutions.

Types of Organizations

Four distinct types of organizations sell by mail. The most important are the general merchandise mail order houses which sell a great variety of consumer and farmer goods, carrying more items than are sold by any department store. Such companies are primarily retail institutions. They purchase the majority of their goods from manufacturers, although the two biggest companies in this field Sears, Roebuck & Company and Montgomery Ward & Company both control the manufacturing of many private brand items.

A second type consists of specialty retailers. Kinds of business in which specialty mail order operations by retailers is of some significance include books, home furnishings, apparel and apparel accessories, food, and automotive accessories.

Manufacturers who sell by mail constitute the third type of mail order institution. Some such producers have found that their particular products can be sold directly to the consumer by mail without the use of wholesalers or retailers. The fourth type of mail order retailing is carried on by certain department and other large stores which accept orders by mail. Primarily confined to orders for merchandise currently advertised, this type of selling is a supplement to the receipt of orders over the telephone.

History of Mail Order Retailing

Mail order selling arose in a number of ways. Montgomery Ward & Company was founded in 1872 by a former clerk in Chicago who had also worked as a traveling salesman. The Patrons of Husbandry (the Grange) had established a number of cooperative stores and needed a wholesale connection. Mr. Ward saw the opportunity and started the business which still bears his name. The Grange stores were not generally successful so Mr. Ward's business was expanded into a mail order house to take advantage of good will among former members of the cooperative stores.

Sears, Roebuck & Company, the largest mail order firm, grew out of the efforts of Mr. Sears, a small-town station agent in Minnesota, to sell watches which had been shipped to his station on approval but rejected. The success of this venture led to a watch and jewelry mail order house in Minneapolis which was later moved to Chicago. The present large scale enterprise has grown from this small part..

Other general mail order houses had varied beginnings. Many have expanded from ordinary retail stores. Others started as specialty mail order houses and gradually expanded until they handled a more general line of merchandise.

Probably the most important reason for the success of the mail order houses in the early stages of their development is to be found in the failure of country merchants to adjust to changing conditions. In the post- Civil War period the country general store was a dominant institution. Throughout the West and South, farmers and small-town residents raised their standards of living after the period of reconstruction. Cash farm income became larger and farmers became interested in the kinds of things bought by city people. Rural and small-town merchants, however, did not appreciate such changes and continued to stock only staple merchandise which had sold well for many years.

Even if such merchants had realized the significance of environmental change, the limitations of their small, local markets would have made it impossible for them to rival the assortments of the evolving mail order institution. Another factor contributing to the development of mail order retailing was the growth of rail transportation. This made it possible to place orders by mail and to deliver merchandise to scattered areas at reasonable cost and at relatively certain dates.

The spectacular and consistent development of mail order retailing began, however, with the establishment of rural free delivery service. Farmers as a class began to subscribe for city daily papers. They were thus reached by style news and by information on various changing methods of life which before had come to their attention only indirectly. Later, the moving pictures and the rotogravure supplements of the newspapers exercised their effect in creating demand for many articles not previously included in the rural standard of living. Mail order retailing offered an opportunity for the purchase of these goods. Developments in catalog making made it possible to advertise goods effectively and to supply realistic photographs. Establishment of the parcel post system in 1913 made it possible to ship small packages more economically. Another factor in the growth of mail order houses was the recognition that this method of selling could take advantage of the economies of large-scale retailing.

The larger mail order companies engaged in programs of diversification as the country became more urbanized and opened many retail establishments of the department store type. Such stores now account for the majority of the business of both Sears' and Ward's, but mail order or catalog retailing continues to be a very large segment of their total sales volume.

Present Status of Mail Order Establishments

In 1958 there were 2,550 retail mail order establishments, of which 1,502 had paid employees and 1,048 were small units operated exclusively by proprietors and family members. Aggregate sales volume of these establishments amounted to \$20 billions, or about 1 per cent of the sales of all retail establishments. There has been practically no change in the relative sales volume importance of mail order establishments over the period 1929-58. While the 2,550 mail order establishments operated in many lines of

trade, more than 75 per cent of their sales was reported by only 35 large establishments handling a complete line of department store merchandise. More than one-half of these establishments are operated by two companies- Sears' and Ward's-thus indicating high concentration in this field.

Competitive Position of General Catalog Houses

The general merchandise mail order organizations have, in the main, the advantages and disadvantages of other large-scale retail enterprises. Due to the peculiar nature of their business, certain special conditions affect their competitive situation.

Advantages

As compared with single-line and general stores in the rural districts, mail order houses offer a more complete and varied line of merchandise. Their location in the larger cities gives a certain amount of prestige to their merchandise, especially in style goods. Prices, at least for many articles, are somewhat lower than those charged for corresponding articles in the rural communities.

Buying from a catalog is perhaps quicker and easier for rural people than going to stores in somewhat distant cities, and such shopping can be done at any time of day or evening that is most convenient. Convenience, moreover, is a strong appeal among urban customers who patronize catalog order offices or telephone order facilities maintained by leading mail order companies in large cities.

Absence of pressure to buy, avoidance of the confusion of crowded stores, informative statements concerning products, guaranties, and a liberal returned-goods policy are other attractions. Because sales are made in all sections of the country and to different classes of consumers, sales are not greatly affected by local industrial depressions, as are those of local merchants.

Some general advantages enjoyed by all mail order vendors grow out of certain operating economies. Warehouses are located in parts of the city where rent is much lower than that which must be paid by the ordinary retailer. Expensive fixtures are unnecessary, for only equipment of the warehouse type is required. It is unnecessary to employ retail salespeople, for the catalog descriptions plus the reputation of the firm and price appeals effect sales.

Hence, employees of the clerical and shipping department type are used and their work is scheduled to permit an efficient utilization of time-something difficult to accomplish in retail stores which must be staffed in accordance with daily and hourly variations in consumer traffic.

Disadvantages

Selling by catalogs is limited by the impossibility of examining merchandise in advance of purchase. For shoes, gloves, or clothing, it may be difficult for the buyer to secure the right articles without trying them on for size and fit. Many consumers hesitate

to order products where size, colour, style, or texture are significant in choice making. An important limitation is inflexibility of the merchandising programme. Semi-annual catalogs published by Sears' and Ward's comprise between 1,000 and 2,000 pages.

Plans must be made well in advance of the season as to the detailed composition of the line of goods and the manner in which they are to be featured and illustrated.

More important, prices must be determined months before catalogs are distributed, and the firm usually must live with its pricing decisions throughout the catalog season. While the catalogs contain statements that prices are subject to change without notice, and even though special sale catalogs are issued, the companies do not have the pricing flexibility of other forms of retailing.

They cannot mark down individual items of merchandise as the rate of sale becomes too slow or as costs decline; neither can they raise prices on individual items as demand increases or as wholesale costs rise. New items can be added or dropped only when new catalogs are prepared.

VENDING MACHINES

Distribution of goods through automatic vending machines is a third distinctive form of non store retailing. By vending is meant the selling of goods through an automatic machine which releases an item of merchandise upon insertion of a coin or coins by the consumer, thus completing the transaction without the aid of a salesperson.

Historical Development

Crude forms of vending machines were in operation in Europe and in the United States in the nineteenth century. Early machines were restricted largely to the sale of candy, nuts, gum, tobacco products, and postage stamps. During the early part of the twentieth century, there was a great expansion in the United States in bulk vending (i.e., machines which measure out a portion of some unpackaged items such as nuts or candy), especially, "penny sale" machines. In the late 1920's and in the 1930's, new types of machines were designed to vend 5-cent confections, bottled soft drinks, and packages of cigarettes. The development of cigarette vending machines and their acceptance by the consuming public is widely heralded as the inception of the modern era of automatic merchandising. Cigarettes were the first class of commodities retailing for more than five cents and sold on a wide basis through vending machines.

Present Status

Outside of the tobacco, soft drink, and candy trades, vending did not attract much attention until the late 1940's, when experimental attempts were made to merchandise a wide variety of items on an automatic basis, some of which proved relatively successful. In 1958, according to the Census of Business, there were some 3,524 "merchandise vending machine operators," with sales of \$842 millions, or about 0.4 per cent of the sales of all retail establishments. These are middlemen who specialize in the operation

of vending machines that primarily dispense merchandise rather than provide services. Trade estimates indicate that the total volume of vending machine sales is much greater than reported by the Census. In 1958 a trade source reported sales of \$2.1 billion and in 1959, \$2.4 billion. Differences between Census data and trade estimates are explained by three factors. First, some wholesalers operate retail vending machines as an adjunct to their wholesaling business, especially retail cigarette vending by tobacco jobbers. Second, many machines are owned or are serviced by local processors or manufacturers. Bottled soft drinks, ice, and milk are among the commodities often distributed through vending machines by the manufacturer rather than by a vending machine retailer. Third, many vending machines are owned and serviced by very small operators who engage in this activity only as a sideline and thus do not meet Census requirements for classification as a business establishment within the vending machine trade.

While vending machines account for only a small part of total retail trade, they are extremely important in the sale of certain commodities. Of total vending machine merchandise sales, about 44 per cent consists of sales of cigarettes, about 22 per cent of cold and hot bottled and cup drinks, and about 14 per cent of candy and gum. All other products collectively constituted less than 20 per cent of the total vending machine market in 1959.

Vending Machine Operators

The vending machine firm is a rather distinctive form of enterprise in that its operations are carried on in locations owned by businesses or institutions. While there are a few large vending firms, it is predominantly a field of small operators. Some are strictly family businesses, and most of the others have only a few employees. The trend, however, has been toward a smaller number of companies of larger individual sales volume size. A few companies are exceptionally large, particularly Automatic Canteen Co., which operates nationally, and Automatic Retailers of America (ARA), which operates in a number of states.

Like other retailers, vending machine operators buy merchandise and maintain an inventory. Even though most firms are small and deal only in convenience items, it is common for them to purchase direct from manufacturers. Their business is so specialized by merchandise lines that direct buying arrangements are often feasible.

Vending machine locations are organized into routes which are served on schedule. Route men clean machines, replenish inventory, remove and audit sales receipts, and make any minor adjustments that may be necessary. Some operators have specialized service men to handle emergency calls whenever a mechanical failure occurs.

A major and distinctive problem of the operator is that of soliciting location-owners to obtain the right to place a vending machine on their premises. One type of location consists of regular retail stores, which use vending machines as a supplement to their personal selling service. Other locations include almost any kind of site at which a large number of people congregate or pass by with regularity. Examples of the more

desirable types of nonstore locations include industrial plants, airports, amusement centers, apartment buildings, armed service installations, bus terminals, hospitals, office buildings, railroad stations, turnpike restaurants and service stations, schools, and theatre lobbies.

Machines are sometimes sold or leased to the owner of the location but, more commonly, the vending machine operator retains ownership and pays the location-owner a rental fee, usually determined as a percentage commission or a special amount per unit of product sold. Thus, to a considerable degree, the usual operational arrangement is analogous to that of a leased department.

Evaluation

Vending machines are used, in some instances, in regular stores where retailers wish to avoid certain "nuisance problems." Soft drink, candy, and cigarette sales are usually of low unit value and therefore relatively expensive to process by personal selling effort. Also, such items are often pilfered by customers or consumed by store employees who do not bother to pay for them, with resulting inventory loss. Such problems are often avoided by the use of vending machines.

Vending machines have enlarged the opportunity for marketing many items by offering them for sale at places where, and at times when, it would not be feasible to provide regular store selling service. Many items sold through vending machines are purchased for immediate consumption; hence, the quantities marketed are to a substantial measure dependent upon the vending machine as a distribution method. There has been a tendency to sell through vending machines more items in the so-called "take-home" market. Ice, ice cream, and milk have been vended profitably in many cities from non-store locations which are accessible twenty-four hours a day, seven days a week.

One of the most rapidly growing markets for vended products consists of industrial plants where increasing interest has been devoted to machines as dispensers of foods. In some factories, vending machines supplement regular cafeteria food service by providing hot and cold beverages, sandwiches, and desserts, at a variety of in-plant locations. In many small plants that cannot provide regular in-plant food service, the vending machine has become an attractive supplement to the traditional lunch-pail.

The vending industry experienced a very favorable rate of sales growth in the period subsequent to World War II—a factor which has stimulated much discussion about this method of distribution, and one which has prompted all sorts of judgments as to its future.

Opportunities for vending machine retailing have been limited by several circumstances. First, notable success has been achieved only in the case of products possessing certain accepted "vending characteristics." These include small size, high, frequency of purchase by the average consumer, and purchase on a strictly convenience basis. Attempts to merchandise shopping goods through vending machines have not been successful, except in highly specialized situations.

Second, even though vending machine sales are effected without the aid of a salesperson, vending is still a relatively expensive form of distribution. It can be carried on profitably only at locations where a reasonable volume of regular sales can be expected. Machines in common use involve substantial investments of capital, which must be recovered by adequate depreciation charges.

Servicing of the machines by route men is time-consuming and costly. In addition, the vending machine operator must cover the overhead costs of his business and pay the location-owner a fairly substantial proportion of the total receipts for rent. Vending could not have attained its present state of development if consumers were not willing, at least in many cases, to pay some premium over regular retail store prices for the added convenience of buying at nonstore locations and at odd hours.

Third, vending machines have been limited historically by the use of coins, which factor restricted their application to types of items that can be bought with change carried by the average consumer. In 1960, however, new types of equipment were introduced with "bill-changing" sections. Such machines are capable of accepting currency of various denominations, rejecting counterfeits, and returning correct change to the customer. While the eventual influence of such equipment is highly speculative, it does remove one traditional restriction in the use of vending machines as a marketing device.

In summary, it is apparent that vending is a relatively high-cost method of distribution, that gross margins on goods vended must ordinarily be higher than on goods sold in large volume through ordinary retail store methods, and that vending is limited substantially to convenience goods items which may be purchased by the consumer at almost any place without advance planning.

Vending is likely to remain a small factor in the total retail sales pictures, since machines for selling traditional vendible commodities are already available in nearly all types of feasible locations. New types of bill-changers, however, open additional opportunities for experimentation with products of higher unit value and suggest possibilities for rapid growth in vending, even though it is likely to remain a very small part of total retailing.

DYNAMIC ADJUSTMENTS IN CATALOG RETAILING

The inception and period of rapid early development of mail order retailing was associated with the concept of a new merchandising service to the non urban population. In modern times, with contemporary conditions of communication, transportation, and urbanization, it is indeed remarkable that catalog retailing has been able to hold a stable share of total retail sales, thus growing at the same rate as all of retailing.

This is attributed to certain dynamic, and in some cases distinctive, methods and policies adopted by the general catalog houses-in large measure for the purpose of

capitalizing upon their advantages, minimizing their limitations, and adjusting to changing consumer preferences. Sales promotion activities are efficiently organized. Mailing lists are prepared with care and efforts are made to keep them up to date. Careful tests are made of the success of different types of copy and appeals. Experienced copy writers know the language and the appeals which are most useful in reaching their clientele.

In order to overcome the reluctance of buyers to purchase articles which they cannot see before the order is placed, mail order houses give a very liberal guaranty, covering as a rule both quality and price. If the purchaser is dissatisfied with the commodity, it may be returned at the expense of the seller, and the purchase price is promptly refunded.

The general catalog houses have a special brand problem. To attract business, as they do in part, on a price-appeal basis, they must purchase from suppliers at lowest prices. For this reason such houses do not generally carry very many nationally advertised, branded articles.

They prefer to sell unbranded commodities or those which carry their own brand. It is usually necessary to brand the specialties which they sell, in order to identify them and give them a certain distinction. Hence it is common for catalog houses to purchase such articles as vacuum sweepers, gasoline engines, washing machines, farm implements, cosmetics and drugs from suppliers who manufacture to the specifications of the catalog firm and who attach to the goods the private brand of the mail order company.

In order to reach a larger number of potential customers, the major firms have opened a large number of catalog order offices which are located in storerooms in hundreds of small cities and in many suburban shopping centers of large cities. No merchandise is available for sale over the counter in these establishments, but selected items and swatch and sample books are displayed for examination.

Employees assist customers to make out and transmit orders. Many such order offices have teletype communication with a regional warehouse which services the area. Orders received prior to a certain time each day can be delivered to the customer's home on the following day in most cities, thus rivaling the speed of delivery service available from local stores. Similar catalog departments are also found in the regular retail stores operated by mail order companies. In the typical Sears' store, the catalog order desk is usually the largest sales volume department.

Some catalog companies have expanded their customer contact points by establishing order stations in retail establishments operated by other companies. Certain small-town and cross-roads stores have displayed the general merchandise catalogs of some companies for a number of years, and accept and process orders on a commission basis.

More recently some variety chains and supermarket organizations have made similar arrangements with mail order firms. For example, in 1960, Ward's established catalog order stations in certain New York state supermarkets of Loblaw, Inc., thus giving Ward's sales outlets in areas where it had no retail stores, and providing the Loblaw organization with a 100,000 item increase in its offering of nonfood

merchandise lines. Another feature is the operation of telephone order offices. While confined to larger cities in which there is a considerable potential volume of daily business, this development is one of increasing significance, accounting in 1960 for more than 30 per cent of all catalog sales volume at Sears'. The catalog customer can sit in her home, order by number from the catalog, have her order dispatched by teletype, and receive next-day delivery in many large cities.

As a consequence of such innovations, the historic mail order business has evolved into a more modern conception of general catalog retailing, characterized by efforts to bring to the consumer wanted merchandise at various points of sales contact, using means of communication and delivery which are appropriate to contemporary conditions.

Catalog Selling by Store Retailers and Manufacturers

Mail order selling is used to some extent by specialty retailers and by certain manufacturers who sell direct to the consumer. It is also used in the direct marketing of some farm products with a special appeal, such as Smoked Virginia Hams, smoked turkeys, and gift packages of fruit.

Such sellers usually do not have elaborate catalogs, but secure orders by advertising in newspapers and magazines, on radio and television broadcasts, and by direct mail addressed to the homes of consumers. Goods so ordered are shipped by parcel post, express, truck, or ordinary freight.

This type of selling brings many kinds of goods to the attention of a broad market. Items so sold are often of a novel or unusual character and are not available in local stores, especially in smaller communities. Some merchandise is sold direct to consumers by manufacturers who stress a price appeal. While specialty mail order retailing is relatively expensive, since it usually involves substantial advertising and handling and shipping costs, many consumers are nevertheless influenced by an appeal which suggests that they save money by purchasing direct rather than from a retail store.

Appeals of "lower prices," "greater values," or "substantial savings," have been used by most of the major book and record club companies that have a membership which is contacted by mail. Such savings are customarily offered in terms of "free" or "bonus" books, awarded when the member actually purchases a predetermined number of books at regular prices, in accordance with a membership agreement. Bonuses offered in this manner are largely due to low purchase prices negotiated with publishers when contracting for large numbers of copies and not to economies of selling and distributing to individual consumers on a mail order basis.

Manufacturers and retailers who sell a narrow line of goods by the mail order method are subject to most of the disadvantages enumerated above in connection with general catalog houses. In addition, they usually lack the prestige enjoyed by a large nationally known organization. Hence, such selling is relatively unimportant, and there are no reasons to believe that it will ever be of much significance in other than a very narrow range of merchandise items.

Catalog selling is also an important form of supplementary promotional effort among many regular store retailers, especially large department stores and departmentized specialty stores, who have a ready-made mailing list consisting of their regular charge account customers. This is especially significant for the promotion of gift merchandise during the Christmas shopping season.

HOUSE-TO-HOUSE RETAILING

According to common usage, the term house-to-house selling includes almost any type of retailing that involves contacting the consumer at his residence (or sometimes at his place of work) rather than in a retail store.

Types

Several variations of house-to-house retailing are common. First, some manufacturers and retailers actually canvass on a house-to-house basis. Often solicitation is confined to residential areas or types of families which, in the experience of the individual company, have proved the most fruitful source of business. In some cases, sales coverage is haphazard because solicitation is confined largely to friends, neighbours, or other individuals who have personal contacts with the salespeople of a "house-to-house" selling organization. Some house-to-house salesmen are employees of the manufacturer who uses this method of direct distribution; others are independent dealers who buy merchandise from the manufacturer and resell as merchant middlemen, often handling the products of several organizations.

Second, some companies use what is known as the party plan. Salesmen arrange to have a housewife give a party in her home, at which merchandise is demonstrated to a group of the hostess' friends. The hostess receives merchandise prizes, awarded on the basis of the amount purchased by those attending and, in some cases, also on the basis of the number of those attending who agree to serve as hostesses for similar parties. A variation of this method is a "club" plan, according to which a consumer is awarded prizes or granted discount buying privileges by getting new customers to join the "club." The "club," of course, is the group of customers served by the selling organization and one joins by making purchases. These approaches involve something of the chain letter technique, in that each new customer is expected to obtain a number of additional new customers for the company.

Third, many companies sell to the consumer at his home on the basis of advance prospecting information. Home calls may be preceded by telephone solicitation in which women with pleasing telephone personalities are employed to call large numbers of consumers. Names of those who manifest some degree of interest are turned over to skilled salesmen who call on the consumer at home. Prospect information is also obtained in response to offers made in newspaper, car card, or other forms of advertising.

One or more of the above forms of selling are used by a large number of well-known manufacturing or distributing companies, including Avon Products, Inc. (cosmetics),

Beauty Counselors, Inc. (cosmetics), Electrolux Corporation (vacuum cleaners), Fashion Frocks, Inc. (women's apparel), Fuller Brush Company (brushes, cosmetics, and household items), The Process Company (greeting cards), Real Silk Hosiery Mills, Inc. (hosiery and apparel), and Stanley Home Products, Inc. (brushes and household cleaning aids). Such methods are also widely used on a national basis in selling reference books, encyclopedias, and magazine subscriptions. Some local retailers and small manufacturers use the same approaches in selling a wide range of items, especially in the home furnishings or home improvement categories.

A fourth method coming within the general coverage of "house-to-house" selling consists of route delivery service of perishable food items. Milk is commonly delivered to the consumer's home by a driver-salesman. In most cities some baking companies (e.g., Omar, Inc.) sell direct through route salesmen. Since this method involves frequent and continuing contacts with regular customers who are purchasing in this manner largely because of convenience, it is somewhat apart from the other methods enumerated above. Most of the following discussion is only partially applicable to the operations of such route companies.

Importance of House-to-House Selling

House-to-house selling is the most important form of non store retailing. According to 1958 Census of Business data, some 64,000 direct selling "organizations" accounted for about \$2.6 billion of sales, or about 1.3 per cent of total sales of retail establishments.

This is believed to be less than one-half of the volume of retail sales made by this method, because the Census does not enumerate as house-to-house organizations those companies which operate a house-to-house sales force out of a manufacturing, wholesaling, or service establishment whose principal activity is something other than retail trade in tangible goods, nor the house-to-house selling activities of regular retail stores, nor the sales of self-employed canvassers operating on a restricted part-time basis and reporting annual receipts of less than \$2,500.

The Census figure of some 64,000 "organizations" is somewhat misleading, as it includes all self employed salesmen operating as dealers, provided annual sales of more than \$2,500 are reported. Actually, there are some 180 members of the National Association of Direct Selling Companies, which is probably more indicative of the number of companies regularly distributing their products or services on a house-to-house basis. It has been estimated that some one and a half million salespeople are engaged in direct selling, about 850,000 men and 650,000 women, with a majority working on a part-time or supplementary income basis.

Reasons for Use

Certain manufacturers and retailers use house-to-house selling primarily because of their ability to build a large volume of business through concentrated and specialized

personal selling techniques. Trained in the art of high-pressure salesmanship, the house-to-house man gets results whether it be a small item or one involving several hundred dollars. If the salesman can interest the consumer in his offering and can, by carefully planned selling phrases, suggest that nothing like it can be had locally or that its price is very attractive, the sale is a natural outcome.

Manufacturers are interested in house-to-house distribution in some cases because an attractive margin is available but more often because they can get volume only by this method. If several hundred specialized salesmen can be recruited, trained, and assigned to territories and if the product is worthy, sales may be expected. The problem of interesting wholesalers or retailers in stocking the product and of getting their salesmen to present it to buyers through displays or face-to-face selling is avoided. It is not necessary to use extensive advertising, for personal sales effort is substituted for advertising except in the case of a few large firms who sell in all parts of the country and have found that advertising helps the salesman to gain admission and to secure an audience.

House-to-house selling is attractive to some organizations because sales costs are flexible, varying directly with volume. Salesmen are compensated, in the great majority of cases, altogether on the basis of commissions. Thus there is no expense for selling except for sales actually made.

Limitations and Disadvantages

Lack of consumer confidence in the salesman, his firm, and his product is an important limitation to house-to-house selling. There are just enough fraudulent schemes to cause careful buyers to be wary. Better Business Bureaus have done much to limit the work of fraudulent sellers and in doing so have assisted legitimate firms.

The housewife's inconvenience or annoyance at taking time from household tasks to listen to the salesman is a disadvantage of this method of selling. To overcome the reluctance of housewives even to answer the doorbell, some companies have adopted a variety of plans to pave the way for calls, such as leaving a card saying the salesman will return at a stated time with a useful gift, or leaving an attractive catalog at the housewife's door a day or two in advance of the salesman's visit. In spite of these plans, house-to-house selling is self-limiting because it can grow only at the expense of increasing demands upon the time of the consumer. Another disadvantage consists of the sales management problem of recruiting, training, and supervising large numbers of salesmen or so-called agents. Usually they are of the type who need constant stimulation and close supervision, and contacts with them must be maintained frequently.

When the sale is by description only or even by sample, the salesman is handicapped, for many buyers have a definite preference for goods which can be inspected at a local store. Moreover, when an order is given to a canvasser, sufficient interest must be created to last until the delivery can be made some days later. Often desire has cooled by that time, and the order is rejected, even at the cost of forfeiting the partial payment

made to the salesman. Many cities have enacted ordinances regulating or forbidding house-to-house selling, canvassing, or soliciting of business, and thus protecting local merchants from this type of competition. The first such ordinance, which forbade this type of selling or business solicitation, except with the permission or upon the invitation of the householder, was enacted in Green River, Wyoming, in 1933; hence all comparable enactments by municipalities have become known as "Green River" ordinances. Such prohibitions tended to increase in the 1950's following a Supreme Court decision upholding their constitutionality.

For the most part, however, they have been enacted in small towns and suburban communities near major metropolitan areas. While constituting a problem, the coverage of such laws has not been sufficiently widespread to limit materially house-to-house selling on a national basis.

An important limitation is the high cost of this method of distribution. Some consumers believe that they save by buying from house-to-house salesmen, especially when dealing with a manufacturer's salesman or agent. Experience has proved, however, that direct-selling manufacturers do not eliminate any of the retail middleman's functions but, in fact, usually incur higher costs than manufacturers who distribute through normal channels. Commissions paid to house-to-house salesmen are within the range of about 25 to 40 per cent and are often higher than the total gross margin realized by store retailers handling similar commodities. In addition, high costs of shipment or delivery are incurred on items of low unit value. Unless the consumer pays in advance, there are C.O.D. ("collect-on-delivery") charges to be considered. Even among regular retailers who use house-to-house selling as a supplement to store selling, as is often done in the furniture and appliance trades, commissions paid to "outside" salesmen are usually about twice as large as those paid to salesmen who work in the store.

Because of the various problems and limitations involved in this method of distribution, it is not likely that it will ever become a larger part of total retail trade. The method is confined largely to types of items where sales volume can be expanded greatly by highly concentrated personal selling effort and to situations in which an unusually wide gross margin may be obtained so that the high costs of this method of distribution can be covered.

4

Retail Marketing: Sales Process and Organization

Retailing includes all the activities concerned in selling goods and services directly to final consumers for personal, non-business use. A retailer or retail store is any business enterprise whose sales volume comes primarily from retailing. Any organization selling to final consumers – whether it is a manufacturer, wholesaler or retailer –is doing retailing. It does not matter *how* the goods or services are sold (by person, mail, telephone, vending machine, or internet) or where they are sold (in a store, on the street, or in the consumers home).

SALES INTELLIGENCE

Sales intelligence (SI) refers to technologies, applications and practices for the collection, integration, analysis, and presentation of information to help salespeople keep up to date with clients, prospect data and drive business. In addition to providing metrics for win-loss and sales confidence. SI can present contextually relevant customer and product information. The 2008 survey of 300 companies by the Aberdeen Group show that the recent economic downturn has lengthened traditional sales cycles. As businesses have been forced to reduce spending, sales representatives have been challenged to meet quotas. Top performing companies have implemented sales intelligence programs to improve the quality and quantity of sales leads. SI contextualizes opportunities by providing relevant industry, corporate and personal information. Frequently SI's fact-based information is integrated or includes Customer Relationship

Management (CRM). Although some aspects of sales intelligence overlaps business intelligence (BI), SI is specifically designed for the use of salespeople and sales managers. Unlike customer relationship management (CRM) and traditional business intelligence (BI) applications, SI provides real-time analysis of current sales data and assists with suggesting and delivering actionable, relevant information. Sales intelligence solutions are predominantly designed for companies in the manufacturing, distribution and wholesale sectors. These are highly competitive markets, where volumes are high, margins are low. (SI) solutions provide unique insight into customer buying patterns. By automatically analysing and evaluating these patterns, Sales Intelligence pro-actively identifies and delivers up-sell, cross-sell and switch-sell opportunities.

RECENT TRENDS

The sales Intelligence market is currently experiencing two major changes that raise radical moves in the sector : the distribution model and the data sources. Sales intelligence providers have historically been industry-centric with custom designed solutions to centralize and consolidate various customer data across the enterprises. Solutions were either delivered as tailor-made system or as isolated applications. With the emergence of SaaS (software as a service) in the cloud CRM solutions, sales intelligence providers are forced to migrate their solutions in the cloud, with deep interconnections with CRM solutions. Standalone client/server applications are less considered and struggle to maintain their market shares with vertical solutions.

The second change is related to data sources : social networks' and social media data have proven to be more effective than traditional sources to offer 360° comprehension of customers. With the openness of Facebook, Google or LinkedIn databases (through their open APIs), the new providers offer constantly updates profile information and contact relationships. A new form of sales intelligence has emerged, encompassing social leads, sales influencers, partnership tactics, etc.

Sales Process Engineering

Sales process engineering has been described as “the systematic application of scientific and mathematical principles to achieve the practical goals of a particular sales process”. Selden pointed out that in this context, sales referred to the output of a process involving a variety of functions across an organization, and not that of a “sales department” alone. Primary areas of application span functions including sales, marketing, and customer service. Variations of this brief description are possible, but described as such, the discipline is consistent with other published definitions of engineering and its many well-established branches, but relatively new in its focus.

Historical Context

W. Edwards Deming alluded to sales, marketing and customer service processes in his famous “Production Viewed As a System” diagram. when he included the terms

“Distribution,” “Consumers,” “Consumer research,” and “Design and redesign” in his flow chart. However, Deming himself, and many other recent thought leaders in the field of quality and process improvement, such as Joseph Juran, Shigeo Shingo, Taiichi Ohno, and Eliyahu Goldratt primarily focused on aspects related to production and logistics in the arena of manufacturing.

Factors Spurring Recent Interest

Since the early 1990s, the primary emphasis of sales process engineering has been on applying relevant engineering tools to the design and improvement of sales, marketing and customer service processes. The upturn in interest in applying a more systematic approach to these areas was spurred by a number of factors, including:

- Advent of portable computing devices, laptop and personal computers in the 1990's
- Development of software that enabled the creation, connection, and analysis of related databases (e.g., Customer relationship management, Database marketing)
- The relatively large share of expenses consumed by sales, marketing and customer service functions as a proportion of many budgets
- Realization that a careful approach is required in order to get a return (financial or otherwise) on investments in automation
- Recognition that alternatives to automation exist, and that at that very least, a process can often benefit from improvement at little cost through policy, practice, or procedural changes, prior to the introduction of more expensive technology.

Selected Challenges, Tools, and Goals

Applying a systematic approach to any field is challenging, perhaps especially so in a relatively new arena. These include the difficulty of agreeing on what and how to measure, where to set performance standards, variations due to customer expectation, the relative “intangibility” of services, and so on. In spite of the difficulties, a growing number of published examples illustrate how to apply many traditional engineering tools to the sales process, including the application of process mapping, simulation, design of experiments, statistical process control, the analysis/reduction of constraints, inventive problem solving, and, given the central importance of human behaviour, applied behaviour analysis, among others. Each of these tools is connected with well-known engineering goals, including cause-effect analysis, variability reduction, waste reduction, bottleneck reduction, and the theory of inventive problem solving; the literature frequently cites an overarching goal of improving customer satisfaction.

Resources for Underlying Observational Data

One of the difficulties faced by researchers and practitioners in any field is a lack of facts; in competitive arenas, important facts are often deliberately hidden or obscured

for reasons of confidentiality. This reality can also retard advancement. In spite of this, a number of “fact books” exist that offer a wealth of basic information germane to sales process engineering, usually specific to a particular form of medium or industry, some of which are available online. Examples include information pertaining to:

- Direct marketing (e.g., Direct Marketing Association’s Statistical Fact Book)
- Radio advertising (e.g., Radio Advertising Bureau’s Radio Marketing Guide and Fact Book)
- Life insurance (e.g., ACLI’s Fact Book)
- US agriculture (e.g., USDA’s Agriculture Fact Book).

and government-sponsored statistical abstracts (e.g., Statistical Abstract of the United States).

Examples of Application

Another difficulty faced by engineers and students in any field is the difficulty of finding examples of how to apply the principles involved. In the case of sales process engineering, a number of books and articles have been written on various facets pertaining to the subject, including:

- Application of experimental design in marketing
- Application of statistical process control to sales figures
- Application of theory of constraints to the quotation-order-delivery cycle.

Future Directions

Future directions for sales process engineering include broadening the available pool of underlying observational data, publishing further application of the principles, and advancing educational efforts to expand and teach the relevant body of knowledge. The label “sales process engineering” is not trademarked or copyrighted. Except that of the discipline of engineering itself, the term connotes no bias toward one philosophy/school-of-thought or another. Therefore, one of the chief contributions of sales process engineering *per se* is that the very concept can provide those who must plan systems, implement projects, and maintain improvement, with an organized frame of reference based on techniques that have helped other, better-established, disciplines to progress. Serious practitioners have begun to emphasize “three core principles” of sales process engineering in an effort to broaden the appeal of the discipline to a wider range of sales executives. These principles are: 1) Continuous improvement of the sales process is a fundamental necessity 2) Metrics are required to judge the rate and degree of improvement 3) A well-defined sales process is a pre-requisite for determining meaningful sales metrics.

Sales Force Management System

Sales force management systems are information systems used in CRM marketing and management that help automate some sales and sales force management functions.

They are frequently combined with a Marketing Information System, in which case they are often called Customer Relationship Management (CRM) systems. Sales force management systems are essentially the same thing as *Sales Force Automation System (SFA)*.

A SFA, typically a part of a company's customer relationship management system, is a system that automatically records all the stages in a sales process. SFA includes a contact management system which tracks all contact that has been made with a given customer, the purpose of the contact, and any follow up that might be required. This ensures that sales efforts are not duplicated, reducing the risk of irritating customers.

SFA also includes a sales lead tracking system, which lists potential customers through paid phone lists, or customers of related products. Other elements of an SFA system can include sales forecasting, order management and product knowledge. More developed SFA systems have features where customers can actually model the product to meet their required needs through online product building systems. This is becoming more and more popular in the automobile industry, where patrons can customize various features such as colour and interior features such as leather vs. upholstered seats.

An integral part of any SFA system is company wide integration among different departments. If SFA systems aren't adopted and properly integrated to all departments, there might be a lack of communication which could result in different departments contacting the same customer for the same purpose. In order to mitigate this risk, SFA must be fully integrated in all departments that deal with customer service management.

Making a dynamic sales force links strategy and operational actions that can take place within a department. the SFA relies upon objectives, plans, budget, and control indicators under specific conditions. In order to perform the objectives correctly specific procedures must be implemented:

Identifiable sales force management processes

- Setting targets and objectives based on inputs (usually via a command Centre)
- Assigning actors responsible for achieving objectives
- Control processes for ensuring objectives are being achieved within
 - A given time frame
 - A given constrained context (customers and/or markets)
- System management to handle uncertain environments

The process usually starts from specific sales targets. The command Centre analyses the inputs and outputs established from a modeled control process and the sales force. The control process enables the sales force to establish performance standards, measuring actual performance, comparing measured performance against established standards and taking corrective action. The sales managers adjust their actions based upon the overall process.

Aside from the control process, the following metrics are implemented:

- Time Management-Accurately measures the tasks and the percentage of time for each task.

- Call Management-Plan for customer interaction takes into account the percentage of command Centre reps that comply with the process and have successful calls.
- Opportunity Management-If the process is followed correctly then you will have a sales opportunity. The percentage of command Centre reps that utilize the tools, comply with the objective are all measured.
- Account Management-For multiple opportunities with a customer the account is measured by the tools, process, and objectives.
- Territory Management-For monitoring the account the territory is measured by the number of account reps and perspective versus active customers
- Sales Force Management-Process shared across several people and departments. The process includes training, IT systems, control, and coaching.

Components of Sales Force Automation System

When looking for Sales Force Automation Systems not all are created equal. They are like selecting a new car. The systems can vary dependent upon what information the organization is looking for. The application also has implications based upon their size, organization rollup, demand of new system, sales processes, and number of users.

Dependent upon what you're looking for, services can fall into 2 categories: On-Premise Software and On-Demand (hosted) Software. With on premise software, the customer manage and purchase the application. On-Premise software has some advantages and disadvantages dependent upon what a customer is really looking for.

The disadvantage of on-premise to some is the higher cost of the software along with maintenance. Customization is also required for some who utilize additional processes outside of the normal out of the box solution. Time is also a factor. Many on-premise software takes longer implementation times along with numerous testing and training sessions. The overall advantage of on-premise software is looking at the overall return on investment. Utilization of the application for three to five years becomes more cost effective. Another advantage can be the based upon the amount of data. With on-demand you are held to a certain volume restriction, but with on-premise your data restrictions are based upon the storage size of your local hardware. The on-demand solution on the other hand takes shorter implementation time, less cost, and tailored to meet the customers need.

The major players in the Sales Force Automation System include:

1. Oracle Siebel
2. Salesforce.com
3. Microsoft Dynamics
4. Oracle EBS (E-business suite)
5. Zoho CRM
6. Peoplesoft
7. Maximizer Software.

Open Source Sales Force Automation

There are so many SFA solutions out in the market. Small to medium size business and individual users have the choice of using the Open Source SFA solutions, online or cloud SFA solutions, and licensed SFA software solution. Open Source solutions regardless of application have become extremely popular over years. Below is a list of Open Source solutions available for sales force automation systems.

- SugarCRM
- Concur Relationship Management
- SplendidCRM Software
- Hipergate
- Compiere
- vtigerCRM
- CentraView
- Sugar (XRMS CRM)
- Cream CRM
- Tustena CRM.

Mobile Sales Force Automation Application

A huge number of sales managers are always on the go. The expansion of Smartphones has reignited the creation of Mobile Sales Force Automation Systems. Most companies IT department are aware that adopting new capabilities require extensive testing. Despite the required time to test such a new product, it will payoff in the future for the sales department.

Smartphone appeals to salespeople, a part of a company's department that is extremely resistant to new technology implementation. Smartphones are easy to carry and easy to use, great interface design, touchscreens and fast wireless network capabilities like 4G and 3G phones. more than 55% of global 2000 organization will deploy mobile SFA project by 2011 and newer Smartphone platforms, such as Apple's iOS and Google's Android, point to a future of increasing diversity in device selecting and support for sales force.

When implementing the Mobile Sales Force Automation Application or during the first stage of systems development life cycle, project teams will need to evaluate how prospective solutions comprising smartphones devices, software and support infrastructure and carrier services are packaged to deliver optimal system usability, manageability and integrative capabilities, as well as high scalability, reliability and performance. It's always good to put in mind that just like any new technology, success comes with usability.

In addition to Smart phone based systems, few companies like Experion Technologies, provide Mobile Sales Force Automation Systems that work on low end mobile phones. FieldMax, a last-mile automation tool for sales and distribution, is one such system that works on simple low end mobile phones with GPRS connection

Advantages to the Marketing Manager

- Understanding the economic structure of your industry
- Identifying segments within your market
- Identifying your target market
- Identifying your best customers in place
- Doing marketing research to develop profiles (demographic, psychographic, and behavioural) of your core customers
- Understanding your competitors and their products
- Developing new products
- Establishing environmental scanning mechanisms to detect opportunities and threats
- Understanding your company's strengths and weaknesses
- Auditing your customers' experience of your brand in
- Developing marketing strategies for each of your products using the marketing mix variables of price, product, distribution, and promotion
- Coordinating the sales function with other parts of the promotional mix (such as advertising, sales promotion, public relations, and publicity)
- Creating a sustainable competitive advantage
- Understanding where you want your brands to be in the future, and providing an empirical basis for writing marketing plans on a regular basis to help you get there
- Providing input into feedback systems to help you monitor and adjust the process.

Strategic Advantages

Sales force automation systems can also create competitive advantage:

- As mentioned above, productivity will increase. Sales staff will use their time more efficiently and more effectively. The sales manager will also become more efficient and more effective.

This increased productivity can create a competitive advantage in three ways: it can reduce costs, it can increase sales revenue, and it can increase market share.

- These systems could increase customer satisfaction if they are used with wisdom.

If the information obtained and analysed with the system is used to create a product that matches or exceeds customer expectations, and the sales staff use the system to service customers more expertly and diligently, then customers should be satisfied with the company. This will provide a competitive advantage because customer satisfaction leads to increased customer loyalty, reduced customer acquisition costs, reduced price elasticity of demand, and increased profit margins.

Disadvantages

Detractors claim that sales force management systems are:

- Difficult to work with
- Require additional work inputting data
- Dehumanize a process that should be personal
- Require continuous maintenance, information updating, and system upgrading
- Costly
- Difficult to integrate with other management information systems.

Encouraging Use

For all the reasons stated above many organisations have found it difficult to persuade sales people to enter data into the system. For this reason many have questioned the value of the investment. Recent developments have embedded sales process systems that give something back to the seller within the CRM screens. Because these systems help the sales person plan and structure their selling in the most effective way they give a reason to use the CRM.

TYPES OF RETAILERS

Consumers nowadays can supermarket for goods and services in a wide variety of retail organizations. These are store retailers, non-store retailers, and retail organization.

Perhaps the best – known type of retailer is the departmental store. Retail – store types pass through stages of growth and decline that can be described as the *retail life cycle*. A type emerges, enjoys a period of accelerated growth, reaches maturity, and then declines.

Levels of Service

Conventional sell stores typically increase their services and raise their prices to cover the costs. These higher costs provide an opportunity for new store forms to offer lower prices and less service. New store types meet widely different consumer preferences for service levels and specific services. Retailers can position themselves as offering one of the four levels of following services.

1. *Self – service*: Self – service is the cornerstone of all discounts operations. Many customers are willing to carry out their own locate – compare – select process to save money.
2. *Self – selection*: Customers find their own goods, although they can ask for assistance.
3. *Limited service*: These retailers carry more shopping goods, and customers need more information and assistance. The stores also offer services (such as credit and merchandise – return privileges).
4. *Full service*: Salespeople are ready to assist in every phase of the locate-compare-select process. Customers who like to be waited on prefer this type

of store. The high staffing cost, along with the higher proportion of specially goods and slower-moving items and the many services, results in high-cost retailing.

By combining these different service levels with different assortment breadths, one can distinguish the four broad positioning strategies available to retailers.

- *Bloomingdale's*: Stores that feature a broad product assortment and high value added. Stores in this quadrant pay close attention to store design, product quality, service, and image. Their profit margin is high, and if they are fortunate enough to have high volume, they will be very profitable.
- *Tiffany*: Stores that feature a narrow product assortment and high value added. Such stores cultivate an exclusive image and tend to operate on a high margin and low volume.
- *Sunglass Hut*: Stores that feature a narrow line and low value added. Such stores keep their costs and prices low by centralizing buying, merchandising, advertising, and distribution.
- *Wal-Mart*: Stores that feature a broad line and low value added. They focus on keeping prices low so that they have an image of being a place for good buys. They make up for low margin by high volume.

Although the overwhelming bulk (97 per cent) of goods and services are sold through stores, non-store *retailing* has been growing much faster than store retailing. Non-store retailing falls into four major categories: direct selling, direct marketing (which includes telemarketing and Internet selling), automatic vending, and buying services.

Direct selling is also called multi-level selling or network marketing. Well known one-to-one selling is AVON, Electrolux etc. In one-to-many, a salesperson goes to the home of a host who has invited friends; the salesperson demonstrates the products and takes orders. Pioneered by Amway, the multilevel (network) marketing sales system consist of recruiting independent businesspeople who act as distributors. The distributors' compensation includes a percentage of sales of those the distributors recruits as well as earnings on direct sales to customers. These direct selling firms, now finding fewer consumers at home, are developing multi-distribution strategies.

Direct marketing has roots in direct mail and catalog marketing. It includes telemarketing (1-800-FLOWERS), television direct-response marketing (Home shopping network), and electronic shopping (Amazon.com. Autobytel.com). Of these, electronic shopping experienced a major take off in the late 1990's as consumers flocked to dot-com sites to buy books, music, toys, electronics, and other products.

Automatic vending is used for a variety of merchandise, including impulse goods like cigarettes, soft drinks, coffee, candy, newspapers, magazines, and other products like hosiery, cosmetics, hot food etc.

Buying service is a store less retailer serving a specific clientele – usually employees of large organizations – who are entitled to buy from a list of retailers that have agreed to give discounts in return for membership.

Business Retailing

Although lots of retail stores are independently owned, an increasing number are part of some form of corporate retailing. Corporate retail organizations achieve economies of scale, greater purchasing power, wider brand recognition, and better-trained employees.

Category of Customers

Generally the customers can be grouped into three main categories. These are:

1. *Bargain hunters* visit retail store, pick over last years' holiday inventory, and then disappear for months.
2. *Casual shoppers* chat up with sales staff and buy sometimes.
3. *Devoted customers*, loyal clientele, love the store, buy often, and refer their friends to you.

Selling Decisions

In the past retailers held customers by offering convenient location, special or unique assortments of goods, greater or better services than competitors, and store credit cards. Today, national brands are found in department stores, in their own shops, in merchandise outlets, and in off-price discount stores. In their drive for volume, national – brand manufacturers have placed their branded goods everywhere. The result is that retail – store assortments have grown more alike. Customers have turn into smarter shoppers. They do not want to pay more for identical brands, especially when service differences have diminished; nor do they need credit from a particular store, because bank credit cards are almost universally accepted.

Retailers marketing decisions can be examined through target market, product assortment and procurement, services and store atmosphere, price, promotion, and place.

Objective Market

A retailer's most significant decision concerns the target market. Until the target market is defined and profiled, the retailer cannot make consistent decision on product assortment, store décor, advertising messages and media, price, and service levels.

Product variety and Procurement

The retailer's manufactured goods assortment must match the target markets shopping expectations. The retailer has to decide on product assortment breadth and depth. Thus a restaurant can offer a narrow and shallow assortment (small launch counters), a narrow and deep assortment (delicatessen), a broad and shallow assortment (cafeteria) or a broad and deep assortment (large restaurant). The real challenge begins after defining the stores product assortment, and that is to develop a product differentiation strategy. After deciding on the product-assortment strategy, the retailer must establish procurement sources, policies, and practices.

Retailers are speedily improving their skills in demand forecasting, merchandise selection, stock control, space allocation, and display. Stores are using direct product profitability (DPP) to measure a product's handling costs (receiving, moving to storage, paperwork, selecting, checking, loading, and space cost) from the time it reaches their warehouse until a customer buys it in their retail store.

Services and Store Ambiance

Retailers must also decide on the services mix to offer customers:

- Prepurchase services include accepting telephone and mail orders, advertising, window and interior display, fitting rooms, shopping hours, fashion shows, trade – ins.
- Postpurchase services include shipping and delivery, gift-wrapping, adjustments and returns, alterations and tailoring, installations, engraving.
- Ancillary services include general information, check cashing, parking, restaurants, repairs, interior decorating, credit, rest rooms, and baby-attendant service.

The services mix is a key tool for differentiating one store from another, so is atmosphere. Atmosphere is another element in the store arsenal. Every store has a physical lay out that makes it hard or easy to move around. Every store 'has a look'. The store must embody a planned atmosphere that suits the target market and draws consumers towards purchase.

Price choice

Prices are a key positioning factor and must be decided in relation to the target market, the product-and-service assortment mix, and competition. All retailers would like to achieve high volumes and high gross margins, but the two usually do not go together. Most retailers fall into the high-mark up, lower volume group (fine specialty stores) or the low-mark up, higher volume group (mass-merchandisers and discount stores). Retailers must also pay attention to pricing tactics. Most retailers will put low prices on some items to serve as traffic builders or loss dealers. They will run storewide sales. They will plan markdowns on slower-moving merchandise.

Promotion choice

Retailers use a wide range of promotion tools to generate traffic and purchases. They place ads, run special sales, issue money saving coupons, and run frequent shopper-reward programmes, in-store food sampling, and coupons on shelves or at checkout points. Each retailer must use promotion tools that support and reinforce its image positioning.

Place choice

Retailers are accustomed to saying that the three keys to success are location, location, and location. Customers generally choose the nearest bank and gas station. Department-

store chains, oil companies, and fast food franchisers exercise great care in selecting locations. The problem breaks down into selecting regions of the country in which to open outlets, then particular cities, and then particular sites. Retailers can locate their stores in the central business district, a regional shopping center, a community shopping center, a shopping strip, or within a large store. In view of the relationship between high profits and high rents, retailers must decide on the most advantageous locations for their outlets. They can use a variety of methods to assess location, including traffic counts, surveys of consumer shopping habits, analyses of competitive locations. Retailers can assess a particular store's sales effectiveness by looking at 4 indicators.

1. Number of people passing by on an average day.
2. Percentage who entered the store.
3. Percentage of those entering who buy.
4. Average amount spent per sale.

Trends in transaction

Following are the main developments; the retailers and manufacturers need to take into account, in planning competitive strategies.

1. New retail forms and combinations.
2. Growth of intertype competition.
3. Growth of giant retailers.
4. Growing investment in technology.
5. Global presence of major retailers.
6. Selling an experience, not just goods.
7. Competition between store based and non-store based retailing.

How to run a marketing campaign for retail business ?

There are five major steps. These are :

1. Gather customer information.
2. Target the "Right" customers.
3. Create effective communication.
4. Host an event.
5. Follow up with guest.

Retail Marketing in India: Integer of retailers

India has sometimes been called a nation of shopkeepers. This epithet has its roots in the huge number of retail enterprises in India, which totalled over 12 million in 2003. About 78% of these are small family businesses utilizing only household labour. Even among retail enterprises that employ hired workers, the bulk of them use less than three workers. India's retail sector appears backward not only by the standards of industrialized countries but also in comparison with several other emerging markets in Asia and elsewhere. There are only 14 companies that run department stores and two with hypermarkets. While the number of businesses operating supermarkets is

higher (385 in 2003), most of these had only one outlet. The number of companies with supermarket chains was less than 10.

Trade Sales

Retail sales, which amounted to about Rs.7, 400 billion in 2002, expanded at an average annual rate of 7% during 1999-2002. With the upturn in economic growth during 2003, retail sales are also expected to expand at a higher pace of nearly 10%. In a developing country like India, a large chunk of consumer expenditure is on basic necessities, especially food related items. Hence, it is not surprising that food, beverages and tobacco accounted for as much as 71% of retail sales in 2002. The remaining 29% of retail sales are non-food items. The share of food related items fell over the review period, down from 73% in 1999. This is to be expected as, with income growth, Indians, like consumers elsewhere, spent more on non-food items compared with food products. Sales through supermarkets and department stores are small compared with overall retail sales. However, their sales grew much more rapidly (about 30% per year during the review period). As a result, their sales almost tripled during this time. This high acceleration in sales through modern retail formats is expected to continue during the next few years with the rapid growth in numbers of such outlets in response to consumer demand and business potential.

Government strategy

There has been vigorous resistance to foreign direct investment (FDI) in retailing from small traders who fear that foreign retailing companies would take away their business, lead to the closure of many small trading businesses and result in considerable unemployment. Given the political clout of the small trading community, because of their enormous numbers, the government has barred FDI in retailing since 1997. Hence, at present, foreign retailers can only enter the retailing sector through franchising agreements.

Managerial Characteristics

Given the traditional and underdeveloped state of the Indian retail sector, the organizational characteristics of retail enterprises are rudimentary. Most of them belong to independent enterprises in the form of small family businesses. Cooperatives have been present in India for several decades, spurred by the encouragement given by the Indian Government, which viewed the cooperative movement as an integral component of its erstwhile socialist policies. However, since the 1990s, there has been a reduction in government support for cooperatives. In 2002, there were about 35,000 outlets run by cooperatives. Economic liberalization, competition and foreign investment since the 1990s led to a proliferation of brands with both foreign and Indian companies acquiring a strong brand equity for their products. Hence, franchising emerged as a popular mode of retailing. Sales of franchises grew at a rapid pace of 14% per annum

over the review period. In 2002, there were over 5,000 franchised outlets. The other major retailing organization format is multiples, better known as “chain stores” in India. In 2002, there were about 1,800 chain stores. Among the various organizational formats, sales of chain stores grew at the fastest pace, with sales growth during the review period averaging 24% per year. Alternative selling channels

Sales through most alternative selling channels are tiny or non-existent. The only exception was direct selling, which grew rapidly over the review period. The main reason for this was that direct selling companies could easily attract a huge number of “distributors”, who constitute the key element for the success of any direct selling company. Many of these are unemployed Indian housewives who welcomed this opportunity to earn additional income for their households. The low start-up costs meant that they could easily start this business.

Food Retailing

100 % FDI in retailing is not allowed per se, foreign retailers can operate in India through joint ventures, where the Indian partner is an export house, Franchising/Local manufacturing/Sourcing from small-scale sector, Cash and carry operations. The McKinsey report states FDI will help the retail businesses to grow from the present \$200 billion to \$460-470 billion by 2010.

Growth of supermarkets in most developing countries (Brazil, China, etc.) took off in the 1990s after FDI was allowed in this sector which is not the case in the Indian scenario. Retailing is not regarded as an industry very few banks are willing to invest in this sector. The shortage of warehousing facilities, cold storage and large scale processing units has obstructed the growth of the Food Retailing Industry in India. As Supply chain is fragmented & marked by existence of large number of intermediaries, organized retailing has been a very tough proposition. India is still in the second and third party logistic provider mode while fourth party logistic models have become global standards for logistic providers. Retailing is subject to a plethora of laws and regulations at central, state and municipal/local levels, some of which have been listed below:

- Restrictive zoning legislation limits availability of land for retail/commercial purposes
- Restrictions on interstate movement of food grains deprive farmers from getting remunerative prices.
- Restrictive Labour laws
- Urban land ceiling regulations, restrictions on shop opening timings, requirements for shops to close once a week
- There is no uniform tax structure-multiple layers of taxes.

Rising Trends

Likely Transformation of the Supply Chain: To counter the unbeatable advantages of convenience of a hop, skip and a jump access and home delivery, organized retailers

seem to have just one option-offer attractive prices to the consumer. A successful retailer's winning edge will therefore come from sourcing-how best it can leverage its scale to drive merchandise costs down, increase stock turns and get better credit terms from its vendors. There are obvious and hidden areas where costs can be pruned and the benefits of this lower cost of retailing can be passed on to customers as lower prices, which in turn should fuel demand. One way of trimming costs is if the pressure points in the long, often unnecessary, supply chain for produce and staples can be identified and suitably dealt with. The food supply chain in India is full of inefficiencies-a result of inadequate infrastructure, too many middlemen, complicated laws and an indifferent attitude.

Corporate and NGO interventions at the farm end in the form of Farm Management Services are emerging to ensure quality and timely supply of produce for the operations. The Farmer-Corporate relationship has helped both the farmers and the corporates in bringing the high quality low cost product to the retail shelf. To ease the burden of the corporate in setting up farm management services, several leading NGO bodies have taken up this activity essentially due to the fact that their operations are mostly at the farm end. We feel that these farmer-corporate models would be replicated and extended to all the farm end products. With the emergence of Private Label, we would soon find even the retail chains to work with the farm community in developing a efficient supply chain and to leverage on the cost advantage at both ends.

Supplier Retailer Relationships: Traditionally the supplier-retailer relation in India comprised several layers such as the national distributor, the regional wholesaler and the end retailer. However this scenario is fast changing with the organized retail increasing its presence in the country where the relationship is directly with the manufacturer. However this new model has been affecting the relationships that the manufacturer enjoys with the traditional system which is still the most dominant in the entire retail sector. The issue of differential pricing is being taken up at several forums and the growing dissatisfaction among the traditional retailers is being addressed by the manufacturers. However we see that in the long term, the role of a national distributor would slowly fade away or get restricted to the rural/upcountry regions.

The supplier-retailer relationship would come under severe pressure as each party would try to squeeze maximum margins out of the other.

Innovations in Transportation Logistics: The logistics service providers have been innovating several interesting formats and models for the retail sector. As of now, organized retail chains in India do not, by far, outsource logistical requirements, they develop their own network. This was basically due to the fact that the supply-chain was still in its infancy stage, which has begun to mature and the systems are being well defined. As retail chains begin to focus more and more on the retail end, the logistics support would begin to get outsourced. The logistics service providers have begun to come out with innovative customized solutions for the retail chains such as GATI's model for distribution of Alphonso mangoes throughout the country with the Information

Technology support. We see that the logistics service providers would continue to innovate and develop effective distribution systems for the retail sector.

Formats: Currently the retail sector in India is populated with the traditional mom-and-pop stores and some 1000 odd supermarkets under organized retail chains. A daring few ventured into the Hypermarket segment with successful results and this format is being fast replicated by other players. This experience indicates that the Indian consumer has matured to the next level of shopping experience.

Given the Indian conditions and the vast diversity a single format may not be possible for the national presence, but region specific formats may evolve. An interesting observation is that of lack of presence of organized retail chains in the rural/semi-urban centers as over 60% of Indian population is still in these parts. An ideal “no frills” model to start with, would be ideal for the rural markets, this would help to take them to the next level of supermarket experience.

Online transaction: The single most important evolution that took place along with the retailing revolution was the rise and fall of the dotcom companies. A sudden concept of ‘non-store’ shopping emerged, which threatened to take away the potential of the store. More importantly, the very nature of the customer segment being addressed was almost the same. The computer-savvy individual was also a subsegment of the ‘store’ frequenting traffic. Internationally, the concept of Net shopping is yet to be proven. And the poor financial performance of most of the companies offering virtual shopping has resulted in store-based retailing regaining the upper hand. Other forms of nonstore shopping including various formats such as catalogue/mail order shopping, direct selling, and so on are growing rapidly. However, the size of the direct market industry is too limited to deter the retailers. For all the convenience that it offers, electronic retailing does not suit products where ‘look and see’ attributes are of importance, as in apparel, or where the value is very high, such as jewellery, or where the performance has to be tested, as of consumer durables. The most critical issue in electronic retailing, especially in a country such as ours, relates to payments and the various security issues involved.

However, using the internet to be able to source products and also check for availability of stock among stores of retail chains has been proven to be effective and cuts down on wastage by a vast amount. It makes logistical support very easy and efficient. The trend in India is such that usage of the electronic medium for business purposes and integrating it into the systems is increasing. This would slowly spread into the retailing sector as well. It has already started in the case of some large retail houses where the affects are here to see. This again would result in the supply chain getting leaner and vertically integrated. Though the initial costs to implement these systems are high, in the long run it results in cost reduction where this privilege can be passed on to the final consumer.

Social Trends: Social trends of a country have impact on the scheme of growth of food retailing in a country. India is country that is vast geographically and diverse culturally. This has taken its toll on food retailing with retailers having to adapt to the

local cultures and palates of the area in which they have established or plan to establish. This is a major reason for many or most retailing chains restricting their operations to a certain part of the country. But the trends now are slowly moving towards cultural integration where people of all states and diametrically opposite cultures tend to try out foods and materials of other states and communities. This movement towards social integration would make it very feasible in the near future for retailing chains and erstwhile local chains to spread across the country.

Increased income levels and more women willing to make use of their education by joining work has increasingly affected the shopping pattern that is moving towards fulfilling the need of convenience shopping in the form of Supermarkets (now graduating to Hyper format) home deliveries. Indian consumer is quality and price conscious and this awareness would drive the retailers to rework their supply chain relationships.

A recent analysis shows that countries go through a distinct food consumption evolutionary pattern. In the first stage the focus is on obtaining basic dietary inputs, the second stage focuses on improving and building basic foods, before moving to the third stage of adding premium food to the diet. Most of urban India has already moved to the third stage and it is a great avenue for food retailers, if they could slowly introduce the rest of India to it. The future would witness creation of specific models/formats one for the upwardly mobile urbanite and the other for the rural markets. Also since the taste habits change from place to place in India, there would emerge a leading

Impact of knowledge: The other important aspect of retailing relates to technology. It is widely felt that the key differentiator between the successful and not so successful retailers is primarily in the area of technology. Simultaneously, it will be technology that will help the organized retailer score over the unorganized players, giving both cost and service advantages.

Retailing is a 'technology-intensive' industry. It is quoted that everyday at least 500 gigabytes of data are transmitted via satellite from the 1,200 point-of-sales counters of JC Penney to its corporate headquarters. Successful retailers today work closely with their vendors to predict consumer demand, shorten lead times, reduce inventory holding and thereby, save cost. Wal-Mart pioneered the concept of building a competitive advantage through distribution and information systems in the retailing industry. They introduced two innovative logistics techniques-cross-docking and electronic data interchange. Today, online systems link point-of-sales terminals to the main office where detailed analyses on sales by item, classification, stores or vendor are carried out online. Besides vendors, the focus of the retailing sector is to develop the link with the consumer. 'Data Warehousing' is an established concept in the advanced nations. With the help of 'database retailing', information on existing and potential customers is tracked. Besides knowing what was purchased and by whom, information on softer issues such as demographics and psychographics is captured.

Retailing, as discussed before, is at a nascent stage in India. Most organized players have managed to put the front ends in place, but these are relatively easy to copy. The

relatively complicated information systems and underlying technologies are in the process of being established. Most grocery retailers such as Food World have started tracking consumer purchases through CRM. The lifestyle retailers through their 'affinity clubs' and 'reward clubs' are establishing their processes. The traditional retailers will always continue to exist but organized retailers are working towards revamping their business to obtain strategic advantages at various levels-market, cost, knowledge and customer. With differentiating strategies-value for money, shopping experience, variety, quality, discounts and advanced systems and technology in the back-end, change in the equilibrium with manufacturers and a thorough understanding of the consumer behaviour, the ground is all set for the organized retailers.

Food security Issues: As awareness grows about food safety issues, the need for countries to provide greater assurance about the safety and quality of food also grows. The increase in world food trade and the advent of the Sanitary and Phytosanitary (SPS) Agreement under the World Trade Organization (WTO) have also raised interest in food safety requirements. To ensure a strong presence in global markets, India realizes the need to meet these challenges and keep pace with international developments

In India, it has come to the notice of general public of late that very "popular" food companies could also go wayward as far as food-safety and public health is concerned. This has triggered off a drive by the public and the Government to put more stringent food safety and public health measures in place while manufacturing, storing and packaging of foodstuffs takes place. Most foodstuffs pass through the organized retail channels on their way to the purchase baskets of consumers and therefore the retailers are beginning to realize the need for food safety and security. Grading and standardization measures are being taken at various stages of the manufacturing, processing, packaging and storing of all kinds of food materials.

To ensure food safety and maintain product integrity from the source to the customer (farm-to-plate) the Food Retailing Companies would have to establish a totally integrated infrastructure and services package. This connects and maintains the flow of food from the source (farmers/food growers, farm service centers, market yards, processors, importers) to the customer (foodservice outlets, food processing units, food retailers and food exporters). This package will help eliminate or prevent identified hazards or reduces them to acceptable levels. This trend is slowly beginning to take shape with the efforts to integrate and consolidate the supply chain in Indian Food Retailing.

The Codex, HACCP (The Hazard Analysis Critical Control Point) and food-hygiene standards have been adopted by the Bureau of Indian Standards, the national standards body in India. Food processing units are being encouraged to adopt these systems on a voluntary basis.

Organizations like VOICE (Voluntary Organization in the Interest of Consumer Education) have undertaken the responsibility to document the existing level of implementation of National Laws concerning labeling and packaging of imported food products, to analyse and compare with the Indian made food products and similar

imported food products in terms of adherence of the National Laws, to prepare a well-documented campaign kit for the consumer groups in India on the study to sensitize and build awareness among consumers on seeking and demanding mandatory information on all packaged food products.

Food Labeling In India With Special orientation To Codex Guidelines: Food retailers have realized that they should have a fairly good understanding of the general concepts, role and functions of labeling of food products in view of the various kinds of foods available in the market. Consumers in Indian markets are now only buying products that are labelled and the labels should contain true information about the product, safety and its quality having the required standard that may not threaten the health or safety of any single individual. Knowledge of food standards for labeling as prepared by national (PFA) and international authorities (Codex) is essential for food retailers.

The Codex Alimentarius Commission body implements the joint FAO-WHO food standards program, the purpose of which is to protect the health of consumers and to ensure fair practices in the food trade. In view of this, it is pertinent to follow its rules and regulations in matters of food safety and labeling. The decisions made by Codex have profound effects on economics and the health and well beings of citizens around the world. The fact that 165 nations are members of Codex and this membership represents 98 percent of the world's population further illustrates the great influence Codex has.

Most retailers in the organized food retailing industry in India have begun to insist on labeling that has to be standardized as awareness among consumers has increased considerably. Standards on labeling have become mandatory with a specific mention of the name of the food item, and date of manufacture and storage instructions. Where the scope of Codex Standard is not limited to pre-packaged foods, a provision for labeling of non-retail containers may be included. In such cases, the provision may specify that information on provisions shall be given either on the container or in the accompanying documents, except that the name of the product, lot identification, and the name and address of the manufacturer or packer shall appear on the container.

Direct Text Marketing

Direct Text Marketing is the marketing efforts using today modern technologies (mobile phones, laptops, etc..). This includes using a medium which involves text messaging over a mobile device. A very high percentage of Americans today carry around with them a mobile phone. Some carry a PDA (personal data assistant) that has mobile phone capabilities. Direct text marketing uses the same style of direct marketing with the merger of text messaging technology into one viable marketing solution.

Companies and businesses can benefit from using this forum of modern marketing, by sending either promotional content, or discount coupons via text format directly to individuals via their personal mobile phones or PDAs. Since mobile phones or PDAs are very personal technologies, text spamming is usually out of the question. Services

of sending promotional or coupon discounts are usually an opt-in service. Which means a business can not send any content to an individual's mobile device, unless otherwise requested by the individual who owns the mobile device.

Pay Per Click

Pay Per Click (PPC) is an Internet advertising model used on websites, in which advertisers pay their host only when their ad is clicked. With search engines, advertisers typically bid on keyword phrases relevant to their target market. Content sites commonly charge a fixed price per click rather than use a bidding system.

Cost per click (CPC) is the amount of money an advertiser pays search engines and other Internet publishers for a single click on its advertisement that brings one visitor to its website.

In contrast to the generalized portal, which seeks to drive a high volume of traffic to one site, PPC implements the so-called affiliate model, that provides purchase opportunities wherever people may be surfing. It does this by offering financial incentives (in the form of a percentage of revenue) to affiliated partner sites. The affiliates provide purchase-point click-through to the merchant. It is a pay-for-performance model: If an affiliate does not generate sales, it represents no cost to the merchant. Variations include banner exchange, pay-per-click, and revenue sharing programs.

Websites that utilize PPC ads will display an advertisement when a keyword query matches an advertiser's keyword list, or when a content site displays relevant content. Such advertisements are called *sponsored links* or *sponsored ads*, and appear adjacent to or above organic results on search engine results pages, or anywhere a web developer chooses on a content site. Although many PPC providers exist, Google AdWords, Yahoo! Search Marketing, and Microsoft adCenter are the three largest network operators, and all three operate under a bid-based model. Cost per click (CPC) varies depending on the search engine and the level of competition for a particular keyword.

The PPC advertising model is open to abuse through click fraud, although Google and others have implemented automated systems to guard against abusive clicks by competitors or corrupt web developers.

Determining Cost Per Click

There are two primary models for determining cost per click: flat-rate and bid-based. In both cases the advertiser must consider the potential value of a click from a given source. This value is based on the type of individual the advertiser is expecting to receive as a visitor to his or her website, and what the advertiser can gain from that visit, usually revenue, both in the short term as well as in the long term. As with other forms of advertising targeting is key, and factors that often play into PPC campaigns include the target's interest (often defined by a search term they have entered into a search engine, or the content of a page that they are browsing), intent (e.g. to purchase or not), location (for geo targeting), and the day and time that they are browsing.

Flat-rate PPC

In the flat-rate model, the advertiser and publisher agree upon a fixed amount that will be paid for each click. In many cases the publisher has a rate card that lists the CPC within different areas of their website or network. These various amounts are often related to the content on pages, with content that generally attracts more valuable visitors having a higher CPC than content that attracts less valuable visitors. However, in many cases advertisers can negotiate lower rates, especially when committing to a long-term or high-value contract. The flat-rate model is particularly common to comparison shopping engines, which typically publish rate cards. However, these rates are sometimes minima, and advertisers can pay more for greater visibility. These sites are usually neatly compartmentalized into product or service categories, allowing a high degree of targeting by advertisers. In many cases, the entire core content of these sites is paid ads.

Bid-based PPC

In the bid-based model, the advertiser signs a contract that allows them to compete against other advertisers in a private auction hosted by a publisher or, more commonly, an advertising network. Each advertiser informs the host of the maximum amount that he or she is willing to pay for a given ad spot (often based on a keyword), usually using online tools to do so. The auction plays out in an automated fashion every time a visitor triggers the ad spot.

When the ad spot is part of a search engine results page (SERP), the automated auction takes place whenever a search for the keyword that is being bid upon occurs. All bids for the keyword that target the searcher's geo-location, the day and time of the search, etc. are then compared and the winner determined. In situations where there are multiple ad spots, a common occurrence on SERPs, there can be multiple winners whose positions on the page are influenced by the amount each has bid. The ad with the highest bid generally shows up first, though additional factors such as ad quality and relevance can sometimes come into play.

In addition to ad spots on SERPs, the major advertising networks allow for contextual ads to be placed on the properties of 3rd-parties with whom they have partnered. These publishers sign up to host ads on behalf of the network. In return, they receive a portion of the ad revenue that the network generates, which can be anywhere from 50% to over 80% of the gross revenue paid by advertisers. These properties are often referred to as a *content network* and the ads on them as *contextual ads* due to the fact that the ad spots are associated with keywords based on the context of the page on which they are found. In general, ads on content networks have a much lower click-through rate (CTR) and conversion rate (CR) than ads found on SERPs and consequently are less highly valued. Content network properties can include websites, newsletters, and e-mails.

Advertisers pay for each click they receive, with the actual amount paid based on the amount bid. It is common practice amongst auction hosts to charge a winning bidder just slightly more (e.g. one penny) than the next highest bidder or the actual amount

bid, whichever is lower. This avoids situations where bidders are constantly adjusting their bids by very small amounts to see if they can still win the auction while paying just a little bit less per click.

To maximize success and achieve scale, automated bid management systems can be deployed. These systems can be used directly by the advertiser, though they are more commonly used by advertising agencies that offer PPC bid management as a service. These tools generally allow for bid management at scale, with thousands or even millions of PPC bids controlled by a highly automated system. The system generally sets each bid based on the goal that has been set for it, such as maximize profit, maximize traffic at breakeven, and so forth. The system is usually tied into the advertiser's website and fed the results of each click, which then allows it to set bids. The effectiveness of these systems is directly related to the quality and quantity of the performance data that they have to work with-low-traffic ads can lead to a scarcity of data problem that renders many bid management tools useless at worst, or inefficient at best.

History

In February 1998 Jeffrey Brewer of Goto.com, a 25-employee startup company (later Overture, now part of Yahoo!), presented a pay per click search engine proof-of-concept to the TED conference in California. This presentation and the events that followed created the PPC advertising system. Credit for the concept of the PPC model is generally given to Idealab and Goto.com founder, Bill Gross.

Google started search engine advertising in December 1999. It was not until October 2000 that the AdWords system was introduced, allowing advertisers to create text ads for placement on the Google search engine. However, PPC was only introduced in 2002; until then, advertisements were charged at cost-per-thousand impressions

Although GoTo.com started PPC in 1998, Yahoo! did not start syndicating GoTo.com (later Overture) advertisers until November 2001. Prior to this, Yahoo's primary source of SERPS advertising included contextual IAB advertising units (mainly 468x60 display ads). When the syndication contract with Yahoo! was up for renewal in July 2003, Yahoo! announced intent to acquire Overture for \$1.63 billion.

New Media Marketing

New Media Marketing is a relatively new concept used by businesses in developing an online community, which allows satisfied customers to congregate and extol the virtues of a particular brand. In most cases, the online community includes mechanisms such as blogs, podcasts, message boards, and product reviews, all of which contribute to a transparent forum to post praises, criticisms, questions, and suggestions.

One of the primary arguments to promote New Media Marketing is the premise that traditional advertising is losing its influence on consumers. Backed by statistical evidence demonstrating a growing trend of consumers making purchasing decisions off Internet research and referrals. These advocates strongly adhere to the notion that consumers

are more inclined to believe feedback from like-minded peers than corporate marketing verbiage dispersed through traditional television, radio, direct mail, or newspaper advertising.

Although businesses would be exposing certain weaknesses to the marketplace by allowing individuals, or even competitors, to post critical comments, responding with an honest and transparent answer designed around solving the issue at hand may mitigate potential risks. New Media Marketing is most effectively marketed by Internet-driven technology such as blogs, RSS, Web video productions, and podcasts

Social Marketing Intelligence

Social Marketing Intelligence is the method of extrapolating valuable information from social network interactions and large data flows that can enable companies for example; to launch new products and services into the market place at greater speed and at significantly lower cost. This is a very new area of research however, companies using social marketing intelligence have achieved drastic improvement in marketing campaigns. Through Social Marketing Intelligence companies can identify the people that are the most influential within their communities. These are the most connecting and connected people within any given social network. According to Xtract these people, called the Alpha Users or Hubs, have considerable influence over the spread of information within their social network.

Alpha Users

Alpha Users are key elements of any social networks, who manage the connectivity of the core members of the community. Similar to how viruses spread in nature, there is an initial starting point to communications in social networks, and the originators of such communications are Alpha Users. They tend to be highly connected users with exceptional influence to the other thought-leaders of any social network.

Before digital communications, it was only possible to isolate the most influential members of any community by interviewing every member and tracing their full communication patterns within the social network. Traditional fixed landline telephone and internet use did not give enough accuracy to be able to pinpoint Alpha Users to a meaningful degree. With the advent of mobile phones, a personal digital communication channel was available to study. Early research by mathematicians at Xtract in Finland produced models that suggested mobile networks could indeed track the full communication and isolate the Alpha Users. Since then several companies including Xtract have launched commercial tools to detect Alpha Users, usually using mobile operator billing and telecoms traffic data.

Today modern Engagement Marketing campaigns attempt to use Alpha Users as spokespersons in marketing and advertising. The idea is that consumers will trust more the opinion of their friend or known contact from a social network, than the random marketing and advertising messages of companies and brands. The desire is to achieve

viral marketing effects by which the Alpha Users would spread the messages further. Alpha Users were first briefly discussed in public in the book *3G Marketing* by Ahonen, Kasper and Melkko in 2004. The first industry article about Alpha Users was by Ahonen and Ahvenainen in *Total Telecom* in February 2005. The first telecoms conference where Alpha Users were explained was the 3G Mobile World Congress in Tokyo in January 2005. The topic was part of the strategy keynote address at the 3GSM World Congress in Cannes in February 2005. The first book to discuss Alpha Users at length was *Communities Dominate Brands* by Ahonen and Moore in 2005.

Internet Marketing and Objectives

Every business needs to have objectives which should be SMART. Whether you are an online business or a combined clicks and mortar business, you need to have targets to aim for.

Objects of an Online Business (Clicks Business)

If your business is solely based online your objectives could be:

1. To inform users of your web presence and the benefit your website offers over its competitors.
2. To persuade users to use the services of the firm. This could be done by offering a discount for a limited time.
3. To make sure the business is listed in all the most popular search engines and directories.
4. Keep customers updated of any new products or changes to business services.
5. Make sure that customer have a pleasant website experience by continuously improving the navigation of the site.
6. To aim for sales of x amount and net profit of x amount in a given period.

Objectives of a Clicks and Mortar Business

If a business has a clicks and mortar strategy their objective maybe:

- To reduce costs by moving some of their operations online.
- To integrate online and offline strategies to maintain and improve relationships with customers. This could be by offering reserve online and pick up in store strategies like some retailers do.
- The company's strategy should support the overall marketing objectives of the firm this maybe to increase overall market share or profit.
- To promote both online and offline activities.

Market Research and the Internet

The internet is a great tool to help the organisation conduct research. Secondary data can easily be collected online, and primary data can be collected via clever use of online surveys. Market and Marketing research is essential for the company to stay

ahead of its competitors and for the firm to provide what customers need. Technology is advancing and the way firms conduct their research is changing. The internet can be used to conduct research in a number of ways.

Cookies

Each time a user visits a website small text files called cookies are left on the computer, these files give an indication to the web companies what pages you have visited, and if you log into your account you have a customised view all the time. In terms of research cookies tell the website owner what pages you visit frequently, how long you spend on that page and how you navigate around the website. This information can help the firm develop a better customised experience for the user and help them develop a website which becomes more user friendly over time.

Competitor Analysis

The internet allows the company to research a competitor to analyse their marketing mix strategy online, their financial information, by looking at annual report of accounts or financial analysis done by independent websites. Also any rumours of product launches can be investigated online.

Usage Analysis

Businesses need to know how popular the internet is, and how long users spend online and what purchase patterns are like online. There are many websites that will give you this information. A quick Google search will give you a list of websites that will offer you that data to buy. The trend in the UK is towards more users spending time online not only for online shopping but also for social interaction via the use of Facebook and MSN.

E-Marketing Mix

Traditionally the marketing mix is co-ordinated so efficient product, price, promotion and place strategies are developed for products purchased over the counter.

The internet is changing the way we sell our products and services. That's a fact. Consumers now use the internet to research and purchase products/services online. Organisation now need online strategies to attract and retain customers. The e-marketing mix considers the elements of presenting the marketing mix online. Lets look at it in more detail.

E-product Strategies

We walk into a shop and see a product we like, we can assess it, touch it. Online, this immediate tangibility disappears. But, is that a disadvantage? Within the uk e-commerce sales are increasing at extremely high rates. Why? What does buying products online offer over one to one sales? Firstly there are clear online facts about the product you are

purchasing. The buyer knows immediately about product features, the facts, not a sales persons assumptions. www.comet.co.uk a UK electrical store offers clear information on products and their specification, consumers know what they get if not there is a customer service number where they can find out more.

The buying process is also customised for returning visitors, making repeat purchases easier. Organisations can also offer immediately ancillary products along with the main purchase.

For example, the chance to buy extra printer cartridges along with your purchase of your printer online. The product can also be customised to consumers needs. www.nike.com offer customised trainers to users online. Users can design and see their trainers online before they order!

E-price Strategies

As mentioned in our marketing mix section, pricing is always difficult to do and must take into account many considerations. Traditionally pricing was about finding about your costs, discovering how much consumers are willing to pay, taking account competition pricing then setting your price. The internet has made pricing very competitive. Many costs i.e. store costs, staff cost have disappeared for complete online stores, placing price pressures on traditional retailers.

The internet gives consumers the power to shop around for the best deal at a click of a button. Website such www.kelkoo.com compare products from different websites informing consumers of where the best deal is. Such easy access to information helps to maintain prices within the online world.

The growth of online auctions also helps consumers to dictate price. The online auction company www.ebay.com has grown in popularity with thousands of buyers and seller bidding daily.

E-pricing can also easily reward loyal customers. Technology allows repeat visitors to be tracked, easily allowing loyalty incentives to be targeted towards them. Payment is also easy, paypals, or online credit cards use allows for easy payments. However the downside to this is internet fraud, which is growing rapidly around the world.

E-place Strategies

One of the biggest changes to the marketing mix is online purchasing. Consumers can purchase direct from manufacturers cutting out retailers totally. The challenge for online retailers is to ensure that the product is delivered to the consumer within a reasonable time.

Location is important within our place strategy. Online location can refer to where links are placed on other websites. Placing a link on www.google.com home page would generate high consumer traffic for you. Knowing your customer and knowing where they visit should help you understand where to place your online links and advertisements.

E-promotion Strategies

Promoting products and service online is concerned with a number of issues. Having a recognisable domain name is first stage towards e-promotion. Organisation such as egg.com have successfully positioned the brand on the online world as an online bank.

Most organisations today have some form of webpage used in most if not all advertisements. Placing banner advertisements on other webpages is a common form of e-promotion. Banner ads must be placed where potential customers browse. Web public relations (WPR) is another approach to promoting online. News worthy stories based on product or service launches can be placed on the companies webpage, or WPR articles sent to review sites for consumers to read. Hopefully this form of online promotion will pull the consumer in. Direct email is a popular and common form of e-promotions, although slowly becoming the most hated by many consumers. Organisations can send e-leaflets to hundreds and thousands of respondents, hoping a small percentage will reply. The problem is that for every 100 emails sent the response rate will be 1-2%. Direct emailing is also known as SPAM which stands for Sending Persistent Annoying eMail. (SPAM). To summaries e-promotion includes:

- Banner promotions
- Web public relations (WPR)
- E-leaflets
- Having a domain name.

The e-marketing mix must work together and support each other if the company is to have a successful online marketing strategy.

Relationship Marketing and the Internet

Relationship marketing is all about keeping the customer for the long-term. The life time value the customer has to offer. Traditionally the firm would develop a number of strategies to try to get the customer coming back to their stores. These strategies have evolved for the online world, and it is has become a challenge to try to make customers visit and purchase products from their websites regularly. Some strategies used to develop relationship with customers online include:

Customisation: Customer can customise their products online to give them a unique experience. Shoe manufacturer Nike and car manufacturer Mini Cooper allow their customers to customise their products when visiting their website. Giving users an interactive experience online.

Online questionnaires: Many retail websites are asking customers to feedback their experience of using the website almost instantly after they complete using their site. The information has the advantage of being analysed very quickly so the firm can offer what users need.

E-vouchers: Regular customers are often sent e-vouchers that give them discounts off their next purchase. Vouchers can be targeted around what the customer frequently buys. Firms may calculate that this particular customer has not purchased from them for a while and send a voucher enticing them back, to try and re-establish this online relationship.

Online chat: To recreate the shopping environment some websites are offering the ability to chat via webcam or chat window. This gives the opportunity for user to talk to sales persons via the web. Dell offer this facility online, where user can query computer specifications. By trying to recreate this interactivity customers may shift or secure their loyalty to a particular online firm.

Customer Service and Contact: A key to maintaining online relationships is how the customer is looked after, after the sale is complete, the post-transactional strategy. If a product is faulty, is it easy for the customer to return it? Some online electrical firms allow the customer to log the fault, print a returns number, and a date for pick up from their home. This is quite straight forward. If the customer feels that the process for returning and liaison with the online retailer is rather long, the chances are loyalties would shift. With technology changing at a very fast rate the experience of the user will become more interactive and this interactivity maybe the key to secure long-term online relationships.

Sales Management

Sales management is attainment of an organization's sales goals in an effective & efficient manner through planning, staffing, training, leading & controlling organizational resources. Revenue, sales, and sources of funds fuel organizations and the management of that process is the most important function.

Sales Management Process

The four phase-model of Management process is one of many useful frameworks for planning the sales process. It includes:

1. Conception – What will be offered?
2. Planning – How?
3. Execution – When and at what pace and scale?
4. Control – How will feedback and contingencies be acted upon?
5. Feedback – How we have to integrate and reply back activity to activity?

This model is cyclical, so it is a constant/continuous process.

Sales Management, however, is concerned with the process of encouraging customers to exchange their funds for your services or goods. By contrast, marketing might concern itself with expanding opportunities for installing more processes in more places and expanding or creating new sales channels. For example, a firm might have “walk-in customers.” Sales management would concern itself with the customer experience, the sales dialog (“whats in it for me,” suggestive selling, up-selling, positioning statements, consultative sales), and ultimately closing the sale. This organization's marketing department, on the other hand, would be concerned with developing sales channels other than “walk-in” customers or increasing the volume. For example, out-bound telephonic out-reach might be a viable additional sales channel. Sales management, in turn would be tasked with developing this channel's compensation plan, customer

experience, sales dialog, and closing. Developing a sales management process for the ‘walk-in customer sales process’ might be very different from the ‘out-bound telephonic sales management process.’

Sales Planning

An essential sales leadership role is to establish a sense of purpose or vision and clear direction to get there. A key element of a business’ strategic 12-month plan is to answer the question: “Where will all the sales come from?” The sales plan is not a guesstimate. It takes its direction from the marketing strategy and is based on thorough research and a considered positioning of the company within the market place.

Sales planning involves predicting demand for the product and demand on the sales assets (machines, people, or a combination of both). Failure to plan always means lost sales. Planning insures that when a consumer wishes to purchase the product, the product is available, but it also means opportunities for additional sales are presented and the sales assets are available to exploit these opportunities. Planning should allow for meeting increasing customer demand for more products, services and/or customization as the business is growing, but also react quickly when demand decreases. Sales planning improves efficiency and decreases unfocused and uncoordinated activity within the sales process.

Sales Associate Development

Sales goals are an essential tool. The goals can be very simple (sell so many orders of product A) or more involved, depending upon how involved the sales process is. Ideally, the sales goals should involve encouraging the sales process to be performed and not focus simply on the end result. For example, if the sales process involves a walk-in customer, the sale is important, but the up-sell may be as important. Consequently, the sales goal would involve both metrics.

Sales tracking is an integral part of ongoing planning and development in sales management. Ideally, sales information should be gathered on the sales process and not on the end result. The fact that ten widgets were sold is valuable for accounting purposes, but the fact that so many were walk-ins, so many were out-bound phone sales, and so many were up-sells, and which sales person or asset did what, would be better information.

The most difficult part of tracking selling activities is ascertaining whether or not the activities can be tracked effectively and economically. In the end, management must have measurable methods of knowing if sales representatives are correctly engaging in the activities that produce revenue. This leads to three key metrics: the right activities, the right way, the right amount. An individual sale is a stepwise process and key activities, or “Transitional Milestones”, must be achieved along the way. Sales Management must collect data on how the sales function as a whole, as well as individual sales personnel, are progressing through these “Transitional Milestones” to determine the likelihood of

future revenue. Software used for sales tracking should allow sales team leaders to control sales tasks completion by using reminders and notifications, highlighting overdue tasks, analysing task history, as well as keep detailed information on customers and, as important, the people who did not buy.

If a company's sales task management system is duly implemented, the sales manager is informed about all details of the company's sales process in real time and know who does what, when, and how. The sales management process also deals with the issues of actors trying to maximize profit potentials.

Sales Reporting

The sales reporting includes the key performance indicators of the sales force.

The Key Performance Indicators indicate whether or not the sales process is being operated effectively and achieves the results as set forth in sales planning. It should enable the sales managers to take timely corrective action deviate from projected values. It also allows senior management to evaluate the sales manager.

More "results related" than "process related" are information regarding the sales funnel and the hit rate.

Sales reporting can provide metrics for sales management compensation. Rewarding the best managers without accurate and reliable sales reports is not objective.

Also, sales reports are made for internal use for top management. If other divisions' compensation plan depends on final results, it is needed to present results of sales department's work to other departments.

Finally, sales reports are required for investors, partners and government, so the sales management system should have advanced reporting capabilities to satisfy the needs of different stakeholders.

Solution Selling

Solution selling is a special approach to sales. Rather than just promoting an existing product, the salesperson focuses on the customer's pain(s) and addresses the issue with his or her offerings (product and services). The resolution of the pain is what constitutes a true "solution".

This precise definition is a very accurate one when considering how Keith M. Eades, author of *The New Solution Selling*, defines a solution. In his book, he is quoted as saying:

"So what is the definition of the word solution? The typical response is, "An answer to a problem." I agree with this response but feel it's important to expand the definition. Not only does the problem need to be acknowledged by the buyer, but both the buyer and salesperson must also agree on the answer. So a solution is a mutually agreed-upon answer to a recognized problem. In addition, a solution must also provide some measurable improvement. By measurable improvement, I mean there is a before and an after. Now we have a more complete definition of a solution; It's a mutually shared answer to a recognized problem, and the answer provides measurable improvement."

Origin of Solution Selling

Mike Bosworth founded Solution Selling in 1983, based on his experiences at Xerox Corporation (the Xerox SPIN selling pilot project) began licensing affiliates in 1988. With intellectual property contributions from his affiliate network, the methodology of Solution Selling continued to evolve through the years. He sold the intellectual property in 1999 to one of his original affiliates, Keith Eades (CEO and Founder of Sales Performance International).

Bosworth authored *Solution Selling: Creating Buyers in Difficult Selling Markets* and after leaving Solution Selling, he co-authored *Customer Centric Selling*. Less than a decade later, Eades authored an updated version of the Solution Selling methodology released as *The New Solution Selling: The Revolutionary Sales Process That is Changing the Way People Sell* and also co-authored a follow-up guide *The Solution Selling Fieldbook*.

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Wholesaling and Retailing Management

The term wholesaling must be properly defined and differentiated from retailing for the sake of understanding the essence of wholesaling and the manifold problems peculiar to it. The importance of such a distinction arises out of both theoretical and practical considerations. It is essential to the quantitative measurement of each of these segments of our economy. No census enumeration can be made without such a distinction, nor can changes or trends in wholesaling and retailing be properly and respectively gauged without it. Certainly, no analytical study can be made of each of these parts of our marketing system without clearcut definitions.

Practical considerations are sometimes even more vital. One of the most important of these relates to certain types of taxes. Many states and some cities impose a tax on retail sales. The question immediately arises: What is a retail sale? The same is true of many state taxes on inventories or gross receipts. The amount or rate of such taxes may differ in a particular state, depending upon whether they are imposed upon wholesalers or retailers, higher rates generally being levied upon retail inventories or receipts. Furthermore, a number of states impose a chain store tax that applies only to retail establishments.

Another practical consideration concerns federal wage and hour administration. The Fair Labour Standards Act of 1938 set up minimum hourly wages and a maximum work week of 40 hours without overtime pay. This law has been amended on several subsequent occasions to raise the minimum hourly wage and to broaden somewhat the scope of coverage. In general, however, the law has not applied to local retail stores and service establishments. To be exempt from its provisions, an organization must prove

that its business is that of a retail, not a wholesale, establishment. For purposes of complying with the provisions of the Robinson Patman Act, a seller may have to distinguish clearly between wholesalers and retailers and between wholesale and retail transactions of customers. For example, assume that a manufacturer decides to give wholesalers who buy from him a so-called functional discount of 20 per cent as compensation for wholesaling services, with this discount to be deducted from the price charged to retailers for the same goods. Such a manufacturer is then confronted with two problems: first, of determining who is and who is not a wholesaler; and second, in the event of a split-function establishment (i.e., one that operates partly at wholesale and partly at retail), on how much of the total volume of purchases may such a discount be allowed. In such cases, the Federal Trade Commission has held that such a wholesaler is entitled to the functional discount referred to above only on that part of his purchases which he resells in a wholesale manner.

That position obviously raises many complications and insurmountable practical difficulties, especially when similar or identical goods are bought from a variety of sources and it is impossible to determine whose products were sold at retail and how much. The foregoing considerations are merely a few examples of the need for clarification of concepts, but they are deemed adequate to demonstrate that both the student of marketing and the marketing executive encounter many analytical and practical business management problems which call for clear definitions of wholesaling.

DEFINING WHOLESALING TRANSACTIONS

Before a correct concept of wholesaling can be formulated, it is essential to understand the nature of a wholesaling transaction, for the composite of such transactions makes up the total of wholesaling or wholesale trade. In attempts to define such a transaction several bases have been used, the more pertinent of which are:

- Price
- The quantity of goods involved in the transaction
- Method of operation of the selling concern
- Status or motive of the purchaser

PRICE

It is often assumed that there are more or less normal retail prices for goods purchased by ultimate consumers and that the sale of a given commodity at a price substantially lower than the so-called normal retail price is probably "wholesale." While retail prices are usually higher than wholesale prices, this is not universally true and cannot be determinative in ascertaining the basic nature of a transaction. Loss leaders featured by price-cutting retailers are illustrative.

Advertised bargains are sometimes sold to ultimate consumers at prices below those quoted by wholesalers to their regular retail customers. Similarly, clearance sales not

infrequently feature some items at a price less than the actual wholesale cost to the store. Despite such lower prices, there is no doubt about the retail character of these transactions.

Quantity Sold

The term wholesale, or sale in whole rather than in small quantities, suggests a definition based upon the quantity of the merchandise involved in the transaction; hence a wholesaler is commonly thought of as one who buys and sells in large quantities, while a retail store is characterized by numerous small sales.

Actual practice, however, vitiates this basis for distinction as it is not uncommon for a druggist, for example, to buy from his wholesaler one-twelfth of a dozen of an item or some other very small quantity. No one would argue that this is a retail transaction.

The federal courts, too, have declared time and again that "Whether a buyer is a wholesaler or not does not depend upon the quantity he buys. It is not the character of his buying but the character of his selling which marks him as a wholesaler. Nevertheless, the quantity in a transaction, especially when viewed in the light of normal experience in a given line of trade, tends to indicate the nature of the transaction-whether wholesale or retail-but is by no means determinative.

Seller's Method of Operation

The method of doing business of the selling concern throws some light on the nature of the business. There are certain principal attributes of a wholesale establishment, just as there are such attributes that characterize a retail store. A wholesale establishment usually employs outside salesmen, does not normally make sales over the counter to any substantial degree, and is not open to the general consuming public. In addition, its credit operations as judged both by procedure and services used are different from those employed by retailers.

Wholesalers also belong to different local, sectional, and national trade associations or other groups. But it must be remembered that not all sales even by bona fide regular wholesalers are at wholesale, for to some extent many of them also sell to ultimate consumers for personal or household consumption. Similarly, it is not unusual to find a retail store selling merchandise to another retail store for purposes of resale or selling in substantial amounts to firms purchasing for business or industrial use.

Consequently, this criterion of method of operation, while generally indicative of the nature of transactions, is, like the quantity involved in the transaction, far from being determinative.

Purchaser's Status or Motive of the Purchaser

The clearest distinction between wholesaling and retailing transactions is that based upon the status or motive of the purchaser.

Theoretical Approach

On the basis of this criterion, all sales made to ultimate or individual consumers who buy the goods for their own use or for the use of their family constitute retail sales. It is equally clear that all goods, regardless of quantity involved, that are purchased by a customer for resale to his customers are sold at wholesale.

Thus, when a service station operator buys a single tire for resale to a customer, the transaction is wholesale. But a problem arises when goods are purchased, not for resale, but for further processing or as machinery and equipment to be used by a manufacturer, a retailer, a restaurant, or a builder of homes. While the purchased product in such cases is not to be resold in the same identical form, it becomes part of the cost structure of the buyer and must be recovered by him, either immediately or eventually, in the prices received for the products or services that he sells, if he is to continue operation on a sound business basis and contribute to the production of economic values. Business purchasers, whether they buy for resale or for business use, occupy a position in the productive process and expect to add some value by virtue of making the purchase.

Ultimate consumers or purchasers at retail, on the other hand, are clearly set apart by virtue of status or motive, inasmuch as their objective is to use up or derive personal satisfaction from the economic values previously contributed. Wholesaling, then, according to the clearest distinction that can be made, includes all marketing transactions in which the purchaser is actuated by a profit or business motive in making the purchase, whether the goods are purchased for resale in the same form or for use in the business or industrial process.

Practical Modification

The above approach, while theoretically sound, under certain conditions presents insurmountable difficulties in a practical attempt to classify business transactions according to their wholesale or retail character. Such difficulties arise especially in connection with the purchase of goods for business use, when such goods are bought in an establishment operated essentially as a retail store (i.e., one that is open to the public and is so generally recognized) and are purchased in small quantities and perhaps also at the regular retail price.

In instances of this kind, it would be exceedingly difficult to distinguish the business purchaser from the ordinary consumer and, indeed, in most instances there may be little practical reason for attempting to do so. In the light of this problem, it is appropriate to modify the foregoing definition of wholesaling so that it is more workable under the stated conditions.

Wholesaling, from such a viewpoint, includes all transactions in which the purchaser is actuated by a profit or business motive in making the purchase, except for transactions that involve a small quantity of goods purchased from a retail establishment for business use, which transactions are considered as retail.

This means that the following types of sales generally fall within the province of wholesaling:

- Sales by manufacturers or their sales branches to wholesalers and other types of wholesale middlemen
- Sales to retailers of all kinds
- Sales to restaurants and hotels
- Sales to manufacturers, mines, oil well companies, fisheries, railroads, public utilities, and government departments
- Sales to barbers in the form of supplies and equipment; the same applies to all sales of equipment and supplies by all so-called supply houses, so long as such equipment and supplies are not purchased by ultimate consumers for their own personal use
- Sales of laboratory or office equipment and supplies to professional men such as doctors and dentists
- Sales of building materials to contractors, except when they act as agents of the home owners
- All operations and activities of middlemen who in some way aid in the transfer of title to goods when such goods are not sold to ultimate or individual consumers; in this group are naturally included brokers, resident buyers, purchasing agents, selling agents, manufacturers' agents, and the like.
- All purchases of farm products for resale to others than individual consumers, irrespective of whether such purchases are made directly from middlemen

The following types of transactions, while within the theoretical framework of wholesaling, are illustrative of sales that, for practical reasons under certain conditions, are considered as retail.

- Purchase of one set (four or five) of tires by a retail grocer from a gasoline service station or a tire company's retail outlet, to be mounted on the grocer's delivery truck
- Purchase of miscellaneous office supplies by a lawyer in the stationery department of a department store
- Purchase of several items of upholstered furniture from a retail furniture store, by a manufacturing company, to furnish a reception room for visitors to the plant.

WHOLESALE OR WHOLESALE TRADE

The various criteria which have been used, correctly or incorrectly, to define or indicate the nature of a wholesaling transaction have given rise to three main concepts concerning the totality of wholesaling which are identified with the following:

- All wholesaling transactions, no matter by whom performed
- The operations of wholesalers
- The operations of all wholesale establishments

Broad Conception

From a broad but entirely proper viewpoint, wholesaling embraces all wholesaling transactions, regardless of the character of the institution performing the wholesaling functions. It includes, therefore, all sales by agricultural producers, producers in the extractive industries, factories and processing establishments, except such sales as may be made by them to ultimate consumers; it includes, obviously, the sales of all wholesalers and other establishments operating in a wholesale manner, except for the retail sales of split-function concerns; it includes, moreover, all sales by retailers to other retailers who buy for resale and sales by them to business users when such users are readily distinguished from ultimate consumers because the quantity purchased is more than an ultimate consumer would ordinarily buy.

A broad conception of wholesaling, moreover, might well include the marketing of various kinds of business services. Some types of services are marketed to other business organizations for purposes of resale, certain types of automotive repair services which are sold by an automotive dealer and billed to the consumer by him, but where the work is actually done by a specialist (e.g., automotive glass shop or air-conditioning establishment) who regards his relationship with the automotive dealer as being of a wholesale nature.

Business services which are not resold to the consumer in the same form as rendered become part of the cost structure of the buyer in the same manner as the purchase of industrial goods and are therefore of the same economic significance and import, and differentiated from the marketing of consumer goods and services.

The Narrow Conception

In ridiculous contrast to the broad concept is the narrow viewpoint, commonly held by laymen, that wholesaling is confined to the operations of regular wholesalers or of those who call themselves wholesalers, and even then it may be limited to their sales to retailers for resale to ultimate consumers. The unrealistic nature of the narrow concept is demonstrated by the fact that very few wholesalers sell exclusively to retailers but number among their customers various business users and institutional buyers.

The view is misleading, furthermore, because it fails to reflect the operations of thousands of specialized establishments that do business primarily in a wholesale manner, often just like regular wholesalers, but are not owned or operated by wholesalers.

The Middle View Wholesaling in Terms of Establishments

While the narrow view of wholesaling is utterly preposterous, there are practical reasons for considering wholesaling in a somewhat less comprehensive view than the broad concept explained above.

A middle and a very valuable conception is one based on the institutional structure of business establishments primarily engaged in wholesale trade. This view includes all transactions of such establishments, regardless of whether they are owned and

operated by wholesalers, other wholesale middlemen, retailers, farmers, or manufacturers. It does not include, however, the wholesaling activities of manufacturers or retailers who do not maintain separate establishments for such purpose. It is this concept that forms the basis for the discussion of our wholesaling structure, and it is this concept that underlies the various data collected and presented by the Censuses of Business and by the U.S. Department of Commerce. For purposes of this book, however, when the term wholesaling is used without direct reference to the structure, it refers to the broader conception and embraces all transactions conducted on a wholesale basis, regardless of who performs them.

Just as there is a difference between retail sales and retail store sales, so there is a difference between the total of all wholesaling transactions no matter who performs them and the wholesale trade of wholesale establishments. Regardless of viewpoint, it is essential that the terms wholesale establishment and wholesale transaction or sale be carefully defined, for each figures in every concept of wholesaling or wholesale trade. Each of these two terms defies simple and categorical definition. This has already been shown in part in the preceding discussion of wholesale transactions. The meaning of the term wholesale establishment also has given rise to considerable controversy and calls for at least a brief discussion at this juncture.

Wholesale Establishment

A wholesale establishment may be defined as a recognizable place of business that is primarily engaged in performing marketing functions, including the functions of exchange, on the wholesale level of distribution. Such an establishment may be owned and operated by a bona fide wholesaler who takes title to the goods, by a wholesale middleman like a broker or commission man who does not take title to the goods in which he deals, by a manufacturer, by a farmer or group of farmers, or by a retailer.

This is the general sense in which the term has been used by the Bureau of the Census and by other federal agencies, and this is the sense in which the courts have so far ruled that the term should be generally taken. But the very definition just given implies possibilities for friction and difference of opinion on several scores. Among the most controversial questions are the following:

- What is an establishment?
- Is ownership of an establishment pertinent to its classification as a wholesale establishment?
- How is primary emphasis upon marketing activities to be determined?
- What proportion of the total business of an establishment must be done in a wholesale manner for it to be classified as a wholesale establishment?

The term establishment refers to a single place of business. It is not synonymous with a company, a corporation, an organization, or an enterprise, unless such company, corporation, organization, or enterprise is coextensive with the single physical place of business. The place of business need not be an entire building but may be only part of

a building, store, office, warehouse, or even part of a home from which business is regularly transacted. Under certain situations, a physically separated place of business may consist of more than one building. For example, lumber yards and petroleum bulk stations usually consist of fenced yards or grounds enclosing a number of structures and various types of physical facilities, but all are occupied and operated as a single business establishment. All physical places of business operated by a single organization cannot, however, be considered as consisting of a single establishment.

This has been made emphatically clear in important federal court decisions relating to chain store organizations. In a case where a defendant was seeking exemption from the provisions of the Fair Labour Standards Act, it was claimed that the company consisting of 2,300 retail stores, 11 warehouses, a main office, and several manufacturing plants was, in the aggregate, a retail establishment. The court denied most vigorously this assertion in stating that to regard the entire business of a chain organization of this kind as a single establishment "would do indescribable violence to the word 'establishment.'"

The question as to whether ownership of a place of business is determinant in establishing its wholesale character has usually concerned the treatment to be given chain store and department store warehouses. Places of business owned by manufacturers and by farmers' marketing organizations, if operated in a wholesale manner, have been regularly considered as wholesale establishments.

It has often been claimed, however, that warehouses operated by chain store organizations for the purpose of supplying the retail units of the organization are but part of the retail business of the enterprise. Even the Bureau of the Census has succumbed to this untenable view by failing to include the sales of such establishments in the Censuses of Wholesale Trade for 1935 and thereafter, despite authoritative protestations and contrary to the treatment in the Censuses for 1929 and 1933.

To say that chain store warehouses are retail establishments because they are part of a retail organization makes no more sense than to say that a wholesale establishment operated by a manufacturing company is a manufacturing establishment, or that a wholesale place of business operated by a group of farmers is but a part of farming. Whether a given place of business is a wholesale establishment is purely a matter of what it does, how it functions, and whether it operates basically in a wholesale manner. The functional basis rather than the ownership basis of distinction has been consistently followed in judicial interpretations.

The question as to whether an establishment is primarily engaged in marketing functions arises in various kinds of borderline cases in which it appears that a place of business might be considered either as a manufacturing or as a wholesaling establishment.

Manufacturing is concerned with the creation of form utility and many wholesaling organizations are engaged in this, at least to some extent. Illustrative are wholesale grocers who roast and grind coffee or grade and package tea or spices, glass jobbers who cut window or plate glass to order and grind or polish edges, and industrial wholesalers who cut and thread pipe or fittings to the specifications of customers. When

such manufacturing or processing activities are merely incidental to the performance of wholesaling functions, the establishment is regarded as wholesaling in character.

On the other hand, there are many places of business that make wholesale sales but in which the primary function is that of manufacturing. Examples include flour mills, food canning plants, automobile assembly factories, and paper mills. Such establishments usually exist basically for the purpose of giving useful form to the product, and thus they are enumerated as manufacturing establishments or factories and are outside the scope of the wholesaling structure, as conceived in the middle or establishment viewpoint. Between these two rather clear-cut categories are a number of places of business of more doubtful status, and even the best informed persons find it difficult to effect a definite classification. An example is afforded by milk-bottling plants, which were included in the 1948 Census of Business as wholesaling establishments, because the preponderance of opinion at that time was that they were primarily engaged in marketing milk products.

By the time of the 1954 Census, however, such plants were classified among the manufacturing industries, because it was considered that they were primarily engaged in form utility creation, including the separation of milk and cream, pasteurization, homogenization, and bottling of milk, and often the processing of related products such as butter, cottage cheese, and ice cream.

The question pertaining to the proportion of wholesale business required for classification as a wholesale establishment arises only in cases involving single places of business that operate both in a retail and in a wholesale manner. There are varying viewpoints on the matter.

The most logical requirement is that followed by the Bureau of the Census in which the majority, or over 50 per cent, of the business, in dollar volume, is governing. Thus establishments are placed in retailing or in wholesaling categories according to their major activity. For purposes of the wage and hour provisions of the Fair Labour Standards Act, a broader rule was adopted. If more than 25 per cent of the sales are wholesale, the establishment is recognized as wholesale and forced to comply with the provisions of the Act. Such a ruling undoubtedly has stemmed from the position repeatedly taken in U.S. Supreme Court decisions that for purposes of exemption a law should be construed narrowly and for purposes of coverage it should be interpreted broadly.

VOLUME OF WHOLESALE TRADE

The total volume of wholesale trade is generally an unknown quantity because data for all wholesaling transactions, as viewed from the truest and broadest concept discussed above, are not collected and published.

For practical reasons already indicated, the measurement of wholesale trade is restricted to the volume of business transacted by wholesale establishments as recognized by the Bureau of the Census, and it is the operations of such establishments that constitute the basis for all quantitative data presented in this discussion.

Volume of Trade: Wholesaling Structure

The volume of trade transacted by wholesale establishments has fluctuated with changes in business conditions. In Census of Business years prior to World War II, actual volume in current prices declined from a high of \$69 billion in the prosperous year 1929 to a low of \$31 billion in the depth of the depression in 1933, and by 1939, a recovery year, volume increased to \$58 billion. In the highly prosperous postwar year 1948, which was marked by a then unprecedented level of industrial production and business activity, wholesale trade approximated \$190 billion and it increased to \$300 billion for 1958.

A substantial part of these fluctuations is explained by price changes growing out of changing economic conditions. In order to obtain a more revealing picture of the trend in the physical volume of goods distributed by the wholesaling system, it is necessary to adjust sales in current dollars by means of a price index and thus arrive at a physical-volume equivalent expressed in constant dollar values.

A comparison of the physical volume equivalents reveals that sales volume data at current prices often convey a misleading impression.

During the depression years of the 1930's, the quantity of goods distributed at wholesale did not decline as substantially as indicated by the actual volume in current dollars. While current dollar volume was less in 1939 than in 1929, physical Volume was actually somewhat greater. Again, although the 1948 sales volume was some 2.9 times the 1929 level, much of this is explained by a higher level of wholesale prices. The physical volume of trade in 1948 was actually only 1.8 times that of 1929. Between 1948 and 1958, the dollar volume at current prices increased by 58 per cent, but in terms of physical volume the increase was only 38 per cent.

Major Segments of Wholesaling Structure

Based upon types of establishments, the wholesaling structure consists of six major segments. Four of these are classes which are distinguished according to the ownership and method of operation of establishments, as follows:

- Wholesalers: merchant establishments operated by concerns that are primarily engaged in buying, taking title to, usually storing and physically handling goods in large quantities, and reselling the goods, usually in smaller quantities, to retailers or to industrial or business users.
- Manufacturers' sales branches: establishments that are maintained by manufacturers apart from manufacturing plants and which are operated by them primarily for the marketing of their own products at wholesale. Some of these have warehousing facilities where stocks of goods are maintained, whereas others are merely sales offices. Many of them also wholesale allied and supplementary lines purchased from other manufacturers.
- Agents and brokers: functional middlemen who do not, for all or most of their business, take title to the goods in which they deal but who negotiate

sales (or purchases) for clients or principals. They are compensated in the form of commissions on sales or purchases.

- Chain store warehouses: establishments that are operated by retail multiunit organizations primarily for the purpose of assembling and distributing goods and performing other wholesale functions for the stores of such organizations.

Two additional classes are distinguished, not on the basis of ownership, but because of the unusual character of their physical facilities or method of operation.

These are:

- Petroleum bulk stations: places of business engaged primarily in the storage and wholesale distribution of gasoline, oil, or other bulk petroleum products. These may be independent like wholesalers, or owned and operated by petroleum refining companies like manufacturers' sales branches, or by chains of gasoline service stations like chain store warehouses. They are segregated from wholesalers, manufacturers' sales branches, and chain store warehouses, because of the peculiar nature of their physical facilities, unique method of operation, and dealings basically in the same types of rather distinctive products, regardless of differences in ownership.
- Assemblers: establishments engaged primarily in purchasing farm products or sea foods in growers' markets or producing regions. They usually purchase in relatively small quantities, concentrate large supplies, and thus assemble economical shipments for movement into major wholesale market centers. Such establishments may be owned and operated by merchant wholesaling firms and hence are really part of the wholesale merchant classification; by manufacturers such as food canners or packers and to that extent they are really manufacturers' buying branches; by chain retailing companies and hence are not unlike chain store warehouses with emphasis on buying; or by farmers' marketing organizations.

Establishments operated by wholesale merchants are the most numerous type. They have increased in number substantially and have consistently accounted for about 41 per cent of an increasing physical volume of wholesale trade. Manufacturers' sales branches rank second in terms of sales volume, and have increased somewhat in importance in recent decades. While outranked numerically by three of the six major segments, they account for 29 per cent of total wholesale trade. Agents and brokers are third in volume of business, and while they have been increasing numerically, they have lost ground in relative volume importance. They transact about 15 per cent of the total volume. These three segments, collectively, account for about 85 per cent of total wholesale trade.

Study of the major components of the structure, reveals that fundamental changes in the general character of the wholesaling system are not to be expected over a relatively short period of time. While the total dollar amounts of trade volume and even of the physical volume of goods distributed change drastically with business conditions, the

relative proportions allocated by the competitive economy among the various segments tend to remain fairly stable except where certain general upward or downward trends are discernible over an extended period of years.

Retail and Wholesale Trade Compared

Most laymen, if asked to speculate about the relationship between total volume of retail and wholesale trade, would likely reason that retail trade is ordinarily considerably larger. Two logical arguments might be advanced in support of such a conclusion.

First, it may be reasoned that sales at retail usually involve a higher price and that, therefore, retail sales should naturally be higher by the amount of the retailer's margin. Second, it might be stated that many retailers do not purchase all of their goods from wholesale establishments and that such purchases, while wholesale in nature, are not included in the data for the wholesaling structure. Sales to retailers direct from factories not maintaining branches or sales offices, or sales to retailers direct from agricultural producers not operating specialized wholesale assembly establishments are not covered in enumerations of wholesale trade as reported by the Bureau of the Census.

Such arguments, while logically tenable, are responsible for a widely prevalent misconception regarding relative wholesale trade volume. Actually, the total volume of business of wholesale establishments is usually 40 to 50 per cent greater than the total volume of retail store sales. This is shown as follows:

Year	Retail Store Sales (in billions)	Sales of Wholesale Establishments (in billions)	Wholesale Sales as % of Retail Sales
1959	\$ 47.8	\$ 93.0	144.3
1969	41.4	89.6	139.5
1978	128.8	213.3	147.2
1984	170.0	235.9	145.0
1998	199.6	387.5	149.9

In order to provide an explanation for this relationship, it is necessary to consider the various classes of customers served by wholesale establishments and the relative importance of each.

Customers Served by Wholesale Establishments

An analysis by classes of customers reveals that sales by all wholesale establishments to retailers for purposes of resale account for only 38 per cent of the total wholesale trade. Even wholesalers sell less than half their volume to retailers. Some 62 per cent of wholesale trade is either never reflected in retail store sales statistics because the goods are not sold again in the same form, or involves duplication in sales before the goods reach the retail level of distribution.

The second most important class of customers consists of industrial or business users. Sales of installations, equipment, semi-manufactured goods, parts, supplies, or

raw materials account for 36 percent of the total. This includes not only the sale of industrial goods to factories, but the purchase by retailers, wholesalers, and service establishments of goods that are used up or consumed in the business process.

Considerable duplication exists in the wholesale field because of the large amount of business transacted by one wholesale establishment with another wholesale establishment in selling goods for resale. Manufacturers' sales branches, for example, sell some goods to wholesalers and these same goods are sold again by the wholesalers to retailers.

In fact, many wholesale merchants sell to other smaller wholesalers who then resell to retailers. Duplication of this kind accounts for 20 per cent of total wholesale trade. A small proportion of the business transacted by wholesale establishments represents export business, and another small per cent is accounted for by sales directly to household consumers and farmers.

Careful study of the data should serve to dispel certain misconceptions. They reveal clearly why the total volume of wholesale business is considerably larger than the total volume of retail store sales. Data for each type of operation show some important variations within the wholesale structure. For example, it is often assumed that sales made through agents and brokers represent duplications in the wholesaling process. Few people realise the extent to which such functional middlemen are used to serve retailers and industrial consumers, rather than operating completely between the form-utility producer and the wholesaler.

It has also often been assumed that manufacturers' sales branches with stocks are employed primarily as a substitute for wholesalers, that is, as a device whereby the manufacturer assumes the wholesaler's functions when circumventing him in the channel of distribution by selling direct to retailers. Actually the bulk of the sales made by such branches represents sales to industrial users or to other wholesale establishments purchasing for resale. Wholesalers are popularly viewed as agencies engaged in the distribution of consumer goods. While retailers constitute the most important class of customers for wholesalers, almost one-third of their business represents sales to industrial or business users. Information of this kind, when carefully studied and analyzed, gives one a better picture and a keener appreciation of the complexities of the wholesaling structure.

Geographic Concentration of Wholesale Trade

Unlike retail trade, the wholesale trade structure tends to be heavily concentrated in major wholesale trading centers. The degree of geographic concentration of sales volume varies considerably among different classes of wholesale establishments. For wholesalers, the pattern is very similar to that for all wholesale establishments. Manufacturers' sales branches and offices reflect the highest degree of concentration in large cities. This is explained largely by substantial sales to industrial users and other wholesale establishments buying for resale, which customers are heavily concentrated

in major areas. The operations of agents and brokers are also concentrated in the largest wholesale centers to an extraordinary degree. Petroleum bulk plants, which sell primarily to retail gasoline service stations, are dispersed very widely, correlating closely with the distribution of population. Assemblers are to be found chiefly in local growing regions for agricultural commodities. Consequently, their operations are also widely dispersed.

MINIMAL UTILIZATION OF WHOLESALERS

In a few lines of trade, the wholesaler has declined in significance, and in others he was never an important factor. The nature of and reasons for integrated wholesaling can be better understood by giving specific attention to certain industrial market and consumer market examples of minimal utilization of wholesalers in distribution channels.

INDUSTRIAL MARKET EXAMPLES

Much of the industrial market is composed of expensive but technically complex machinery and installations. Because expert advice is often necessary to determine the needs of the user, and in some cases specifications for the manufacture of special products must be drawn by the salesman, wholesalers' representatives having a large line of products are not well fitted for such sales. Demonstrations call for special knowledge possessed only by men trained in the qualities of one line of machinery. Since many such products are of high unit value, direct contact is economically justified.

Semimanufactured goods and parts which enter directly into the manufacture of other more finished items are commonly marketed on the basis of very large contracts, often calling for delivery at periodic intervals. Such products are also frequently made to the specifications of the industrial purchaser thus calling for direct channel relationships.

In the case of agricultural commodities marketed as raw materials, assembling wholesalers tend to be bypassed in favor of direct farmer to processor marketing when commodities are highly perishable and when processing plants are conveniently accessible to farmers as is usually the case when an area assumes specialized production characteristics. Farmers producing cream in Wisconsin or Minnesota, leading dairy product states, are likely to sell direct to local creameries. In Kansas or Nebraska, where there is less emphasis on dairy farming, processing plants are less numerous and more widely scattered. Farmers in these states are more likely to sell to a local assembler who ships cream to processing plants located at some distance.

In the early years of the poultry industry, it was common to sell live birds to local market wholesale poultry dealers who, in turn, would arrange for shipment to poultry processing firms in major central markets. A specialized commercial broiler industry has developed on a large scale since the mid-1930's, with the most significant concentrations of production in the Delaware-Maryland-Virginia peninsula and

northwest Georgia. In these and other important poultry regions, it is common for processors to finance poultry raisers by supplying them with hatchery stock and feed. When the poultry is ready for the market, processors obtain the birds directly from raisers, process them, and then ship dressed birds by fast motor truck to major eastern market centers.

In the marketing of highly perishable commodities with a short processing season, growers and processors are mutually interdependent to an unusual degree. The grower wants to be assured of at least one market outlet before planting, and the processor who markets a given quality of product under an established brand name desires assurance of sources of supply for particular quantities of specific varieties of produce. This has given rise to the common practice of contract negotiations between growers and processors in advance of production, especially in the fruit and vegetable canning and beet sugar industries. Such contracts customarily provide for the farmer to supply the processor with the output of a given number of acres. Prices are sometimes stipulated, or the contract may provide for a specific formula according to which prices are to be calculated at time of delivery. In some cases where the processor has strict quality requirements, he may furnish seed or plants, arrange for periodic crop spraying and dusting, and may actually undertake to harvest the crop at maturity.

Consumer Market Examples

The grocery, drug, hardware, and dry goods trades have always been considered jobbing lines, that is, lines of trade in which the wholesaler predominates. In certain other lines of business, as in automobile accessories other than tires, tobacco products, plumbing supplies, and electrical goods, the wholesaler has been used as the principal method of moving goods from manufacturer to retailer or contractor. In practically all lines of trade the wholesaler has been utilized at least to some degree. There are some industries, however, in which sales are most commonly made by manufacturers to retailers without the use of independent wholesale merchant middlemen.

In the automobile industry the wholesaler was at one time dominant but is now of negligible significance. In the early days of this industry, the industry was characterized by uncertain sales and a low volume of production, manufacturers and retailers with weak financial resources, and a highly concentrated manufacturing centre serving a broad national market. Under such conditions manufacturers sold automobiles predominantly through wholesale distributors to retailers. The distributor organization permitted manufacturers to concentrate on engineering and manufacturing problems when the industry was in the developmental stages; it filled an important financial gap because manufacturers lacked the capital resources required for wholesaling; it performed the storage function necessitated by the seasonal sale of cars; it provided a decentralized system of warehouse depots required to render prompt delivery service to dealers in distant markets; and it provided intensive selling in local markets of the kind needed to build a retail dealer organization. During the 1920's and 1930's the

automobile industry experienced rapid growth and its characteristics were modified in a manner that minimized the need for wholesalers. Manufacturing companies grew in size and were able to command needed capital in the national money markets.

Manufacturing was decentralized through the construction of assembly plants in various parts of the country. Sales finance companies developed to provide special services in financing dealer inventories and sales of automobiles to consumers. Dealers grew in size and stature and concentrated their efforts on one manufacturer's line of cars; as a consequence, they had large annual purchasing requirements from a single source of supply. As a result of these environmental changes, adaptive behaviour took the form of largely supplanting the independent wholesale distributor with direct sales from manufacturer to retailer.

The ready-to-wear apparel industries are examples of situations in which wholesalers have never been of great importance. The men's clothing industry expanded rapidly following the War between the States, as a result of mass production developments stemming from the manufacture of military uniforms during the war period. From the very outset, most manufacturers sent out traveling salesmen to call upon retail clothiers. The production of men's suits is an extremely complicated undertaking requiring a long manufacturing cycle. Orders are usually obtained from retailers in advance of production. The unit value is high, dealers are not relatively numerous; and they must make a substantial investment in inventory. These factors, characteristic of the industry in its early stages as well as in modern times, gave rise to the need for direct contact between manufacturer and retailer. Manufacturers who sell direct to clothing stores and department stores account for 70 per cent or more of the total industry volume of men's suits, and manufacturers who distribute through their own retail stores account for about 20 percent.

The women's ready-to-wear apparel industry is characterized by a concentration of consumer shopping in large shopping centers; by a speedy manufacturing cycle, enabling most vendors to give prompt delivery from the factory on reorders of popular styles; by a limited number of concentrated manufacturing centers which are also wholesale buying markets for retailers; by marked seasonal shifts in the character of demand; and by rapid fashion obsolescence. The major retail outlets operate on a fairly large scale, consisting chiefly of department stores, departmentized specialty stores, and chains of women's ready-to-wear establishments. More than 85 per cent of the output of women's dresses, coats, and suits is sold direct from manufacturer to retailer. In spite of the dominance of direct selling in these industries, wholesalers are used to some extent, especially in supplying smaller retailers in communities. Direct contact in the sale of such items enables a manufacturer to follow up his product and prevent the resale of stale and unsuitable merchandise bearing his label, in this way safeguarding the good will of the consuming public. It also enables him to oversee the care and treatment accorded his product prior to its sale to the ultimate consumer. Perishability may also result from rapid obsolescence, as is the case in much fashion merchandising. Loss

occurs when ladies' ready-to-wear, shoes, or millinery are delayed in passing from manufacturers to retailers. Hence wholesalers have found small opportunity to handle such merchandise, largely restricting their efforts to articles for which fashion changes are less frequent, less drastic, or more predictable.

Desire for Closer Control Over Product

Certain manufacturers strongly desire close control over their products until they reach the ultimate user. This is true, for example, of some manufacturers of furnaces, refrigeration, or factory machinery where success in the long run is dependent to a substantial degree upon the quality of servicing work. In order to insure proper installation and service, manufacturers have in many instances taken over wholesaling functions. In the case of some specialty goods, it may be advantageous for the manufacturer to control also the entire sales programme. Some manufacturers have attempted to accomplish this, at least in part, by integrating the wholesaling and the manufacturing tasks and processes.

Economy as a Motive

A desire to reduce marketing costs by undertaking the performance of the wholesaler's functions leads many manufacturers to direct selling, either with or without branch houses. Many believe that greater volume can be secured, thus reducing manufacturing overhead, and perhaps also the cost of selling may be less than the margin allowed to the wholesaler. Many, however, have learned to their sorrow that elimination of the wholesaler does not eliminate his functions. They have also learned that frequently he can perform these functions more cheaply than can the manufacturer. Many manufacturers have come to the same conclusion; they admit that economy is not usually the basic motive for going around the wholesaler. Economy may be effected only when the manufacturer performs the wholesaling functions more efficiently than, or at least as efficiently as, does the wholesaler.

Dissatisfaction with Wholesaler's Services

An important reason for circumventing the wholesaler, even in lines in which he is generally utilized, is dissatisfaction with his services. Where this feeling exists, it is based on one or more of three grounds. Wholesalers have been charged with:

- Lack of intensive cultivation;
- Indifference or even hostility to a manufacturer's advertising or sales programme promotion; and
- Pushing private brands at the expense of competing brands of manufacturers.

While such allegations are sometimes founded in fact, they often result from a misunderstanding of the nature of a wholesaler's operation. A regular, general-line wholesaler ordinarily carries a number of brands in each product classification and handles a wide range of product classes. He cannot justifiably single out one

manufacturer's product line for intensive selling attention unless he has some special incentive for so doing. Manufacturers who desire to obtain extra selling or merchandising effort from wholesalers usually find it necessary to provide compensation for this by means of additional discounts or promotional allowances, or by giving a wholesaler exclusive rights for distribution within his area of operation.

Direct-Buying Pressure

Pressure for direct channel of distribution relationships often comes from retailers or from industrial customers.

In the hope of obtaining lower prices or gaining certain other buying advantages, large-scale retailers and industrial or business users generally desire to buy merchandise directly from manufacturers. Patronage of wholesalers is then confined largely to fill-in orders. Many smaller stores have attempted direct buying, frequently through participation in one or more buying groups. Advertising allowances and special discounts have often been secured from the manufacturer by large direct-buying retailers, in addition to the lower prices.

In some instances, pressure by retailers for direct-buying arrangements has been accompanied by threats of discontinuing the manufacturer's brand unless such a request is granted. If the retailers in question account for any significant proportion of the manufacturer's sales volume, he may be forced to choose between losing their business or acceding to their wishes.

CONDITIONS FAVORING INTEGRATED WHOLESALING

Regardless of the strength of motives that a manufacturer may have for circumventing the wholesaler in the channel of distribution, this may be impossible or highly impractical. Unless motivation is accompanied by the presence of certain conditions favoring integrated wholesaling, circumvention of the wholesaler cannot be feasible or economical.

The most important of these conditions are a large size of order, a concentrated market, management capabilities, and the feasibility of using partial substitutes for the wholesaler's services. As is shown in the following discussion, certain of these conditions may arise out of the nature of the product, the circumstances of the manufacturer, or the characteristics of the market.

Large Order Size

When it is possible for the manufacturer to make sales in large dollar amounts, then the costs of integrated wholesaling, including maintenance of a sales force, delivery to customers, accounting for sales, and handling credit and collection problems may be relatively small. Such a condition may exist if customers are large-scale organizations, if they handle a very specialized line of goods, if the product is of high unit value, or if the manufacturer sells a wide line of merchandise.

LARGE-SCALE BUYERS

Large-scale retailers and industrial or institutional customers ordinarily purchase substantial proportions of their total requirements directly from manufacturers at advantageous prices, or through representatives other than wholesalers. They buy in large quantities, obtain quantity discounts, secure economies in transportation, and can often store just as efficiently as a wholesale firm. In fact, savings frequently amount to more than that, because they need not employ wholesale salesmen or create outlets for the goods they buy. Furthermore, large retail institutions and industrial users are in a position to maintain an efficient buying staff or purchasing department and to secure favorable terms of credit.

While some manufacturers refuse to sell direct to the retail trade even when goods are purchased in large quantities, because of resentment on the part of wholesale distributors, most of them offer chains and other large retailers merchandise at jobbers' discounts or even more favorable terms. Retaliatory measures by wholesalers are sometimes taken against such manufacturers. The trend, however, has been in favor of direct sale to all large retail enterprises, although a surprisingly large amount of merchandise is bought by even the largest retailers from wholesalers, sometimes as fill-ins and often because the retailers may not care to stock certain items in their warehouses.

SPECIALIZED CUSTOMERS

Because specialty stores handle only a very limited variety of merchandise, their purchases are usually concentrated with a single supplier or with a few manufacturing resources, resulting in fairly large sizes of orders even for small stores. If a store's business consists chiefly of one kind of merchandise, such as men's coats and suits, typewriters, shoes, musical instruments, or cameras, the goods are bought by retailers, and consequently sold to them by manufacturers, in large quantities. Instead of buying a quarter of a dozen suits once or twice a week, a men's clothing store usually places several major orders per year. "Fill-in" orders may be placed by mail without any personal contact between the merchant and a manufacturer's sales representative. Essentially the same situation obtains in industrial marketing. Even quite small manufacturing plants have large purchasing requirements of certain types of materials entering directly into manufacture, owing to the typical highly specialized character of output of the small factory.

UNIT VALUE OF PRODUCT

Numerous products are of such high unit value that only a few units of an item represent a sizable sale. Such commodities are often of a type that require a considerable stock investment by the merchant, service to be given in connection with sale or installation, and the maintenance of a stock of repair parts supplied by the same manufacturer. Examples of such consumer products are automobiles, typewriters, pianos, major electrical appliances, furniture, and furnaces. Some of these products require

such close working arrangements between retail dealers and manufacturers that exclusive agency agreements are made. High unit value of industrial installations and major items of industrial and business equipment contributes to the prevalence of integrated wholesaling by manufacturers of such items, either on a direct-from factory basis or through a branch office system.

Yet even in the case of many such products the wholesaler or industrial distributor occupies a strategic position. Many brands of major appliances, for example, are sold through wholesalers, on an exclusive agency basis. Such an arrangement permits the manufacturer to concentrate his efforts on manufacturing and demand-creation activities. Manufacturing schedules can be planned well in advance, because wholesalers often agree to market a certain quota. Wholesalers also may operate a central service station, thereby aiding dealers or users in their territory with repair business.

Size of the Line Produced

If the manufacturer produces complete lines or families of products, the tendency is to lessen the importance of the wholesaler. Individual orders from retailers or business users under such circumstances may be large enough to justify direct selling by the manufacturer. This is apparently one of the major reasons for integrated wholesaling by certain manufacturers of paint and allied products, cosmetics and toilet goods, sporting goods, cookies and crackers, and office machinery and equipment.

In most such instances of successful integrated wholesaling, at least some favorable conditions in addition to extent of line are also present. Some long-line manufacturers with a history of integrated wholesaling have greatly improved their market position by changing to distribution through wholesalers. The H. J. Heinz Co., for example, distributed its famous "57 Varieties" (actually many more) of food products through its own system of wholesale branches with stocks. The company also had its own sales organization and supported its wholesale distribution system with strong national advertising.

The high costs of wholesaling a limited line tended to restrict personal sales effort and retail distribution to large metropolitan areas. In the late 1950's Heinz abandoned its historic direct-to-dealer system in favor of the use of wholesalers, in order to expand its distribution in small communities and rural areas which account for a sizable proportion of the national food business. The Scott Paper Company which markets a very wide line of industrial paper items through its Industrial Packaged Products Division attracted considerable trade attention in 1960 when it abandoned a programme of widespread direct-to-user selling in favor of almost complete emphasis upon distribution through wholesale paper distributors, with resulting higher levels of sales, fewer shipping points, and reduced selling, handling, and accounting costs. Extent of product line is a factor contributing to the feasibility of integrated wholesaling only when products are somewhat homogeneous, or are sold in combination to the same classes of retail outlets or to the same type of industrial users. Many factories, however, make by-products which, though profitable, do not fit into their regular lines of merchandise.

A paint manufacturer, for instance, may sell linseed oil meal-a cattle feed-which he secures as a by-product when oil is extracted for the paints he manufactures. Unless such a manufacturer is large enough to develop integrated channels for both the major products and for the by-products, wholesalers must usually be used for the marketing of at least one of them.

Concentrated Market

When the buying market for a manufacturer's products is highly concentrated, little travel expense is involved in retailer-manufacturer relationships and transportation economies may be realized. This may be attributable to a density of outlets or to the existence of a strongly developed central market which is visited by purchasers.

Density of Outlets

In the most populous metropolitan areas, large numbers of retailers in the same kind of business are situated in a confined geographic area. Such a concentration of customers may facilitate circumvention of the wholesaler, even in the distribution of convenience goods where transportation costs are an important factor and sales to retailers are frequent. There is such a large number of retail grocers or druggists in a city like New York or Chicago that a manufacturer may justify the establishment and maintenance of local warehouses to which merchandise is shipped in carload quantities and from which prompt deliveries are made to retail stores. Because of the proximity of stores, salesmen may be able to make a large number of calls per day at reasonable cost. A manufacturer who pursues such a policy in major cities may find the wholesaler indispensable in sparsely populated districts where the costs of selling and delivery are too burdensome to justify direct distribution to retailers.

Markets for many industrial products are similarly concentrated. Manufacturers selling to a horizontal industrial market consisting of all manufacturing industries find it significant that nearly one-half of the total number, of manufacturing establishments are located within about 1 per cent of the total number of counties in the United States. Various vertical markets are much more concentrated than this. Manufacturers of machinery and equipment used in shoe manufacturing, for example, find a considerable proportion of the largest users concentrated in four areas, around Boston, St. Louis, in central and southern Ohio, and in Tennessee.

Location in Central Buying Markets

For many items of fashion merchandise, central markets are well developed and are frequently visited by retailers. Manufacturers located in such markets can make a substantial volume of sales to retail store buyers while the latter are in the market. New York City is the leading market for almost all items of women's apparel, but Chicago, St. Louis, Dallas, Los Angeles, and San Francisco are also of substantial importance. Many manufacturers of furniture and house furnishings are able to sell direct to retailers

without incurring much travel or selling expense by maintaining a selling office in the Merchandise Mart in Chicago which is an important market for such products.

Qualifications and Capabilities of Management

The management of the manufacturing enterprise may be well qualified and fully capable of coping with manufacturing problems but may lack the facilities or the ability to deal with the numerous marketing problems incident to the performance of the wholesaling functions when selling directly to retailers or industrial users, especially when potential customers are numerous and widely scattered. In such cases it may be wiser by far to confine operations to manufacturing and to let regular marketing institutions undertake the marketing task, unless the size and financial strength of the enterprise permit an expansion in facilities and management for the proper integration of the two sets of functions.

Feasibility of Using Partial Substitutes for Wholesalers

If a manufacturer is well equipped to assume part of the wholesaler's functions, but not at all of them, he may be able to utilize some special form of marketing organization as a partial substitute for the wholesaler. Some manufacturers who find it desirable and feasible to maintain their own sales organization utilize public merchandise warehouses to handle the physical supply functions of wholesalers. In brief, they receive shipments from the factory, store merchandise, fill orders from stock, and handle deliveries to the manufacturer's customers. They are often operated in conjunction with a manufacturer's sales branch. When a contact is entered into with a public warehouse, there is no outlay of capital, no obligations for a lease are involved, and warehouse space may be contracted or expanded as warranted by trade conditions. Thus, warehousing offers an opportunity to manufacturers of certain goods who seek to go around the wholesaler to keep distribution within their own control.

Where there is no need for maintaining stocks of merchandise in local markets, the manufacturer may be able to utilize the selling services of one of the types of functional middlemen. Each such middleman sells, on a commission arrangement, products of several manufacturers. In the furniture, men's furnishings, and sporting goods field, it is rather common for manufacturers to sell through manufacturers' agents. These middlemen sell more economically than the manufacturer, because they carry several different lines which they sell to the same trade. Orders are transmitted to factories and direct shipments are made to stores.

WHOLESALE ESTABLISHMENTS OF RETAILERS AND MANUFACTURERS

When wholesalers are circumvented in the channel of distribution, the essential nature of wholesaling activities is clearly revealed. Whether the initiative is taken by retailers or by manufacturers, ways and means must be provided to perform the functions that

would otherwise be rendered by independent wholesalers. In some cases, the physical aspects of wholesaling activities are so fused with manufacturing or with retailing, as the case may be, that they are difficult to perceive. When integrated wholesaling is carried on extensively, as in the case of a large, multi product manufacturing company, or in the case of the large, multi-establishment retailing organization, separate facilities are usually provided for wholesaling activities.

Integrated Wholesaling by Retailers

The extent to which retailers have attempted to perform the wholesaling functions when buying direct is difficult to estimate. Smaller retail organizations have generally passed on the wholesaling functions to the manufacturer, but larger companies establish chain store warehouses or other places where reservoirs of goods are held until needed by the store. A chain store warehouse is essentially a wholesale place of business. In many respects its operations are quite analogous to those of a regular wholesaler. It receives goods, maintains inventories, breaks bulk, delivers and bills the merchandise to retail units, and employs supervisors to inspect stores and assist store managers much as do wholesalers' salesmen.

Reliable data on total costs of performing wholesaling functions in chain store warehouses are not available for any recent year from Census sources. Based on historic comparisons and recent trends in payroll costs and related data, it is estimated that average operating expense ratios of chain store warehouses are at least one-third less than the average operating costs of regular wholesalers handling comparable types of merchandise.

The relatively lower probable cost of chain store warehouses may be explained by several factors. First, a large part of the goods included in "sales and billings" of chain store warehouses, especially perishable items, actually moves direct from manufacturer or other supplier to store rather than to chain store warehouse. If the expenses were expressed as a per cent of the total goods actually handled in and through the warehouse, costs would no doubt be higher. Second, the chain store warehouse serves a captive group of customers; hence there is no need for a sales force to solicit business from the retail units. Third, since the retail units are under the same ownership, it obviates any necessity for credit investigations or for collection expense. Fourth, delivery can be streamlined and made less frequently. At the same time, a chain store warehouse undoubtedly incurs more so-called retailing expenses than does the wholesaler.

Many such warehouses maintain personnel and accounting records for company retail stores, and much of the retail sales promotion and advertising work of the organization is performed by personnel employed in the warehouse office, which also often serves as administrative headquarters for the company or for a geographic division thereof. For these reasons, higher operating expenses may be expected for chain store warehouses. Inasmuch as chain store warehouses function very much like regular wholesalers in many ordinary respects and operate in the same kinds of locations with

the same types of personnel and equipment, it is reasonable to conclude that whatever differences there are in total operating expenses probably issue from the distinguishing characteristics indicated above and not from a difference in the level of general operating efficiency.

Indeed, within the grocery trade, certain progressive wholesaler sponsors of voluntary chains are known to have operating expense ratios as low as those commonly achieved by corporate grocery chain warehouses, thus demonstrating that there is no inherent economic advantage for chain store warehouses in terms of operating efficiency.

Operating cost data for department store warehouses have never been collected and published, but it is known that many such establishments can be operated at a relatively low cost in comparison with the value of goods handled through them. As in chain store warehouses, there is no cost for selling or credit extension between the warehouse and the retail departments. A very large variety of items is handled, with the result that seasonal storage requirements of some merchandise are largely offset by different seasonal peaks in other departments. The rate of turnover and volume of business are such that fixed costs of operation are spread over a very large sales volume. In contrast with the typical chain store warehouse, merchandise items moving out of the usual department store warehouse tend to be heavy or bulky items which are delivered direct to the ultimate consumer. Thus the department store warehouse is not engaged in such an extensive range of wholesale redistribution activities as is the wholesaler or the chain store warehouse.

Integrated Wholesaling by Manufacturers

In lines of business where wholesalers are ordinarily an important link in the chain of distribution, most manufacturers have found it necessary to establish branch wholesaling systems in order to effect distribution to nonintegrated retailers. This usually takes the form of branches where stocks of merchandise are maintained, either in the manufacturer's owned or leased warehousing facilities or in space occupied in a public merchandise warehouse. Manufacturers' sales branches without stocks, which are only about two-thirds as important numerically as branches with stocks, and which do only about one-fifth of their business with retailers, are relatively much more significant in industrial marketing so that their total volume exceeds that of the branches with stocks. They operate in a manner that is much more comparable to the drop shipper or to the manufacturers' agent than to the regular wholesaler.

Operating expenses of manufacturers' branches with stocks are generally somewhat lower than those of merchant wholesalers. In 1958 the average cost ratios for all lines of business were 10.8 per cent and 13.4 per cent of sales, respectively, for these two types of operation. Several reasons may be advanced to explain the lower cost ratios for manufacturers' branches. First, these establishments sell a much larger proportion of their goods to other wholesale organizations for resale than do merchant wholesalers. Such transactions ordinarily involve much larger quantities than sales to retailers and

are accompanied by relatively low selling and handling costs. Second, the entire range of wholesaling functions is not performed in most manufacturers' branches. In many instances, some activities ordinarily performed by merchant wholesalers are performed in manufacturers' headquarters offices with the result that the cost of the activities, even though performed by the company, is not reflected in the operating costs of the branches. Illustrative are personnel management activities, sales promotion planning, often credit management and accounting, and other office work. Another factor is that manufacturers' branches are heavily concentrated in major metropolitan areas. For the most part, they do not attempt to call on retail stores in sparsely populated areas or on the smaller retail stores, wherever located, which are the most costly customers of regular wholesalers.

When the above conditions are given proper weight, it appears that sales branches would probably experience considerably higher operating costs than regular wholesalers, if strictly comparable activities were performed, similar services rendered, the same types and classes of customers served, and the same lines of merchandise involved in the same proportions. The only Census of Business classification of manufacturers' sales branches with stocks that is reasonably comparable with merchant wholesalers is the "food and kindred products" trade. Establishments here classified sell on a wide geographic basis, reaching a large proportion of the total retail grocery outlets in all classes of cities. In 1958 their operating cost amounted to 10.3 per cent of their sales volume, as compared with only 6.4 per cent for general-line grocery wholesalers. This reveals that the typical manufacturer with a branch wholesaling system must operate much like a specialty wholesaler, spreading costs over a small range of products in comparison with the regular wholesaler.

6

E-retailing Management

THE WORLD OF E-RETAILING E-RETAIL

The business of *e-retail* has been defined as the sale of goods and services via Internet or other electronic channels, for personal or household use by consumers. This definition includes all e-commerce activities that result in transactions with end consumers (rather than business customers), i.e. *B2C* rather than *B2B*. Some e-marketing activities that do not directly involve transactions, such as providing (free) information or promoting brands and image, are considered to be part of B2C but are not normally considered as being within the scope of e-retail.

Despite the *dot.com crash* of 2000, e-retailing has been growing, particularly for the ‘top eight’ categories that account for three-quarters of all European sales. These major growth areas comprise: books, music and *DVD* movies, groceries, sex products, games and software, electronic and computer equipment, travel, and clothes.

E-MALLS

In most Western countries malls have gradually become the dominant shopping location for much of what we buy. At the same time malls have become more competitive with each other and now use a variety of extra methods including promotions and entertainment to capture the highest market share. We continue to draw upon an understanding of conventional retailing in order to guide e-retailing businesses. So initially we need to identify the key principles that are important in conventional mall

marketing and management. From this benchmark we can then draw lessons for e-malls. Conventional malls are not all the same, though some have been criticized for being too similar in terms of the retailer tenants in them. Each mall is different in some respect. Sometimes it is simply a size matter, with contrasts across jumbo malls, medium to large conventional malls, down to small neighbourhood malls. In other cases they differ as to special or unusual features, with extreme examples of the wave pool or submarine ride at West Edmonton Mall in Canada or the Lego store and many rides at Mall of America.

Malls differ as well in terms of their specialization, with differences in the format. Many malls adopt the conventional format of having fashion, home and food components. But some are more specialized, such as *power centres* (a small number of large superstores, catering to bulky purchases like furniture, bedding, carpets or electrical goods) or *factory outlet centres* (giving the opportunity to buy well-known brands like Wedgwood or Nike at discount prices). Another point of difference between malls is the different emphasis given to entertainment, with some malls putting on fashion and other shows or having electronic games parlours. Careful selection of tenants could also differentiate one mall from the others, for example by grouping a lot of trendy, independent fashion designers. A recent Australian study (Sit *et al.*, 2003) has pulled together the literature on conventional malls. The study has identified four main areas which shape the image of a mall, including:

- Merchandise (types of tenants, quality, assortment, pricing);
- Accessibility (ease of access to the centre and within the centre);
- Services (including signs, escalators, restrooms);
- Stmospherics (including ambience, music, decor).

These four broad areas tend to appear repeatedly in the growing number of studies of shopping malls. The four areas thus represent a starting point for any mall owner to define what sort of brand they want to be. Notwithstanding, Sit *et al.* (2003) note that the academic studies have neglected some factors that could be important in differentiating shopping centres, namely entertainment, food and security. These authors note that entertainment and food in particular seem to be increasingly used as a method of shopping mall differentiation.

A recent British study (Dennis *et al.*, 2002), based on a study of six British malls, has provided more detailed insight into the branding of conventional malls. An interesting finding by Dennis *et al.* was that consumers were able to associate a personality with a particular shopping centre. One shopping centre studied was described as 'dull and boring and old-fashioned - lower working class or elderly'. As an animal it was like a cat or dog - not exciting, just OK. In contrast, another centre was described as like a tiger, lion or peacock - strong, vibrant, big and colourful. Dennis *et al.* conclude with some advice about active brand-management of malls. The first step is to focus on key attributes like quality, service, atmosphere and infrastructure. Second, choice of the right market positioning is important in creating a point of difference. Third, internal

marketing has the potential to help. Finally, well-blended communication can develop credibility. There is also a broad literature that focuses on how to build a good relationship between the shopping centre landlord and the retail tenant. Howard suggests that in the past too much attention has been placed by landlords on property as a financial investment, rather than investing in the relationship between the landlord and the tenant. Roberts and Merrilees empirically show that stronger cooperation between the landlord and the tenants (such as joint promotions or joint planning of tasks) can improve the performance of the mall. The same authors also show that trust is a precondition for tenants to be willing to cooperate.

LESSONS FROM CONVENTIONAL MALLS FOR ONLINE MALLS

One of the key lessons from conventional mall management that applies to online mall management is the need to manage the *business-to-business* (B2B) relationship between the online mall landlord and the e-retailer tenants. There is a need for the online mall landlord to build a trusting relationship with its online tenants. Most likely, interactivity or cross-communication may be the best way to do this, which is consistent with the Australian case study evidence (although this evidence only relates to communication between the online mall and customer/users of the mall, and not tenants per se). Additional mall management issues include things like leasing arrangements and policies. The terms of the lease need to balance the needs of both the landlord and the tenant and to provide financial incentives to expand the online tenant business as much as possible.

Another lesson from conventional mall management is the need for the online mall landlord to provide appropriate and reliable services to the e-retailer tenants.

In an online context, appropriate services might include a well-designed mall, referring to the architecture, including access entrances and layout. Deck (1997) highlights the importance of navigation and other architectural design issues for successful e-malls. Second, services might also include 'decor', which in this context might mean ensuring that each e-retailer has neat and clean premises, rather than a shabby, disorganized appearance. Decor might also include the appropriate 'atmosphere', an issue that most conventional mall studies highlight. Third, traditional mall management includes 'security', which in the online context might entail a third-party guarantee (from the online mall manager, who in turn might outsource this service to a regular third-party vetting firm) that each e-retailer tenant in the online mall has secure facilities for financial transactions online.

Yet another lesson from conventional mall practices is the need to market the online mall in various ways. One way this could be done is through advertising, possibly online. There could also be a coordinated mall-wide promotion for a limited time, say a 10 per cent off deal. A further marketing tool relates to the selection of the tenant mix.

Usually the tenant mix is not accidental, but rather is planned and designed to project a particular image (brand) of the mall. Malls can be upmarket, no frills, entertainment-

based and so on. Some malls are very specialized, such as factory-outlet or power centres. An online mall owner can deliberately create a particular mall brand image and might be judged on how consistently they could execute this image. This is a fundamental aspect of mall marketing. Atmospherics can also be interpreted as a marketing tool, supporting the overall e-mall brand image.

MULTIPLE CATEGORY E-RETAILERS

Although not strictly an e-mall, it is interesting to consider multiple category e-retailers. Amazon is probably the best-known example in this situation, where a single-site owner sells goods across multiple retail categories, including books and CDs. In fact Amazon resembles an online department store in this respect. Perhaps surprisingly there are not many explicit online department stores. An Australian example was d-store, which had about 20 departments, though this has now ceased operating as an online department store.

Although multiple category e-retailers provide an interesting source of ideas and inspiration that may be useful for e-malls, to date there is very little academic research investigating such a format. Merrilees (2001), among other authors, has studied Amazon, but purely in terms of a single category (books) and not in terms of multiple categories. No doubt a lot of the well-known good properties of Amazon flow over to the multiple category situation, but there is still a need to ascertain how convenient and useful the site is for searching and buying multiple categories of goods on a *single* shopping trip. Further, how many users actually buy more than one category of goods from Amazon in a single trip?

SHOPPING BOTS: INTELLIGENT SHOPPER ASSISTANTS OR VIRTUAL MALL?

Shopping bots are tools that help e-shoppers identify, locate and compare products available from e-retailers (Rowley, 2000:298). There can be a consumer/ shopper perspective or an e-retailer one. In the former sense shopping bots are another tool for searching the Internet and are not very different from an online directory or a search engine.

Alternatively, we can conceptualize a shopping bot from the perspective of the *e-retailer*, who forms a contractual relation (like a tenant) with the *provider* of the shopping bot (like a landlord). It is in this sense that the shopping bot can be considered as a virtual mall, which helps e-retailers present and project their merchandise to the public (Rowley, 2000).

Bots tend to be either comprehensive or specialized (say books, music, CDs, gifts) in terms of product categories carried. Rowley (2000:300) lists about 20 shopping bots and suggests the following overall site for a general listing of the shopping bots: www.smartbots.com. Category search is a common approach to moving through a bot. As an example, storesearch.com invites shoppers to select a department; the next screen

displays a series of product categories in that department; then, choosing one of these categories will display a number of merchants.

Rowley (2000) does address the difficulty of how the consumer might choose across shopping bots. Some shopping bots seem more suitable for certain products, but it is difficult to generalize. There is also a number of traps to watch out for, with a need for the correct level of specificity and specification. For example, a searcher might specify both the author and title of a book, but there might not be an exact match because of the way the shopping bot database is set up. Ironically, in this hypothetical case, a lower level of specification, such as only the author's name, might be more successful in locating the book. In another case, 'running shoes' might be more successful than 'shoes' or 'sports shoes'. It is hard to see how anything other than one's own experience, or praise or complaints from friends, can guide the selection of shopping bots. More academic research might help us on this matter.

PORTALS AND OTHER QUASI-E-MALLS

We have just seen that shopping bots can be considered to be a type of virtual mall. We should also acknowledge that there are many additional Internet listing and search tools or intermediaries and other third-party sites that also contribute to the world of e-commerce. Yahoo! is probably the most famous site, but there are hundreds of sites that also contribute a similar or related linking of parties through the network. We simply acknowledge this component of the e-retail sector, leaving it to other researchers to elaborate on their role.

EXAMPLES OF E-MALLS

An e-mall is sometimes referred to as a cyber-mall or a virtual mall or an e-shopping centre. It brings together a number of separately owned e-retail sites to a single virtual location, with the individual e-retailers paying rent to the centre management, as in an offline mall. A British example of such an e-mall is www.indigosquare.com.

An interesting example of an American (fashion) niche mall is www.fashionworld.com. This mall has about 100 fashion retailers in it, categorized by floor, which include Main Street and an outlet clearance floor (Hill, 2000).

In the Australian case there were recently two e-malls of prominence, namely www.ozeshopping.com.au and www.sofcom.com.au. The e-mall should *not* be confused with a related system in which consumers can be guided to a particular offline (bricks) shopping centre, where they can use special deal coupons downloaded from the central system. For an American version of this latter system, see www.myshoppingcenter.com.

The same sites are provided by Australian bricks malls, with similar announcements of book signings, promotions and general information about the tenants in each of the malls in the multi-mall portfolio of the mall owner. A slightly different approach has been taken by the South Australian Government, which has developed its own online mega-mall, with a category-based listing of a wide range of online vendors.

CASE STUDY: AUSTRALIAN RESEARCH INTO E-MALLS

This chapter is a little different from other chapters in that, instead of several smaller case studies, we® have one mega case study of two Australian malls. The details of the case study follow in the next section.

AN AUSTRALIAN RESEARCH STUDY OF TWO E-MALLS

The authors have developed a questionnaire based on the literature, deriving issues important to Internet users/shoppers relevant to their attitudes towards purchasing from e-malls. Respondents were asked to familiarize themselves with two predetermined Australian sites, namely www.ozeshopping.com.au and www.sofcom.com.au, and explore the two sites' features before answering a set of Likert scale-based questions.

By way of broad description, there was a difference in the overall image of the two sites. Ozeshopping was fairly close to what you might term or imagine a regular (online) shopping mall. It had an anchor store, which was an online department store (dstore), and more than 30 tenants, including many well-known Australian bricks and clicks e-retailers (such as Sanity or Strathfield). The site was fairly organized and looked like a solid upper-middle market mall. In contrast, sofcom had an entirely different image. It came across as much more variable in the types of tenants, from sophisticated to somewhat 'seedy'. Most of the tenants could be said to have a strong tourist-Australiana image, making it more of a niche mall. It had an anchor store (e-store; an electrical goods store) and had a higher proportion of pure clicks retailers.

In constructing the survey items specific to this study, prior studies were reviewed to extrapolate items examining Web usage and branding theory research. Then a survey was designed with items intended to capture the underlying multi-item constructs of e-brand attitudes, e-interactivity, e-trust, navigability and retailer-quality. Each survey item was measured on a seven-point scale of (1) disagree very strongly to (7) agree very strongly.

The current study focuses particularly on the potential roles of interactivity and e-trust *inter alia* in influencing brand attitudes with respect to e-malls. Both *interactivity* and *e-trust* have previously been shown to be powerful and central determinants of brand attitudes with respect to a particular e-retail site and the same might be expected with respect to e-malls. The study consisted of 116 Australian undergraduate marketing students from a large regional area. Given the nature of the study, only those who had indicated that they had used the Internet were selected to participate in the study. The student sample *met the minimum conditions* needed for this study in that they (1) were familiar and experienced with the Internet for information search and (2) were of an age (mostly 18-25) that comprises a major segment in the Internet buying market. Importantly, as the study focuses on purchase intention rather than actual purchase, it was not critical that respondents had previously purchased via the Internet. All respondents had access to the Internet, either privately or through university facilities. The sample consisted of an equal number of males and females with a median age of 21 years.

Modelling the Determinants of e-mall Brand Attitudes

This entailed estimating the various paths of the model, with the emphasis on a multiple regression of the determinants of e-mall brand attitude, for each e-mall separately. The regression analysis that explains e-mall brand attitude. It should be noted that the statistical fit is good, with adjusted R-squares of 0.66 and 0.57.

The main finding that both e-trust and interactivity were key determinants of brand attitude for the sample of users of the two Australian e-malls. The standardized beta coefficient on the e-trust variable was 0.5, meaning that for every additional two points of e-trust (measured on a seven-point scale), there will be a one-point increase in positive brand attitude towards that e-mall. Similarly, the beta coefficient on the interactivity variable was approximately 0.33, which means that, for every three points of interactivity (measured on a seven-point scale), there will be a one-point increase in positive brand attitude towards that e-mall. Both of these two variables were significant at the 1 per cent level, with high t-values. No other variables had a statistically significant effect on brand attitude.

Modelling the Determinants of e-mall Trust

The results of ascertaining the determinants of e-mall trust produced only one statistically significant variable, namely interactivity. There was a high beta coefficient of interactivity on e-trust for both of the e-mall sites. That is, the greater the level of interactivity, the greater the level of e-trust that was significant at the 1 per cent level.

Modelling the Determinants of e-interactivity

The perceived interactivity of each e-mall can be largely explained by a combination of both the site navigability and the quality of the retail mix in the mall.

LESSONS FROM AUSTRALIAN CASE STUDIES OF E-MALLS

The main finding of our empirical work is that both e-trust and interactivity were crucial in forming brand attitudes towards each of the two Australian e-mall sites studied. In broad terms this finding is similar to earlier research that had found the same two variables were also crucial in forming brand attitudes at the site of an individual e-retailer, CDNOW. Thus these two variables seem fundamental in explaining brand attitudes of sites that use a variety of *business-to-consumer* (B2C) business models.

However, there are some subtle differences in comparing brand attitudes across e-retailers and e-malls. With the *e-retailer site*, interactivity was the most important determinant of brand attitudes, while with the two *e-mall sites* e-trust was relatively more important. This suggests that, with the more complex and multi-retailer site, trust seems to be a bigger issue. This makes sense in that trust is more difficult to assess if there are multiple retailers and doubts can arise if trustworthy retailers are juxtaposed with less trustworthy retailers. Trust is most likely a key factor in *any* company's reputation, whether in e-commerce or not. This seems likely because trust is akin to

being reassured that the specific company will look after the interests of the user or consumer and protect them in all respects. It is a form of meta-guarantee - one that goes beyond just a product guarantee. Trust is likely to be even more important in the context of e-retailers and extremely important for e-mall owners. This is because major consumer concerns over the adequacy of credit card security or the way that privacy matters are handled could deter the completion of transactions, especially if different firms have different security and privacy policies.

The issue of e-trust can also be explored by comparing the Table results across the two e-malls. The sofcom.com.au site is different from the ozeshopping.com.au site in that it has less of the large, well-known branded bricks retailers and more smaller retailers and pure e-retailers. These characteristics make it harder for the sofcom e-mall to gain the trust of users. This may be why the constant term in the sofcom mall is larger and more significant than that for the ozeshopping mall; that is, 1.81 vs. 1.30.

The study breaks new ground in explaining brand attitudes in the e-mall context. The two most important drivers of e-mall brand attitudes were *e-trust* and *e-interactivity*. These relationships were both large (that is, large regression beta coefficients) and highly statistically significant (at the 1 per cent level). Thus the model suggests that e-trust and e-interactivity are two key elements in successful Web branding of e-mall sites.

The results suggest that trust is relatively more important for e-malls compared to individual e-retailer sites in terms of developing Internet brand attitudes. This may be due to the diversity of retailers in the mall context and the inclusion of smaller retailers and pure e-retailers. Owners and prospective developers of future e-mall sites need to be cognizant of the need to develop an overall strategy of trust building. This includes the need to put in place various explicit policies and implement other mechanisms that help project confidence and trust to the consumer and other stakeholders. It also requires careful selection of online tenants, that is, those who will instil trust among e-mall consumers. Finally, and perhaps most importantly, e-mall sites need to develop interactivity, because this is fundamental to e-trust specifically and ongoing relationships more generally.

E-MALLS AS PORTS OF ENTRY FOR NEWLY STARTED BUSINESSES: THE TENANT PERSPECTIVE

It has been obvious that the main perspective that we have taken so far has been that of the e-mall owner. From this perspective we have questions like how should the e-mall be designed so as to be attractive to e-retailer tenants and to potential users or consumers of the e-mall? Although it has been implicit, another perspective is that of the tenant. This leads to a different set of questions. Do I need a presence in an e-mall for my business? If so, what would a suitable e-mall look like? Which one(s) should I become a tenant in? An appropriate answer to some of these questions is almost certainly connected to the consumer evaluation of an e-mall. The two Australian case studies of

e-malls were on the basis of users or consumers assessing an e-mall. If consumers or users rate an e-mall highly then that would be a positive cue to an e-retailer who is considering becoming a prospective tenant. However, it is not a simple matter of a prospective tenant choosing the most popular e-mall site for consumers. The reason is that the best or most popular e-malls will also have the highest rents. A prospective tenant may like to have a high-traffic, high-selling e-mall presence, but may not be able to afford it. This lesson is derived from conventional retailing. McDonald's likes to have high-traffic sites; but it has to pay a lot for them. Within a conventional mall, rents differ for different stalls (micro sites) depending on the traffic flows. The same principles apply in cyberspace.

Additional issues in how tenants might choose or use an e-mall are discussed in Hill (2000) and O'Hara (2001).

Moving on from the rent issue, the e-mall presents a great means for an upstart online organization to get a presence (Hof, 2000). Sometimes the upstarts become the main players. Hof (2000) describes the case of Indianapolis-based National Wine & Spirits Inc. wanting an online presence. Rather than potentially getting upstaged, the company formed its own e-mall (eSkye.com Inc.) that was a national marketplace for beverage makers, distributors and retailers to buy and sell online. Hall (1998) and Strom (1998) also elaborate on the idea that e-malls are a useful means not only to help launch or expand e-retailers, but in some cases to totally create the e-retailer! So one of the services provided by some e-malls is to help create the e-retailer from scratch.

METRO AG EXTRA FUTURE STORE

In April 2003 the Dusseldorf-based Metro Group opened what they called the 'Extra Future Store' to test a range of retail technologies. Metro is the fifth largest retailer in the world, with 2,300 stores in 26 countries and sales of €51.5bn in 2002. The systems include radio frequency identification, smart shelves, intelligent scales, electronic shelf labels, kiosks, personal shopping assistants, anti-theft portals, portable self-scanning and self-checkout lanes.

The 33,000-square-foot Extra Future Store is covered by a wireless LAN (WLAN) based on the Wi-Fi 802.11b standard to link this new shopping technology. Attending the grand opening of the Extra Future Store were officials from the German Government and retailing industry, with German model Claudia Schiffer dubbed the first customer. Metro's partners in the initiative incorporated 40 separate partners including Chep, Cisco, Coca-Cola, Gillette, Hewlett Packard, Kraft Foods, IBM, Intel, Mettler Toledo, NCR, Oracle, Procter and Gamble, Symbol technologies and Wincor Nixdorf.

According to Zygmunt Mierdorf of the Metro Group, the expected outcome of the retailing technology adoption would be higher sales levels and lower costs following improved customer satisfaction from goods being more readily available, the service becoming more individualized and the increase in shopping convenience. The RFID applications in the Extra Future Store represent an ambitious test of the technology

developed by the Auto-ID Centre at MIT, Cambridge, Massachusetts. This Auto-ID technology uses the EPC (electronic product code) - a 96-bit chip identifier of an individual item or packaged group of items.

'Anti-theft portals' linked to the RFID tags were set up at Extra Future Store exits and 'checkout lanes' were equipped with RFID readers. Checkouts also use bar code scanners for merchandise not yet RFID tagged. As part of the 'smart-shelf application', RFID tag readers recognize the removal of the tagged merchandise from the shelf. An alert may then be passed by Wi-Fi to the store's distribution centre and to store staff via PDAs advising that a shelf is low in stock and requires replenishment before embarrassing and loss-causing out-of-stock situations. Through the WLAN-linked PDAs, employees are able to check the inventory and, if necessary, reorder goods by directly linking into Metro's merchandise management system from any area in the store. A future extension of the PDA functionality will be to add telephony features that will allow staff to make calls, send messages or download data.

The next significant Extra Future Store device is the personal shopping assistant, a mini-computer with a touch-screen video display attached to a shopping cart. Manufactured by Wincor Nixdorf International, a PSA enables the customer to enter their shopping list or download it to the screen from the Internet. PSA computer software then directs the customer to the store positions that hold the merchandise on the shopping list. As an information support to the customer or as an advertising medium, the PSA screen has the facility to display a video about merchandise taken off a shelf or for merchandise in proximity to the PSA shopping cart. Linked to the store checkout system, the PSA empowers the customer to scan bar coded and/or RFID-tagged merchandise prior to arriving at the checkouts and wirelessly transmit the merchandise details and price data to the checkouts and so reduce the payment stage of the shopping experience. Should the customer choose, they have the option of self-checkout machines that avoid the need to interact with checkout staff.

For customers not choosing to look at their PSA or wanting additional information about merchandise taken from the shelves, the Extra Future Store utilizes electronic kiosk applications at various points around the store. The kiosks display video footage on the merchandise with such information as the supplier, ingredients, preparation, storage, etc. Metro's electronic shelf labelling and advertising displays permit store personnel to wirelessly update merchandise prices and any promotions from a central merchandise management system. Providing information back to the store personnel are the smart shelves with shelf-mounted RFID readers to impart updates on stocks that are running low or nearing their expiration dates.

The Boston Consulting Group has studied the Extra Future Store and found the new technologies are readily accepted by most of the customers. Dr Gerd Wolfram, Project Manager of the METRO Group Future Store Initiative explained, 'customers are really enthusiastic about some of the innovations. The study also bears evidence to the fact that the technologies deployed in the store have prompted a higher customer frequency'

Metro Group, 2003b). Of the specialized Extra Future Store technologies, especially popular with two-thirds of the customers was the Intelligent Scale containing the so-called VeggieVision camera, which automatically recognizes the fruit or vegetable being weighed and then prints out the appropriate price labels. Dispelling the long-held view that technology adoption is inversely related to age, elderly people using the Extra Future Store also made regular use of the new technologies offered. As an example, 56 per cent of the customers over 60 years old were using the Intelligent Scale. Although it is a working experiment in future retailing and customer interactions, the Metro Extra Future Store is a strong indicator of how e-retailing will look in the near future and traditional retailers had better take note.

TRADITIONAL RETAILERS ADOPT E-RETAIL

The number of customers shopping online has increased markedly each year since the beginning of e-commerce in the mid-1990s. In the UK during November 2003, for example, online shopping was up 44 per cent on the previous year (ZDNet, 2003). This alone might be a reason for a traditional retailer to look at e-retail, but the influences on such decisions have varied with time and understanding of e-commerce.

OUT OF FASHION: COMMERCIALITY

Before the dot.com downturn in the spring of 2000, the word 'Internet' keyed into what seemed pervasive optimism for a new century. It meant youth, new possibilities and an opportunity to break with traditional business and create new rules. From the media and daily articles on achieved or projected *Initial Public Offering (IPO)* success, even game shows such as *The e-millionaire show*, which went out during peak viewing, to the restructuring of government and creation of new departments, such as the Office of the e-Envoy and a complement of online resources, the Internet could not be ignored. In the absence of a better reason, fashion alone was sufficient to drive most traditional businesses to consider moving into e-commerce, even if the boardroom rationale was to protect shareholder value.

However, the shakeout of 2000 left fashion with the debris of countless failed start-ups. In its place came valuable lessons across e-commerce, and evidence for incumbent retailers that factors such as having an established brand provide significant advantages in e-retail and play a part in customer loyalty and increased profit.

Advantages of Being Established

Analysis of dot.com failures and comparison with traditional retailers in the same industry, for example eToys (www.etoys.com), which folded in 2000 and was subsequently bought by an established toy retailer, vs. Toys R Us (www.toysrus.com), which successfully opened an e-retail channel through collaboration with Amazon (www.amazon.com), has revealed several advantages for the established retailer.

Newcomers have to attract customers, and much of their cash-burn and early debt is usually caused by brand-building and promotion. Established businesses, however, have an existing customer base and can build on brand values that are already in place. They also have existing marketing budgets usually able to furnish new online activity, and are experienced in the market they serve, unlike many start-ups. Further advantages, such as having an existing value network including suppliers, buying, fulfilment and the teams to support these functions, have been shown to be generous compensation for being late to market.

Benefits of e-retail

There are many strategic options for the adoption of e-retail and the level of involvement a business can choose in online activity, but clearly, e-retail, at the very least, represents an alternative or additional channel for traditional retailers. While opening new physical retail outlets can expand the geographical reach of a business and add convenience for consumers, retailing

online not only carries these benefits, but also offers further returns that are more specific to online trading. The Internet has global reach and provides the opportunity to trade internationally.

Of course, this is not necessarily an advantage for a number of reasons, such as having to deal with multiple languages, currencies and even cultures, and managing far-flung logistics including returns, but, with foreign competition able to enjoy the potential of international trade online, businesses do need to consider their competitive position should they ignore e-retail.

Other broad benefits include the ability to trade 24/7 and operate with lower overheads in terms of staff and space, while more particular advantages include the ability to increase the number of customer 'touch points' and build more personalized customer experiences, products and relationships.

However, these e-retail advantages should not imply that an online presence is a recipe in itself for success; that kind of thinking was tried and failed with the dot.com boom and bust. Instead, if there is a recipe for successful integration, it is found in variants of established business practices, such as an understanding of the strengths and weaknesses of the business, for example in relation to technology awareness, which is a good indicator of e-commerce success. Most importantly, the adoption of e-retail relies on the competent formulation of an integration strategy.

STRATEGIES FOR INTEGRATION

Online shopping in the UK continues to grow and is expected to comprise over 5 per cent of the retail market by 2005. Such predictions can be somewhat self-fulfilling and help fuel enthusiasm for continued research and development, providing a constantly changing environment for any integration strategy. It is necessary to keep abreast of these developments as they all impinge on strategic decisions.

Overview of Current Developments

While the common e-retail interface remains the Web browser running on a personal computer, many companies have investigated alternative methods of interfacing with the customer. *T-commerce*, that is e-commerce over TV or instigated by TV commercials, is an important e-retail alternative, not least because 97 per cent of UK homes have one or more televisions, and take-up of interactive TV continues to rise. During Christmas 2003, 'Freeview' (the name for the free-to-air part of digital terrestrial television in the UK) was among the top ten queries on Internet search engines. In comparison, penetration of Internet via PC has been predicted to level off at 53 per cent by 2004. Dominos Pizza had early success in T-commerce using satellite, cable and the Web to achieve

98 per cent brand recognition in multi-channel homes, and other retailers, including Dixons and WHSmith have followed. The medium has also been particularly popular with the finance industry and has attracted several banks and building societies.

Other developments that strengthen opportunities for e-retail exist in advances in mobile phone technology. Recent developments include 3G, with data transfer speeds up to 2Mbps that can support video-level *interactivity*, and the growing deployment of *Wi-Fi* networks couples with widespread prediction that Wi-Fi is a key growth area that will fundamentally change Internet access. For example, there is an effort under way to turn Paris into one big Wi-Fi *hotspot*, by positioning access points above and below ground at all of the city's 372 metro stations, interconnected by fibre-optic cable. The pilot phase of the project began in mid-2003, when Cisco announced that it was partnering with RATP (Régie Autonome des Transports Parisiens - the Paris public transport authority) in a proof of concept above ground at a dozen locations along the Bus 38 route. If the full project gains approval, Paris will have one of the largest Wi-Fi networks in the world.

The UK has its own significant developments, including building an advanced retail communications network at Birmingham's new Bullring shopping centre. As part of a dynamic retail environment, incorporating an intelligent buildings system and a multi-Gigabit cabling infrastructure, the 130 new shops are supplemented in the mall by 27 touch screen interactive kiosks, 25 plasma screens and 155 thin client terminals linked to one of the largest Wi-Fi networks in Europe. Among the large traditional retailers, Argos (www.argos.co.uk), a UK catalogue company with streamlined ordering and collection at high street stores, has been prominent in developing alternative ordering and reservation methods as well as full online retail.

The company has had success with in-store kiosks that provide fast track ordering and credit card payment, and was among the first to trial a text messaging 'text and take home' system for product reservation. Using the system, customers can text the catalogue number of an item to check its availability at a particular store, and then, in response to the text that confirms the item's price and stock position, can place a reservation on the product. The system reduces queuing and is part of the company's continuous innovation in ideas to increase customer convenience.

Murray Hennessy, MD of John Lewis Direct, believes that in e-retail, 'It's getting easier to be smarter' (IMRG, 2002). Software platforms for e-retail are now available off-the-shelf, and people in the industry are now more experienced. However, no matter how accessible the technology of e-retail systems becomes, or how successful the big players have already been, companies that want to adopt e-retail need to understand what it offers and pursue an integration strategy that is appropriate to their business.

Strategic Options

A company's strategy towards e-retailing will be influenced by a number of factors, including its market sector and prospects for online and offline retail, in-house technical knowledge and experience of outsourcing, re-engineering and development projects, as well as its overall vision, desire and ability to operate in a very fast-changing and possibly unfamiliar commercial environment.

In order to recognize the additional complexity that e-commerce is likely to introduce, it is useful to consider the digital and physical dimensions of a business in relation to the type of product, process and delivery agent involved, as shown in Figure.

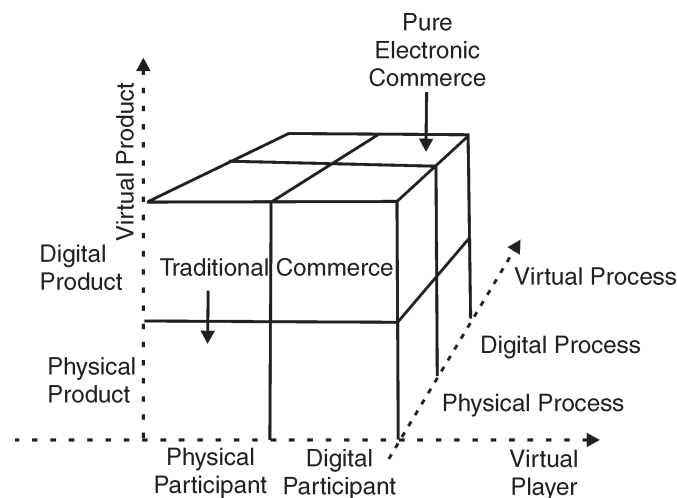


Fig. e-Commerce Digitization No e-retail Operations

This model, developed by Choi *et al.*, maintains currency, being used in recent works such as Chen (2001) and Turban *et al.* (2002), and conveys the prospect of choices and issues for a business contemplating e-commerce from a background of traditional commerce. For a traditional retailer, the first questions regard how readily its products and services lend themselves to e-retailing, and then the degree to which the business can exploit electronic processes. One method for approaching these questions is described by the ES test and involves consideration of product attributes in terms of the five human senses and looking at consumer type and the familiarity of the consumer in purchasing the product.. Once a retailer has evaluated the potential of its products or services for e-retailing, it must then decide its position for e-retail adoption, and determine

a course of action. De Kare-Silver (2001) lists ten options that can be arranged on a scale from 'no e-retail operations' to 'e-retail only', in order of increasing e-shopping responsiveness, paralleled with increasing commitment to e-retailing as shown in Figure.

This is the defensive option, based on revitalizing the 'experience' and social aspects of shopping based in towns and shopping centres.

However, consumers now expect every organization to have at least an information website and an e-mail address.

Information only

Reluctance to tackle the disadvantages of e-retailing leads some well-known high street retailers (for example, Monsoon - www.monsoon.co.uk) to use the Internet purely as a marketing communication channel rather than for online sales.

Export

This approach is aimed at protecting the business of the high street stores while widening the potential customer base with e-channels. De Kare-Silver cites the example of bookseller Blackwells (www.bookshop.blackwell.co.uk), which has 82 outlets in university towns and campuses across the UK, but whose listing of one million specialist and academic titles is now available worldwide on the Web.

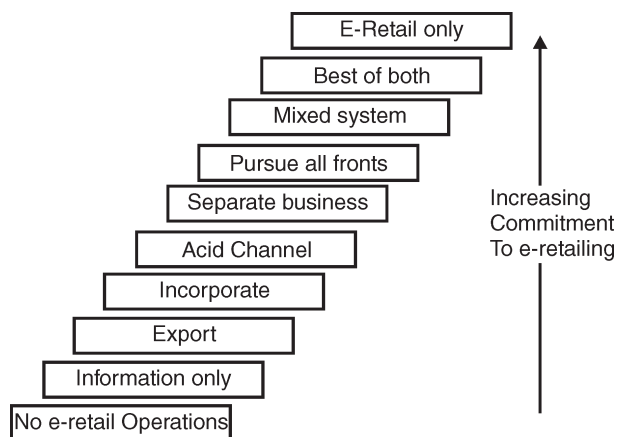


Fig. Strategic Options for Retailers

Incorporate into existing business

This option seeks to protect the existing stores by using an 'order and collect' system. The thinking is that, by coming to the store to collect the order, the shopper is more likely to think of extra purchases, or to pick up impulse buys.

Safeway (www.safeway.co.uk) and Sainsburys (www.sainsburys.co.uk) tried this system but did not gain the popularity of market leader Tesco (Safeway withdrew from e-retail completely before being taken over by Morrisons, and Sainsburys introduced home delivery, initially based on warehouse picking centres rather than stores).

Add Another Channel

With this approach, retailers such as Next (market leader in online clothing sales, according to retail researcher Verdict) use e-retailing as an extra route to reach more of their target customers. Retailers in this category may be represented on an e-mall, saving much of the setting-up cost of a dedicated e-retailing operation.

Set up a Separate Business

The idea of the separate business is to offer competitive e-shopping benefits without alienating the existing customers for the high street operation, who probably pay higher prices. The separately branded direct operation has been popular for financial services - for example, Abbey National's e-bank 'Cahoot' (www.cahoot.co.uk).

Pursue All Fronts

An example of this is the National Westminster Bank multi-channel system, based on making every possible channel open to the customer: high street branches, direct mail, ATMs, phone, interactive TV and Internet (www.natwest.co.uk).

Mixed System

This approach recognizes that strong brands are essential to successful e-retailing. Brand strength is showcased in flagship stores in major cities - for example, Virgin Megastore (www.virginmega.com).

Best of Both Worlds

Is it possible to retain all the high street operations while at the same time being state-of-the-art in e-retailing? This is probably only practicable for a clear market leader in a sector, and represents a high-investment strategy, making it more difficult for competitors to catch up - the Tesco approach.

e-Retail Only

Few retailers are brave enough to close all high street outlets and operate only virtual shops. Pre-dot.com crash, though, a number of e-retail-only operations were developed, the best known and most successful being Amazon (www.amazon.com). However, even Amazon sees benefits in some 'real' presence, given its joint venture with Toys R Us (www.toysrus.co.uk). Only those operations high in e-shopping potential, such as travel, and with big budgets to build the brand (e.g. Lastminute.com - www.lastminute.com), are likely to be leaders with Internet-only operations.

MINI CASE STUDY 3.1: NETSHOP.CO.UK

Netshop Ltd is a privately owned company specializing in the online retail of computer networking products to end consumers. Evolving out of Homestead Electronics Ltd, a mail order electronics company founded in 1983, Netshop now forms part of a multi-

business e-retail portfolio with offerings in diverse market segments. The technology and mail order origins of the company, along with an established customer base and in-house knowledge of the networking market, assisted a smooth transition from mail order retail to e-retail, since much of the order processing and fulfilment infrastructure was already in place and the company possessed the necessary skills to develop its own transactional website and start small alongside its traditional business. Once its e-commerce systems were proven, they provided a platform for further online activities. The company's background as a family business, coupled with its attention to success factors in the e-retail marketplace, helped it foster an appreciation of customer expectations, and the requirement to be competent at more than just the technical process behind the shopping experience.

Many new customers arrive at the Netshop website from results at search engines such as Google (www.google.co.uk), and not all of them are seasoned e-consumers. Netshop recognizes this, and works to establish trust by giving prominent space to the company's physical address, the history of the company and telephone numbers so that customers are not forced to pursue an online transaction if they do not want to. Instead, prospective customers can phone and place an order, and even arrange to collect it, obviating the need to make credit card transactions online or by phone, or disclose address details. As the company says on its website, 'Talk to a real person at Netshop. We are not just another anonymous On-Line company!' This customer-oriented approach is augmented by several features that add value, such as extensive product information, news articles on new products and aspects of networking, FAQs and support pages, manufacturers' links, and free driver downloads, providing a multi-channel presence for a company that has chosen to move most of its operation online.

LOYALTY-BASED INTEGRATION STRATEGIES

The emphasis on focusing on people rather than products, coupled with the requirement for a business to align its strategy with its ability to operate in an e-retail environment, raises the question of how to formulate strategy for e-retail integration that takes these key requisites into account.

Recent research by Cuthbertson and Bridson (2003) proposes a framework to tackle this question and how the Internet changes the traditional store-based model of marketing, by setting it in the context of customer loyalty, which has long been acknowledged as an important factor in a firm's competitive position. Successful relationship marketing is underpinned by the ability to both acquire and retain customers over the long term, and the need to customise the relationship to the individual has been shown to be a critical factor.

Modelling the Online Retail Experience

Cuthbertson and Bridson suggest that the loyalty marketing strategy is dependent on the fundamental structure of the retailer-customer relationship, and put forward a

categorization of retailer-customer relationships in an Online Retail Relationship Matrix as shown in Figure. This matrix uses the two principal components of the retailer-customer relationship - the retailer-led channel proposition to the customer and the customer-led channel access to the retailer - and divides these based on the focus of each party. The retailer may configure its offer as pureplay (online) or multi-channel, while the customer can choose to access the retailer directly or through a marketplace.

Examples of marketplaces include those that are online, such as DealTime/Shopping.com (www.dealtime.co.uk, now relaunched as part of www.shopping.com), or an interactive TV channel. The usefulness of the classification is that each category carries a higher likelihood of success for particular types of retailer, depending on the retailer's product/service. By mapping its type onto the matrix, a business can determine whether success is likely in a given configuration, with implications for the loyalty strategy that is most likely to succeed. The categories comprise:

- The digital retailer-customer relationship
- The ubiquitous retailer-customer relationship
- The focal retailer-customer relationship

		Retail offer	
		Online	Multi-channel
Customer Choice	Retailer	Digital	Ubiquitous
	Market Place	Focal	

Fig. The Online Retail Relationship Matrix

MULTINATIONAL ORGANIZATIONAL FORMS

Banks may invest offshore for greater growth and profit opportunities, to capitalize upon competitive advantages, to follow or lead clients, to manage risk and for other reasons, such as domestic or foreign regulation. Once a decision has been made to expand abroad, the intending MNB must decide on the form its expansion will take and the strategies it will employ.

This part is divided into three subsections:

1. In the first one, the different forms of multinational banking representation are explored;
2. Factors which influence banks to adopt one particular organizational form over another in foreign markets are examined in the second; and
3. The third subsection discusses multinational strategy for the global integration of products and business systems.

TYPES OF MULTINATIONAL ORGANIZATIONAL FORM

There are several organizational forms which can provide the vehicle for multinational banking involvement. These forms differ, primarily, in the types of business they are

authorized to conduct in offshore markets. Ranked in order of increasing foreign involvement, the organizational forms are: correspondent banking, representative offices, agencies, subsidiaries and branches.

Correspondent banking does not in fact constitute multinational banking because it involves no direct foreign investment, or any physical presence in the foreign market. The description of this type of banking is provided merely to contrast with the later discussion of multinational banking. It consists of a correspondent relationship, typically on a reciprocal basis, between domestic banks in different countries.

The relationship involves the foreign domestic bank conducting financial transactions and related activities in the foreign market on behalf of the home bank. Common services include extending foreign currency credit, issuing or honouring letters of credit and providing information about foreign market conditions. The foreign correspondent performs the transactions on behalf of the home bank in return for a fee.

Representative offices are the most limited form of multinational banking and involve MNBs establishing their own commercial premises in foreign countries. Representative offices perform functions which assist and support the operations of MNBs but their activities are restricted. For example, they are not authorized to carry out the general banking functions of deposit taking or lending.

However, they can collect and forward payments in foreign markets, such as receivables for exporters, on behalf of 'parent' MNBs. They can also organize loans in foreign markets to be referred to and administered by the 'parent' in the home country. Another significant activity of representative offices is the collection of data and intelligence on foreign markets for use by MNBs and their clients.

The establishment of foreign agencies represents a deeper multinational banking presence. Agencies provide a broader range of banking services in foreign markets, with the ability to make commercial, but generally not consumer, loans and the limited power to raise deposits, though deposit taking from foreign residents is also prohibited. For this reason, funds are principally derived from 'parent' MNBs and foreign interbank markets.

Another important activity of agencies is the facilitation of foreign trade between home and foreign countries; for example, they issue and honour letters of credit and accept bills of exchange. Through their involvement in foreign capital and money markets, including foreign exchange markets, agencies also play significant roles in the management of the assets of 'parent' MNBs.

The final two forms of multinational banking, the foreign branch and foreign subsidiary, represent the highest level of multinational banking commitment. Foreign branches and subsidiaries are generally authorized to conduct the full range of banking activities, including the acceptance of deposits and making of loans, as well as providing traditional international banking services. The main activity of a foreign branch is wholesale lending, both within the host country and across its borders. Branches also participate in short-term lending to commercial enterprises and the financing of

international trade. Although foreign branches are generally permitted to raise retail deposits, close proximity to potential depositors is required in order to attract retail deposits and this in turn necessitates major branch investments.

Due to a reluctance to establish large branch networks, the majority of foreign branches raise funds through the wholesale deposit market. Foreign branches also become actively involved in foreign capital, money and foreign exchange markets and so also play a part in managing home-country assets in foreign markets. Foreign subsidiaries are typically established where an MNB's objective is to compete directly with domestic retail banks or similar MNBs in foreign markets.

For this reason, subsidiaries typically control wider foreign branch networks to enable them to participate in both retail and wholesale lending and deposit taking. Hence, a subsidiary tends to operate more like a domestic bank in the foreign host market, in contrast to foreign branches, which, in addition to wholesale financing, perform more specialized functions more closely linked to the activities of 'parent' MNBs.

In addition to the mainstream types of multinational organizational form there are two specific forms that are unique to the US market, namely, Edge Act Corporations and New York Article XII Investment Companies. Edge Act Corporations are authorized under the US Federal Reserve Act to engage in lending and deposit-taking activities connected with international or foreign business.

Both US domestic banks and foreign banks can set up an Edge Act Corporation in the US for the purpose of conducting international business in the US. New York Article XII Investment Companies are subsidiaries established under New York law that conduct international and wholesale commercial banking operations. They engage in lending but not deposit-taking activities.

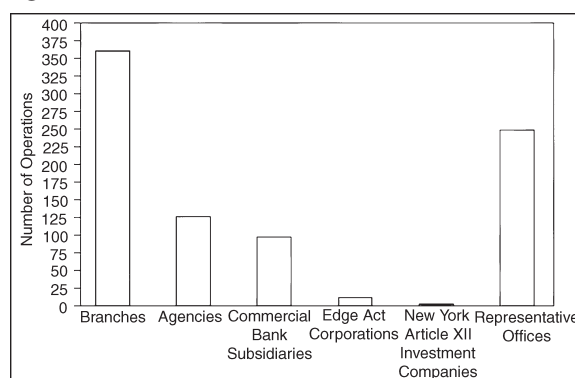


Fig. US Banking and Representative Operations of International Banks

Figure shows the different types of organizational forms through which multinational banking is conducted by foreign banks in the US. The incidence of multinational banking through a branch structure significantly exceeds that through subsidiaries.

Additionally, there are a significant number of representative offices and agencies in the US. The next subsection examines a bank's choice of multinational organizational form.

It investigates the factors that determine why a bank might choose a particular form of organizational structure as opposed to another, to provide the vehicle for its multinational banking activities. It is important also to note that many international banks operate through more than one branch, subsidiary or other kind of office in a particular foreign host market.

CHOICE OF MULTINATIONAL ORGANIZATIONAL FORM AND MULTINATIONAL BANKING STRATEGY

The choice of an appropriate organizational form for a bank's multinational involvement is dependent not only upon a range of economic and legal circumstances in both foreign and home countries but also upon the individual bank's offshore business strategies. The interaction of these influences means that 'no single route is the best for all countries and all conditions'. Lees identifies a list of factors that play a significant role in the choice of organizational form.

These can be conveniently grouped into:

- Type and volume of foreign business;
- Resource requirements; and
- Host-country legal and regulatory structure.

Each of these is discussed in turn, followed by an exploration of other influences.

Type and Volume of Foreign Business

The type and volume of business MNBs hope or expect to conduct in foreign markets are the primary considerations in the choice of organizational form. Correspondent banking relationships, being an inexpensive method of conducting simple banking transactions, are most suited to relatively infrequent foreign market activity. An increased foreign presence in the form of representative offices may be driven by a desire to increase the amount of referral business from offshore markets to the 'parent' bank.

Although referral business may occur through correspondent relationships, correspondents are likely to put their own interests before those of the 'parent' bank. In addition, representative offices provide an important source of foreign market intelligence and may be the first strategic step in establishing a deeper foreign presence while the potential payoff from further commitment is evaluated. Owing to some restrictions on the activities of representative offices, however, it is common for MNBs to maintain concurrent correspondent relationships. Moreover, the existence of representative offices can even improve the quality of such relationships.

The decision to pursue a more comprehensive multinational commitment is often motivated by increases in the volume and frequency of crossborder payments and collections. In the absence of agencies or branches, the growth of these transactions can generate large cash balances in the hands of correspondents.

These balances can typically be more productively employed in trade finance or through cash advances by the establishment of foreign agencies or branches. Agencies are an

appropriate structure in these circumstances as they are authorized to make loans, finance foreign trade and provide other trade support services. Growth in exporter servicing or lending can also be readily accommodated by expanding the agency as needed.

Establishment of agencies might also be prompted, for example, by the desire to escalate participation in the foreign money and capital markets to assist in the management of home-country assets. Foreign branches are a pertinent organizational form where MNBs wish to further augment involvement in foreign money and capital markets or where increased lending opportunities present themselves.

The establishment of a foreign subsidiary is considered to be more akin to a financial investment than part of the 'parent' bank's own operations strategy, so the decision to establish a subsidiary is of a different nature to the choice between a representative office, agency or a foreign branch. The latter three provide services which are more closely aligned to the operations of 'parent' MNBs and so comprise elements of a different strategy. For example, the foreign branch, although engaging in deposit taking and lending in the foreign host country, still has many of its functions originating from its 'parent' in managing the 'parent' bank's assets in foreign money and capital markets.

The activities of representative offices and agencies are even more closely linked to 'parent' functions. Foreign subsidiaries, on the other hand, resemble domestic banks in the foreign market, providing the full range of banking services and facing the same regulations as domestic banks, except that they are foreign-owned. The activities of a subsidiary are more independent of its parent, and are thus seen as being a financial investment rather than a supporting arm of the parent bank.

Specific to the US market, the establishment of branches in the US is much more common than the establishment of a commercial banking subsidiary. There were 370 branches compared to 100 subsidiaries at the end of 1996.

The benefits of establishing a branch rather than a subsidiary in the US market have been identified as:

- Greater capital flexibility;
- Lower cost of funding;
- Access to the worldwide capital base of the parent;
- Increased freedom to engage in transactions with the parent; and
- Lower transaction costs.

Resource Requirements

In any business investment decision, the magnitude of resources required is obviously a critical factor to be taken into account. In the case of multinational banking, the resource requirements increase with the depth of foreign involvement and hence the organizational form adopted may depend on the resources available for expansion.

While the correspondent banking relationship requires no foreign direct investment, representative offices, agencies, branches and foreign subsidiaries respectively necessitate progressively higher levels of resource commitment.

Host-country Legal and Regulatory Structure

The foreign regulatory and legal structure may have a large bearing on the choice of organizational form. Some jurisdictions, such as the UK and Switzerland, allow foreign banking penetration only on condition of reciprocity or, in other words, only if MNBs from the potential host country are guaranteed entry into the intending entrant's home market. Other countries prohibit certain forms of multinational banking outright. The degree to which such regulation reflects political rather than economic motives is debatable.

Pauly argues that the opening of Australia's banking market to foreign banking presence was a decision based heavily on political as well as economic considerations. Even in jurisdictions where the entry of MNBs is welcomed in one form or another, other specific requirements or restrictions may affect the choice of form. For example, minimum capital requirements, possibly different from those applying to foreign domestic banks, may have to be satisfied. In addition, foreign banking licences, grants of which may be subject to political considerations, may have to be obtained in order to engage in branching.

Foreign taxation regimes may also be a crucial factor in the choice of organizational form. For example, the tax treatment of directly controlled foreign branches on the one hand, and foreign subsidiaries on the other, can differ significantly. Common examples of differential treatment of 'standalone' branch banking and subsidiary structures can be found in both Switzerland and Germany.

Empirical Evidence on Organizational Structure Determinants

There is a lack of empirical research modelling organizational structure as a choice variable. The exception is Ball and Tschoegl who find that the main driver of the level of multinational banking commitment is the amount of multinational banking experience the bank has had in the particular foreign host market. If the bank is a relatively new entrant, it is expected to have a more limited multinational banking presence, for example, in the form of a representative office.

Additionally, the bank's general experience with multi-national banking operations in other host markets is found to be positively related to the level of multinational banking commitment. Ball and Tschoegl's research suggests that a foreign bank with more experience in multinational banking generally and particularly in the specific foreign market is expected to develop a deeper multinational banking presence in the form of a branch or subsidiary. This is, however, an avenue for further empirical research in modelling the determinants of multinational banking organizational form.

Establishing a Multinational Banking Operation

Another issue in the establishment of a multinational banking presence is how to effect the strategy. A bank that decides to engage in a multinational banking strategy offering the full range of services is faced with the question of whether it should

implement that strategy by acquisition, as National Australia Bank chose to do, or by organic growth, the strategy adopted by Citibank. Despite foreign acquisition being the most common method of entry for MNBs into the US market, there has been little empirical research in this area.

Foreign regulations can have a significant impact; in some countries, it is not possible to acquire domestic banks, leaving only 'greenfield' strategies. Another reason for establishing branch networks from scratch is to take advantage of international reputation, particularly in less-developed or less-stable economies, where depositors may feel more secure banking with well-known MNBs.

Acquiring existing foreign banking operations may also leave MNBs with customer profiles in offshore divisions which are incompatible or at least inconsistent with their overall market positioning. Organic growth, however, allows MNBs to target market segments within foreign economies; one example of this strategy is Citibank with its multinational 'consumer bank' business. Establishing 'greenfield' foreign offices also allows MNBs to extend their existing technology, systems, business practices and processes immediately and seamlessly into their new branches, without the need for the costly integration and retraining which might be associated with foreign acquisitions.

On the other hand, where foreign bank acquisitions are permitted, they offer the opportunity to mitigate some of the difficulties inherent in greenfield approaches. The acquisition of an existing bank in the host market ensures immediate access to core deposits. The foreign bank can engage in local lending more rapidly when it commences from a pre-existing deposit base. However, Peek find that foreign banks entering the US market by acquisition are more likely to select target banks that have fewer core deposits and more purchased funds.

Cultural, linguistic and institutional differences present fewer difficulties for MNBs where the vehicles for multinational expansion are existing foreign businesses with established local staff, knowledge and customer bases. Moreover, where the strategy calls for comprehensive foreign retail networks, acquisition may be the more feasible alternative, particularly if moving quickly is important.

Will Bailey, then ANZ Bank's deputy chairman and group chief executive officer, related his bank's experience in the following terms:

- [D]eveloping our own networks was slow going, so when the opportunity arose to purchase Grindlays... we took it. The acquisition took our overseas representation from 14 to 45 countries at a stroke.

Foreign acquisition strategies may also be advantageous for MNBs about which little is known in potential host markets. National Australia Bank's Don Argus argued that 'positioning in a new market against entrenched competition and without an existing customer base as a platform for expansion, forces the newcomer into higher risk lending in its attempt to grow'. Some of the themes raised in this brief discussion, particularly those concerning product and systems integration across multinational operations, are explored in greater detail.

MULTINATIONAL ORGANIZATIONAL STRATEGY

This subsection focuses on the recent trend of moving from multinational banking to global banking. It draws on the experience of two MNBs, Citibank and National Australia Bank, in integrating their international operations to form global networks.

The most recent trend, which could be termed the 'third wave' in the development of multinational banking, has been the shift over the last decade from multinational to truly global banking operations. The distinction between multinational banking and global banking is that global banking involves the integration of multinational operations to form a globally cooperative network as opposed to a group of largely independently run subsidiaries in different countries.

This shift has been driven by the greater sophistication of communications and information technology and the increasing globalization of financial markets. There are many advantages of integrating multinational banking operations. The primary advantages include the realization of global scale economies, reduction of task duplication and global learning.

The major source of efficiency gains from the globalization of operations stems from the adoption of more efficient business division structures. The structure of traditional multinational banking operations is primarily along regional or geographic lines, with subsidiaries essentially run as stand-alone businesses with separate management, products and policies. The integration of these businesses presents broader options for structuring global operations.

A functional business division can be implemented globally both on a product level and on a support function level. On a product level, instead of duplicating product development, manufacture and marketing efforts in each geographic region, a functional division based on product facilitates the manufacture and marketing of core products on a global rather than regional basis. Production and marketing on this scale generates gains in scale economies and reduction of work duplication across subsidiaries in different countries. National Australia Bank (NAB) adopted this strategy.

Former Chief Executive Officer, Don Argus, recognized that the banking and financial services industry is truly global in the sense that it is a market where 'the products and services... can be manufactured and sold using relatively uniform processes anywhere in the world'. NAB's strategy was to form global core products, identifying mortgages, credit cards and payment services, funds management, wholesale financial services and insurance as products and services that could be produced and marketed on a global basis.

Core products are modified where necessary to cater for specific regional demands. Citibank has also adopted the strategy of functional business divisions based on product as a part of its globalization strategy. Citibank is moving to a single global platform for manufacturing and marketing products that will ensure standard consistent products across the globe. Such standardization is expected to decrease product manufacture and marketing costs through the realization of global economies of scale, which in turn

will enable Citibank to broaden the range of products it offers. An additional advantage of developing core products across regions is the strengthening of brand recognition.

This is achieved through the production of consistent products and marketing across regions. In recognition of its global aspirations, National Australia Bank recently adopted a new name, the 'National', for its global financial services to enhance global brand recognition. Citibank continues to build its global brand recognition for its 'Citi' brand with Citicard, Citicheck, Citicash and so on.

The advantages of adopting a business division structure based on product are significant but at the same time certain aspects of a multinational banking business may not be suited to such a division. An alternative structure is one based upon customers or customer groups. Citibank's globalization strategy has involved adopting this form at business division structure within its Global Relationship Banking (GRB) unit. GRB performs transactions for multinational companies and their subsidiaries throughout the world.

Citibank has found that it is more appropriate for this business to be managed and measured by customer rather than by region or product. A division based upon customers facilitates a single dedicated relationship team that serves each parent company and its subsidiaries wherever they operate. On the other hand, under a regional business division structure, this is not possible since customers of the GRB operate globally.

In the same way that globalization generates efficiencies through functional business division structures on a product level, integration across regions also presents opportunities to increase efficiency and reduce duplication in the production of core support functions. Rather than having separate support infrastructures for each geographic region, these services can be consolidated to realise scale economies. Citicorp is developing consistent global platforms that involve integrating current systems for processing and other common functions. Credit card processing, customer service centres and general transaction processing will be consolidated across regions to realise significant efficiency gains. Group infrastructure is also being integrated in information and communications.

NAB is also adopting a similar strategy as part of its globalization plan, which involves formation of a shared services operation which manages customer support and the common administrative functions. Rather than maintaining separate infrastructures for each local region, shared service divisions will operate more efficiently for functions such as technology, customer services, human resource management, finance and risk management.

An important benefit of moving to a global operations structure is to take advantage of group knowledge and expertise through joint learning across subsidiaries. In multinational banking the traditional operations structure is to facilitate a one-way transfer of knowledge and expertise from the parent to the multinational subsidiaries. An integral part of a global operations strategy, however, is a two-way transfer among subsidiaries.

Globalization breaks down the barriers to the flow of information and expertise within a multinational banking group. Learning is facilitated among subsidiaries across national boundaries and best-practice methods can be applied throughout the group. NAB's 1997 acquisition of HomeSide, a leading US mortgage servicer, demonstrates the possibility of learning advantages inherent in a global strategy. The combination of HomeSide's expertise, it being one of the most efficient mortgage services in the world, and NAB's international network has the potential to create a world leader in mortgage services.

Senior management from HomeSide assisted with the implementation of HomeSide's systems across the NAB group. Joint or shared learning across international subsidiaries has also been identified as an integral part of Citibank's success. Citibank calls this process 'success transfer'.

The aim is to pull together best practices from across the group and implement them in all other subsidiaries. Staff expertise is of course the major source of group learning. Within Citibank's emerging markets group, for example, experienced staff are transferred from one region to another to transfer their expertise across the group.

CONSUMER BUYING DECISION PROCESS

A potential e-consumers buying decision process will follow the established stages of need recognition, information search, information evaluation, purchase decision and post-purchase behaviour.

Need Recognition

An e-retail website is a combination of the traditional store display window, information desk, stocked display shelving, mood lighting/sound, promotional material that shout out specials, and the time-honoured *barker/spruiker* used to stimulate shopping interest.

Such an e-retail site ought to elicit a need recognition response from any visitor to the site. A new or returning visitor should be treated to a combination of the four basic marketing elements - *price* (e.g. specials, discounts, interest free periods), *product* (e.g. new lines, clearance items, seasonal products, fashion and fad limited ranges), *promotion* (e.g. sales, seasonal specials, select shopper campaigns) and *distribution* (e.g. free delivery, lay-away, home installation) that accentuate the visitor's own need identification.

Technology within the website, for example cookie files, captures data about the visitor's responses and what information was accessed. Such information then enables e-retailers to improve the rapport with the online customer by tailoring the site content to consumer demand. One positive application from such data collection is the inclusion of customer loyalty programs that encourage return visitation to the e-retailer site and increased purchases.

Information Search

Improved telecommunications technology and general population access to the Internet have transformed user availability to customization of, and digestion of, large information volumes. Unlike the bricks and mortar retailer, an e-retail site has the facilities to make available such large volumes of information in a customized format to meet the immediate and potential queries of site visitors following the need recognition stage. Without personal embarrassment or the self-consciousness of asking a stranger (e.g. a shopkeeper) what may be an obvious or foolish product-related question, the e-retail site visitor can access online product brochures, price comparisons, frequently asked questions (FAQs), suggested product applications, cleaning and repair information, and an efficient search engine technology, as well as asking for specialized information via the e-retailer's e-mail system.

Information Evaluation

When seeking to evaluate the collected information on products and services, the potential shopper will often turn to the experiences and advice of family, friends and persons who have already experienced use of such merchandise. Also, e-retailing gives the user added facilities to access evaluative experts and previous users of the merchandise in question to aid in the digestion and customization of all this information.

Many consumer groups act as such reference experts through the testing and personal evaluations of retailed products and then make these findings available to others. Experienced e-retailers encourage interactions between previous, current and future shoppers by way of:

- Online discussion groups.
- Suggesting site visitors rate the available merchandise.
- Suggesting site visitors express comments about this merchandise and the service exchange experiences.

Monitoring of the online discussions and visitor comments endows the retailer with invaluable knowledge regarding merchandise features and limitations that may be incorporated into promotional materials. To conclude, apart from all the benefits mentioned above, the e-retailer gains all this free information that would normally require expensive market research.

Purchase Decision

After a visitor to an e-retailer site has determined the merchandise to be appropriate for their needs, it is still not a certainty that this visitor will finalize a purchase. Commonly, an online customer nominates particular merchandise from an e-retail website and places those items in the online *shopping cart* (also known as a *shopping trolley*) for the checkout, but later the customer discontinues the purchase process and leaves the e-retailer's site. This action of discontinuing an online purchase is termed 'abandoned cart syndrome;

- A lower level of education.
- Higher frequency of Web purchases.
- Greater concern of online data risk and fraud.
- Greater frequency of website service problems.
- The use of shopping as a facility to see family and friends.
- High levels of concern about online retailers' tracking data.
- Younger buying groups.
- Shopping causing little arousal.
- Higher frequency of browsing for a later purchase.
- Higher fashion consciousness.
- Higher frequency of Web search for product information.

Although the e-retailer cannot yet duplicate the human interactions possible in a physical store setting, e-retailers may still empower customers in an attempt to reduce the incidence of online cart abandonment. One positive step to improve the e-retailer's customer interactions is streamlining the order process by:

- Making improvements in the e-retailer's site navigation.
- Incorporation of help links and interactive facilities to stimulate the shopper's arousal and fashion consciousness.
- Supplying the relevant merchandise information as needed.
- Greater use of online help facilities and screen prompts.
- Establishing chat rooms and customer discussion opportunities to share experience with family, friends and new acquaintances.
- Improved guarantees (including deliveries, data security, 30-day trials).
- Offline contact details (phone number, fax number, street address).

Post-purchase behaviour

The key to a retailer's survival and success whether offline or online is to generate repeat purchase behaviour. For a customer to return to a retailer that customer needs to have confidence in the retailer, but e-retailer confidence is often difficult to establish in light of online issues that have caused customers to make complaints and/or never return to the e-retailer. According to Cho *et al.* (2002), the online issues that often alienate customers and lead to complaints are the failure to meet customer *expectations* in relation to:

Merchandise offerings.

The e-retailer's store-front technology (this includes, but is not limited to, the website) that integrates:

- Usability of the technology;
- The technology failing to carry out a function.

The e-retailer's information sources (the policies).

Payment/settlement issues;

- Agreed conditions (including delivery timing).

To reduce the chance of customer expectations being unfulfilled, e-retailers will compensate for the lack of a face-to-face exchange by making available more information details than would otherwise be considered in a bricks and mortar environment. Dealing with each of the Cho *et al.* (2002) points, we suggest the following responses:

Merchandise offerings -

- Define all dimensions of the size options, colour variations, and accessories provided. One suggestion is to include the supply of actual colour swatches to reduce the colour errors often attributed to variations on computer colour monitors.

The e-retailer's store-front technology (this includes, but is not limited to the website)-

- Provide sufficient technology to cope with peak buying periods such as St Valentine's Day and Mother's Day.
- Keep redundant backup to take over when systems fail.
- Offer facilities to store (file) partial orders for future use should the customer be interrupted and/or wish to continue the shopping process in the near future.
- Provide improved access facilities for the disabled/impaired computer user.

Facilities may consist of:

- Selectable larger display fonts;
- Voice recognition commands;
- Spoken responses embedded in the web pages;
- Written descriptions of displayed images (these can be read out to the non-sighted user even if they can't see the picture).
- Alerts given by the e-retailer's site to advise users:
 - pending specials;
 - replenishment of merchandise that was out of stock;
 - Arrival of special orders.
- Such alerts can reach the user through e-mail, phone short message service (SMS), automated faxing or other communications technologies.

The e-retailer's information sources (the policies) -

- Information is to be detailed (even exhaustive), accurate and timely (not noticeably out of date).
- Information is to be easy to find on the e-retailer site.
- Links to relevant or 'just interesting' sites shall establish the e-retail not only as an appropriate purchasing site but as a point of reference or portal for future enquiries in this area; thereby achieving a great milestone: being bookmarked as a favourite site in the user's Web browsing software.
- A continued customer relationship should be maintained after a purchase by:
 - Continued updates on the relevant and near-relevant issues by e-mail or newsgroup (for example, a customer purchases an electric grill and then receives a monthly recipe; the e-retailer keeps the contact and the customer's satisfaction in the purchase is supported);
 - Space may also be sold to sponsors seeking to promote their products.

Payment/settlement issues -

- Not all customers want to reveal their personal details and movements to online parties. To aid these potential customers, e-retailers can now provide alternatives for the customer in the shopping cycle to minimize risk. In Australia, a purchaser using the Wishlist retailer (www.wishlist.com.au) may opt to have their online purchases delivered to a participating BP petrol service station rather than to their home address. In this way the customer picks up the merchandise at a time that suits and conceals their personal address details while still gaining the advantages of shopping online.
- Most courier organizations (i.e. DHL and FedEx) used by e-retailers have facilities for the purchaser to trace and track the merchandise while it is in transit. The e-retailer receives proof the item is 'on its way' and the client achieves the peace of mind of 'seeing' where the item is any time they go online.

THE HYBRID RETAILER: THE MOST LIKELY WINNER IN THE FUTURE OF RETAILING

Retailers today are not restricted to just bricks and mortar, direct and virtual categories of retailing but often opt for a hybrid business model. Hybrid retailers, sometimes referred to as 'multi-channel retailers', appear to be taking the greatest advantage of e-retailing opportunities.

In a study by Haeberle (2003) multi-channel retailers were identified as generating 72 per cent of Web-based sales in 2002, 5 per cent up from 2001, and 18 per cent up from the Web sales of 2000. Using profitability as a success measure, multi-channel retailers and particularly those established in the market as catalogue brands, made the greater impact as e-retailers. The Haeberle (2003) study found that, in 2002, 92 per cent of those retailers for whom catalogue was the primary sales channel were profitable. That compares with 80 per cent of bricks and mortar-based retailers and 50 per cent of Web-based retailers in the study.

When John Lewis bought the UK arm of Buy.com, the takeover gave Buy.com financial credibility while Buy.com gave one of the 'Old Men' of UK retailing street credibility (Editor, 2001). Though the purchase of a virtual retailer by a bricks and mortar retailer was nothing new, it was an early example of a continuing trend as virtual retailers ran out of operating capital. These new players in the retailing arena are faced on one side by the downwards pressure on prices to stay competitive and on the other by fearful investors who remember all too clearly the dot.com crash at the end of the first millennium.

Retailer adaptation: a key to survival and growth

Long-standing bricks and mortar retailers are not only looking at a Web presence as the means to becoming e-retailers. To improve the relationship with their customers,

retailers are adopting new electronic systems that complement their physical store presence. Sears in the US (www.sears.com) uses a system termed 'buy online, pick up at the store', where the customer places and pays for an order with a credit card at the Sears website, Sears.com, but, departing from other Web stores' procedures, picks up the merchandise from a local Sears store. An e-mail is then used to advise the customer about stock availability at the time of the order and when the merchandise is ready for store collection.

Misunderstanding or ignoring a market position of strength is a failing that leads to the demise of some retailers. The availability of a new distribution channel is not an automatic indication of future success. Consider the US retailer Egghead (was www.egghead.com), which in the early 1990s had strong market presence with around 250 stores across the country. The retailer was well respected by its consumer market, had a solid brand image and was profitable. Long before most other retailers, Egghead created an online presence for its technology-minded customers in 1994.

Effectively, this entry into a new distribution channel made Egghead one of the first multi-channel retailers. But, as Lightfoot (2003) described, Egghead did not leverage its unique multi-channel position; rather, it decided to abandon all of its offline stores in 1998 and exclusively sell online, evolving into a virtual retailer.

Regrettably, following a series of problems, e.g. much-publicized hacking attacks on Egghead's website, technical failures in the e-commerce technology, failing customer loyalty and internal management problems, Egghead went the way of many dot.coms and exhausted its cash reserves and filed for bankruptcy in 2001 (Thornton and Marche, 2003).

On the positive side for customers, the Egghead assets (including brand name and customer base) were sold to Amazon in 2001. To Amazon's credit, the new owner honoured the privacy policy of the previous Egghead clients as noted in the statement:

Please note that if you are a returning Egghead.com customer, Egghead.com will not disclose any existing account information to Amazon.com, so you will need to re-enter all information necessary to complete a transaction. For information about how Amazon.com treats the information you give us, see Amazon.com's Privacy Notice.

WHAT CAN YOU EXPECT TO SEE AND HEAR IN E-RETAILING?

Improved customer education, availability of information and increasing legislation have given rise to a new type of customer for this new millennium. Our new customers are more demanding, have a higher expectation and are increasingly adversarial in their service exchanges with retailers. Part of the retailer response will be to empower the customer to tailor their own service exchange in the physical store and online. Metro, an organization that already markets hardware systems to retailers, has suggested a series of scenarios in a future retail store to provide technologies that make shopping encapsulate greater individualization, reliability and convenience (Metro Group, 2003a).

Greater Individualization

Just as Web browsing technology learns and recalls a user's preferences for colour, fonts and items for inclusion, future stores will match their offering to learned customer experiences. Once the customer is identified to the store through a loyalty card or personal *radio frequency identification* (RFID) tag, the store's 'electronic personal shopping assistant' (EPSA) technology will record the shopper's preferences for merchandise, delivery (i.e. home delivery, parcel pick-up) and method of payment. To save the customer time, the store system would forewarn the customer of difficulties (including stock outages) and then make suggestions for alternative merchandise that is either in stock or pending (e.g. new season's stock).

Greater Reliability and Convenience

New store technology will improve reliability for both customer and retailers. When a customer selects an item and adds this to their shopping trolley, the EPSA will read the merchandise's RFID tag and present the details to the shopper via shopping trolley mounted visual display. No longer will the customer be disadvantaged by the omission of shelf pricing or getting to the checkout only to be told that the product is 'not on the system' and needs a delaying price check. Through the use of the unique RFID tag being identified by EPSA, the customer will be advised of these details at the point of merchandise access - the shelf or bin stocking the merchandise. Once the price information absence is detected, the retailer's system can search or calculate the price before the checkout is reached.

Aiding the retailer, this technology will indicate low- or out-of-stock situations at the shelf as customers place the item into their trolley, long before the item is removed from the inventory system at the checkouts. Staff will have a perpetual inventory rather than depending upon physical stock updates. Retailers use a *planogram* to determine what merchandise is displayed where and in what quantities throughout a store. Shoppers become familiar with their favourite stores but what do they do when a new merchandise line is added to the store and they are unsure where it is located? What is needed is a personal guide or in the future an EPSA to direct customers through the store like a global positioning system (GPS) directs a car through traffic.



Fig. The new Shopping Trolley will Record the Selected Merchandise and Advise the Customer of the Details, Including Price and Running total Expenditure.

Merchandise Tracking

With delivery problems representing one of the main elements holding back the growth of e-shopping, merchandise tracking may be one of the essential development areas for the future. Early developments in bricks retailing followed research by Bernard Silver and Norman Woodland in the early 1950s. As a result, the bar code became a world standard for tracking and recording the movements of retail stock (Anonymous, 2003).

A standard bar code is made up of dark (predominantly black) vertical bars broken up with light (predominantly white) spaces. To read the bar code a beam of light is passed over the code where the dark bars absorb the light and the spaces reflect it. The scanner (also known as a reader or detector) then turns the reflected light into electrical pulses that may be recorded on a data file. While an excellent product identification system, bar codes have a significant and obvious limitation, that is, they need to be scanned to register stock movement.

Stock may enter or be removed from the retailer's premises and if the bar code is not scanned with a reading laser, the stock is not identified and recorded so its movement is unknown. The solution is to have the stock *speak* up and identify *itself* to the retailer's electronic inventory management system. The stock speak? How? By adding to, or replacing the bar code with a miniature RFID tag.



Fig. A Sample of a Bar Code

RFID tags are tiny (about one quarter of a square millimetre), carry between 64 and 96 bits of information and have a life of at least ten years. They are inexpensive (as low as one cent per unit) and can be energized and activated by radio waves from a scanner/receiver in close proximity, or can be hooked up to a battery. After being activated by the transmitter's power, the RFID tag then passes the information to the retailer's stock system.

RFID tags have already been trailed and applied in a variety of applications. McDonald's (www.mcdonalds.com) and KFC (kfc.com) are trialling RFID tags; the US Department of Defence will be incorporating RFID tags to improve the management of inventory through hands-off processing; Nokia is incorporating the tags in some of its mobile phones; theme parks are providing them on wristbands to identify the positions of children; and the European Central Bank is considering incorporating the tags on new Euro notes to reduce counterfeiting and track illicit monetary flows. Some bricks retailers have already piloted RFID tags. Privacy concerns have since led to Wal-Mart

(www.walmart.com) and Benetton (www.benetton.com) dropping trials and orders of the tags. Privacy becomes an issue when you consider that although the RFID receivers were conceived to detect the movements of the tagged merchandise, they are in effect able to track the movements of the customer carrying the tagged merchandise within a shopping district that contains multiple RFID scanners/receivers. Consider that, if an organization has more than one member store in the company's group (e.g. a supermarket, a bottle shop and a variety store all owned by one organization) in the same shopping mall, radio triangulation by the RFID receivers triggered by the merchandise's RFID radio signal could detect the move of merchandise and, therefore, the shopper from one store to another and so on. The data from these movements could also interpret how long the shopper spent at various spots in the mall and all this data is collected *without* the shopper having given their permission. It is an *ethical* dilemma that will be debated for some time. Despite the debate, bricks retailers such as Tesco are pushing ahead with RFID tags for tracking supply-chain movements and for further trials in-store. As we argue below, the potential benefits are substantial, so we expect the development to diffuse into e-retail tracking as shoppers become more accustomed to it. As the number of applications for RFID tags increases retailers may expect to fulfil management and marketing objectives, including:

- *Reduced retail fraud and theft*- RFID tags will track products for clothing, grocery items, electrical merchandise and recorded music to reduce shrinkage.
- *Asset supply-chain control*- RFID tags will track the movement of goods from one process centre to another, e.g. delivery dock and warehouse. This is not limited to the selling inventory but includes organizational assets that have in the past left the premises without authorization or without being entered in a log book, e.g. storage pallets and shopping trolleys.
- *Inventory control*- RFID tags will transmit inventory relevant information, e.g. batch number, unit code, number of items on the property and consumer-related merchandise information such as product category, size and colour.
- *Intelligent packaging*- RFID tags can be linked to a sensor that recognizes any tampering or deterioration of the merchandise while in transit and when that damage behaviour occurred. This damage may relate to a non-deliberate deterioration error, e.g. food storage temperature being outside the recommended range. Equally, the sensor would detect malicious actions of third parties upon the merchandise, e.g. when a sealed lid on a container is removed and a subsequent replacement is made to disguise the tampering activity. For customers, the expected benefits from a retailer using RFID tags are:
- *Speedier checkout process*-In combination with intelligent shopping carts/trolleys, shoppers would have all their purchases totalled automatically as the individual product RFID tags are read by the shopping cart and the totals provided at the checkout point for payment.

- *Security*- Manufacturers will introduce RFID tags into the components of final products so that if the components are removed they can be tracked. Consider the theft of car parts from a whole vehicle; in the past the panels would be almost impossible to detect and trace once removed from the original car.
- *Tracking*- ‘Where are the b—y car keys?’ Consumer RFID tag readers will become available to learn the tag codes of products that the consumer wishes to inventory. An immediate benefit is being able to locate the proximity of individual RFID tagged items, such as the ever-elusive car keys.
- *Preparation and care*- RFID tags provide the opportunity to include preparation and care information that will be understood by future appliances. Potential applications in this vein are:
 - For allergens - home health systems that are programmed for the individual’s health requirements will ‘listen’ to the RFID tags of grocery items. The tags may contain all the ingredients of the grocery items, even the complicated chemical codes, and notify the home health system of potential allergens that could be harmful to the customer/householder.
 - For clothing - RFID tags would alert the washing machine that the fabric is not machine washable or should be dry cleaned only.
 - For frozen foods - RFID tags would alert the freezer display panel that the food is near or at its expiration date.
 - For frozen foods - RFID tags would pass cooking instructions to the microwave or convection oven to avoid over- or under-cooking.

In-store interactive electronic kiosks

Multi-channel e-retailers are not restricted to the sale of physical merchandise in bricks and mortar establishments, but may also market digital products and services that were previously limited to virtual retailers. Through the use of interactive kiosks, retailers will be able to offer such services as:

- Detailed product information;
- Price checks;
- Recipes and product application suggestions;
- Tickets for events;
- Reservations for events and activities;
- Self-checkout to make purchases;
- Personalized and targeted promotions;
- Photo-finishing - this is a growing segment as customers bring in their digital camera cards and have the kiosks transfer the images to final photos;
- Internet access;
- Customer loyalty programmes;
- Banking and financial services;
- Maps and direction services;
- Human resource services, e.g. recruitment.

Interactive kiosks generate extra revenue and, because the customer is self-servicing, the variety of service exchanges is increased without added staff and subsequent drains on profits.

Greater use of Electronic Payments

The advent of the cheque made it possible for consumers to make purchases for items that cost more than the cash funds they carried on their person. A cheque could only be written up to the amount of funds the customer had in, or could deposit into, the financial institution issuing the cheque prior to the cheque being cashed by the retailer. To improve on the flexibility of the cheque and to make purchases using the financial institution's funds (up to a predetermined limit) the store and bank credit card became a popular alternative to the cheque.

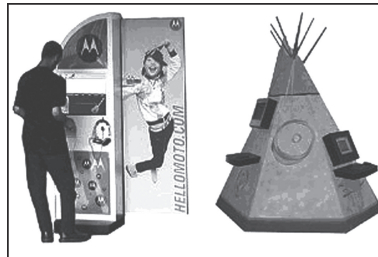


Fig. Interactive Kiosks Come in a Variety of Styles

To make a payment by credit card necessitates the retailer obtaining a payment authorization from a financial clearance centre and the customer's identification being validated by a signature or personal identification number (PIN). All this takes time and depends upon the retailer's authorization equipment being operational. Now that consumers are carrying their own mobile technology, e.g. cellular mobile phones, there is an opportunity for the consumer to contribute to the transaction verification process.

The consumer may pay for the goods by sending an SMS message to a specific phone number that verifies that a payment should be made to the retailer for the specific merchandise. Other mobile phones permit the transmission of an inferred (IR) transmission to the retailer's equipment to again verify that this payment is to be passed to the customer's charge or mobile phone account.

Widening the application of wireless device payments, Royal Philips Electronics and Visa announced an alliance to encourage and develop chip technology that does not require any physical contact with other devices. With this technology consumers will be able to pay for merchandise by waving the new smart card in front of a sensor in the retailer's store (Shim, 2003). For both retailer and customer it means reduced payment delays and improved customer satisfaction.

A further development in progress by the major credit card companies at the time of writing is 'pay-as-you-go', which should enable consumers who do not have access to credit to e-shop.

Audio Visual Shopping Trolley

As seen in the section Greater reliability and convenience, the electronic personal shopping assistant will increasingly support shoppers as they negotiate a bricks store, and we argue below that the development should lead to future benefits for e-retailers and e-shoppers. Linked to a future shopping trolley-mounted touch screen, an EPSA will provide shoppers information on current store merchandise, in-store events, specialized product demonstrations/taste testing and, of course, store specials. The audio visual shopping trolley will act as a two-way shopping data vehicle presenting benefits to customers and retailers. Benefits to customers from using the EPSA-linked shopping trolleys are:

- A quicker shopping trip for those customers who do *not* enjoy the shopping experience.
- Personalization of the product offering and related information.
- Recall of frequently purchased items to reduce the chance of forgetting items.
- Reduced embarrassment in asking for item locations.
- Reduced delays by transmitting special orders to specific departments before arriving at those sections, e.g. special cuts of meat from the meat department.
- Suggested recipes for a grocery item on special or in bulk.

Management equally receives benefits from EPSA-linked shopping trolleys through greater control over their operations resulting from improved knowledge and awareness of stock issues. Advantages to the future e-retailer will be:

- Real time inventory levels.
- Better understanding of customer shopping habits and profiling.
- Promotion of specialized or seasonal merchandise direct to the customers with the greater likelihood of making a purchase.
- Shelving that recommends cross-sells and up-sells to increase sales volumes.
- Improved feedback to suppliers on what sells and daily traffic patterns for demonstrations and gondola-end displays.
- Alerts for corrective action being needed in dramatic situations, e.g. staffing issues with long queues of customers at checkouts or other sections of the store.

The future of e-retailing is, as is the case for most estimates of the future, encouraging, but the format is uncertain. What can be said with certainty is that success and profitability will revolve around an historical truism: when the retailer knows the customer, the customer will continue to know the retailer and that translates into repeat sales and profits. The solution is in adopting the appropriate technology to meet the needs of customers.

MAIN E-RETAIL PRODUCT CATEGORIES

The top categories that account for three-quarters of all European sales comprise: books, music and DVD movies, groceries, sex products, games and software, electronic

and computer equipment, travel and clothes. In addition, although perhaps not a category, auctions are among the most popular UK e-retailing sites.

BOOKS

Books are by far the largest e-retailing category in the UK. Research carried out by Ernst & Young illustrates that 65 per cent of the purchases made by Web shoppers in the UK consisted of books. This is understandable in the light of books scoring highest in de Kare-Silver's (2001) ES (electronic shopping) test. In de Kare-Silver's sample table, books score a total of 38 points out of a maximum of 50, ten points ahead of the next category (hotels). Books score highly on *product characteristics*, being low-touch products that are simple to deliver by post, and *familiarity and confidence*, as customers usually know exactly what they are ordering. Finally, the higher-weighted *consumer attributes* parameter is particularly favourable to books: typical book buyers and the e-shopping early majority tend to be younger, better educated and of a higher socio-economic group than the general population.

Amazon is the outstanding leader of the books e-retail category, with a market share of over 50 per cent (and is also market leader for CDs/DVDs). When readers of the *Sunday Times* were asked for their experiences of e-shopping, Amazon 'streaked ahead' of all others as the country's favourite e-retailer. This means that Amazon is the undisputed favourite on considerations such as convenience, reliability and customer service.

Amazon has achieved worldwide success and brand recognition by attention to these considerations and heavy (offline) advertising, becoming one of only three dot.com brands in the Interbrand world league table. It is an illustration of the power of branding that Amazon is the world's top e-retailer and head-to-head with Barnes and Noble for the title of the world's biggest bookstore.

Other dot.coms such as Easy Value have attempted to exploit the Web's facility for quick and easy price comparisons, claiming that 'people know the products and price is driving them'. Indeed, a price comparison site such as Book Brain can often find prices for identical books significantly cheaper than Amazon. These cheaper prices often come from suppliers such as Swotbooks that do not have Amazon's heavy marketing costs. Nevertheless, even competitors such as Tesco, with offers like 'the top 100 books 10 per cent cheaper than Amazon' have failed to make a substantial impact on the online books market. As Brynjolfsson and Smith (2000) put it, 'the most expensive is not always the least patronised', pointing out that Amazon.com maintained a US market share of 80 per cent while charging 10 per cent more than the cheapest.

MINI CASE STUDY 2.1: BOOKBRAIN.CO.UK AND SWOTBOOKS.COM

BookBrain does not sell books, but is a shopbot that claims to provide 'the most accurate and comprehensive price search of UK online bookshops on the Web'. Fourteen sites were searched at the time of our site test.

Once you've found your ideal read, a quick search reveals prices of postage and packing, often with significant differences.... The site lets you know the availability of each title, how long it takes to be delivered, and it has smart editorial reviews too. Bravo.

For our site test we chose a book that might be useful for various disciplines, *Discovering SPSS for Windows: Advanced Techniques for Beginners* by Andy Field, published by Sage. The search took 13 seconds, returning a table of the cheapest eight suppliers, with links to the book on the suppliers' sites, details of how delivery charges are calculated (useful if you are considering buying more than one book), stock availability, base price, delivery charge and total price. The pricing information is particularly helpful, as, when going directly to many of the suppliers' sites, it is difficult to find the delivery costs until the very last stage at the checkout.

MUSIC

From the suppliers' point of view, the music industry is largely not a happy story. According to Lehman Brothers figures, music as a percentage of consumer

	Lower cost	Differentiation
Broad target	Cost leadership Swotbooks	Differentiation Amazon
Narrow target		Focus Abebooks

Fig. Exemplar Strategic Positioning of Books e-retailers

Expenditure is falling and music sales in the UK dropped by 8.1 per cent in 2002. The biggest drop was in compact disc (CD) singles, which, according to British Phonographic Industry (BPI) figures, slumped by 25 per cent.

Consumers have often complained about what are alleged to be unfairly high prices for CDs. On the other hand, the major companies tend to blame piracy and illegal Internet downloads for the slump (single tracks are obviously quicker and easier to download than albums), claiming to have lost US\$1 billion in revenue worldwide in 2002. In the US, the Recording Industry Association of America (RIAA) has taken legal action against hundreds of 'major offenders' alleged to have illegally distributed an average of more than 1,000 copyrighted music files. It was widely reported that a 12-year-old girl, a university professor and an elderly man who rarely uses his computer were included in the first wave of actions, resulting in negative publicity for the RIAA. E-Retailing of music can be considered under two categories: CDs and online.

CDs :There are many different formats which are used to listen to music such as tapes, CDs, records, mini discs, etc., but since the 1980s the most popular form has

been CDs. According to the BPI, music buyers spend on average over £80 per year on albums, of which 92 per cent are CDs. The BPI estimates that market penetration of CD albums is 50 per cent of UK households. Many leading retailers of music products such as HMV and Tower Records have now begun selling CDs on the Internet but are facing huge competition from pureplays such as CD WOW and CDNOW - now owned and run in conjunction with Amazon). Indeed, CDWOW has grown hugely in the competitive CD market and was recently voted by *Net* magazine readers as number two in the world's 20 best online stores, second only to Amazon. Similarly, in the UK, *Sunday Times* Doors readers voted CDWOW the country's second-favourite e-retailer, again behind only Amazon.

PRICES OF CDs

It is usually said that the Internet enables consumers to find cheaper products. This is an important consideration for CDs, as there has long been a consumer perception that CDs are overpriced in the high street.

One of the main advantages of e-shopping vs. bricks shopping for consumers was found to be 'prices favourable'. Table reports our comparison test, indicating a wide range of prices. The cheapest overall was CDNOW, e.g. for U2's album Best of 1980-1990 CDNOW's price was £8, compared to CD WOW in second place selling the same CD for £13.99.

E-RETAILING CDS - THE ES TEST

The Electronic Shopping (ES) test was developed by de Kare-Silver (2001) and is used to assess a product to evaluate the likelihood that it will be purchased online. According to de Kare-Silver, a product's potential for e-retailing can be judged by assessing three factors: 'Product characteristics', 'Familiarity and confidence' and 'Consumer attributes'. Consumer attributes are considered to carry more weight than the other two and are therefore loaded three times as highly in the model. The example of CDs follows below.

Table: Price Test Results for CDs.

HMV	Tower Records	CD WOW	CDNOW	
U2 Best of 1980-90	£18.99	£23.65	£13.99	£8.00
Justin Timberlake	£13.99	£12.78	£8.99	£8.50
Big Brovaz	£10.99	£13.42	n/a	£18.70
Best of David Bowie	£15.99	£15.66	£12.99	£8.00

Product Characteristics

A CD is a product that a consumer either wants or doesn't and is down to personal preference. The consumer gets the same product whether they buy from HMV or Tower

Records. A CD does not need to be tried on, smelt or touched before it is bought. The only thing that the customer may want to do is listen to it, and they will probably have heard the music already on the radio or TV.

Familiarity and Confidence

A consumer will usually be familiar and confident when choosing a CD. They will buy a CD of their own taste, whether rock, soul, hip hop, etc. Furthermore, leading brands such as HMV sell online and CDNOW uses Amazon as a channel to sell their CDs at cheaper prices. They are well-known brands so consumers are likely to feel confident buying from them.

Consumer Attributes

The typical music buyer is younger, better educated and of a higher socioeconomic group than the general population, i.e. closely fitting the profile of the typical Internet user. *Score: 22 out of 30.*

**Table. Evaluation of the E-shopping Potential
of CDs Using the ES Test**

Product	Product characteristics (10)	Familiarity and confidence (10)	Consumer attributes (30)	Total
CDs	8	8	22	38

The total score for selling a CD online was 38 out of 50. De Kare-Silver stated that if a score is above 20 then the product has good potential of being bought by consumers online. The total score therefore indicates that CDs have a high potential to be purchased on the Internet, which justifies the reason why CDs have high sales online. This can be compared to basic clothing that de Kare-Silver scored at only 19 in the ES test. This means that clothing has a lower potential for e-retailing compared with CDs.

Online music

Industry insiders estimate that three times as much music is downloaded on the Internet (largely for free) as is being sold on CD. A Forrester research study found that 45 per cent of European broadband users download music and half of them saw no problem in not paying for it. Nevertheless, following a settlement between AOL Time Warner and Microsoft, legal, paid for online music now seems to be taking off.

ONLINE PAID CONTENT

Online paid content from the US grew by a massive 22 per cent in 2003. According to eMarketer (2003), music is the biggest category. For example, over 17 million tracks have already been downloaded from Apple's iTunes, despite competition from free

file-sharing services such as Kazaa. Paid content is not new. Financial news and pornography (now mainly downloaded videos and 'live' webcams) have been around since the early days of the Web. What is new is the fast rate of growth of many other categories.

There are two ways of receiving music online: downloading or *streaming*. In the US one of the leaders, iTunes, launched by Apple Computers, has been successful in persuading consumers to pay 99 cents per download - 6.5 million times in the first three months. The biggest sellers included The Eagles and U2 - perhaps appealing to a more mature and affluent market than the typical pop music buyer. iTunes is also popular in Europe, with each track costing around £0.60, even though it is still only available to Apple Mac users.

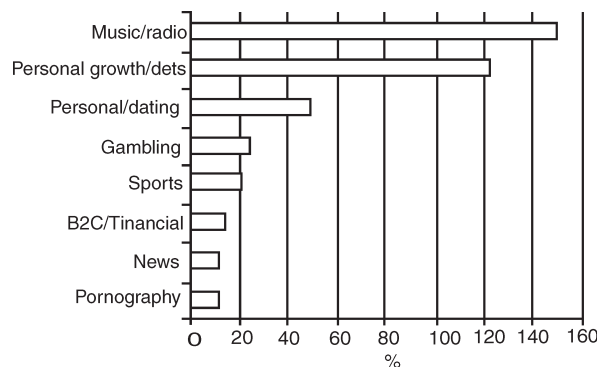


Fig. Paid Online Spending Growth Rates for the US
for 2003 - percentage increases on 2002

Streaming means playing the track live through a computer, rather like broadcast radio. In fact, the most frequently used type of streaming is digital radio.

Interactive services where you choose your listening are gaining ground. For example, in the UK, On Demand Distribution provides a 'music club' service for HMV and Internet service providers such as Freeserve and BT, charging a fixed monthly fee for streaming and limited downloads. But if you stop your subscription the downloads stop playing. OD2 has deals with all the big five music companies, managing the transfers to ensure that artists and record companies get paid the royalties. The company has more than 200,000 tracks by 8,500 artists. OD2's success may be partly due to the personal influence of founder Peter Gabriel (former singer with the 1970s' band Genesis). 'I have helped open doors' says Gabriel. 'We are pretty much the only player left in town'.

OD2 music is also available as downloads from MSN and from Virgin, costing from around £0.60 to £0.99 per track. One incentive that OD2 uses to lure consumers to pay is offering music up to six weeks before release on CD (i.e. less likely to be available as illegal downloads). OD2 also includes exclusive versions and extra songs not available in the CD format.

For a reasonable sound quality, a broadband Internet connection is essential. Even with broadband, though, streamed sound quality is not as good as from downloaded files. A variety of systems is available to enable near hi-fi quality from the computer, either streamed or downloaded. The paid-for downloads mainly use Windows Media Audio (WMA) format, which contains controls to ensure that copyright fees are paid. 'Free' music downloads usually utilize the useful MP3 format, which is more flexible than WMA. For example, you can transfer your CDs and downloaded tracks on to a blank CD to play in-car or in a portable MP3 player such as Apple's portable iPod.

The Napster free file-swapping site has been closed down, but there are many other websites dedicated to helping users download music for free. For example, Kazaa, probably the leading site of this type, claims that its software has been downloaded 200 million times, with 2.8 million copies of its software downloaded per week. According to the *Sunday Times*, when all P2P services are taken into account, approximately 2.6 billion files are copied per month.

MINI CASE STUDY 2.2: THE IPOD - AN ICON FOR THE 00S

The iPod MP3 player weighs less than two CDs but fits 10,000 songs into your pocket. Top fashion houses have designed accessories for it, TV directors have included it in plotlines and word of mouth has made it one of the coolest gadgets. The iPod may be little more than a storage device, but it has revolutionized the way we listen to music and has become a cultural icon at the same time. Small, light and easy to use, it has helped non-technical audiences to catch on to the benefits of the personalized music library that can be enjoyed on the move. Annual sales of 1.5 million iPods have made this one of Apple's most popular products. Its success comes from not just a stylish design, but also the ultra-fast FireWire connection for transferring music from the computer. It is also an alarm clock, games console and, with optional attachments, a voice recorder and radio.

MINI CASE STUDY 2.3: KAZAA

According to www.download.com, by February 2003, Kazaa had been downloaded 192, 921, 732 times! Obviously, consumers like free products. Kazaa offers searching for music, video (e.g. episodes of soaps or movies) and image files. The process is relatively simple: download the free software, agree to the terms and conditions and launch the Kazaa Media Desktop. Click 'Search', type in an artist or track title and the results are then displayed. To download, click on one of the files listed. At the time of our test, there were 4,130,879 users online sharing 810,495,758 files! Once the file has been downloaded, the user has obtained the music, initially for free, although it is the users' responsibility to pay the copyright royalties. The operators of the site state explicitly that they do not condone activities and actions that breach the rights of copyright owners: 'As a Kazaa Media Desktop user you have agreed to abide by the end user agreement

and it is your responsibility to obey all laws governing copyright in each country.’ The software is free, with the costs covered through advertising revenue. Kazaa and Morpheus (a similar service) have been reported to earn US\$400,000 per month from advertising. During the 20 minutes or so of download time, the user is subjected to many pop-up advertising windows. In addition, users’ personal details may be used for marketing purposes (any users who have not read the terms and conditions may be unaware of this).

Apart from the advertising and the requirement to pay royalties to the copyright owner, there are other potential problems. For example, any file that is downloaded may contain a computer virus or worm. Because of the operation of the P2P system, only the owner of an infected system can delete it and stop its circulation, not Kazaa.

In order to share music with other users, the software creates a shared folder where all files can be uploaded or downloaded. The setting can be changed so that no one can obtain files from your computer, but on the default the settings can be changed by another user in such a way that your entire computer’s files can be shared with everyone. In a test by HP Laboratories, a dummy file called ‘credit-cards.xls’ was added and the computer left online for 24 hours. The file was downloaded four times. The same report drew attention to another problem that may be worrying to parents: pornography. For example, over 70 per cent of the results obtained while searching for Britney Spears’ videos on Kazaa were of pornographic content.

In our survey of 765 young people carried out in 2003, 65 per cent said that they used the Internet to download music. Eighty-eight per cent of these said that they used Kazaa or similar software, but only 12 per cent said that they used ‘legal’ sites (artist’s web page or legal distributor). The ‘legal’ users also tend to be infrequent users. Respondents to our survey (of a single, West London, UK, school) have downloaded an estimated 92,000 ‘free’ files, representing 6,600 albums. By comparison, the ‘legal’ downloads were only 1,000 files, equivalent to 75 albums. Worryingly, 32 per cent of the respondents were unaware of the security risks of file sharing.

DVD movies and Videos

DVD movies and videos are mainly available from the same suppliers as are CDs (Amazon is market leader) and carry the same advantages for e-retailing. High street retailers have, of course, long supplied videos. Happily for e-retailers, the expansion in popularity of DVDs over the last couple of years has coincided with a period of rapid growth in consumers’ willingness to e-shop.

MINI CASE STUDY 2.4: BLACKSTAR

Blackstar was founded in February 1998 and operates from Belfast in Northern Ireland. It began by selling a comprehensive library of 50,000 video titles. With widespread consumer support for the new DVD format that has built up over the past two years, Blackstar logically moved into the DVD movies market and now also sells

games console titles as well. Blackstar has enjoyed newsworthy successes in its short history. It has managed to attract and retain customers through its commendable level of customer service.

Typical high street video/DVD shops typically stock up to 3,000 titles, but Blackstar offers a much wider range with many otherwise-rare titles. Blackstar also offers a video/DVD hunt facility for rare or deleted titles. This service has proved to be very popular and a key factor in the company's success. However, Blackstar, like most other British e-retailers, has yet to achieve profitability. Blackstar was awarded Retail Online Success of the Year at the BVA Awards 2000.

GROCERIES

e-Grocery shopping in the UK is only around 1 per cent of total grocery shopping, but that small percentage adds up to around a billion pounds per year. The nature of groceries as non-durable necessitates delivery quickly and in such a way that quality is not lost in the delivery process. Perishable grocery deliveries can also be difficult if the recipient is not there to receive them - unlike other goods that may be popped through the letterbox or left in a lockable delivery drop. In addition, many grocery items tend to be variable in characteristics and quality and are often selected by look, feel and smell. Compared to typical shoppers for products such as CDs, grocery shoppers tend on average to be older and less educated, and therefore less susceptible to new technology such as e-shopping. Indeed, de Kare-Silver's ES test rates groceries at 27 (out of 50), well behind Books (38) and DVD movies.

When US bookstore magnate Louis Borders founded e-grocer Webvan in 1997, he believed he could revolutionize the grocery business. The idea was deceptively simple. It was to take orders for groceries over the Internet and use highly automated centralized warehouses and computerized logistics systems controlling a local fleet of trucks to efficiently deliver groceries to a customer at a cost no greater than if the customer had gone to the supermarket themselves. The scheme was launched in San Francisco, followed by another 26 cities at an investment cost of US\$35 million per city. Including marketing costs, the total investment US\$1.2 billion was second only to Amazon in the history of e-retail startups. With marketing costs of 30 per cent of sales and only 50 per cent capacity utilization of the distribution centres, Webvan struggled for cash. The company folded in 2001, laying off its 2,000 employees and announcing losses of close to US\$0.5 billion - the largest single e-commerce loss ever.

Tesco, the leading UK grocery supermarket, is a very different story. Tesco's online shopping service has been one of very few grocery e-retailing successes worldwide, with 1 million users, 85,000 orders per week and profit since 2001. Tesco is the world's biggest e-grocer, and is the UK's number one by a considerable margin, with a 53 per cent share of the world's biggest online grocery market. The key has been twofold. First, Tesco had first-mover advantage, rapidly increasing its operation to cover 95 per cent of the population. By contrast, the main rival, Sainsbury's, reaches 71 per cent of

UK households. Second, the initial operation (still true for most food items) employed pickers to select the goods from the shelves of local stores.

This simple approach enabled Tesco to get the operation off the ground quickly and cheaply. In a warehouse, fresh food that was unsold would have to be thrown away. In addition, when e-orders are quiet, Tesco's pickers can do other work. Meanwhile, competitors have struggled. Somerfield attempted the purpose-built distribution centre approach, and retired hurt. Safeway (formerly one of the 'big three' UK supermarkets) never launched a home delivery service and has now closed down its e-retail business completely. Sainsbury's uses a combination of warehouses and in-store picking, but is still not in profit at the time of writing. Wal-Mart Asda's two dedicated warehouses have been closed. Both Sainsbury's and Wal-Mart Asda offer delivery to less than half of households across the country at the time of writing. Iceland claims 97 per cent coverage, but is reticent about its trading results.

The Tesco e-retailing model has now been introduced into the US through a deal with Safeway Inc. (not connected with the UK Safeway). Customers in Portland, Oregon, were the first to try the service, followed by San Francisco (where Webvan tried and failed). Tesco.com is also growing rapidly in the Republic of Ireland, where the service covers 70 per cent of the population, and in South Korea through a joint venture with Homeplus. The main challenge to Tesco.com's approach in the UK may come from Ocado. Ocado operates in conjunction with Waitrose, one of the UK's top six supermarkets with stores mainly in the south of England. Ocado is 40 per cent owned by department store group John Lewis Partnership, owners of Waitrose. Ocado are committed to the warehouse model with central warehouses to the north of London and in Birmingham that can each process the same amount of groceries as 20 superstores. From a pilot in Hertfordshire, the e-retailing service has been rolled out to the London area. Ocado's managing director pointed out that the company bases marketing on a low level of substitutions (claimed to be 2 per cent vs. an 'industry standard' of 15 per cent) and one-hour rather than two-hour delivery time slots. The operation has a long way to go to catch Tesco, though, and even Waitrose's managing director estimated that it would take three to five years to reach profitability.

EIGHT WAYS TO CUSTOMER VALUE AND PROFITABILITY IN GROCERY E-RETAILING

- Customer density
- Loyalty
- Buying power
- Ordering efficiency and customer information
- Operational efficiency and customer service level
- Large range of products
- Price level
- Shopping convenience

Tanskanen *et al.* (2002) reported on 'six lessons learned' for profitable grocery e-retailing and Anckar *et al.* (2002) identified 'four sources of customer value' - see Box 2.4. As the UK's leading supermarket, Tesco has the advantage in loyalty, buying power and range of products. Economies of scale should also give the market-leader a potential advantage in good-value selling prices. In theory, therefore, the other players need to try to gain their competitive advantage from the remaining factors: shopping convenience, operational efficiency, customer service, the ordering interface and product information. These can be addressed by, for example, making the website informative, quick and easy to use, supplying exactly (or with a minimum of substitutes) what is ordered and providing accurately timed delivery slots.

CLOTHING AND FOOTWEAR

Clothing is not an obvious product for e-retailing. First, of course, clothing is normally bought by look, feel and fit, all of which are difficult for the e-shopper to evaluate on the Web. Second, clothing is bought not just for warmth and modesty, but also to express our self-image. Any purchase errors in (e.g.) style, therefore, carry a particularly high perceived risk. Indeed, de Kare-Silver's ES test rates basic clothing at 19 (out of 50), well behind books (38), DVD movies and groceries (27). (For a product to be suitable for e-retailing, de Kare-Silver recommends a minimum score of 20.) Nevertheless, clothing represents one of the major categories in UK e-retail (although worldwide it is one of the slowest-growing categories). One reason may be that clothing has historically been one of the major mail-order categories in the UK. Both shoppers and suppliers are used to home delivery channels for clothing. The clothing e-retail market leader Next has been supplying fashion clothing by mail order since 1988.

Surprisingly, lingerie and hosiery is one of the most popular product categories for e-retailing, perhaps driven by the success of the leader, Fig Leaves (www.figleaves.com), in the same way that Tesco has driven the expansion of grocery e-retailing. Fig Leaves has a winning approach both in the creative permission-based marketing and the novel online bra measuring system. In particular e-shopping for lingerie appeals to men, who may often be embarrassed to buy these products in-store. 'Look and feel' goods tend to be compared and evaluated before buying - i.e. they are high involvement purchases. For example, a survey reported in the *New Straits Times* in 2001 found that 85 per cent of respondents would not buy clothes online because they prefer to try them on before purchase. Enjoyment is often a motivation for in-store clothes shopping (and other comparison shopping). In the bricks retail store, 'atmospherics' are often used to increase enjoyment and hence sales. The effectiveness of such techniques is well known in-store, we argue that equivalent considerations are also important for the e-retailer.

Emotional aspects such as enjoyment strongly predict shoppers' attitudes towards e-shopping. According to Chicksand and Knowles (2002), equivalent features can be identified to help in overcoming the difficulties of selling 'look and feel' goods like clothing online. The equivalent stimuli for the clicks store include: sound,

personalization/customization, usability of the website, visuals and text. *Web atmospherics* can help compensate for the lack of sensory experience in e-shopping. Nevertheless, the indications are that shoppers' needs for enjoyment (rather than just utilitarian) benefits are not being satisfied by e-retailers. Even clothing market leader Next makes little attempt at the use of web atmospherics on the e-retail site.

Personalization is a key element of web atmospherics, but most clothing e-retailers personalize very little. Developments aimed at helping to overcome this drawback include the Eddie Bauer (US clothing retailer) 'virtual closet' which allows shoppers to match up items with a 'Style Builder'. With Virtual Model (www.virtualmodel.com - one of the '100 best websites' from *Internet Magazine*) you can create a 3-D virtual model of yourself online and dress yourself with clothing from top suppliers such as Lands End - claimed to increase the likelihood of a sale by 19 per cent. These e-retailers keep a database of sizes and items bought that is available on your next visit, personalizing the experience and saving purchase time. The potential for clothing includes the body scan. For example, shoppers can visit selected Levi stores for the scan, which is then held on a database. In theory, this could then be used for e-shopping, incorporating the scan data into a 3-D virtual closet such as Virtual Model. Shoppers could be confident that the clothes would fit. Unfortunately, Levi does not actually offer the body scan data for e-retailing on the Virtual Model/Kohls (www.kohls.com) site.

Customization is another key element of web atmospherics for clothing. Mass customization refers to self-designed products. Shopper involvement in the design of the products adds considerably to the personal feel of the shopping experience. Shopper satisfaction can be enhanced by more closely matching exact needs. In the case of Nike, shoppers can customise shoes, not just with colours and styles, but also, for example, with a name or message. A potential drawback of this system, though, is concern over what happens if the customer wants to return the product for any reason? Fanbuzz e-retails clothes, allowing shoppers to decide their own styles, colours, graphics and sizes. These custom items are 10-20 per cent more expensive than non-custom ones, but many customers are prepared to pay more for customized products.

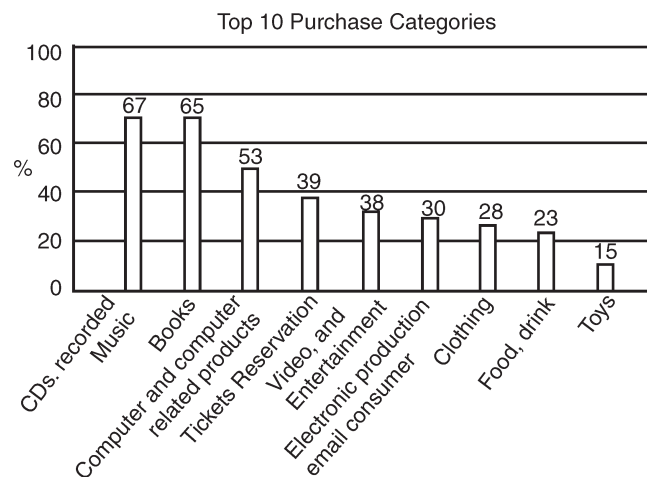
Although the market for e-retailing clothes is growing only slowly, if the mass-market e-retailers such as Next and Marks & Spencer were to improve web atmospherics, e.g. more attractive, interactive site design and layout, more personalization and customization incorporating features used by specialists such as Lands End and Nike, there should be considerable scope for further growth.

CASE STUDY: AMAZON.CO.UK

This case illustrates Amazon.co.uk's retail mix and the application of the Ansoff matrix. I buy all my books at Amazon.com because I'm busy and it's convenient. They have a big selection, and they've been reliable.

Bill Gates : Amazon has established itself worldwide as an online retail success, the world's biggest e-retailer of books and head-to-head with Barnes and Noble for the title

of the world's largest bookstore, even though Amazon sells only online. From a start-up in 1995, annual sales have grown to more than US\$1 billion and the company has over 2.5 million customers - but reported its first profit only in 2002. The UK site, www.amazon.co.uk, was formed in 1998 by the takeover of Bookpages, and the UK is now Amazon's biggest market outside the US. Amazon is also the clear UK market leader for CDs, DVD movies and videos and offers many other product lines, including electronics, software, games, toys, travel and auctions. According to a survey by Global Online Retailing, one in eight UK Internet users have made a purchase at Amazon.co.uk. Amazon is the market leader in the UK for selling online books with a market share of over 50 per cent, and its main advantage is the ability to deliver low-cost



AMAZON'S E-RETAIL MIX

Convenience

Convenience plays an important role in gaining and maintaining new customers. There are several factors driving the level of customer convenience. First, the speed of downloading amazon.co.uk's website is fast, as it takes only three to five seconds although it is full of images of their products. Customers can quickly find the desired product, as the search facility is second to none. Once the result is located it provides value-added services such as book reviews and ratings, and displays its own price and a comparison price. Comparative pricing allows customers to see the value they are receiving from Amazon, i.e. how much they are saving. Amazon makes it easy to source and buy products and track the progress of delivery.

Amazon offers industry-leading state-of-the-art online shopping technology, the '1-click' system, which streamlines the customer buying process by storing personal information such as credit card number and shipping address, saving time and hassle. According to a survey carried out by Knowledge Systems & Research, consumers become frustrated after having to click more than six times to complete a purchase and

as a result they move to other websites. The website offers secure socket-layer connection, which means that sensitive credit card information is transmitted in encrypted format. In some cases it even provides a guarantee that, if unauthorized transactions are made, it will reimburse the customer. All major credit and debit cards are accepted.

One of the prime factors of convenience is based on availability. If any of the titles are unavailable, Amazon will still take your order and will let you know when the title will be available. Amazon.co.uk's main aim is to maximize customers' convenience so they do not look anywhere else for their books.

The search facility is designed in such a unique way that it provides up-selling, cross-selling and down-selling. For every result of a book title search you are given the options.

For instance, if you are looking at a book the website will also display other books in the same category. This feature allows customers to have better choice. This is e-comparison shopping as you are comparing two books while only looking at one screen. The facility increases sales as customers can always find something that they want. Customers can view their account any time, which includes information about their past orders along with shipment details. Account information is used to make recommendations about other books that customers may like.

Cost

Cost is one of the features that drive customers to shop on the Web. Nevertheless, Jeff Bezos, Amazon's CEO, believed that online customers considered selection and convenience to be more important than price. This belief is probably justified as Brynjolfsson and Smith (2000) pointed out that Amazon had a market share of 80 per cent while charging 10 per cent more than the cheapest. Therefore, Amazon did not seek to compete on price alone. Customers want to get the best price with excellent customer service. Most of the books at Amazon are available at a discounted price, ranging from 1 per cent to 50 per cent off the recommended retail price. Consumers are always shown three prices: 'list price', 'our price' and 'how much you save'. Amazon has reasonable delivery charges. There are often seasonal promotions such as free delivery if the order is over a certain amount. Different options are available, including (as an optional extra) overnight delivery. Following a similar arrangement in the US, Amazon.co.uk has a deal with Toys R Us for in-store pick up, which allows customers to collect the books at their convenience. With this option, there is no delivery charge.

Communication

Amazon has established its brand name through customer intimacy and customer relationship management. From day one their aim has been to be a customer-centric company. It welcomes returning customers with their name, e.g. 'Welcome back Charles Dennis', with the help of a cookie file stored on the user's computer. This has been referred to as the Web equivalent of customizing a storefront to suit the taste of each

person walking through the door. Customers can opt in if they wish to receive more information, for example when a new novel comes out by their favourite author. Consumers can always opt out as well if they are not interested in receiving any more information. Amazon monitors the customer's ordering process through the Oracle database environment that feeds all the content to its website. It can track the speed and performance of each step in a transaction, including placement of an item in a cart, completion of an order and e-mail notification to the customer.

Amazon offers personalization by recommending similar books according to what other customers have bought. For example, the personalized screen will say: 'Customers who bought titles by this author also bought titles by these authors'. These features help users to make up their minds quickly and they can also read spotlight reviews by other readers. Amazon is to some extent a virtual community where users express their views about authors. Publishers and authors can also contribute. Amazon uses an integrated marketing communications strategy that encompasses advertising, public relations, promotions and online marketing. Offline advertising includes TV commercials and billboards in train stations. Online activity includes the associates programme and deals with major search engines and portal pages such as Yahoo.com and MSN.

The associates programme uses other sites to promote Amazon by links that directly take users to Amazon's site. In return associates receive a small percentage commission on the total transaction value.

Computing

Amazon uses state-of-the-art technology in its back end (warehouse) and front end (website). The company has developed a customized information system and dedicated ordering system, which is linked with suppliers to automatically order books. The search engine employs XML and Oracle database technology, which bring up results in a matter of seconds. Once the book or an item is found, users sign in using the 1-click system and the purchase is complete. The company's software processes the orders via electronic interfaces or electronic data interchange with suppliers and all the stages in the supply chain are computerized.

Customer Care

According to an internal customer research survey carried out by amazon.co.uk, 70 per cent of sales are made by repeat customers of whom 97 per cent are satisfied or very satisfied with the service - which must be one of the highest satisfaction scores among pureplay dot.coms. Its FAQs section is very informative as it explains all the main issues such as ordering process, delivery charges and returns policy.

Customer Franchise

Amazon's brand relationship is like someone who knows you, understands your preferences and tells you something new every time you make contact. This builds up

a strong relationship as if dealing with assistants who have come to know customers in the course of many shopping trips.

ANSOFF MATRIX

Market Penetration

Market penetration means seeking to achieve growth with existing products in their current market segments and aiming to increase their share of the market. Amazon has increased market penetration through value-added service. For example, as mentioned previously, it takes on the responsibility to order books that they do not have at present and let the users know as soon as they become available. It allows users to sell used books, and prices for used books appear alongside the selling price for a new book. The extended service and options translate into greater sales. This gives the reader a chance to read the book before actually buying it. The more services offered, the more chances there are it will lead to a sale.

Product Development

Here new product offerings are developed to market to existing customers. Amazon has added second-hand books to its product range, giving its customers the opportunity to sell their used books. Amazon also now sells e-books - readable on Personal Digital Assistants (PDAs).

Product Market	Present	New
Present	Market Development	Product Development
New	Market Development	Diversitication

Fig. Ansoff Matrix

Market Development

Market development concerns the marketing of existing products to a new audience. Amazon has extended purchasing to users of WAP or 3G mobile phones.

In addition, Amazon has signed deals with bricks and mortar bookshops such as Waterstones and Borders to sell books online for them. Customers typing in www.waterstones.co.uk will be directed to a version of the Amazon website that carries Waterstone's name (although the appearance and co-branded name are still clearly

Amazon). A percentage of the profit from any books they subsequently buy will go to Waterstones in a concept similar to the associates programme.

Diversification

Diversification refers to entering new markets with new products. Amazon has broken into new markets by offering travel services, software, electronics and toys. This is known as unrelated diversification, as Amazon had no previous market experience in these areas. Nevertheless, having built up a successful brand name with a large number of loyal customers, the company is well placed to extend the franchise.

DISADVANTAGES OF E-RETAILING FOR RETAILERS

Retailers have been slow to take up e-retailing. This is to some extent understandable in the light of many disadvantages and problems. Retailers, for example, may lack the technical know-how, the substantial investment required or the order fulfilment capabilities. Set-up costs start from around £20,000 for a small site and up to £500,000 for a large operation (\$A53,000 to \$A1.4 million). And set-up costs are only the start - Datamonitor estimates that high street retailers are spending more on ongoing costs than on setting up new sites. A continuous cost will be fulfilment and logistics. Successful e-retailers such as Next and Land's End have had the advantage of already operating profitable mail-order catalogues.

There can be legal problems. For example, if purchaser and supplier are in different countries, there may be conflict between the laws and taxation of the two countries. In Europe, the *VAT (Value Added Tax)* position is still unclear, but Richard Branson's Virgin group's e-retail operation is registered in Madeira, the country with the lowest VAT rate in the European Union (EU). A further disadvantage is that e-selling is less powerful than face-to-face selling (it is easier to say 'no' to a computer). This viewpoint is linked to a concern of traditional high street retailers that e-retailing offers a diminished role for their expertise. For example, there are obvious difficulties with products sold by 'atmosphere' - touch, feel, smell - and impulse purchases. In addition, consumers have a perception of lower prices online. This puts pressure on margins for e-retailing, and can lead to shoppers expecting consistent low prices in-store. Finally, aftercare can be difficult, especially if the shopper is overseas.

DISADVANTAGES OF E-RETAILING FOR RETAILERS

- May lack know-how and technology
- Substantial set-up, investment and ongoing costs
- Complex logistics of fulfilment
- e-Selling less powerful than face-to-face - uptake slow for goods selected by taste or smell

- Fewer impulse purchases
- Legal problems
- Lesser role for traditional high street retail expertise
- Pressure on margins and prices in-store
- After-sales care difficulties

ADVANTAGES OF E-RETAILING FOR RETAILERS

On the other hand, there are a number of advantages for retailers. First, location is unimportant. According to some textbooks, adapting an old saying, the three most important elements in *retail* are 'location, location and location'. The best high street locations are therefore expensive. The e-retailer, though, can sell equally well to anywhere in the country and even overseas. Second, size does not matter - small e-retailers can compete on equal terms to large ones, can reach a larger audience than the high street and can be open 24 hours a day. For example, the independent, northern UK-based Botham's of Whitby has been a pioneer of e-retailing.

There are many other advantages. The socio-demographic profile of e-shoppers is attractive to many retailers, with higher-than-average education, employment and disposable income levels. In theory at least, online selling saves on the wages costs of face-to-face sales people and the costs of premises. The savings may be

less than expected, though, as there are still costs in Internet customer contact, and packaging and delivery can be more expensive to provide. Perhaps a more substantial advantage is the ease with which e-retailing integrates with *customer relationship management (CRM)* and micro-marketing systems - identifying and treating the customer as an individual. This, together with the easier provision of product information, leads to greater opportunities for cross-selling and selling up. Finally, the late entrants into e-retailing are largely being driven by 'if we don't, our competitors will'.

ADVANTAGES OF E-RETAILING FOR RETAILERS

- Location is unimportant
- Size does not matter
- Saves on the wages and premises costs
- Reaches a larger audience
- Higher disposable income profile than average
- Accepts orders 24 hours a day
- More opportunities for CRM, micro-marketing, cross- and up-selling
- If we don't, our competitors will

Other retailers, though, are put off e-retailing by what they perceive as consumer resistance. According to e-research company Forrester, nearly 40 per cent of UK homes are now connected to the Internet, but estimates vary from only 12 per cent (Verdict) up to 20 percent (Forrester) of UK adults shopping online. This contrasts with the faster take-up of e-business for B2B, with 25 per cent of businesses ordering online.

THE (E-)RETAIL MIX: SALE THE 7CS

The (e-)retail mix is a shorthand term for the blend of tools and techniques that (e-)retailers use to provide value for customers. It is a development of the well-known marketing mix, more specific to retail and e-retail. As far back as the first half of the twentieth century, the job of the marketer was described as a 'mixer of ingredients'. Marketers devise strategies and tactics aimed at providing satisfaction and adding value for customers. The various elements are blended into a 'marketing mix' - a phrase first coined by Neil Borden (1964) of Harvard Business School.

The marketing mix is most widely known as E. Jerome McCarthy's (1960) '4Ps': Place, Product, Price and Promotion. 'Place' is not quite self-explanatory, but refers to the routes that organizations take to get the benefits of the product or service to the intended customers - channels of distribution. 'Product' means both tangible product and also 'service', and all the ways that an organization adds value. 'Price' means not just the price charged, but also all aspects of pricing policy, including, for example, distributor margins. 'Promotion' is not just the more specialized 'sales promotion', but also every way that a product is promoted to customers - from print advertising to websites.

In recent decades there have been numerous attempts to update and revise the marketing mix. One development is particularly descriptive of the way that marketers think about the customer. The '4Cs' imply more emphasis on customer wants and concerns than do the 4Ps. The 4Cs (in the same order as the equivalent 4Ps listed above) are: Convenience for the customer; Customer value and benefits; Cost to the customer; and Communication. Reflecting the emphasis of 'new' marketing on long-term relationships with customers, we include 'Customer relationships' within the umbrella of the 'Communication' C.

C1 Convenience for the Customer

'Place' (from the 4Ps), rather than implying management's methods of placing products where they want them to be, can be thought of as 'Convenience for the customer', recognizing customers' choices for buying in ways that are convenient to them. For the retailer, 'Place' incorporates what can be the most critical decisions concerning 'location'. For the e-retailer, this is also important, as many customers prefer a multi-channel approach: browse on the Web, buy in-store or vice versa - or buy on the Web, return to the store for a refund! This perhaps goes some way towards explaining the success of *high street* and *multi-channel retailers* in e-retail, as compared to the 'pureplays'.

Physical location can also be important for the e-retailer as many customers prefer to buy from, or are more likely to trust, an e-retailer based at least in the same country, where carriage costs and maybe taxes are cheaper.

'Location' for the e-retailer also means virtual location and the ease of finding the website. This entails registration with search engines, location in e-malls and links

from associates. Convenience also includes key aspects of website design, such as navigation, layout and ease of purchase. For the '*bricks*' retailer, convenience decisions include shelf space allocation and layout. The equivalent in 'clicks' e-retail is site design and page layout - for example, whether layout follows the 'free-flow' or 'grid' type of layout, or indeed a combination such as 'free-grid'.

C2 Customer Value and Benefits

'Product', rather than being something that a company has to sell, can be thought of as 'Customer value and benefits' - meaning the bundle of service and satisfactions wanted by customers. People do not buy 'products' as such, but rather solutions to problems or good feelings. Retailers and e-retailers now specify (and sometimes design) products to a much greater extent than previously, reflecting closeness to the customer and appreciation of benefits that customers want.

An essential task of retail and e-retail is selecting the range of products offered for sale - assembled for target markets from diverse sources. The wide and deep range that can be offered is one of the areas where the clicks e-retailer can score relative to the bricks retailer.

When buying online, customers are far less likely to request help than they are in the store. Rather, e-shoppers who need help in understanding a product are more likely to abandon the transaction and find an alternative supplier or even buy through a different channel. Therefore, e-businesses need to be particularly careful about describing products clearly in customer value and benefits terms.

C3 Cost to the Customer

'Price' may be what companies decide to charge for their products, but 'Cost to the customer' represents the real cost that customers will pay, including, for example, in the case of bricks retail, their own transport costs. For clicks e-retail, there are also the costs of carriage and perhaps taxes to be added to the quoted prices. High carriage charges may be one reason for the high rate of carts abandoned at the checkout. Customers also need to consider the costs of Internet and telephone access.

Consumers have a perception that prices should be lower online than in-store, and this can cause problems when customers buying via other channels realise that they are paying more than online customers. For example, Screwfix, a well-known supplier of tradesperson's supplies via paper catalogue and telesales, has a number of attractive special offers available only online.

Customers who have looked up what they want online, then telephone to order, can be irritated to learn that the extra discounts are not available when ordering by phone.

C4 Communication and Customer Relationships

'Communication' is equivalent to the final 'P' in the 4Ps: 'Promotion'. Promotion suggests ways in which companies persuade people to buy, whereas communication is

a two-way process also involving feedback from customers to suppliers. Reflecting an increasing control of elements of the retail mix by retailers rather than manufacturers, retailers spend more on advertising than manufacturers do (assisted by advertising allowances from manufacturers). Retailers are closer to the customer than are manufacturers and have more access to customer feedback.

Communication is not just advertising, though, but all the ways in which retailers communicate with their customers, including, for example, marketing research surveys, public relations (PR), direct mail, *e-mail*, Internet, marketing database and loyalty schemes. Successful e-retailers often use offline advertising such as magazines and 'click here' sections of newspapers integrated with online marketing communications. Online methods include banner ads and pop-ups (often incentivized); paid-for listings in search engines and directories; and affiliate programmes.

In addition to solving problems, there is another reason for customers buying products - to get good feelings. This is a particularly difficult area for e-retailers. The bricks retail store and the face-to-face salesperson are often much better at identifying and satisfying customers' emotional needs and wants. The physical store uses *atmospherics* in the attempt to change mood and give shoppers a pleasant emotional experience when buying. Emotional cues may be visual (decor), olfactory (perfume), tactile (smooth and cool or soft and cuddly) and aural (music).

e-Retailers can create a 'web atmosphere' using, for example, music and visuals such as 3-D displays and downloadable video clips. Such enhancements must always be a compromise, on account of the need to avoid long download times. One way of tackling the problem is to provide a 'click here for *broadband*' 'Customer relationships' is an area that successful bricks retailers such as Tesco have used to gain a major lead over competitors. The importance of the emotional aspects of selling has already been mentioned. The sales representative selling face-to-face in the bricks retail store can use verbal and non-verbal (body language) communication to build personal relationships with customers, enhancing the emotional value of products. In trying to replicate the physical buying experience, the e-retailer is at a disadvantage.

On the other hand, with transaction data ready-digitized, the e-retailer is well placed to enhance product value using CRM techniques. For example, data mining can be used to build a picture of products most likely to be wanted by individual customers. Products tailored specifically can be offered pro-actively. Amazon, for instance, uses such a system to match new books to existing customers who are likely to be interested in them.

There has been a number of suggestions for structuring a 'retail mix', equivalent to the 4Ps or 4Cs of the marketing mix, adding other aspects that may be key to retailer success. For example, McGoldrick (2002) uses a nine-element mix. In addition to those that can be incorporated into the 4Cs framework above, McGoldrick also includes factors such as 'brand image', 'logistics' and 'information'. Most versions of the retail mix are not as 'catchy' as the 4Ps or 4Cs of the marketing mix.

Therefore we propose a simplified '7Cs' for the *e-retail mix*, adding Computing and category management issues; *Customer franchise*; and Customer care and service.

C5 Computing and Category Management Issues

The success of retailers has been founded on supplying the products that customers want, in the right sizes and quantities, at the right time and in the right place. With the growth in consumer choice has come a proliferation of products. Superstores carry 20,000-plus branded products and department stores from 100,000, and even up to one million or more. Efficient control of this degree of complexity needs effective computer and logistics systems.

Retail logistics have been changing rapidly over recent decades. First, the growth of retailer power has involved major retailers taking more control of their supply chains. The involvement of wholesalers has been reduced, tending to give way to contract logistics (under retailer control). At the same time, supply chains have become more efficient with computer network links between suppliers and retailers - many still based on *electronic data interchange (EDI)*.

Pre-dating the Web, EDI is based on privately owned third-party computer networks. Stock levels have been reduced using techniques such as *efficient customer response (ECR)* -the retailers' equivalent of *Just in Time* or *JIT*). EDI networks are expensive to install, costing at least hundreds of thousands of pounds. There is a growing trend towards the use of the Internet, particularly for smaller businesses (suppliers and customers) and smaller order quantities. Increasingly, retailers such as Tesco are allowing Internet access to their suppliers for realtime *Electronic Point of Sale (EPoS)* data. Trusted supplier partners can thus respond more quickly to changes in customer demand.

Cooperation between suppliers and retailers has been key to improving the efficiency of satisfying customers while minimizing stocks and costs. On the larger scale, this cooperative process is known as *category management (CM)*, the retailer/ supplier process of managing categories as strategic business units.

High efficiency of the computer-controlled logistics systems is largely behind the success of 'bricks and clicks' retailers such as Tesco. Ironically, deficiencies in this area have been a major factor in the failure of a number of pureplay dot.coms that have concentrated on advertising and promotion at the expense of other areas of the e-retail mix. One exception is Amazon, which is founded on efficient logistics systems and customer care and service.

In the UK, Amazon is using its logistics expertise to carry out distribution services on contract for bricks retailers such as WHSmith and Toys R Us.

Apart from Amazon and the major bricks and clicks retailers, many of the e-retailers with the most efficient computer and logistics efficiency are established direct-selling businesses. For example, Quill and Screwfix, office supplies and tradesperson supplies respectively, operate established mail businesses via a paper catalogue. Dell have been pioneers in telemarketing and direct selling since the late 1980s, demonstrating that a

complex product like a computer could be sold without face-to-face contact. Much of the success has been due to investment in computer-based *mass customization* systems, along with excellent customer care and service. The company was one of the first e-retailers and is the market leader worldwide for computer hardware.

SCREWFIX

Screwfix started out as a UK trade wholesale supplier, but also now sells extensively for DIY. Screwfix.com earned *Retail Week's* 'Retailer of the Year' award for 2002. Screwfix is an example of the successful niche e-retailer and one of few to gain favourable mentions in the *Sunday Times* (UK) survey. Screwfix is owned by Kingfisher, i.e. in the same stable as the B&Q UK DIY stores. Although the branding, ordering and fulfilment are completely separate, the supply chains are integrated, resulting in economies of scale and buying power. Screwfix has 0.5 per cent of the UK repairs, maintenance and home improvement market, but a massive 20 per cent of the *direct* market for those products. Web sales are over £20 million per year (15 per cent and growing of Screwfix's total business). The (e-)retail mix is summarized below.

Convenience for the Customer

Express shopping: if you have the catalogue, simply type in the quantities and catalogue number, or alternatively use 'search' to find what you want. A freephone telephone number is available 24 hours a day, plus fax and e-mail options, offering improved personal interaction.

Customer Value and Benefits

Products include not only screws, bolts and nails, but also fixings, adhesives, tools, hardware, lighting, plumbing and cleaning products - the claim is 'Everything for the trade and DIY - next day', and 100 per cent stock availability of 6,000 products.

Cost to the Customer

A number of special offers are always available. Most prices are significantly cheaper than in DIY retail sheds.

Communication and Customer Relationships

The homepage has many examples of good practice, for example: Recommend a Friend - get a reward when they order for the first time; Open a Business Account; Testimonials - 'I have just received my order and felt I must congratulate you on an excellent service. Your site is well designed. The products are well laid out and the order processing excellent.' ... 'Your website is brilliant, the designer needs a big pat on the back. Well laid out, and to order online is so easy.'; and Register/Login - optional registration makes ordering quicker and easier. There are regular communications by mail with catalogues, 'What's new' and special offers for registered customers.

Computing and Category Management Issues

Winner of best use of Supply Chain Management at the 2001 Internet Business Awards.

Customer Franchise

Without the need for heavy advertising, Screwfix has quickly built up a reputation for cheap prices, with quick and reliable delivery based on actual performance.

7

Supply Chain and Logistics Management in Retail Marketing

INTRODUCTION

The term logistics is often misinterpreted to mean transportation. In fact, the scope of logistics goes well beyond transportation. Logistics forms the system that ensures the delivery of the product in the entire supply pipeline.

This includes transportation, packaging, storage and handling methods, and information flow. The impact of logistics in the ability of a company to satisfy its customers cannot be overstated. All other efforts at modernization within a company would not bear fruit until the logistics system is carefully designed to facilitate the smooth and efficient flow of goods in the system. The topic of logistics is relatively new in India.

There have been some companies that have done work in this area, but a large number of companies are only now beginning to realize the benefits of designing and managing the entire supply chain. With India joining the global marketplace, the role of logistics assumes greater importance.

The industrial policies in India have prompted manufacturers to build plants in remote, backward areas due to inexpensive land and tax benefits. This poses some serious logistical problems. Apart from a poor road and transportation network, the existing communications system in India leaves a lot to be desired by any international standard. It is in this context that logistics has to be considered in India.

THE VALUE OF LOGISTICS

Material handling and storage are typically labelled as “non-value adding” activities. While one can appreciate the motivation behind such labeling as one directed towards waste reduction, it can lead to is an erroneous assumption that all material handling and storage can be avoided. While manufacturing processes provide “form utility”, logistics related activities provide “time and place” utility to a product. The challenge is to provide the time and place utility at a competitive cost. If a company can achieve this goal, it will gain a significant competitive advantage in the marketplace.

PULL VS. PUSH SYSTEMS

There are two basic approaches of bringing the product to its final destination, i.e., the customer. In a Push system, products are pushed from the manufacturing plants to distribution points based on a sales forecast. The second approach is the Pull system which requires that the product be pulled from the plants based on actual demand.

In a Push system, since all the product is deployed based on the sales forecast for each region, an inaccurate sales forecast incurs several severe penalties which include:

- Increased safety stock
- Larger Distribution Centers/Godowns
- Higher stock transfer rates.

The pre-order deployment of product increases safety stock. Since there is greater uncertainty associated with forecasts, which are often little better than educated guesses, the system must provide for variations in the demand in a particular region serviced by the particular godown. In addition the system must provide for errors in the overall forecast for the country as a whole. These concerns lead to the carrying of larger safety stocks, which necessitate larger godowns. The irony in the concept of safety stocks is that although sufficient stocks may exist in the system, the product mix demanded in a particular region may not exist in the regional godown. This necessitates inter-godown transfer of goods. The result is an increase in the transportation costs system-wide, in addition to handling and shipping costs, information costs, product loss and damage, and poor customer service. The more points of distribution in the system, the greater the penalties incurred for unpredictable order fluctuations.

The goal of any logistics system is to maintain or improve customer service. In the Push mode of operation, the penalties of higher safety stock, larger godowns, and inter-godown transfer are not the only penalties. Stock rotation becomes more difficult to maintain. Handling of all products at each godown involves unloading, staging, storing, picking, staging and loading for shipment. All these activities involve an element of cost. In addition, there is a potential for product damage each time a product is handled.

There are some positive aspects of a Push system as well. These are:

- Small plant warehouses
- Potential for higher customer service
- Lower transportation costs.

Since the majority of the product is stored at the godowns, the plant needs to maintain a low inventory of finished goods. This allows the plant to utilize its space for production and eliminate the need for a full warehouse staff. If the forecast is accurate, the Push system provides the potential for higher customer service by having the product ready for delivery directly to the customer/retailer. Finally, by having the products deployed in the godowns, the plants have the capability of shipping full truckloads and thereby reducing the system-wide transportation costs.

A Push system works best when sales are consistent, the product variety is small, and there are a few regional distribution points.

Historic Attempts at Supply Chain Management

The Year 2000 problem exposed the importance of supply chain management, but it also demonstrated that most industries lacked the ability to track compliance across those supply chains. Supply chain management strategies have lacked the cohesion needed to address minor and major industry challenges, and attempting to automate these defective strategies will only exacerbate the problem. Historically, industries wishing to track supplier-customer relationships tried to utilize industry associations.

For instance, the Automotive Industry Action Group (AIAG) tried to address Year 2000 supply chain issues for its 1,600+ members by informing members of the problem, providing project guidelines, prodding members into compliance, and urging members to prod their suppliers into compliance.

But because the automotive industry relies on more than 100,000 companies, this effort fell short of what was needed. AIAG lacked the broad-based access and clout needed to deal with this challenge. Ultimately, supply chain readiness efforts fell to the large corporations that dominate the supply chain.

The Securities Industry Association (SIA) coordinated a cross-industry Year 2000 test, but it focused on clearing selected transactions through a short list of centralized entities. Global financial markets and international clearing houses did not manage to coordinate Year 2000 data interchange testing at the same level. Other industry supply chains were less effectively coordinated. The food industry, for example, has numerous associations that did little to ensure cross-industry supply chain compliance for the Year 2000.

The bottom line is that each company had to independently assess Year 2000 readiness across its supply chain. Almost identical research was replicated thousands of times by countless companies across various suppliers.

Most of these efforts never extended beyond the first tier of suppliers and customers. In other words, supply chain readiness was largely unknown going into the Year 2000 because no model existed that defined which companies supplied or bought products and services from other companies.

Another approach to supply chain management is coercion by large companies that dominate the chain. This has worked in limited fashion in the technology sector — at

least for the companies with the clout to impose their view on those below. However, few companies have the market penetration to order a supply chain to bow down to their whims. And other companies in the supply chain derive little value from a top-down, command-and-control structure imposed upon them.

As the need for supply chain management grows, vendors are rushing to automated solutions. Early automation came from ERP vendors using traditional IT solutions. But when these systems failed, distribution capacity collapsed. In evidence of this, a series of distribution system failures at Hershey, International Multifoods, and Royal Doulton caused profits to drop and stocks to tumble. These companies lost control of their distribution capability because they lacked a robust supply chain governance structure that could withstand a computer system failure.

Now companies are pursuing Internet-based solutions that claim to manage supply chains through e-business environments, but these initiatives rely on the same old paradigm in which a company views itself as the center of the supply chain. Within this model, decisions are made with a skewed view of supply chain relationships. What is needed instead is a holistic view of a supply chain that will enable the creation of holistic, e-business solutions. Developing this view of supply chains requires governance structures that supersede the myopic view of any one company's trying to assess a seemingly endless number of relationships.

Supply Management

The term supply management describes the methods and processes of modern corporate or institutional buying. This may be for the purchasing of supplies for internal use referred to as indirect goods and services, purchasing raw materials for the consumption during the manufacturing process, or for the purchasing of goods for inventory to be resold as products in the distribution and retail process.

In many organizations, acquisition or buying of services is called contracting, while that of goods is called purchasing or procurement. The supply management function of an organization is responsible for various aspects of these acquisitions:

- Working with business leaders who have identified a business need or requirement to identify, source, contract, and procure the needed good or service from qualified suppliers
- Managing supplier performance
- Implementing technologies, processes, policies, and procedures to support the purchasing process (Supplier Relationship Management).
- The supplier relationship management process: a process for providing the structure for how relationships with suppliers will be developed and maintained.
- Economic theories of supply and demand.

Supply management is generally regarded as a systematic business process that includes more functions than traditional buying, such as coordinating inbound and internal pre-production logistics and managing inventory.

Supply management deals primarily with the oversight and management of materials and services inputs, management of the suppliers who provide those inputs, and support of the process of acquiring those inputs. The performance of supply management departments and supply management professionals is commonly measured in terms of amount of money saved for the organization. However, managing risk is one of the other critical aspects of supply management; especially the risk of non-availability at the required time of quality goods and services critical for an organization's survival and growth.

HISTORY

Prior to 1900, purchasing was recognized as an independent function by many railroad organizations, but in few other industries.

Prior to World War I, purchasing was regarded as primarily clerical.

During World War I & II – The function increased due to the importance of obtaining raw materials, supplies, and services needed to keep the factories and mines operating.

1950s & 1960s - Purchasing continued to gain stature as the techniques for performing the function became more refined and as the number of trained professionals increased. The emphasis became more managerial.

1970s & 1980s - More emphasis was placed on purchasing strategy as the ability to obtain needed items from suppliers at realistic prices increased.

1983 - In September 1983, Harvard Business Review published a ground-breaking article by Peter Kraljic on purchasing strategy that is widely cited today as the beginning of the transformation of the function from “purchasing,” something that is viewed as highly tactical to supply management or procurement, something that is viewed as very strategic to the business

1990s - Supply management (procurement) starts to become more integrated into the overall corporate strategy and a broad-based transformation of the business function is ignited, fueled strongly by the development of supply management software solutions which help automate the source-to-settle process.

2000s - The leader of the supply management function within many enterprises is established with a C-Level title - the Chief Procurement Officer (sometimes called the Head of Procurement). Publications, events, and websites that are dedicated solely to the advancement of supply management and Chief Procurement Officers arise. The global recession of 2008-2009 places supply management at the crux of business strategy.

2011 - With the advancement of social networks ([facebook.com/supplymanagement](https://www.facebook.com/supplymanagement)), supply management professionals prefer to unite around common interests and values.

GROUPS AND CERTIFICATIONS

The importance of supply management in global business has prompted the formation of professional organizations to address the need for higher levels of supply management skill and expertise. One of the largest of these is the Institute for Supply Management,

a United States not-for-profit association that includes more than 40,000 members. It is affiliated with the International Federation of Purchasing and Supply Management, a union of local and national purchasing associations with approximately 200,000 members. For companies seeking to fulfil diversity supplier spend commitments, the National Minority Supplier Development Council with 39 affiliated nation-wide councils, was established in 1972 to assist in promoting supplier diversity, and also provides management training and access to viable minority business enterprises.

Many certification programs are relevant to the supply management profession. Some are offered through non-profit associations, such as the Certified Purchasing Manager (CPM) and Certified Professional in Supply Management (CPSM) through the Institute for Supply Management. There are also for-profit companies who offer certification programs, such as Next Level Purchasing, Inc. who offers the Senior Professional in Supply Management (SPSM) Certification.

SUPPLY MANAGEMENT

Supply management is different than supply chain management, though it can be considered a component of supply chain management. Conversely, where the supply management function is established as a C-level strategic effort, supply chain management is but one component of an overall strategic supply management approach. Supply management is a complementary discipline that encompasses the alignment of organizations, processes, and systems for strategic sourcing, contract management, supplier management, spend analysis to continuously improve global supply for best-value performance in support of the strategic objectives of the business.

SUPPLY MANAGEMENT SOFTWARE

Supply Management software comprises all of the different solutions which automate the source-to-settle process and include Spend Analysis, eSourcing, Contracts, Supply Base Management, eProcurement, eCatalogs (for Supplier Enablement), and Accounts Payable or ePayables solutions. Software which helps automate the management of complex services like business travel and temporary labor are also included in this software segment

One report that focuses on a sub-set of the space is the “Magic Quadrant For Strategic Sourcing Application Suites, 2010,” a Gartner research report, summarizes: “Sourcing applications provide a systematic and scalable means for organizations to manage the full sourcing process, including finalizing purchase specifications, selecting suppliers and negotiating prices....Most sourcing solution vendors bundle spend analysis, contract management and supplier performance management tools into their suites.” The Gartner report summarizes, “Best-of-breed providers with suites delivered via software as a service dominate the strategic sourcing application market, while ERP companies with integrated offerings are gaining traction by providing tactical sourcing support.” Gartner estimates the sourcing software market at close to a half-billion dollars in 2007 with an

annual growth rate of 5%. According to Gartner, the research firm, leading providers of supply and contract management software include SAP, Ariba, BravoSolution, Ivalua, AECsoft, Rosslyn Analytics and Emptoris.

Warehouse Management System

A warehouse management system, or WMS, is a key part of the supply chain and primarily aims to control the movement and storage of materials within a warehouse and process the associated transactions, including shipping, receiving, putaway and picking. The systems also direct and optimize stock putaway based on real-time information about the status of bin utilization.

Warehouse management systems often utilize Auto ID Data Capture (AIDC) technology, such as barcode scanners, mobile computers, wireless LANs and potentially Radio-frequency identification (RFID) to efficiently monitor the flow of products. Once data has been collected, there is either a batch synchronization with, or a real-time wireless transmission to a central database. The database can then provide useful reports about the status of goods in the warehouse.

The objective of a warehouse management system is to provide a set of computerized procedures to handle the receipt of stock and returns into a warehouse facility, model and manage the logical representation of the physical storage facilities (e.g. racking etc), manage the stock within the facility and enable a seamless link to order processing and logistics management in order to pick, pack and ship product out of the facility.

Warehouse management systems can be stand alone systems, or modules of an ERP system or supply chain execution suite.

The primary purpose of a WMS is to control the movement and storage of materials within a warehouse – you might even describe it as the legs at the end-of-the line which automates the store, traffic and shipping management.

In its simplest form, the WMS can data track products during the production process and act as an interpreter and message buffer between existing ERP and WMS systems. Warehouse Management is not just managing within the boundaries of a warehouse today, it is much wider and goes beyond the physical boundaries. Inventory management, inventory planning, cost management, IT applications & communication technology to be used are all related to warehouse management.

The container storage, loading and unloading are also covered by warehouse management today. Warehouse management today is part of SCM and demand management. Even production management is to a great extent dependent on warehouse management. Efficient warehouse management gives a cutting edge to a retail chain distribution company. Warehouse management does not just start with receipt of material but it actually starts with actual initial planning when container design is made for a product. Warehouse design and process design within the warehouse (e.g. Wave Picking) is also part of warehouse management. Warehouse management is part of Logistics and SCM.

Warehouse Management monitors the progress of products through the warehouse. It involves the physical warehouse infrastructure, tracking systems, and communication between product stations. Warehouse management deals with receipt, storage and movement of goods, normally finished goods, to intermediate storage locations or to final customer. In the multi-echelon model for distribution, there are levels of warehouses, starting with the Central Warehouse(s), regional warehouses services by the central warehouses and retail warehouses at the third level services by the regional warehouses and so on. The objective of warehousing management is to help in optimal cost of timely order fulfillment by managing the resources economically. Warehouse management = “Management of storage of products and services rendered on the products within the four walls of a warehouse”

Impact of E-Commerce on Supply Chain Management

A production supply chain refers to the flow of physical goods and associated information from the source to the consumer. Key supply chain activities include:

- Production planning
- Purchasing
- Materials management
- Distribution
- Customer service
- Sales forecasting.

These processes are critical to the success of any operation whether they're manufacturers, wholesalers, or service providers. Electronic commerce and the Internet are fundamentally changing the nature of supply chains, and redefining how consumers learn about, select, purchase, and use products and services. The result has been the emergence of new business-to business supply chains that are consumer-focused rather than product-focused. They also provide customized products and services. E-commerce impacts supply chain management in a variety of keyways. These include:

Cost efficiency: E-commerce allows transportation companies of all sizes to exchange cargo documents electronically over the Internet. E-commerce enables shippers, freight forwarders and trucking firms to streamline document handling without the monetary and time investment required by the traditional document delivery systems.

By using e-commerce, companies can reduce costs, improve data accuracy, streamline business processes, accelerate business cycles, and enhance customer service. Ocean carriers and their trading partners can exchange bill of lading instructions, freight invoices, container status messages, motor carrier shipment instructions, and other documents with increased accuracy and efficiency by eliminating the need to re-key or reformat documents. The only tools needed to take advantage of this solution are a personal computer and an Internet browser.

Changes in the distribution system: E-commerce will give businesses more flexibility in managing the increasingly complex movement of products and information between

businesses, their suppliers and customers. E-commerce will close the link between customers and distribution centers. Customers can manage the increasingly complex movement of products and information through the supply chain.

Customer orientation: E-commerce is a vital link in the support of logistics and transportation services for both internal and external customers. E-commerce will help companies deliver better services to their customers, accelerate the growth of the e-commerce initiatives that are critical to their business, and lower their operating costs. Using the Internet for e-commerce will allow customers to access rate information, place delivery orders, track shipments and pay freight bills.

E-commerce makes it easier for customers to do business with companies: Anything that simplifies the process of arranging transportation services will help build companies' business and enhance shareholder value. By making more information available about the commercial side of companies, businesses will make their web site a place where customers will not only get detailed information about the services the company offers, but also where they can actually conduct business with the company.

Ultimately, web sites can provide a universal, self-service system for customers. Shippers can order any service and access the information they need to conduct business with transportation companies exclusively on-line. E-commerce functions are taking companies a substantial step forward by providing customers with a faster and easier way to do business with them.

Shipment tracking: E-commerce will allow users to establish an account and obtain real-time information about cargo shipments. They may also create and submit bills of lading, place a cargo order, analyze charges, submit a freight claim, and carry out many other functions. In addition, e-commerce allows customers to track shipments down to the individual product and perform other supply chain management and decision support functions. The application uses encryption technology to secure business transactions.

Shipping notice: E-commerce can help automate the receiving process by electronically transmitting a packing list ahead of the shipment. It also allows companies to record the relevant details of each pallet, parcel, and item being shipped.

Freight auditing: This will ensure that each freight bill is efficiently reviewed for accuracy. The result is a greatly reduced risk of overpayment, and the elimination of countless hours of paperwork, or the need for a third-party auditing firm. By intercepting duplicate billings and incorrect charges, a significant percent of shipping costs will be recovered. In addition, carrier comparison and assignment allows for instant access to a database containing the latest rates, discounts, and allowances for most major carriers, thus eliminating the need for unwieldy charts and tables.

Shipping Documentation and Labeling: There will be less need for manual intervention because standard bills of lading, shipping labels, and carrier manifests will be automatically produced; this includes even the specialized export documentation required for overseas shipments. Paperwork is significantly reduced and the shipping department will therefore be more efficient.

On-line Shipping Inquiry: This gives instant shipping information access to anyone in the company, from any location. Parcel shipments can be tracked and proof of delivery quickly confirmed.

A customer's transportation costs and performance can be analyzed, thus helping the customer negotiate rates and improve service.

PROBLEMS ADDRESSED BY SUPPLY CHAIN MANAGEMENT

Supply chain management must address the following problems:

- *Distribution Network Configuration:* Number, location and network missions of suppliers, production facilities, distribution centers, warehouses, cross-docks and customers.
- *Distribution Strategy:* Questions of operating control (centralized, decentralized or shared); delivery scheme, e.g., direct shipment, pool point shipping, cross docking, DSD (direct store delivery), closed loop shipping; mode of transportation, e.g., motor carrier, including truckload, LTL, parcel; railroad; intermodal transport, including TOFC (trailer on flatcar) and COFC (container on flatcar); ocean freight; airfreight; replenishment strategy (e.g., pull, push or hybrid); and transportation control (e.g., owner-operated, private carrier, common carrier, contract carrier, or 3PL).
- *Trade-Offs in Logistical Activities:* The above activities must be well coordinated in order to achieve the lowest total logistics cost. Trade-offs may increase the total cost if only one of the activities is optimized. For example, full truckload (FTL) rates are more economical on a cost per pallet basis than less than truckload (LTL) shipments.
If, however, a full truckload of a product is ordered to reduce transportation costs, there will be an increase in inventory holding costs which may increase total logistics costs. It is therefore imperative to take a systems approach when planning logistical activities.
These trade-offs are key to developing the most efficient and effective Logistics and SCM strategy.
- *Information:* Integration of processes through the supply chain to share valuable information, including demand signals, forecasts, inventory, transportation, potential collaboration, etc.
- *Inventory Management:* Quantity and location of inventory, including raw materials, work-in-progress (WIP) and finished goods.
- *Cash-Flow:* Arranging the payment terms and methodologies for exchanging funds across entities within the supply chain.

Supply chain execution means managing and coordinating the movement of materials, information and funds across the supply chain. The flow is bi-directional.

ACTIVITIES/FUNCTIONS

Supply chain management is a cross-function approach including managing the movement of raw materials into an organization, certain aspects of the internal processing of materials into finished goods, and the movement of finished goods out of the organization and toward the end-consumer. As organizations strive to focus on core competencies and becoming more flexible, they reduce their ownership of raw materials sources and distribution channels.

These functions are increasingly being outsourced to other entities that can perform the activities better or more cost effectively. The effect is to increase the number of organizations involved in satisfying customer demand, while reducing management control of daily logistics operations. Less control and more supply chain partners led to the creation of supply chain management concepts. The purpose of supply chain management is to improve trust and collaboration among supply chain partners, thus improving inventory visibility and the velocity of inventory movement.

Several models have been proposed for understanding the activities required to manage material movements across organizational and functional boundaries. SCOR is a supply chain management model promoted by the Supply Chain Council.

Another model is the SCM Model proposed by the Global Supply Chain Forum (GSCF). Supply chain activities can be grouped into strategic, tactical, and operational levels. The CSCMP has adopted The American Productivity & Quality Center (APQC) Process Classification FrameworkSM a high-level, industry-neutral enterprise process model that allows organizations to see their business processes from a cross-industry viewpoint.

STRATEGIC LEVEL

- Strategic network optimization, including the number, location, and size of warehousing, distribution centers, and facilities.
- Strategic partnerships with suppliers, distributors, and customers, creating communication channels for critical information and operational improvements such as cross docking, direct shipping, and third-party logistics.
- Product life cycle management, so that new and existing products can be optimally integrated into the supply chain and capacity management activities.
- Information technology chain operations.
- Where-to-make and make-buy decisions.
- Aligning overall organizational strategy with supply strategy.
- It is for long term and needs resource commitment.

TACTICAL LEVEL

- Sourcing contracts and other purchasing decisions.
- Production decisions, including contracting, scheduling, and planning process definition.

- Inventory decisions, including quantity, location, and quality of inventory.
- Transportation strategy, including frequency, routes, and contracting.
- Benchmarking of all operations against competitors and implementation of best practices throughout the enterprise.
- Milestone payments.
- Focus on customer demand and Habits.

OPERATIONAL LEVEL

- Daily production and distribution planning, including all nodes in the supply chain.
- Production scheduling for each manufacturing facility in the supply chain (minute by minute).
- Demand planning and forecasting, coordinating the demand forecast of all customers and sharing the forecast with all suppliers.
- Sourcing planning, including current inventory and forecast demand, in collaboration with all suppliers.
- Inbound operations, including transportation from suppliers and receiving inventory.
- Production operations, including the consumption of materials and flow of finished goods.
- Outbound operations, including all fulfillment activities, warehousing and transportation to customers.
- Order promising, accounting for all constraints in the supply chain, including all suppliers, manufacturing facilities, distribution centers, and other customers.
- From production level to supply level accounting all transit damage cases & arrange to settlement at customer level by maintaining company loss through insurance company.

IMPORTANCE OF SUPPLY CHAIN MANAGEMENT

Organizations increasingly find that they must rely on effective supply chains, or networks, to compete in the global market and networked economy. In Peter Drucker's (1998) new management paradigms, this concept of business relationships extends beyond traditional enterprise boundaries and seeks to organize entire business processes throughout a value chain of multiple companies.

During the past decades, globalization, outsourcing and information technology have enabled many organizations, such as Dell and Hewlett Packard, to successfully operate solid collaborative supply networks in which each specialized business partner focuses on only a few key strategic activities (Scott, 1993). This inter-organizational supply network can be acknowledged as a new form of organization. However, with the complicated interactions among the players, the network structure fits neither "market" nor "hierarchy" categories (Powell, 1990). It is not clear what kind of performance

impacts different supply network structures could have on firms, and little is known about the coordination conditions and trade-offs that may exist among the players. From a systems perspective, a complex network structure can be decomposed into individual component firms (Zhang and Dilts, 2004). Traditionally, companies in a supply network concentrate on the inputs and outputs of the processes, with little concern for the internal management working of other individual players. Therefore, the choice of an internal management control structure is known to impact local firm performance (Mintzberg, 1979).

In the 21st century, changes in the business environment have contributed to the development of supply chain networks. First, as an outcome of globalization and the proliferation of multinational companies, joint ventures, strategic alliances and business partnerships, significant success factors were identified, complementing the earlier “Just-In-Time”, “Lean Manufacturing” and “Agile Manufacturing” practices. Second, technological changes, particularly the dramatic fall in information communication costs, which are a significant component of transaction costs, have led to changes in coordination among the members of the supply chain network (Coase, 1998).

Many researchers have recognized these kinds of supply network structures as a new organization form, using terms such as “Keiretsu”, “Extended Enterprise”, “Virtual Corporation”, “Global Production Network”, and “Next Generation Manufacturing System”. In general, such a structure can be defined as “a group of semi-independent organizations, each with their capabilities, which collaborate in ever-changing constellations to serve one or more markets in order to achieve some business goal specific to that collaboration” (Akkermans, 2001).

The security management system for supply chains is described in ISO/IEC 28000 and ISO/IEC 28001 and related standards published jointly by ISO and IEC.

Environmental Supply Chain Management

Environmental concerns are finally finding its way from strategy and board room meetings to operations and to supply chain management (SCM). A growing number of companies have realized the world over that implementing supply chain management is only one of the objectives they need to realize. The other important agenda is to make this SCM environmentally friendly. This has catapulted SCM to a new height that promises to give a major contribution to the companies overall strategy.

The companies are implementing ESCM (Environmental SCM) by looking beyond their own facilities. Ofcourse this is only after they have ensured that their manufacturing facility is friendly to the environment and does not throws or generates harmful waste products into the environment. Companies are also involving their suppliers in environmental initiatives and agendas. This is done by screening suppliers for environmental performance, working collaboratively with them on green design initiatives and providing training and information to build suppliers’ environmental management capacity.

Environmental supply chain management recognizes the crucial role to be played by the purchasing and the function's involvement in activities that include reduction, recycling, reuse and the substitution of materials. Working with suppliers on environmental issues not only generates significant environmental benefits, but also opportunities for cost containment, improved risk management and enhanced quality and brand image. This will also help companies streamline their supply base and develop more co-operative, long-term relationships with key suppliers, a practice that has fostered greater opportunities to work together on environmental issues.

It is hence important that Indian companies too make ESCM an important part of their agenda. Already Asian Paints, M&M and some other companies have taken great strides in this area. However large scale adoption of environmental aspects within the framework of SCM is essential. The starting point as for any other major strategy is the top management commitment to the environmental issues. This is not only essential but is critical for the overall success of the project. It should be the mission of the company's top management to sensitize everyone in the company towards environmental issues. It will also be a good idea to have a separate environmental department reporting directly to the top management. This department should look at all the aspects of the environment barometer and track its progress on a regular basis. Any discrepancy is immediately reported to the CEO.

However, it is equally important to make everybody participate in the process with the same gusto. This can happen by empowering the employees to act immediately in response to the environmental problems, rather than simply offering suggestions. The rewards and incentive structure also emphasizes results. This will allow the employees to think and be innovative in implementing environmentally friendly policies and procedures. It is important to spread the message to the customers and thereby making them participate in the environment journey. This can be achieved by branding the company and its products on environmental lines. This can be done by bringing out the synergy between the company's strategy and its strong environmental image and reputation, and environmentally sensitive products, suppliers etc. it deals with.

Next it is important to connect with the most vital link of the company – its suppliers. A holistic approach, such as supply chain integration to environmental management links reduction in energy consumption to waste generation and release of pollutants. Setting aggressive and progressive environmental goals is important. This can be done by using tools such as life-cycle management (LCM) and environmental audits (EA) improve environmental and operating performance. Suppliers are asked to keep track of their cost of waste (COW) so that this can be reduced. Supplier negotiations and selection revolve around COW and other environmental issues.

Supplier audits on environmental issues are an absolute must and this process should be a cross-functional initiative. This should involve employees from quality assurance, environmental affairs and purchasing. Similarly, teams should include financial analysts who decide whether suppliers will be the most productive from the perspective of

maximizing Environment Value Add (EVA) make-or-buy decisions. Adherence of suppliers to quality and environment standards is a necessary prerequisite for achieving a company's various objectives. Early sourcing and early supplier involvement in basic product developmental work is required and while doing so it will be easy for the companies to strictly adhere to the norms it has prescribed for itself. These sourcing decisions must also take into consideration safety issues, capacity of suppliers, and ability to treat compounds and effluents. Products and processes should be subjected to continual critical analysis at every stage of the value-added process. The early integration of suppliers into all decisions affecting them is critical to environmental effectiveness. The close alignment of supplier capabilities with buying firm's environmental goals is critical to program success. This alignment can be achieved through an alliance supporting organizational and informational framework and the benchmarking of performance with environmental, quality, and cost parameters.

Purchasing with its proximity to its suppliers needs to play a broader role in the company's environmental agenda. It needs to conduct timely supplier evaluations using criteria such as risk and environmental capability. Because of the emphasis on environmental value-added performance, companies turn to suppliers for use of their waste treatment facilities. Companies also seek to develop suppliers who can collect, clean and reship process waste back to the company.

Finally, companies must carefully justify all environmental changes through either cost reduction or customer satisfaction issues. The focus of continuous improvement (used so effectively during TQM program implementation) can be applied quite effectively to improving environmental efficiency and effectiveness. The cross-functional relevance of environmental supply chain management is ensured by its direct impact on the supplier selection and management processes. Change should be viewed as a competitive tool and environmental efficiency viewed as a positive catalyst for change.

Logistics Management

Logistics management is that part of the supply chain which plans, implements and controls the efficient, effective forward and reverse flow and storage of goods, services and related information between the point of origin and the point of consumption in order to meet customer & legal requirements. A professional working in the field of logistics management is called a logistician. The Chartered Institute of Logistics & Transport (CILT) was established in the United Kingdom in 1919 and was granted the Royal Charter in 1926. The Chartered Institute is one of the professional bodies or institutions, for the logistics & transport sectors, that offers professional qualification or degree in logistics management.

Third-party Logistics

Third-party logistics involves the utilization of external organizations to execute logistics activities that have traditionally been performed within an organization itself.

According to this definition, third party logistics includes any form of outsourcing of logistics activities previously performed in-house. If, for example, a company with its own warehousing facilities decides to employ external transportation, this would be an example of third party logistics. Logistics is one of the emerging business area in many countries.

Warehouse Management System and Warehouse Control System

Although there is some functionality overlap, the differences between warehouse management systems (WMS) and warehouse control systems (WCS) can be significant. To put it simply, the WMS plans a weekly activity forecast, based on such factors as statistics, trends, and so forth, whereas a WCS acts like a floor supervisor, working in real time to get the job done by the most effective means. For instance, a WMS can tell the system it's going to need five of SKU A and five of SKU B, hours in advance, but by the time it acts, other considerations may have come into play or there could be a potential logjam on a conveyor. A WCS can prevent that problem by working in real time and adapting to the situation by making a 'last-minute decision' based on current activity and operational status. Working synergistically, WMS and WCS can resolve these issues and maximize efficiency for companies that rely on the effective operation of their warehouse or distribution centre.

Business Logistics

Logistics as a business concept evolved only in the 1950s. This was mainly due to the increasing complexity of supplying one's business with materials and shipping out products in an increasingly globalized supply chain, calling for experts in the field who are called Supply Chain Logisticians.

This can be defined as having the right item in the right quantity at the right time at the right place for the right price in the right condition to the right customer and is the science of process and incorporates all industry sectors.

The goal of logistics work is to manage the fruition of project life cycles, supply chains and resultant efficiency.

In business, logistics may have either internal focus (in bound logistics), or external focus (outbound logistics) covering the flow and storage of materials from point of origin to point of consumption.

The main functions of a qualified logistician include inventory management, purchasing, transportation, warehousing, consultation and the organizing and planning of these activities.

Logisticians combine a professional knowledge of each of these functions so that there is a coordination of resources in an organization. There are two fundamentally different forms of logistics. One optimizes a steady flow of material through a network of transport links and storage nodes. The other coordinates a sequence of resources to carry out some project.

Production Logistics

The term is used for describing logistic processes within an industry. The purpose of production logistics is to ensure that each machine and workstation is being fed with the right product in the right quantity and quality at the right point in time. The issue is not the transportation itself, but to streamline and control the flow through the value adding processes and eliminate non-value adding ones. Production logistics can be applied in existing as well as new plants. Manufacturing in an existing plant is a constantly changing process. Machines are exchanged and new ones added, which gives the opportunity to improve the production logistics system accordingly. Production logistics provides the means to achieve customer response and capital efficiency.

Production logistics is getting more and more important with the decreasing batch sizes. In many industries (e.g. mobile phone) batch size one is the short term aim. This way even a single customer demand can be fulfilled in an efficient way. Track and tracing, which is an essential part of production logistics-due to product safety and product reliability issues-is also gaining importance especially in the automotive and the medical industry.

Professional Logistician

A logistician is a professional logistics practitioner. Professional logisticians are often certified by professional associations. Some universities and academic institutions train students as logisticians, by offering undergraduate and postgraduate programs.

Liquid Logistics

Liquid Logistics is a special category of logistics that relates to liquid products, and is used extensively in the “Supply Chain for Liquids” discipline. Standard logistics techniques are generally used for discrete or unit products. Liquid products have logistics characteristics that distinguish them from discrete products. Some of the major characteristics of liquid products that impact their logistics handling are:

- Liquids flowing from a higher level to a lower level provide the ability to move the liquids without mechanical propulsion or manual intervention.
- Liquids’ adaptation to the shape of the container they are in provides a great deal of flexibility in the design of storage systems and the use of “dead” space for storage.
- The level of a liquid as it has settled in a tank may be used to automatically and continuously know the quantity of liquid in the tank.
- Liquids provide indications through changes in their characteristics that may be sensed and translated into measures of the quality of the liquid.
- Many security and safety risks are significantly reduced or eliminated using liquid logistics techniques. Tools such as liquid level sensors and flow meters can be useful in reducing security risk by providing directly, near real-time and accurate measurements of product’s movement and balance along the

supply-chain flow. The safety risk is reducing as product movement through the process of supply stream is independent and controlled.

- Liquids may in some cases be “processed” well downstream from the original production facility and thus offer the opportunity for improved efficiency throughout the supply stream together with more flexibility as to the nature of the product at the point of final usage.

Each of these points represents a differentiation of liquid logistics from logistics techniques used for discrete items. When properly planned for and handled these points of differentiation may lead to business advantages for companies that produce, process, move, or use liquid products.

Logistic Engineering

Logistics Engineering is the scientific organization of the purchase, transport, storage, distribution, and warehousing of materials and finished goods. Logistics is generally a Cost centre service activity, but provides value via improved efficiency and customer satisfaction. It can quickly lose that value if the customer becomes dissatisfied. The end customer can include another process or work centre inside of the manufacturing facility, a warehouse where items are stocked or the final customer who will use the product.

Another much more popular derivative and a complete usage of the logistic term which has appeared in recent years is the supply chain. The supply chain also looks at an efficient chaining of the supply/purchase and distribution sides of an organisation. While Logistics looks at single echelons with the immediate supply and distribution linked up, supply chain looks at multiple echelons/stages, right from procurement of the raw materials to the final distribution of finished goods up to the customer. It is based on the basic premise that the supply and distribution activities if integrated with the manufacturing/logistic activities, can result in better profitability for the organisation. The local minima of total cost of the manufacturing operation is getting replaced by the global minima of total cost of the whole chain, resulting in better profitability for the chain members and hence lower costs for the products.

“Logistics Engineering” as a discipline is also a very important aspect of systems engineering that includes reliability engineering. It is the science and process whereby reliability, maintainability, and availability are designed into products or systems. It includes the supply and physical distribution considerations above as well as more fundamental engineering considerations. For example, if we want to produce a system that is 95% reliable (or improve a system to achieve 95% reliability), a logistics engineer understands that total system reliability can be no greater than the least reliable subsystem or component. Therefore our logistics engineer must consider the reliability of all sub-components or subsystems and modify system design accordingly. If a subsystem is only 50% reliable, one can concentrate on improving the reliability of that subsystem, design in multiple subsystems in parallel (5 in this case would achieve approximately 97% reliability of that subsystem), purchase and store spare subsystems for rapid change

out, establish repair capability that would get a failed subsystem back in operation in the required amount of time, and/or choose any combination of those approaches to achieve the optimal cost vs. reliability solution. Then the engineer moves onto the next subsystem.

Logistics Engineers work with complex mathematical models that consider elements such as Mean Time Between Failures (MTBF), Mean Time To Failure (MTTF), Mean Time to Repair (MTTR), Failure Mode and Effects Analysis (FMEA), statistical distributions, queuing theory, and a host of other considerations. Obviously, logistics engineering is a complex science that considers tradeoffs in component/system design, repair capability, training, spares inventory, demand history, storage and distribution points, transportation methods, etc., to ensure the “thing” is where it’s needed, when it’s needed, and operating the way it’s needed all at an acceptable cost.

Performance Metrics

Different performance measures are used to examine the efficiency of an organisation’s logistics. The most popular and widely used performance measure is the landed cost. The landed cost is the total cost of purchasing, transporting, warehousing and distributing raw materials, semi-finished and finished goods.

Another performance measure equally important is the end customer fill rate. It is the percentage of customer demand which is satisfied immediately off-the-shelf (from on-site inventory). An alternative to fill rate, is system availability.

In recent years, the United States Department of Defence (DoD) has advocated the use of Performance Based Logistics (PBL) contracts to manage costs for support of weapon systems.

Logistics Management

The term Logistics Management is that part of Supply Chain Management that plans, implements, and controls the efficient, effective, forward, and reverse flow and storage of goods, services, and related information between the point of origin and the point of consumption in order to meet customers’ requirements.

Developments in Supply Chain Management

Six major movements can be observed in the evolution of supply chain management studies: Creation, Integration, and Globalization (Movahedi et al., 2009), Specialization Phases One and Two, and SCM 2.0.

Ccreation Era

The term supply chain management was first coined by a U.S. industry consultant in the early 1980s. However, the concept of a supply chain in management was of great importance long before, in the early 20th century, especially with the creation of the assembly line. The characteristics of this era of supply chain management include the

need for large-scale changes, re-engineering, downsizing driven by cost reduction programs, and widespread attention to the Japanese practice of management.

Integration Era

This era of supply chain management studies was highlighted with the development of Electronic Data Interchange (EDI) systems in the 1960s and developed through the 1990s by the introduction of Enterprise Resource Planning (ERP) systems. This era has continued to develop into the 21st century with the expansion of internet-based collaborative systems. This era of supply chain evolution is characterized by both increasing value-adding and cost reductions through integration. In fact a supply chain can be classified as a Stage 1, 2 or 3 network. In stage 1 type supply chain, various systems such as Make, Storage, Distribution, Material control, etc. are not linked and are independent of each other. In a stage 2 supply chain, these are integrated under one plan and is ERP enabled. A stage 3 supply chain is one in which vertical integration with the suppliers in upstream direction and customers in downstream direction is achieved. An example of this kind of supply chain is Tesco.

Globalization Era

The third movement of supply chain management development, the globalization era, can be characterized by the attention given to global systems of supplier relationships and the expansion of supply chains over national boundaries and into other continents. Although the use of global sources in the supply chain of organizations can be traced back several decades (e.g., in the oil industry), it was not until the late 1980s that a considerable number of organizations started to integrate global sources into their core business. This era is characterized by the globalization of supply chain management in organizations with the goal of increasing their competitive advantage, value-adding, and reducing costs through global sourcing.

Specialization Era—Phase One: Outsourced Manufacturing and Distribution

In the 1990s, industries began to focus on “core competencies” and adopted a specialization model. Companies abandoned vertical integration, sold off non-core operations, and outsourced those functions to other companies. This changed management requirements by extending the supply chain well beyond company walls and distributing management across specialized supply chain partnerships.

This transition also re-focused the fundamental perspectives of each respective organization. OEMs became brand owners that needed deep visibility into their supply base. They had to control the entire supply chain from above instead of from within. Contract manufacturers had to manage bills of material with different part numbering schemes from multiple OEMs and support customer requests for work -in-process visibility and vendor-managed inventory (VMI). The specialization model creates manufacturing and distribution networks composed of multiple, individual supply chains

specific to products, suppliers, and customers who work together to design, manufacture, distribute, market, sell, and service a product. The set of partners may change according to a given market, region, or channel, resulting in a proliferation of trading partner environments, each with its own unique characteristics and demands.

Specialization Era—Phase Two: Supply Chain Management as a Service

Specialization within the supply chain began in the 1980s with the inception of transportation brokerages, warehouse management, and non-asset-based carriers and has matured beyond transportation and logistics into aspects of supply planning, collaboration, execution and performance management.

At any given moment, market forces could demand changes from suppliers, logistics providers, locations and customers, and from any number of these specialized participants as components of supply chain networks. This variability has significant effects on the supply chain infrastructure, from the foundation layers of establishing and managing the electronic communication between the trading partners to more complex requirements including the configuration of the processes and work flows that are essential to the management of the network itself.

Supply chain specialization enables companies to improve their overall competencies in the same way that outsourced manufacturing and distribution has done; it allows them to focus on their core competencies and assemble networks of specific, best-in-class partners to contribute to the overall value chain itself, thereby increasing overall performance and efficiency. The ability to quickly obtain and deploy this domain-specific supply chain expertise without developing and maintaining an entirely unique and complex competency in house is the leading reason why supply chain specialization is gaining popularity. Outsourced technology hosting for supply chain solutions debuted in the late 1990s and has taken root primarily in transportation and collaboration categories. This has progressed from the Application Service Provider (ASP) model from approximately 1998 through 2003 to the On-Demand model from approximately 2003-2006 to the Software as a Service (SaaS) model currently in focus today.

Supply Chain Management 2.0 (SCM 2.0)

Building on globalization and specialization, the term SCM 2.0 has been coined to describe both the changes within the supply chain itself as well as the evolution of the processes, methods and tools that manage it in this new “era”.

Web 2.0 is defined as a trend in the use of the World Wide Web that is meant to increase creativity, information sharing, and collaboration among users. At its core, the common attribute that Web 2.0 brings is to help navigate the vast amount of information available on the Web in order to find what is being sought. It is the notion of a usable pathway. SCM 2.0 follows this notion into supply chain operations. It is the pathway to SCM results, a combination of the processes, methodologies, tools and delivery options to guide companies to their results quickly as the complexity and speed of the supply

chain increase due to the effects of global competition, rapid price fluctuations, surging oil prices, short product life cycles, expanded specialization, near-/far- and off-shoring, and talent scarcity.

SCM 2.0 leverages proven solutions designed to rapidly deliver results with the agility to quickly manage future change for continuous flexibility, value and success. This is delivered through competency networks composed of best-of-breed supply chain domain expertise to understand which elements, both operationally and organizationally, are the critical few that deliver the results as well as through intimate understanding of how to manage these elements to achieve desired results. Finally, the solutions are delivered in a variety of options, such as no-touch via business process outsourcing, mid-touch via managed services and software as a service (SaaS), or high touch in the traditional software deployment model.

Supply Chain Business Process Integration

Successful SCM requires a change from managing individual functions to integrating activities into key supply chain processes. An example scenario: the purchasing department places orders as requirements become known. The marketing department, responding to customer demand, communicates with several distributors and retailers as it attempts to determine ways to satisfy this demand. Information shared between supply chain partners can only be fully leveraged through process integration.

Supply chain business process integration involves collaborative work between buyers and suppliers, joint product development, common systems and shared information. According to Lambert and Cooper (2000), operating an integrated supply chain requires a continuous information flow. However, in many companies, management has reached the conclusion that optimizing the product flows cannot be accomplished without implementing a process approach to the business. The key supply chain processes stated by Lambert (2004) are:

- Customer relationship management
- Customer service management
- Demand management
- Order fulfilment
- Manufacturing flow management
- Supplier relationship management
- Product development and commercialization
- Returns management.

Much has been written about demand management. Best-in-Class companies have similar characteristics, which include the following: a) Internal and external collaboration b) Lead time reduction initiatives c) Tighter feedback from customer and market demand d) Customer level forecasting.

One could suggest other key critical supply business processes which combine these processes stated by Lambert such as:

Customer Service Management Process

Customer Relationship Management concerns the relationship between the organization and its customers. Customer service is the source of customer information. It also provides the customer with real-time information on scheduling and product availability through interfaces with the company's production and distribution operations. Successful organizations use the following steps to build customer relationships:

- Determine mutually satisfying goals for organization and customers
- Establish and maintain customer rapport
- Produce positive feelings in the organization and the customers.

Procurement Process

Strategic plans are drawn up with suppliers to support the manufacturing flow management process and the development of new products. In firms where operations extend globally, sourcing should be managed on a global basis. The desired outcome is a win-win relationship where both parties benefit, and a reduction in time required for the design cycle and product development. Also, the purchasing function develops rapid communication systems, such as electronic data interchange (EDI) and Internet linkage to convey possible requirements more rapidly. Activities related to obtaining products and materials from outside suppliers involve resource planning, supply sourcing, negotiation, order placement, inbound transportation, storage, handling and quality assurance, many of which include the responsibility to coordinate with suppliers on matters of scheduling, supply continuity, hedging, and research into new sources or programs.

Product Development and Commercialization

Here, customers and suppliers must be integrated into the product development process in order to reduce time to market. As product life cycles shorten, the appropriate products must be developed and successfully launched with ever shorter time-schedules to remain competitive. According to Lambert and Cooper (2000), managers of the product development and commercialization process must:

1. Coordinate with customer relationship management to identify customer-articulated needs;
2. Select materials and suppliers in conjunction with procurement, and
3. Develop production technology in manufacturing flow to manufacture and integrate into the best supply chain flow for the product/market combination.

Manufacturing Flow Management Process

The manufacturing process produces and supplies products to the distribution channels based on past forecasts. Manufacturing processes must be flexible to respond to market changes and must accommodate mass customization. Orders are processes operating on a just-in-time (JIT) basis in minimum lot sizes. Also, changes in the manufacturing

flow process lead to shorter cycle times, meaning improved responsiveness and efficiency in meeting customer demand. Activities related to planning, scheduling and supporting manufacturing operations, such as work-in-process storage, handling, transportation, and time phasing of components, inventory at manufacturing sites and maximum flexibility in the coordination of geographic and final assemblies postponement of physical distribution operations.

Physical Distribution

This concerns movement of a finished product/service to customers. In physical distribution, the customer is the final destination of a marketing channel, and the availability of the product/service is a vital part of each channel participant's marketing effort. It is also through the physical distribution process that the time and space of customer service become an integral part of marketing, thus it links a marketing channel with its customers (e.g., links manufacturers, wholesalers, retailers).

Outsourcing/Partnerships

This is not just outsourcing the procurement of materials and components, but also outsourcing of services that traditionally have been provided in-house. The logic of this trend is that the company will increasingly focus on those activities in the value chain where it has a distinctive advantage, and outsource everything else. This movement has been particularly evident in logistics where the provision of transport, warehousing and inventory control is increasingly subcontracted to specialists or logistics partners. Also, managing and controlling this network of partners and suppliers requires a blend of both central and local involvement. Hence, strategic decisions need to be taken centrally, with the monitoring and control of supplier performance and day-to-day liaison with logistics partners being best managed at a local level.

Performance Measurement

Experts found a strong relationship from the largest arcs of supplier and customer integration to market share and profitability. Taking advantage of supplier capabilities and emphasizing a long-term supply chain perspective in customer relationships can both be correlated with firm performance. As logistics competency becomes a more critical factor in creating and maintaining competitive advantage, logistics measurement becomes increasingly important because the difference between profitable and unprofitable operations becomes more narrow. A.T. Kearney Consultants (1985) noted that firms engaging in comprehensive performance measurement realized improvements in overall productivity. According to experts, internal measures are generally collected and analysed by the firm including:

1. Cost
2. Customer Service
3. Productivity measures

4. Asset measurement, and
5. Quality.

External performance measurement is examined through customer perception measures and “best practice” benchmarking, and includes 1) customer perception measurement, and 2) best practice benchmarking.

Concepts Objectives and Elements of Logistics

Logistics is new unique, it never stops! Logistics is happening around the globe 24 hours days Seven days a week during fifty-two weeks a year. Few areas of business involve the complexity or span the geography typical of logistics. Logistics is concerned with getting products and services where they are needed whenever they are desired. Most consumers take a high level of logistical competency for granted. When they go to store, they expect products to be available and fresh. It is rather difficult to visualize any marketing or manufacturing without logistical support Modern logistics is also a paradox. Logistics has been performed since the beginning of civilization: it's hardly new. However implementing best practice of logistics has become one of the most exciting and challenging operational areas of business and public sector management According to Council of logistics management: “Logistics is the process of planning, implementing and controlling the efficient, effective flow and storage of goods, services and related information from point of origin to point of consumption for the purpose of conforming the customer requirement”.

Logistical management includes the design and administration of systems to controls the flow of material, work- in – process, and finished inventory to support business unit strategy. Logistics is the designing and managing of a system in order to control the flow of material throughout a corporation. This is a very important part of an international company because of geographical barriers. Logistics of an international company includes movement of raw materials, coordinating flows into and out of different countries, choices of transportation, and cost of the transportation, packaging the product for shipment, storing the product, and managing the entire process.

The objectives of Logistics

Operating Objectives

In terms of logistical system design and administration, each firm must simultaneously achieve at least six different operational objectives. These operational objectives, which are the primary determinants of logistical performance, include rapid response, minimum variance, minimum inventory, movement consolidation, quality, and life-cycle support.

Rapid Response

Rapid response is concerned with a firm's ability to satisfy customer service requirements in a timely manner. Information technology has increased the capability

to postpone logistical operations to the latest possible time and then accomplish rapid delivery of required inventory. The result is elimination of excessive inventories traditionally stocked in anticipation of customer requirements. Rapid response capability shifts operational emphasis from an anticipatory posture based on forecasting and inventory stocking to responding to customer requirements on a shipment-to-shipment basis. Because inventory is typically not moved in a time-based system until customer requirements are known and performance is committed, little tolerance exists for operational deficiencies

Minimum Variance

Variance is any unexpected event that disrupts system performance. Variance may result from any aspect of logistical operations. Delays in expected time of customer order receipt, an unexpected disruption in manufacturing, goods arriving damaged at a customer's location, or delivery to an incorrect location-all result in a time disruption in operations that must be resolved. Potential reduction of variance' relates to both internal and external operations. Operating areas of a logistical system are subject to potential variance. The traditional solution to accommodating variance was to establish safety stock inventory or use high-cost premium transportation. Such practices, given their expense and associated risk, have been replaced by using information technology to achieve positive logistics Control. To the extent that variances are minimized, logistical productivity improves as a result of economical operations. Thus, a basic objective of overall logistical performance is to minimize variance.

Minimum Inventory

The objective of minimum variance involves assess commitment and relative turn velocity. Total commitment is the financial value of inventory deployed throughout the logistical system. Turn velocity involves the rate of inventory usage over time. High turn rates, coupled with inventory availability, means that assets devoted to inventory are being effectively utilized. The objective is to reduce inventory deployment to the lowest level consistent with customer service goals to achieve the lowest overall total logistics cost. Concepts like zero inventories have become increasingly as managers seek to reduce inventory deployment. The reality of reengineering a system is that operational defects do not become apparent until inventories are reduced to their lowest possible level. While the goal of eliminating all inventories is attractive, it is important to remember that inventory can and does facilitate some important benefits in a logistical system. Inventories can provide improved return on investment when they result in economies of scale in manufacturing or procurement. The objective is to reduce and manage inventory to the lowest possible level while simultaneously achieving desired operating objectives. To achieve the objective of minimum inventory, the logistical system design must control commitment and turn velocity for the entire firm, not merely for each business location.

Movement Consolidation

One of the most significant logistical costs is transportation. Transportation cost is directly related to the type of product, size of shipment, and distance. Many Logistical systems that feature premium service depend on high-speed, small-shipment transportation. Premium transportation is typically high-cost. To reduce transportation cost, it is desirable to achieve movement consolidation. As a general rule, the larger the overall shipment and the longer the distance it is transported, the lower the transportation cost per unit. This requires innovative programs to group small shipments for consolidated movement. Such programs must be facilitated by working arrangements that transcend the overall supply chain.

Quality Improvement

A fifth logistical objective is to seek continuous quality improvement. Total quality management (TQM) has become a major commitment throughout all facets of industry. Overall commitment to TQM is one of the major forces contributing to the logistical renaissance. If a product becomes defective or if service promises are not kept, little, if any, value is added by the logistics. Logistical costs, once expended, cannot be reversed. In fact, when quality fails, the logistical performance typically needs to be reversed and then repeated. Logistics itself must perform to demanding quality standards. The management challenge of achieving zero defect logistical performance is magnified by the fact that logistical operations typically must be performed across a vast geographical area at all times of the day and night. The quality challenge is magnified by the fact that most logistical work is performed out of a supervisor's vision. Reworking a customer's order as a result of incorrect shipment or in-transit damage is far more costly than performing it right the first time. Logistics is a prime part of developing and maintaining continuous TQM improvement.

Life-Cycle Support

The final logistical design objective is life-cycle support. Few items are sold without some guarantee that the product will perform as advertised over a specified period. In some situations. The normal value-added inventory flow toward customers must be reversed. Product recall is a critical competency resulting from increasingly rigid quality standards, product expiration dating and responsibility for hazardous consequences. Return logistics requirements also result from the increasing number of laws prohibiting disposal and encouraging recycling of beverage containers and packaging materials. The most significant aspect of reverse logistical operations is the need for maximum control when a potential health liability exists (i.e., a contaminated product). In this sense, a recall program is similar to a strategy of maximum customer service that must be executed regardless of cost. Johnson & Johnson's classical response to the Tylenol crisis is an example of turning adversity into advantage. The operational requirements of reverse logistics range from lowest total cost, such as returning bottles for recycling,

to maximum performance solutions for critical recalls. The important point is that sound logistical strategy cannot be formulated without careful review of reverse logistical requirements. Some products, such as copying equipment, derive their primary profit from selling supplies and providing aftermarket. Service. The importance of service support logistics varies directly with the product and buyer. For firms marketing consumer durables or industrial equipment, the commitment to life-cycle support constitutes a versatile and demanding operational requirement as well as one of the largest costs of logistical operations. The life-cycle support capabilities of a logistical system must be carefully designed. As noted earlier, reverse logistical competency, as a result of worldwide attention to environmental concerns, requires the capacity to recycle ingredients and packaging materials. Life-cycle support, in modern terms, means cradle-to-cradle logistical support.

Concept of Logistics

The concept of logistics is fairly new in the business world. The theoretical development was not used until 1966. Since then, many business practices have evolved and logistics currently costs between 10 and 25 percent of the total cost of an international purchase. There are two main phases that are important in the movement of materials: material management and physical distribution; Materials management is the timely movement of raw materials, parts, and supplies. The physical distribution is the movement of the firm's finished products to the customers. Both phases involve every stage of the process including storage. The ultimate goal of logistics is: "To coordinate all efforts of the company to maintain a cost effective flow of goods."

Word, 'Logistics' is derived from French word 'loger', which means art of war pertaining to movement and supply of armies.

A military concept, fighting a war requires:

- Setting of an objective
- Meticulous planning to achieve the objective
- Troops properly deployed
- Supply line consisting weaponry, food, medical assistance, etc. maintained
- Plan should be such that there is minimum loss to men & material

Like fighting a war in the battlefield, the marketing managers also need a suitable logistics plan that is capable of satisfying the company objective of meeting profitably the demand of targeted customers. Inbound logistics + Material Management + Physical Distribution = Logistics

Discussion of each and every term in this above summation

- Inbound logistics covers the movement of materials received from suppliers
- Material management describes the movements of material & components within a firm
- Physical distribution refers to movement of goods outward from the end of the assembly line to the customer.

- Supply-chain management is somewhat larger than logistics and it links logistics more directly within the user's total communication network & with the firm engineering staff. It includes manufacturer and suppliers but also transporters, warehouses, retailers and customers themselves.

Importance of logistics :

- Transportation cost rose rapidly due to the rise in fuel prices
- Production efficiency was reaching a peak
- Fundamental change in inventory philosophy
- Product line proliferated
- Computer technology
- Increased use of computers
- Increased public concern of products Growth of several new, large retail chains or mass merchandise with large demands & very sophisticated logistics services, bypass traditional channel & distribution
- Reduction in economic regulation
- Growing power of retailers
- Globalization

The interrelation of different logistics element and their costs should be based on total cost rather than individual costs.

Why tylenol remains number one

Johnson & Johnson's McNeil Consumer Products Division was hit with a major crisis in September 1982. Their top-selling product line, Tylenol, was linked to seven deaths in the Chicago area. At the time of the incident, Tylenol enjoyed 35 percent of the \$1 billion analgesic market, but by the end of September, this market share had dropped 80 percent. Currently, Tylenol is again the top-selling brand with approximately 30 percent of the now \$2.7 billion analgesic market. How Was Johnson & Johnson (J&J) able to regain market share and a leading image after such a damaging tragedy? Its recovery was successful because of reverse logistics capability coupled with a marketing strategy that focused on protecting the consumer and going above and beyond what was necessary to instill trust and an image of security. This recovery plan is a positive prototype for other corporations to follow, which, in effect, may increase the potential for voluntary product recalls across a variety of industries.

When the List-News reports hit about cyanide-tainted Extra-Strength Tylenol capsules, J&J was unsure whether the tampering occurred in its manufacturing operations or at the retail level. As such, its first efforts were directed at pinning down the problem. As soon as the lot numbers were identified from the first few deaths, J&J stopped production in the plant responsible. At the same time, it halted all Tylenol commercials nationwide and began recalls that eventually involved 31 million bottles of product, which had a retail value of \$100 million. Another strategy that J&J took was to work openly and closely with the media. J&J has traditionally maintained a distance from the press, but

in this case it felt that openness and honesty would help reduce consumer panic and provide a vehicle for disseminating critical information. A crisis team was put together that included J&J as well as McNeil executives and top managers. This team was quite sure that the tampering had occurred at the retail level since the incident was isolated to Chicago's West Side and other samples from the same lot were normal. Regardless, they began the recall with the remaining 93,000 bottles from this lot.

The expenses of this first phase of the recall included \$1 million just for phone calls and telegrams to doctors, hospitals, and distributors. The sixth poisoning ensured that the tampering was at the retail level since the bottle came from a lot manufactured at its second plant. Since the cause was now isolated, J&J could concentrate on containment. The first step was to advocate a total recall.

While this step was in some ways unnecessary, J&J felt it was a key step to ensure consumer confidence. At first, the FBI and FDA advised against a total recall because of the potential psychological response of the person who tampered with the product and the response of consumers in general. However, after copycat strychnine poisoning in California, all parties agreed that complete removal was the best solution.

This total recall entailed the following

- i. Advertisements stating that McNeil would exchange tablets for capsules,
- ii. Thousands of letters to the trade to explain the incident and recall procedures,
- iii. Media statements,
- iv. A sales force of over 2,000 employees to contact doctors and pharmacists to regain trust and restore their recommendations that had traditionally served as the main promotional avenue for Tylenol products,
- v. An extensive reverse logistics system that included buying products back from retailers and consumers and shipping returns to disposal centers, and
- vi. Creating a tamperproof package. It is estimated that recall costs were at least \$100 million, most of which involved the reverse logistics operations.

By January 1983, the new tamperproof bottles of Tylenol were on the retail shelf. Consumer confidence was obviously regained as a result of the extensive voluntary recall program, effective public relations, and sales programs and repack operations. This confidence was shown by the fact that at the end of the year, Tylenol had regained almost 30 percent of the market although market share has remained at about 30 percent, sales dollars have more than doubled. Since the total industry sales were about \$1 billion in the early 1980s but are now \$2.7 billion.

Overview of Logistics Function

Logistical History of India: India was a maritime power since about 300 BC, trading with several countries of the world bringing prosperity home.

Traders of Surat brought riches to the country by extensive maritime trade. Like many of our excellent practices, logistical efficiency also faded away over a period of time.

Some important logistical feats in history:

1. Berlin Airlift – 1945: A study in logistics. When the city of Berlin was blockaded by Soviets and all supply lines were cut off, Americans planned and executed a major logistics operation to feed the city from air.
2. Indians in the Gulf countries – 1991:
In 1991, when gulf war broke out, Indian Government evacuated thousands of Indians from the gulf countries and brought them home in a massive exercise employing Indian airlines planes.
3. Operation Overlord-1945: Allies' invasion of Europe and subsequent victory in II World War.
4. American war of Independence

Keeping 12,000 soldiers armed and fed from England was a big task; British lost the American war of independence due to bad logistics.

Integrates logistical activities

In conventional management environment, various activities of logistics work in isolation under different management functions.

Each pocket trying to sub optimize its objectives at the cost of overall organizational objectives. Purchasing trying to purchase at minimum price at the cost of what is needed by operations.

Operations produce large quantities at minimum production cost ignoring demand leading to doom inventory. Logistics function of management brings all such functions under one umbrella pulling down inter departmental barriers.

Competitive edge: In the fiercely competitive environment logistics provides the edge. Due to technological revolution most of the products are moving into commodity markets. In a commodity market where price is controlled by competition, where there is no product differentiation in terms of quality parameters like performance & reliability, where brands are almost irrelevant, competitive edge is that of availability of product and service in terms of time, place and quantity.

Logistics wins or loses wars

- British lost American war of independence due to poor logistics
- Rommel was beaten in the desert by superior logistics of Allies

Supports critical functions like operations and marketing

Strong logistics support enables a company to move towards JUST IN TIME production system for survival in a highly competitive market

Interface with marketing

These days marketing a product is increasingly on the strength of availability and flexibility as we discussed earlier. Stronger emphasis is on the last of four Ps of marketing [product, price, promotion and place]. Logistics provides the interface between production function and marketing function. Marketing is trying to sell the product in

the market place. Logistics makes the product accessible to marketing by acting as interface between the function that produces it and the function that makes the consumer buy it.

This interface is gaining importance due to following changes that are sweeping the market making many companies adopt JUST IN TIME production system.

- a. Change in the customer: demanding, knowledgeable, conscious of rights, lacking in brand loyalty, changes preferences very fast, expects very high degree of service
- b. Many products are moving towards commodities market: product differentiation in terms of quality of performance is vanishing and brands are losing their magic.

As a result of above we find that availability is an important determinant of purchasing decision.

Logistical costs: For individual businesses logistics expenditures are 5% to 35% of sales depending on type of business, geographical areas of operation, weight/value ratios of products and materials. This is an expensive operation. Improvement in the efficiency of logistics function yields savings as well as customer satisfaction

Rapid response

F-flexibility objective of an organization: Some companies measure this as response time to customer's order. On an average how much time do we need to fulfill one particular type of customer's order in a year? This is a measure of Rapid response

Logistics should ensure that the supplier is able to respond to the change in the demand very fast. Entire production should change from traditional push system to pull system to facilitate rapid response. Instead of stocking the goods and supplying on demand, orders are executed on shipment-to-shipment basis. Information Technology plays an important role here as an enabler. IT helps management in producing and delivering goods when the consumer needs them. This results into reduction of inventory and exposes all operational deficiencies. Now the management resolves these deficiencies and slashes down costs. [Concept of SMED and KANBAN as practiced by JIT companies in Japan or elsewhere]

Minimum variance

D-delivery objective of an organization, this can be measured as 'On Time Delivery' or OTD. If 100 deliveries are made in a month/quarter/year how many reached as per the commitment made to the customer? This percentage is OTD.

Any event that disrupts a system is variance. Logistics operations are disrupted by events like delays due to obstacles in information flow, traffic snarls, acts of god, wrong dispatches, damage in transit. Traditional approach is to keep safety stocks and transport the goods by high cost mode. The cost of this approach is huge. Logistics is expected to minimize these events, thereby minimize and improve on OTD

Minimum inventory

This is component of cost objective of a company. Inventory is associated with a huge baggage of costs. It is termed as a necessary evil. Objective of minimum inventory is measured as Inventory Turns or Inventory Turnover Ratio. Americans call this measure as turn velocity.

Logistics management increases these turns without sacrificing customer satisfaction. Higher turns ensure effective utilization of assets devoted to stock. [Concept of single piece flow as practiced by JIT companies in Japan or elsewhere]. Logistical management should keep the overall well being of a company in view and fix a minimum inventory level without trying to minimize the inventory level as an isolated objective

Movement consolidation

Transportation is the biggest contributor to logistics cost. Transportation cost depends on product type, size, weight, distance to be transported etc. for transporting small shipments just in time [reduction in inventory costs] expensive transport modes are used which again tend to hike the costs.

Movement consolidation is planning several such small shipments together [of different types of shipments] by integrating interests of several players in the supply chain. Generally, large shipment size and long distances reduce transportation cost per unit. Movement consolidation shall result into reduction in transportation costs.

Quality

If the quality of product fails logistics will have to ship the product out of customers premises and repeat the logistics operation again. This adds to costs and customer dissatisfaction. Hence logistics should contribute to TQM initiative of management. In fact, commitment to TQM has made the managements world over wake up to the significance of logistics function. Logistics can play a significant role in total quality improvement by improving the quality of logistics performance continuously and continually.

Logistics Management Software

Software is used for logistics automation which helps the supply chain industry in automating the work flow as well as management of the system. There are very few generalized software available in the new market in the said topology. This is because there is no rule to generalize the system as well as work flow even though the practice is more or less the same.

Most of the commercial companies do use one or the other of the custom solutions. But there are various software solutions that are being used within the departments of logistics. There are a few departments in Logistics, namely: Conventional Department, Container Department, Warehouse, Marine Engineering, Heavy Haulage, etc. Software used in these departments:

- Conventional department : CVT software/CTMS software
- Container Trucking: CTMS software
- Warehouse : WMS/WCS.

Improving Effectiveness of Logistics Management:

1. Logistical Network
2. Information
3. Transportation
4. Sound Inventory Management
5. Warehousing, Materials Handling & Packaging.

Logistics Officer

A Logistics Officer, known in the past as a Supply Officer, is a member of an armed force responsible for overseeing the supplying of an army, both at home and abroad. Logistics Officers can be stationary on military bases or deployed as an active part of a field army, air wing, or naval force.

The responsibilities of Logistics Officers vary, depending on where they are deployed and what tasks they are assigned. In addition, different countries, have different roles for Logistics Officers.

The main role of these officers remains the same regardless of where they are stationed; to ensure that the fighting force is supplied with enough food, water, fuel and ammunition to complete the task at hand.

Canada

In Canada, Logistic officers work in five main disciplines, Supply chain, Management, Transportation, Human resource management, Finance and food services. Their main objective is to ensure that all Canadian military operations and training exercises are properly supported.

United States

In the United States, the work of the logistics officer includes providing Strategic, Operational, or Tactical level logistical support and managing the overall logistic processes in support of mission objectives; leveraging existing networks and expanding others; anticipating mission needs and operational requirements and offering alternatives and advice; and evaluating, redesigning and implementing logistics processes for mission support.

United Kingdom

In the United Kingdom, a Logistics Officer in the Royal Air Force is colloquially known as a 'Stacker' (which is an abbreviation of either 'Blanket Stacker' or 'Duvet Stacker'). This is a reference to the traditionally-held perception of the role of the Logistics Officer from the point of view of an Engineering Officer.

Australia

In Australia each of the three independent Services of the Australian Defence Force (ADF) have different definitions for a 'Logistics Officer'. Logistics Officers lead and coordinate planning and execution of the operations support components of the military effects which include the administrative (1) and logistics (4) functions, as well as major enabling support in the capability support dimension of force generation.

Royal Australian Navy (RAN) logisticians are called a Supply Officer, the commissioned element of the Supply Branch. RAN "Loggies" conduct the non-technical component of 1/4 support effects. Australian Army logisticians are commissioned officers in the Australian Regular Army (ARA) or Army Reserve (ARES) normally drawn from the Ordnance (RAAOC), Transport (RACT), Catering (RAACC), Engineer (RAE), Electrical and Mechanical Engineer (RAEME), or Medical (RAAMC) corps. Army defines engineering as a subset of logistics.

Royal Australian Air Force (RAAF) logisticians are called Logistics Officers (LOG), the commissioned element of the Logistics Employment Group (LEG). As in the RAF they are generally focused on the maintenance of the supply chain (in both Joint and Air environments), equipment governance, catering, movements and transport, the non-technical logistics disciplines. Unlike the Army RAAF "Loggies" work in parallel to RAAF engineers (Aeronautical [AERO], both Ground and Air Electrical [ELECTR], Armament [ARM] and Airfield [AFENG]) who comprise the specialist technical engineering and maintenance components of the RAAF integrated logistics workforce. LOG and ENG personnel (except AFENG) are managed by Logistics Branch-Air Force within Air Force Headquarters (AFHQ). AFENG are managed by the RAAF's Headquarters Combat Support Group. Additionally unlike their Navy and Army counterparts RAAF "Loggies" don't manage administrative, personnel or finance functions which are provided by Administrative Officers (ADMIN) who perform the 1 shop functions of the 1/4 support environment leaving "Loggies" to perform the 4 shop function.

Belgium

In Belgium, the army has its own logistics branch. This branch is responsible for supporting the army in the wide logistics spectrum: supply, maintenance and contracting.

Management Information System

A management information system (MIS) is a system or process that provides information needed to manage organizations effectively. Management information systems are regarded to be a subset of the overall internal controls procedures in a business, which cover the application of people, documents, technologies, and procedures used by management accountants to solve business problems such as costing a product, service or a business-wide strategy. Management information systems are distinct from regular information systems in that they are used to analyze other information systems

applied in operational activities in the organization. Academically, the term is commonly used to refer to the group of information management methods tied to the automation or support of human decision making, e.g. Decision Support Systems, Expert systems, and Executive information systems.

Overview

At the start, in businesses and other organizations, internal reporting was made manually and only periodically, as a by-product of the accounting system and with some additional statistic(s), and gave limited and delayed information on management performance. Previously, data had to be separated individually by the people as per the requirement and necessity of the organization. Later, data was distinguished from information, and instead of the collection of mass of data, important, and to the point data that is needed by the organization was stored.

Early on, business computers were mostly used for relatively simple operations such as tracking sales or payroll data, often without much detail. Over time these applications became more complex and began to store increasing amounts of information while also interlinking with previously separate information systems. As more and more data was stored and linked man began to analyze this information into further detail, creating entire management reports from the raw, stored data. The term “MIS” arose to describe these kinds of applications, which were developed to provide managers with information about sales, inventories, and other data that would help in managing the enterprise. Today, the term is used broadly in a number of contexts and includes (but is not limited to): decision support systems, resource and people management applications, ERP, SCM, CRM, project management and database retrieval application.

An ‘MIS’ is a planned system of the collecting, processing, storing and disseminating data in the form of information needed to carry out the functions of management. In a way it is a documented report of the activities that were planned and executed. According to Philip Kotler “A marketing information system consists of people, equipment, and procedures to gather, sort, analyze, evaluate, and distribute needed, timely, and accurate information to marketing decision makers.”

The terms MIS and information system are often confused. Information systems include systems that are not intended for decision making. The area of study called MIS is sometimes referred to, in a restrictive sense, as information technology management. That area of study should not be confused with computer science. IT service management is a practitioner-focused discipline. MIS has also some differences with Enterprise Resource Planning (ERP) as ERP incorporates elements that are not necessarily focused on decision support.

Any successful MIS must support a businesses Five Year Plan or its equivalent. It must provide for reports based up performance analysis in areas critical to that plan, with feedback loops that allow for titivation of every aspect of the business, including recruitment and training regimens. In effect, MIS must not only indicate how things are

going, but why they are not going as well as planned where that is the case. These reports would include performance relative to cost centres and projects that drive profit or loss, and do so in such a way that identifies individual accountability, and in virtual real-time.

Professor Allen S. Lee states that “...research in the information systems field examines more than the technological system, or just the social system, or even the two side by side; in addition, it investigates the phenomena that emerge when the two interact.”.

Data Mining

Data mining is the process of extracting patterns from data. Data mining is becoming an increasingly important tool to transform this data into information. It is commonly used in a wide range of profiling practices, such as marketing, surveillance, fraud detection and scientific discovery.

Data mining can be used to uncover patterns in data but is often carried out only on samples of data. The mining process will be ineffective if the samples are not a good representation of the larger body of data. Data mining cannot discover patterns that may be present in the larger body of data if those patterns are not present in the sample being “mined”. Inability to find patterns may become a cause for some disputes between customers and service providers. Therefore data mining is not foolproof but may be useful if sufficiently representative data samples are collected. The discovery of a particular pattern in a particular set of data does not necessarily mean that a pattern is found elsewhere in the larger data from which that sample was drawn. An important part of the process is the verification and validation of patterns on other samples of data.

The related terms data dredging, data fishing and data snooping refer to the use of data mining techniques to sample sizes that are (or may be) too small for statistical inferences to be made about the validity of any patterns discovered. Data dredging may, however, be used to develop new hypotheses, which must then be validated with sufficiently large sample sets.

Background

Humans have been “manually” extracting patterns from data for centuries, but the increasing volume of data in modern times has called for more automated approaches. Early methods of identifying patterns in data include Bayes’ theorem (1700s) and regression analysis (1800s). The proliferation, ubiquity and increasing power of computer technology has increased data collection and storage. As data sets have grown in size and complexity, direct hands-on data analysis has increasingly been augmented with indirect, automatic data processing. This has been aided by other discoveries in computer science, such as neural networks, clustering, genetic algorithms (1950s), decision trees (1960s) and support vector machines (1980s). Data mining is the process of applying

these methods to data with the intention of uncovering hidden patterns. It has been used for many years by businesses, scientists and governments to sift through volumes of data such as airline passenger trip records, census data and supermarket scanner data to produce market research reports. (Note, however, that reporting is not always considered to be data mining.)

A primary reason for using data mining is to assist in the analysis of collections of observations of behaviour. Such data are vulnerable to collinearity because of unknown interrelations. An unavoidable fact of data mining is that the (sub-)set(s) of data being analysed may not be representative of the whole domain, and therefore may not contain examples of certain critical relationships and behaviours that exist across other parts of the domain. To address this sort of issue, the analysis may be augmented using experiment-based and other approaches, such as Choice Modelling for human-generated data. In these situations, inherent correlations can be either controlled for, or removed altogether, during the construction of the experimental design.

There have been some efforts to define standards for data mining, for example the 1999 European Cross Industry Standard Process for Data Mining (CRISP-DM 1.0) and the 2004 Java Data Mining standard (JDM 1.0). These are evolving standards; later versions of these standards are under development. Independent of these standardization efforts, freely available open-source software systems like the R Project, Weka, KNIME, Rapid Miner and others have become an informal standard for defining data-mining processes. The first three of these systems are able to import and export models in PMML (Predictive Model Markup Language) which provides a standard way to represent data mining models so that these can be shared between different statistical applications. PMML is an XML-based language developed by the Data Mining Group (DMG), an independent group composed of many data mining companies. PMML version 4.0 was released in June 2009.

Research and Evolution

In addition to industry driven demand for standards and interoperability, professional and academic activity have also made considerable contributions to the evolution and rigour of the methods and models; an article published in a 2008 issue of the International Journal of Information Technology and Decision Making summarises the results of a literature survey which traces and analyses this evolution.

Process

Pre-processing: Before data mining algorithms can be used, a target data set must be assembled. As data mining can only uncover patterns already present in the data, the target dataset must be large enough to contain these patterns while remaining concise enough to be mined in an acceptable time-frame. A common source for data is a datamart or data warehouse. Pre-process is essential to analyse the multivariate datasets before clustering or data mining.

The target set is then cleaned. Cleaning removes the observations with noise and missing data. The clean data are reduced into feature vectors, one vector per observation. A feature vector is a summarised version of the raw data observation. For example, a black and white image of a face which is 100px by 100px would contain 10,000 bits of raw data. This might be turned into a feature vector by locating the eyes and mouth in the image. Doing so would reduce the data for each vector from 10,000 bits to three codes for the locations, dramatically reducing the size of the dataset to be mined, and hence reducing the processing effort. The feature(s) selected will depend on what the objective(s) is/are; obviously, selecting the “right” feature(s) is fundamental to successful data mining.

The feature vectors are divided into two sets, the “training set” and the “test set”. The training set is used to “train” the data mining algorithm(s), while the test set is used to verify the accuracy of any patterns found.

Results Validation

The final step of knowledge discovery from data is to verify the patterns produced by the data mining algorithms occur in the wider data set. Not all patterns found by the data mining algorithms are necessarily valid. It is common for the data mining algorithms to find patterns in the training set which are not present in the general data set, this is called over fitting. To overcome this, the evaluation uses a test set of data which the data mining algorithm was not trained on. The learnt patterns are applied to this test set and the resulting output is compared to the desired output. For example, a data mining algorithm trying to distinguish spam from legitimate emails would be trained on a training set of sample e-mails. Once trained, the learnt patterns would be applied to the test set of e-mails which it had not been trained on, the accuracy of these patterns can then be measured from how many e-mails they correctly classify. A number of statistical methods may be used to evaluate the algorithm such as ROC curves.

If the learnt patterns do not meet the desired standards, then it is necessary to re-evaluate and change the preprocessing and data mining. If the learnt patterns do meet the desired standards then the final step is to interpret the learnt patterns and turn them into knowledge.

Notable Uses

Games

Since the early 1960s, with the availability of oracles for certain combinatorial games, also called table bases (e.g. for 3x3-chess) with any beginning configuration, small-board dots-and-boxes, small-board-hex, and certain endgames in chess, dots-and-boxes, and hex; a new area for data mining has been opened up. This is the extraction of human-usable strategies from these oracles. Current pattern recognition approaches do not seem to fully have the required high level of abstraction in order to be applied

successfully. Instead, extensive experimentation with the table bases, combined with an intensive study of table base-answers to well designed problems and with knowledge of prior art, i.e. pre-table base knowledge, is used to yield insightful patterns. Berlekamp in dots-and-boxes etc. and John Nunn in chess endgames are notable examples of researchers doing this work, though they were not and are not involved in table base generation.

Business

Data mining in customer relationship management applications can contribute significantly to the bottom line. Rather than randomly contacting a prospect or customer through a call centre or sending mail, a company can concentrate its efforts on prospects that are predicted to have a high likelihood of responding to an offer. More sophisticated methods may be used to optimise resources across campaigns so that one may predict which channel and which offer an individual is most likely to respond to — across all potential offers. Additionally, sophisticated applications could be used to automate the mailing. Once the results from data mining (potential prospect/customer and channel/offer) are determined, this “sophisticated application” can either automatically send an e-mail or regular mail. Finally, in cases where many people will take an action without an offer, uplift modelling can be used to determine which people will have the greatest increase in responding if given an offer. Data clustering can also be used to automatically discover the segments or groups within a customer data set.

Businesses employing data mining may see a return on investment, but also they recognise that the number of predictive models can quickly become very large. Rather than one model to predict which customers will churn, a business could build a separate model for each region and customer type. Then instead of sending an offer to all people that are likely to churn, it may only want to send offers to customers that will likely take to offer. And finally, it may also want to determine which customers are going to be profitable over a window of time and only send the offers to those that are likely to be profitable. In order to maintain this quantity of models, they need to manage model versions and move to automated data mining.

Data mining can also be helpful to human-resources departments in identifying the characteristics of their most successful employees. Information obtained, such as universities attended by highly successful employees, can help HR focus recruiting efforts accordingly. Additionally, Strategic Enterprise Management applications help a company translate corporate-level goals, such as profit and margin share targets, into operational decisions, such as production plans and workforce levels.

Another example of data mining, often called the market basket analysis, relates to its use in retail sales. If a clothing store records the purchases of customers, a data-mining system could identify those customers who favour silk shirts over cotton ones. Although some explanations of relationships may be difficult, taking advantage of it is easier. The example deals with association rules within transaction-based data. Not all

data are transaction based and logical or inexact rules may also be present within a database. In a manufacturing application, an inexact rule may state that 73% of products which have a specific defect or problem will develop a secondary problem within the next six months.

Market basket analysis has also been used to identify the purchase patterns of the Alpha consumer. Alpha Consumers are people that play a key roles in connecting with the concept behind a product, then adopting that product, and finally validating it for the rest of society. Analysing the data collected on these type of users has allowed companies to predict future buying trends and forecast supply demands.

Data Mining is a highly effective tool in the catalog marketing industry. Catalogers have a rich history of customer transactions on millions of customers dating back several years. Data mining tools can identify patterns among customers and help identify the most likely customers to respond to upcoming mailing campaigns.

Related to an integrated-circuit production line, an example of data mining is described in the paper "Mining IC Test Data to Optimize VLSI Testing." In this paper the application of data mining and decision analysis to the problem of die-level functional test is described. Experiments mentioned in this paper demonstrate the ability of applying a system of mining historical die-test data to create a probabilistic model of patterns of die failure which are then utilised to decide in real time which die to test next and when to stop testing. This system has been shown, based on experiments with historical test data, to have the potential to improve profits on mature IC products.

Science and Engineering

In recent years, data mining has been widely used in area of science and engineering, such as bio-informatics, genetics, medicine, education and electrical power engineering.

In the area of study on human genetics, the important goal is to understand the mapping relationship between the inter-individual variation in human DNA sequences and variability in disease susceptibility. In lay terms, it is to find out how the changes in an individual's DNA sequence affect the risk of developing common diseases such as cancer. This is very important to help improve the diagnosis, prevention and treatment of the diseases. The data mining technique that is used to perform this task is known as multifactor dimensionality reduction.

In the area of electrical power engineering, data mining techniques have been widely used for condition monitoring of high voltage electrical equipment. The purpose of condition monitoring is to obtain valuable information on the insulation's health status of the equipment. Data clustering such as self-organizing map (SOM) has been applied on the vibration monitoring and analysis of transformer on-load tap-changers (OLTCs). Using vibration monitoring, it can be observed that each tap change operation generates a signal that contains information about the condition of the tap changer contacts and the drive mechanisms. Obviously, different tap positions will generate different signals. However, there was considerable variability amongst normal condition signals for the

exact same tap position. SOM has been applied to detect abnormal conditions and to estimate the nature of the abnormalities.

Data mining techniques have also been applied for dissolved gas analysis (DGA) on power transformers. DGA, as a diagnostics for power transformer, has been available for many years. Data mining techniques such as SOM has been applied to analyse data and to determine trends which are not obvious to the standard DGA ratio techniques such as Duval Triangle. A fourth area of application for data mining in science/engineering is within educational research, where data mining has been used to study the factors leading students to choose to engage in behaviors which reduce their learning and to understand the factors influencing university student retention. A similar example of the social application of data mining is its use in expertise finding systems, whereby descriptors of human expertise are extracted, normalised and classified so as to facilitate the finding of experts, particularly in scientific and technical fields. In this way, data mining can facilitate Institutional memory.

Other examples of applying data mining technique applications are biomedical data facilitated by domain ontologies, mining clinical trial data, traffic analysis using SOM, et cetera. In adverse drug reaction surveillance, the Uppsala Monitoring Centre has, since 1998, used data mining methods to routinely screen for reporting patterns indicative of emerging drug safety issues in the WHO global database of 4.6 million suspected adverse drug reaction incidents. Recently, similar methodology has been developed to mine large collections of electronic health records for temporal patterns associating drug prescriptions to medical diagnoses.

LOGISTICAL FUNCTIONS [COMPONENTS OF LOGISTICS OR ELEMENTS OF LOGISTICS]

Management is appreciating importance of information as an element of logistics of late, now. The role of information is vital in order processing. Quality of information is critical as error in composition of information requirement creates potential disturbance in the supply chain. Incorrect order processing due to erroneous information will result into product recall and reshipment if the sales opportunity still exists. Faster and quality information flow from customer to processor results into cost effective logistics. Forecasting and order management are two areas of logistical work dependent on information.

Forecasting is an effort to estimate future requirements to position inventory or assets devoted to inventory. As forecasting becomes unreliable in a fast changing environment, control strategies like JIT, Quick Response and Continuous Replenishment came into being. Now it is the task of the logistics function to use information technology to strengthen operation control and forecasting to the best advantage of the organization.

Leading firms typically have information systems capable of monitoring logistical performance on a real time basis giving them the capability to identify potential operational breakdowns and take corrective actions prior to customer service failure.

In situations where timely corrective action is not possible, customers can be notified in advance and thereby taking the surprise out of forthcoming service failures

Inventory control

Keeping the stock levels in such a position, so that neither stock out nor stock piling takes place is Inventory control. While formulating inventory policies find out 20% of the products marketed that account for 80% of the profit.

Transportation

Transportation is the most visible of all elements of logistics and high contributor to logistics expenditure. Costs of transportation are mainly as follows

- a. Movement costs: money paid for moving material across geographical terrain
- b. Preservation costs: money spent on preserving the material during transit
- c. Cost of idle asset: inventory is unavailable for conversion during transit. This results into costs for organization
- d. Administration costs: money spent on administration

Transportation is accomplished in three ways

- a. One's own fleet – private carriage
- b. Contract with specialists on long term basis – contract carriage
- c. Contract on individual shipment basis – common carriage

Expectations from transportation service are

- a. Minimum cost – transportation costs are explained earlier
- b. *Speed*: Speed of transport means the speed with which goods reach the destination.
- c. *Consistency*: consistency in speed is achieving the same speed over a long period of time. Consistency reflects on the reliability of carrier. Any unexpected variance can play havoc with logistics. Modern information technology has made continuous tracking of consignments possible. This takes the element of surprise out. IT has helped logistics managers to seek out ways and means to improve speed and consistency. What is becoming important is a combination of speed and consistency.

Requirement of speed depends on type of industry. In some situations speed may not be important. Then transportation service offering high speed increases cost. So logistics managers have to strike a balance between service and cost. Three important aspects of transportation are facility location, transportation cost and consistency.

Design of logistics system should consider total costs rather than elemental cost of transportation.

Warehousing

Warehousing is holding material before dispatch after it is produced. Although warehousing is conventionally considered to be a storage facility, it plays a much higher

role from logistics viewpoint. It is perceived to be a switching facility rather than a storage facility. Warehouse ownership can be private, public or third party contract. Warehouse provides economic and service benefits to the logistical system. Economic benefits are Movement Consolidation, Break-bulk, Cross-dock, Processing/Postponement & stock piling. Service benefits are spot stocking, assortment, mixing & production support

Material handling

Material handling covers receiving, moving, storing, dispatching activities. It has an impact on cost [capital as well as running], quality and safety. One of the principles of material handling is minimum movement. Commonly used material handling equipment are forklifts, EOT Cranes, hoists, pulley blocks, trolleys, railroad cars, conveyers, ropes and slings etc.

Packaging

Packaging is done to make handling and transporting cost effective. It protects the product in transit and handling. Packing is expected to facilitate lifting and moving by providing easy access to forks or hooks. Packing is also expected to display universal symbols and other instructions for handling. Eg. Pallets and containers, wooden boxes, wrapping etc.

Types of packaging: consumer packaging and industrial packaging

Consumer packaging - There is no focus on logistics. Importance is given to marketing appeal and packaging the finished product.

Industrial packaging - importance is given to logistics considerations handling and moving. Individual parts are packed in cartons or bags and grouped together as master cartons. Master cartons are grouped into units for handling. This concept leads to unitization and subsequently to containerization.

Revolutionizing Supply Chain Management Through Holistic Governance Structures

Most organizations exist within a complex labyrinth of vendors, suppliers, customers, distributors, and business partners. Understanding and leveraging these supply chain relationships are key success factors in navigating an increasingly interconnected world. Many companies have tried to leverage supply chain relationships via industry consortiums and emerging Internet technology, but these solutions have collectively fallen short of their goal because most supply chain relationships are ill defined and lack a coordinating governance structure.

Deriving exponential greater value from supply chain relationships requires developing a common vision in which companies concurrently cooperate and compete. To meet this goal, companies should formalize a supply chain alliance in which cumulative benefits exceed what an individual company could achieve on its own. This

requires exploring supply chain governance structures that define shared purposes and principles for all participants. I will discuss basic supply chain challenges and outline holistic governance structures needed to address those challenges.

Reviewing the Supply Chain Challenge

Suppliers, business partners, and customers come in many varieties. Many times, institutions underestimate the importance of suppliers to the viability of their enterprise. Understanding who composes your supply chain is step one in understanding how to leverage it.

SUPPLY CHAIN CATEGORIES

1. **Raw materials:** Include steel, lumber, fuel, and other materials needed to build a product or maintain a work environment.
2. **Components:** Include preprocessed items needed to produce products that are then sold to your customers. These can range from springs to computer chips.
3. **Products:** Differ from components in that they are procured for use by a company or consumer and not resold.
4. **Services:** Include maintenance, banking, insurance, healthcare, legal, association, and many other service categories needed to run a business.
5. **Infrastructure:** Includes emergency and other government services, electricity, water, natural gas, and communications capabilities.
6. **Data or information:** Includes any data or information, obtained in paper, electronic data interchange (EDI), or other format, from a third party.
7. **Distributors:** Includes agents, resellers, franchises, wholesalers, retailers, or other distributors of your products or services.
8. **Customers:** Include buyers or users of your products and services. Some institutions call their customers subscribers, constituents, clients, or patients.

Most enterprises rely on raw materials, products, services, infrastructure offerings, and data during a given business cycle. Companies that manufacture or assemble products also rely on component parts. The first six categories in Table 1 present opportunities up the supply chain. Relationships with distributors and customers present opportunities down the supply chain.

Many companies have little knowledge of the entities leading into and out of their supply chain funnel. This not only limits your ability to assess how a given industry may evolve, but it limits your understanding of when this evolution will occur. These complexities are magnified when thousands of entities lie up and down a supply chain. One company may supply a component, which is then sold to a third party, embedded in another product, and ultimately sold back to the originating company. Ending a relationship with a company could cut off your own supplier! Companies are concurrently cooperating and competing as suppliers, business partners, competitors, and customers — all in the same supply chain.

When a link in the supply chain fails unpredictably, numerous entities can suffer. Major damage can result when one company's problem shuts down an entire portion of a supply chain that lacks an industry-wide contingency plan. When two companies in Boeing's supply chain failed to deliver component parts in 1997, it cost Boeing \$1.6 billion. The costs to other companies within the supply chain were never released. Obviously, effective supply chain management, including the creation of industry-wide contingency plans, is not a luxury.

Supply Chain Governance Requirements

Supply chain participants should be able to work with other supply chain participants to benefit themselves and their industry sector. This is difficult because supply chains are organic. They are constantly evolving into new and complex structures that cannot be pinned down or defined hierarchically. This requires a holistic view of the supply chain in which the participants can evolve organically around a common governance structure.

For example, a holistic view of a supply chain would suggest patterns where companies could pursue mergers, acquisitions, partnerships, geographic restructuring, direct-to-market options, and other unforeseen opportunities.

And a holistic view would never assume that a single entity dominates a supply chain — a transitory situation that invariably changes over time. Sample principles that can be used to create a holistic supply chain governance structure.

SAMPLE SUPPLY CHAIN GOVERNANCE PRINCIPLES

1. Establish and share a holistic view of the supply chain that allows any member company to derive value from that view.
2. Create an incentive-based supply chain program in which members work cooperatively to create a complete picture of their own supply chain as input to the whole.
3. Foster an environment where supply chain participants work harmoniously for the betterment of the industry.
4. Ensure that cooperation on certain matters does not detract from free market competition.
5. Provide access to an evolving view of the supply chain that allows individual companies to streamline acquisition, processing, marketing, and distribution costs.
6. Shorten time-to-market for products through improved tracking of internal and external supplier, distribution, and customer processes.
7. Ensure participants in this governance structure share equal rights and that domination by a single entity or small group of large entities is impossible.
8. Work with the collective supply chain to set priorities for industry initiatives, including development of cross-industry contingency plans.

9. Work with supply chain and non-supply chain organizations for the betterment of the overall environment.
10. Ensure that competitive and proprietary information is secured as a component of this approach.

These principles can be distilled down to a single goal: companies should work together where they can collectively benefit but still maintain an environment where they can compete in a free market scenario. This requires the creation of a governance structure — a legal entity — owned and run by all members of the supply chain. This approach allows companies to build a supply chain knowledge base that benefits the entire industry. Members would have an incentive to join the governance structure because they could access and profit from information about the entire supply chain unavailable elsewhere. Member companies would be able to quickly pinpoint supply chain dependencies up and down the chain — something that has eluded most companies for decades.

Any group of members could create substructures, as needed, as long as they were in accordance with the purpose and principles of the governance structure. Initiatives enabled under this governance structure include the development of a centralized, supply chain relationship model and the ability to address industry challenges based on the relationships defined in this model. These initiatives might include foreign market expansion, labor issues, common data sharing, conservation measures, human rights, raw material management, regulatory issues, waste treatment, and development of environmental positions.

CREATING A SUPPLY CHAIN GOVERNANCE STRUCTURE

In order to meet the aforementioned requirements, a supply chain governance structure must have

1. Accepts all product and service suppliers, customers, and distributors as members
2. Exists to further the goals of its membership
3. Uses incentives, as opposed to coercion, to build participation
4. Concurrently competes and cooperates
5. Is empowered at the periphery and unified at the core
6. Self-organizes and self-governs
7. Constructively channels conflict
8. Seeks opportunities in challenges
9. Fosters diversity and accommodates change
10. Learns, adapts, and innovates in ever-expanding cycles.

These principles are found most commonly in a chaordic® governance structure. Chaordic describes the state of an organization that embraces and leverages chaos and order. The term chaordic comes from a book by Dee Hock, founder and CEO emeritus of Visa International. Visa is a prototype chaordic organization, being member owned

and operated. Under a chaordic alliance, a legal entity is formed that binds relevant and affected parties under a civil contract, which, for the purposes of this article, includes suppliers and customers in a given supply chain.

A chaordic governance structure enables supply chain initiatives because it fosters collaboration in the face of disparate or competing agendas. This is accomplished by defining a shared purpose, guiding principles, infrastructure, and a constitution governing the behaviour of participating entities. Suppliers and customers linked to the supply chain join the alliance by committing to the purpose and principles defined in the constitution. Once in, they cannot be removed, unless they do not abide by the constitution. They can leave whenever they wish.

Creating this governance structure requires leading suppliers and customers to assess the value of such an alliance. They would then assemble a representative body to draft a purpose, principles, governance structure, and constitution. Great attention should be paid to institutionalizing incentive-based participation. A small number of large entities must not dominate these proceedings, because the holistic value of chaordic supply chain governance would be lost to the controlling entities.

While supply chains across various industries share common goals, unique market sectors also have unique requirements. 10 principles that a supply chain governance structure might embrace. The purpose that ties any given set of principles together must clearly state what the governance structure sets out to accomplish. For example, Visa International created the following statement of purpose: “To create the world’s premier system for the exchange of monetary value.” Let’s consider some statements of purpose for other supply chain governance structures. Table below lists sample statements of purpose that industries on the left side of the table might wish to pursue.

Table. Sample industry statements of purpose.

<i>Industry</i>	<i>Possible Statement of Purpose</i>
Automotive	Streamline delivery of components and products to enable a successful and environmentally sound automotive industry for consumers worldwide.
Food Processing	Ensure the safe and effective processing and distribution of food products while focusing on the short- and long-term safety and health of consumers.
Open Computing	Maintain an equitable vehicle for developers of open computing technology to share information and strategies to the ultimate benefit of consumers and overall market growth.
Agriculture	Work collectively to ensure that current and planned agricultural efforts adhere to the highest standards of ethics and purity in the face of shifting technological, government, and consumer demands.
Internet	Maintain an open, equitable, and secure exchange of information that adheres to principles of decency, international law, and democracy.

Each purpose must be supported by a set of governing principles. When drafting a purpose and set of principles, it is important to focus on:

- The greater good of the entire industry and the supply chain
- Value to the ultimate customers of the supply chain
- How the supply chain alliance will affect other industries interfacing with the supply chain
- How the alliance will impact the overall environment and human rights worldwide.

If there is a situation in a given industry that suggests the need to create a legal, member-owned, and member-run supply chain governance structure, remember that this goal involves considerable pain and effort to achieve.

Mobilizing a core group to agree to this approach could take months. Drafting a purpose, principles, governance structure, and constitution can take years. But if the benefits, as outlined by the purpose and principles, are clear to supply chain participants, it is worth the effort.

E-business and Supply Chain Governance

As supply chain governance structures mobilize, the desire to deploy strategies to benefit the supply chain will intensify. Members will each want to contribute lists of suppliers and customers to a unified supply chain model. As more members join, the model grows more complete. Soon the model paints a picture of cross-industry relationships that never existed before. Handling proprietary customer information and security will be a challenge, but such issues should be incorporated into the governance structure's core principles.

As this process evolves, the governance structure is able to leverage supply chain relationships beyond what any single entity in that supply chain could accomplish alone. Instead of each company in a supply chain trying to craft myopic e-business solutions, the governance structure could unify a single e-business solution that suppliers and customers could collectively deploy and leverage. With this in mind, a unified set of e-business objectives might include the following initiatives:

1. Establish preeminent e-commerce Web sites for end-customers.
2. Allow manufacturers to track retail demand down the supply chain.
3. Enable retailers to predict supply chain product availability up the supply chain.
4. Streamline distribution strategies based on a comprehensive model of the supply chain.
5. Allow companies to collectively refine just-in-time inventory management, material usage, production, and related processes.
6. Standardize electronic data interchange, including contracts, for the industry and any entities interfacing with the industry.
7. Ensure that invalid data is checked and corrected at key checkpoints in the supply chain.
8. Define common solutions for linking internal ERP systems with e-business environments.

9. Create shared sales or service strategies that can be marketed through e-commerce sites.
10. Interface with e-business strategies from related industry sectors.

This list is just a sampling of e-business initiatives that could be collectively deployed by a supply chain unified under a common governance structure. Individual companies could pursue these options independently, but holistic governance offers exponential greater value to an entire supply chain.

Long-term Supply Chain Management Projections

The borders between internal and external business processes will eventually blur. Companies leveraging sophisticated supply chain governance structures, fueled by e-business solutions, will insource and outsource processes based on holistic views of supplier-customer models. On a grand scale, linking multiple supply chain governance structures under a larger chaordic alliance would reflect the ultimate evolution in supply-chain-to-supply-chain management. Imagine leveraging customer-supplier relationships across multiple industries to the ultimate benefit of private and public sectors across global markets. Creating a holistic governance structure for your supply chain is the first step in this journey.

Globalisation and its Effects on SCM

Business today is in a global environment. This environment forces companies, regardless of location or primary market base, to consider the rest of the world in their competitive strategy analysis. Firms cannot isolate themselves from or ignore external factors such as economic trends, competitive situations or technology innovation in other countries, if some of their competitors are competing or are located in those countries. Companies are going truly global with Supply-chain Management (SCM). A company can develop a product in the United States, manufacture in India and sell in Europe. Companies have changed the ways in which they manage their operations and logistics activities. Changes in trade, the spread and modernization of transport infrastructures and the intensification of competition have elevated the importance of flow management to new levels.

Driving Forces of Globalization

The last two decades have seen the evolution of the global manufacturing environment. Majority of the manufacturers have global presence through exports, strategic alliances, joint ventures or as a part of a committed strategy to sell and produce in foreign markets.

Global Market Forces

There is tremendous growth potential in the foreign developing markets which has resulted in intensified foreign competition in local markets which forces the small - and

medium-sized companies to upgrade their operations and even consider expanding internationally. There has also been growth in foreign demand which necessitates the development of a global network of manufacturing bases and markets. When the markets are global, the production-planning task of the manager becomes difficult on one hand and allows more efficient utilization of resources on the other. Few industries remain today in which the international product life-cycle theory still applies. Product markets, particularly in technologically intensive industries, are changing rapidly. Product cycles are shrinking as customers demand new products faster. In addition, the advances in communication and transportation technology give customers around the world immediate access to the latest available products and technologies. Thus, manufacturers hoping to capture global demand must introduce their new products simultaneously to all major markets.

Furthermore, the integration of product design and the development of related manufacturing processes have become the key success factors in many high-technology industries, where fast product introduction and extensive customization determine market success. As a result, companies must maintain production facilities, pilot production plants, engineering resources and even Research and Development (R & D) facilities all over the world. Apple Computer, for example, has built a global manufacturing and engineering infrastructure with facilities in California, Ireland and Singapore. This network allows Apple to introduce new products simultaneously in the American, European and Asian markets. Companies use the state-of-the-art markets as learning grounds for product development and effective production management, and then transfer this knowledge to their other production facilities worldwide. This rationale explains why Mercedes-Benz decided recently to locate a huge manufacturing plant in Vance, Alabama. The company recognizes that the United States is the state-of-the-art market for sport utility vehicles. It plans to produce those vehicles at the Vance plant and introduce them worldwide by 1997.

Technological Forces

A peculiar trend which was prevalent in the last decade, besides globalization, was a limited number of producers which emerged due to diversity among products and uniformity across national markets. Product diversity has increased as products have grown more complex and differentiated and product life cycles have shortened. The share of the US market for high-technology goods supplied by imports from foreign-based companies rose from a negligible 5 per cent to more than 20 percent with the last decade. Moreover, the sources of such imports expanded beyond Europe to include Japan and the newly industrialized countries of Hong Kong, Singapore, South Korea and Taiwan. There has been diffusion of technological knowledge and global low-cost manufacturing locations have emerged. In response to this diffusion of technological capability, multinational firms need to improve their ability to tap multiple sources of technology located in various countries. They also must be able to absorb quickly, and

commercialize effectively, new technologies that, in many cases, were invented outside the firm thus overcoming the destructive and pervasive ‘not-invented-here’ attitude and resulting inertia. There has been technology sharing and interfirm collaborations. The well-known joint ventures in the auto industry between US and Japanese firms (GM-Toyota, Chrysler-Mitsubishi, Ford-Mazda) followed a similar pattern. US firms needed to obtain first-hand knowledge of Japanese production methods and accelerated product development cycles, while the Japanese producers were seeking ways to overcome US trade barriers and gain access to the vast American auto market. As competitive priorities in global products markets shift more towards product customization and fast new product development, firms are realizing the importance of co-location of manufacturing and product design facilities abroad. In certain product categories, such as Application Specific Integrated Circuits (ASICs), this was the main motivation for establishing design centres in foreign countries. Other industries such as pharmaceuticals and consumer electronics also have taken this approach.

Global Cost Forces

New competitive priorities in manufacturing industries, that is product and process conformance quality, delivery reliability and speed, customization and responsiveness to customers, have forced companies to reprioritize the cost factors that drive their global operations strategies.

The Total Quality Management (TQM) revolution brought with it a focus on total quality costs, rather than just direct labour costs. Companies realized that early activities such as product design and worker training substantially impact production costs. They began to emphasize prevention rather than inspection. In addition, they quantified the costs of poor design, low input quality and poor workmanship by calculating internal and external failure costs. All these realizations placed access to skilled workers and quality suppliers high on the priority list for firms competing on quality. Similarly, Just-in-time (JIT) manufacturing methods, which companies widely adopted for the management of mass production systems, emphasized the importance of frequent deliveries by nearby suppliers.

A number of high-technology industries have experienced dramatic growth in the capital intensity of production facilities. A state-of-the-art semiconductor factory, for instance, costs close to half a billion dollars. When R & D costs are included, the cost of production facilities for a new generation of electronic products can easily exceed \$ 1 billion. Similarly, huge numbers apply for the development and production of new drugs in the pharmaceutical industry. Such high costs drive firms to adopt an economies-of-scale strategy that concentrates production in a single location, typically in a country that has the required labour and supplier infrastructures. They then achieve high-capacity utilization of the capital-intensive facility by aggressively pursuing the global market. Besides this the host government subsidies also become an important consideration.

Political and Macroeconomic Forces

Getting hit with unexpected or unreasonable currency devaluations in the foreign countries in which they operate is a nightmare for global operations managers. Managing exposure to changes in nominal and real exchange rates is a task which the global operations manager must master. If the economics are favourable, the firm may even go so far as to establish a supplier in a foreign country where one does not yet exist. For example, if the local currency is chronically undervalued, it is to the firm's advantage to shift most of its sourcing to local vendors. In any case, the firm may still want to source a limited amount of its inputs from less favourable suppliers in other countries if it feels that maintaining an ongoing relationship may help in the future when strategies need to be reversed. Becton Dickinson has built a global manufacturing network for its disposable syringe business, with production facilities in the United States, Ireland, Mexico and Brazil. When the Mexican peso was devalued, the company quickly shifted its production to the Mexican plant, thereby gaining a cost advantage over its competitors' US factories. The emergence of trading blocks in Europe (Europe 1992), North America (NAFTA), and the Pacific Rim has serious implications for the way firms A? structure or rationalize their global manufacturing/sourcing networks. These trends are clearly apparent in many industries. For instance, before 1992, 3M's European plants turned out different versions of the same product for the various European countries. Today, 3M manufacturing plants produce goods for all of Europe and, in the process, realize significant cost savings. Similarly, Philips, Thomson, Electrolux and Ford are in the process of creating pan-European networks of factories (producing both components and finished goods). The trade protection mechanisms which exist in the form of tariff and non-tariff barriers effect the global operation strategy; but these are readily losing importance in the new borderless trade regime.

Retailing in Competitive Environment

Our analysis concludes firstly that competition problems are likely to be particularly prevalent in retailing, and secondly that there are significant differences between retailing and other areas of the economy, but that these differences are a matter of degree rather than exclusive to retailing. This means that, while the emphasis of competition policy will often be different in retailing, there *should* be no need for any major change in general competition policy methodologies.

However, in the process of analysing competition policy in retailing, we have discovered certain difficulties in applying some of the existing general methodologies. This does not mean that retailing requires separate methodologies, but rather that the current general methodologies need to be amended. This leads us to recommend that:

- Competition enquiries should always start with an *identification of the relevant competition issues* and then proceed with a preliminary analysis of demand and supply factors, particularly of the general characteristics of consumers and the dimensions of retailer competition;

- *Market definition* should ensure that the identification of the relevant market or markets serve to clarify the competition issue and that the retailer market is separately identified from the product market; and
- Existing approaches to *vertical restraints* need to be refined with respect to the increased role of retailers in their establishment and enforcement.

THE NATURE OF RETAILING

Retailing is the final link between the production of a good and the end-consumer. The economic characteristics of the end-consumer are thus crucial to the economics of retailing. Typically, the end-consumer can be characterised as being:

1. *Small* (in the sense that the size of a given purchase forms a small part both of the consumer's total expenditure and of the retailer's total sales);
2. *Immobile* (in the sense that they are often not able or willing to travel long distances in order to purchase the appropriate product); and
3. *Uninformed* (in the sense that they often do not know which products are available where, and what prices; and they may not be able to observe product quality in advance of purchase). The combination of these characteristics explains essentially why retailers exist.

The fact that consumers' purchases tend to be *small* means that retailers play an important role in preventing the exploitation of consumers by manufacturers: no single consumer would have any bargaining power against powerful manufacturers, whereas retailers can bargain strongly on their behalf.

The fact that consumers are *immobile* means that retailers play an important function in bringing the products to the consumers, to prevent the consumer from having to go to the product.

The fact that consumers are *uninformed* about the availability of products, their prices, and their qualities means that retailers carry out an important service in terms of providing information and quality assurances.

These characteristics also explain many aspects of retailing. For example, consumers' immobility means that geographical location and one-stop shopping will be important, while their lack of information means that price visibility, product range, and reputation/quality assurances will be important.

These aspects of retailing feed straight into a discussion of the nature of competition in retailing. We identify four dimensions of horizontal competition between retailers:

1. Pricing;
2. Geographical location;
3. Product selection; and
4. Retailer service.

These various dimensions in retailing have important consequences for competition policy, and it is crucial, when considering competition in retailing, to examine all of these dimensions.

A framework for assessing competition in retailing : Competition problems are likely to be particularly prevalent in retailing, since markets will only tend to work imperfectly when there are asymmetries in bargaining power (consumers are small), high transactions costs (consumers are immobile), information asymmetries (consumers are uninformed), or vertical restraints. Indeed, there have been numerous cases where the OFT and MMC had to look at competition in retailing. The issues typically covered include:

1. *Pricing issues* (including excessive pricing, discriminatory pricing, predatory pricing, and loss leading);
2. *Merger issues* (for which market definition is crucial); and
3. *Vertical issues* (including vertical restraints, differential discounting, and own-brand competition). In order to analyse these various issues, we suggest the following framework:
 - a. Identification of competition issues
 - b. Preliminary analysis of retailing:
 - The characteristics of consumers; and
 - The dimensions of competition between retailers.
 - c. Market definition.
4. Barriers to entry
5. Competition assessment:
 - Market structure and merger issues;
 - Pricing issues; and
 - Vertical issues.

IDENTIFICATION OF COMPETITION ISSUES

We suggest that at the outset of every enquiry the competition issues are clearly identified. Each step in the assessment of competition in retailing has to be considered in the context of the specific competition issue, and cannot be dealt with in isolation. Some competition issues (such as those resulting from a merger between retailers) are easily identified, whereas a more general complaint of excessive prices for a class of products may require an in-depth investigation of both the retailing and the wholesale/ manufacturing element of the supply chain.

Supply Chain Management Techniques

Vendor managed Inventory (VMI)

Vendor Managed Inventory (VMI) is not a new idea – this supply chain management technique was established in the mid 1980's. The basic idea of VMI is that the supplier manages the inventory on behalf of the customer including replenishment. As the VMI should be beneficial for both parties, some limitations need to be defined:

- The business relationship between the supplier and the customer has to be established, strong and collaboration oriented, like partnership type for example.

- Deep trust and extensive sharing of information is required.
- The material flow should be ongoing (steady, not erratic) and preferably have some historical statistics (realized sales, usage and inventory figures) available.
- Effective management of VMI increases, if the items or item groups managed are few and substantial of volume. However, with the use of modern information and communication technology (ICT), smaller and numerous items can be managed as well.
- The VMI setup has to be defined jointly in details. The details include: products (or product groups) included, inventory levels with tolerances, demand (or consumption) levels, demand information sharing rules, transportation routes (modes, lead times, costs etc), warehousing details and exception handling.

In the pure VMI model the customer does not place purchase orders to the seller. The main tool used to operate the VMI is demand estimate or forecast. The customer is responsible for giving the estimate for a period of time and 'use' the goods according to the estimate within agreed tolerances. The customer is invoiced according to the real usage.

When a substantial amount of the supplier's volumes are included in VMI model, it brings benefits for more stable and predictable resource (production, warehousing, transportation etc) planning. It also decreases the Forrester effect; as the safety stock is built purely on known demand, not on assumptions. Especially in industries, which are very capital intensive, the effective and stable load of the machinery creates significant opportunities for increasing profitability. The VMI has potential for increasing customer satisfaction, as it enables the supplier to act beforehand for the high seasons, and thus ensure the delivery reliability. According to AMR Research, there are significant benefits to be achieved with VMI.

When done correctly, some companies have extracted big benefits, such as 50% reduction in lead time, 20% to 70% reduction in inventories or in-stock improvements of 1% to 12%.

Continuous Replenishment

Another supply chain management method, Continuous Replenishment (CR), emerged in early 1990's. It moves one step further than VMI, so that the visibility to the customer's sales is included. The point of sales (POS) information is used in forecasting, and the forecasting is not purely based on inventory levels. Even though the CR method extends the VMI to cover the inter-company planning; the sales pattern creation is still the weakness of CR.

The 2003 GMA Logistics Study indicates that in the Grocery, Food and CPG sector in the U.S. more than 83 percent of the participants of the survey stated that they have implemented either VMI or Continuous Replenishment (CR) or both. The typical benefits of VMI and/or CR include reduction in inventory, increase in inventory turns, increase in sales and reduction in retail out-of-stocks Berger, R.

FORECASTING

There are some thumb rules for demand forecasting: first, forecasts are always inaccurate. There is no process that will repeatedly match forecast to actual. Second, quantifying the error and using this to adapt the forecasts is essential to the process. Third, forecasts that are made at higher level (e.g. product families instead of SKUs) will always be more accurate than at the lower levels. Creating forecasts at the lower levels and then grouping them accordingly for planning purposes is vital to a healthy process. Fourth, the planning horizon should be kept relatively short, since errors tend to be significantly fewer in the short term. And, finally, it must be remembered that forecasts are only the starting point for the planning process – forecasts help provide a basis for further refinements and the selection of a most likely scenario for the future.

Forecasting and demand estimation in companies usually result to multiple views and forecasts. Integrating the planning processes should lead into one commonly accepted forecast. Best-practice companies have implemented an integrated process, where second-guessing is eliminated. The forecast is made across all the functions resulting to an enterprise-wide forecast. Still today, in most companies each department makes its own forecasts based on multiple information sources. This usually results in excess inventory in process, non-optimal utilization of resources and thus decreases financial results of the company.

In most cases the forecasting and demand estimation is based on historical order or delivery information, which might not reflect the actual demand. However, actual consumer demand may be very different from the order stream. Each member of the supply chain observes the demand patterns of its customers and in turn produces a set of demands on its suppliers. But the decisions made in forecasting, setting inventory targets, lot sizing and purchasing act to transform (or distort) the demand picture.

The further a company is 'upstream' in the supply chain (that is, the further it is from the consumer), the more distorted is the order stream relative to consumer demand. This phenomenon is also known as the Forrester effect or 'bull-whip effect'. It is important to see the meaning of the bull-whip effect both in downstream and upstream of the value chain; the variability caused by the gap (or unbalance) between companies' speculation and postponement of business activities.

This leads to a demand curve with steeper and steeper peaks and downs and with less and less reliability the further up the party is in the value chain. In the upper stream of the value chain the parties are forced to take extreme actions to survive the peaks only to find out that the demand was exaggerated. The total cost of the value chain is increased heavily and the reliability and timelines of the deliveries has suffered.

The cause of the steep demand curve and the fluctuations is not necessarily related to seasonality or economic trend variations. According to Lee et al [6] there are four main causes for the bullwhip effect; demand forecast updating, order batching, price fluctuations and rationing and shortage gaming. The lack of trust for the supplier as well as for the company's internal planning creates these disturbances. Also the

fragmented organizations in companies have led to atomistic considerations, i.e. sub-optimization of business activities, which cause the bullwhip effect to occur internally in the company. The multiplied effect of the intra-organizational and cross-enterprise sub-optimization and non-collaborative, non-synchronized, individual processes leads to the bullwhip curve. The traditional bull-whip definition starts from the basis that each company speculates more in their incoming goods' inventory than in their outgoing goods' inventory. describes a reverse bull-whip effect, where the starting point is the opposite; the company speculates more in the outgoing inventory than in the incoming inventory. If there is a balance between the company's inventory management in incoming and outgoing side, there is no bull-whip effect within that company. In other words that means that the internal forecasting process is operating well, and the company has a common plan or forecast at both ends.

The bullwhip effect can be (at least partially) eliminated through information sharing with suppliers and customers – including intra-company suppliers and customers. By sharing information, a common understanding of the real demand can be achieved. Special attention should be paid to finding the items of information causing the overreactions. The final aim is to have centralized demand information– one forecast. The four material flow principles, which can be used to reduce the bullwhip effect, are control system, time compression, information transparency and echelon elimination.

COLLABORATION

McCarthy et al define a collaborative supply chain as a long-term relationship among organizations actively working together as one toward common objectives. Another definition of collaboration is that it is 'Eliminating the honest mistakes' Bermudez, J. This refers to that business relations will remain arms length transactions, but the collaboration should target to more visibility and more structured ways of transferring information. The ultimate target of collaboration according to Bermudez should be replacing the inventory with information. The criteria for selecting the collaboration partners are reliability, loyalty and innovation.

In general, managers of companies are far better at the practice of competition than they are at the art of cooperation. Many long-standing barriers exist to thwart successful implementation of collaborative relationships. One major barrier exists incentive systems. While many companies are looking to enhance overall supply chain performance, most company incentive systems still are focused on enterprise or even functional performance. Issues that earlier were regarded and handled internally, have become more problematic due to the growing fragmentation of providers, accompanied with problems of co-ordination. While outsourcing certain functions, companies also outsource the collaboration from company internal to cross-enterprise level. The fragmentation has also resulted in competitive and individualistic rather than collaborative culture and affected in undermining staff morale and created a climate of mistrust Miller, C. et al.

Consumer Packed Goods Industry as the Case

The end products of the consumer goods industry have a large variation; they include products like fresh, dry or frozen food, detergents, cosmetics, pharmaceutical products, etc. The common denominator for all of them is that the consumer creates the principal demand impulses, which reflect the whole value chain.

Collaborative planning has been researched and also implemented in the consumer goods industry, but mainly in the retail area (e.g. Wal-Mart), close to the consumers. The manufacturers, also called as brand owners, are also involved in numerous initiatives, but the suppliers of the manufacturers are still very much an “un-touched” area. The further one goes upstream, the less information of such initiatives can be found. This was also the main reason for this research project, and thus affected heavily on the case study selection process.

Consumer Packed Goods Value Chain

The value chain of the CPG sector can be described in many ways – there is no one right way to do that. Also it must be remembered that each party in the value chain is belonging to several other value chains, and actually the term chain should be understood as a part of a value network. The figure below describes roughly the parties involved in the CPG value chain.

The nature, size and power of the parties in the chain vary greatly. The consumer is by far the smallest party, but is the main source for demand information. The major retailers have significant power in controlling the chain (some talk about chain captaincy). The manufacturers can also be global corporations, but the converters are often very small private owned companies. The supplier end of the chain often consists of capital intensive industries such as chemical or paper/board producers.

When looking from the upper stream end, the product changes significantly when it goes down the value chain. Therefore the logistics issues even in the transactional planning cannot be compared to distribution logistics when seen throughout the whole chain.

Description of the Case Study

The case study involves three parties; three individual companies, representing a brand owner (manufacturer), a 1st tier supplier and 2nd tier supplier. The purpose of this selection is to evaluate the potential benefits of an operating collaborative forecasting business model in a three-entity demand chain. The target is to build a lean and transparent business model, where the key are is demand and supply information management and efficient transfer of it.

The evaluation of key improvement processes concentrates on planning and forecasting, and the transfer from traditional order-to-delivery processes. In the traditional process, the purchase order is the key impulse for the supplier, whereas in the new model the key input is the rolling forecast.

The challenges of the implementation come from change management, forecasting capabilities, openness and trust. Utilization of modern ICT technology also creates some challenges, but can be regarded as less challenging as the ones mentioned previously. As stated earlier, there are numerous examples of business models where collaborative forecasting is implemented between two parties. Therefore a selected starting point for this case study is that the collaborative forecasting business model exists already between two parties, and the model is extended one step further. In this particular case, the extension is made towards up-stream, i.e. to the 2nd tier supplier.

As the forecast is the main impulse for the supply chain, the accuracy and relevance of it has significant importance. In a two-entity chain the forecast of the customer affects the supplier. In this case study, where the 2nd tier supplier is included in the same model, the initial forecast from the brand owner affects another step higher in the up-stream. Also the 1st tier supplier's planning process, where the brand owner's forecast is processed into a raw material forecast to the 2nd tier supplier, plays a key role.

STARTING POINT

As the case study involves three companies, it means that the collaborative cross-enterprise forecasting includes two steps; between the manufacturer and the 1st tier supplier, and between the 1st tier supplier and the 2nd tier supplier. The two steps have differences in the forecasting process, but also in issues like location, warehousing, transportation and replenishment mode. The case study will address these issues in the as-is analysis.

Also the production in all three parties involved is different; it varies from process industry to manufacturing. This implies also that the capacity planning and production cycles vary significantly, as well as the life cycle of the products of each party. Process industry is capital intensive, and the profitability comes from capacity utilisation efficiency. In manufacturing, where the production cycles are shorter, the working capital tied in the process has higher impact on the profitability. This results to that the key drivers for effective planning in each party are not the same, and cannot be compared as such.

EXPECTED RESULTS AND MEASURING

At the starting point of the case study, the collaborative forecasting model between the brand owner and the 1st tier supplier was already in place. Therefore it can be stated that the key metrics related to the efficiency of the demand chain are in better status than in the up-stream part of this demand chain. The brand owner – 1st tier supplier part is used as a best practice when defining the targets for the 2nd tier supplier – 1st tier supplier part. The measuring is done comparing the results of the starting point analysis to a situation where the new business model has been in place for some months.

The new business model is expected to reduce the inventory levels and increase the inventory turnover in the 2nd tier supplier – 1st tier supplier part of the demand chain.

Other expected benefits are: less out-of-stock situations, less non-optimal transports, better planning possibilities at the 2nd tier supplier resulting in higher production efficiency and increased customer satisfaction due to improved delivery reliability.

In order to obtain these results, a thorough commitment is expected from each partner. In practice it means e.g. implementing new tools to monitor the supply chain, enhanced and even renewed working models as well as structured and defined ways to exchange information. The commitment involves also trust; the new business model must confirm the parties that they can trust both the model and their partners. Without established trust no collaboration will emerge nor survive, and the threat is that each party will again start sub-optimizing their own part of the chain.

At the time of writing this the case study is in progress. After finalizing the implementation of the business model as well as measurements of the key metrics, the final analysis will be made, and results received. The results will provide empirical evidence on the collaborative forecasting model theory. The results can also be used in similar supply chain initiatives as a guide for practical implementation of collaboration.

Managing Supply Chain Demand Variability: The Bullwhip Effect

In a typical supply chain, there is a flow of funds, goods and information. All kinds of interactions are important for the well being of supply chain since there are different parties and their interests involved. Every stage in the chain tries to increase its pie of profit via its operations with downstream and upstream. Moreover, interests of the parties generally conflict with each other.

For instance manufacturers' objective of making large production batches conflicts with the inventory reduction objective of the warehouses and distribution centers. However, the parties that compose the chain have different advantages against each other. Manufacturer has the advantage of supplying the products demanded and lower levels have the advantage of reaching demand information, retailer having the most precise demand information of the end customer since it faces the customer. Coordination is dependent on the arrangements between the links in the chain.

The problem is whether the owner of the information shares it with the others or not. Precise information is very crucial since all the decisions related with orders and production is tied to it. Accurate information will help to make better forecasts, enable lead-time reductions and give way to higher service levels. So, manufacturers will face lower variances and they will be capacity wise more transparent to retailers. Maybe retailers might be given more initiative such as revenue sharing in order to cooperate for information issue.

This proposal basically deals with the information flow and a problem related with it. *Bullwhip effect* (or alternatively whiplash effect) is the distortion in demand information in a supply chain. There is a common situation that retail orders to manufacturer do not coincide with the actual retail sales. Moreover, as lead times increase, variability also increases. Retailers order from upstream according to the

demand realizations occurred; they see realizations as signals of future demand. If forecast of the future demand is done accurately, life will be easier for all the parties in the chain. Furthermore, retailers want economies of scale in pricing so that they batch their orders rather than frequent orders in small amounts; they prefer fewer orders in larger amounts. Rationing is the situation, where demand of retailers outstrips the supply and manufacturer rations the products according to the ordered amounts to the retailers. Price variations lead to an uncertain market and variability in demand and this is reflected to higher levels of the chain in exaggerated amounts. Since bullwhip effect is an important phenomenon for supply chains, there should be a way to quantify it somehow so that the severity of the problem can be understood. There were previous studies that aim at defining and quantifying the bullwhip effect. This research basically aims to focus on quantifying bullwhip effect in a multi retailer supply chain.

LITERATURE REVIEW

There are several studies on bullwhip effect in literature. Lee et al. has a research on bullwhip effect, defining the phenomenon and analyzing the causes of it. There are precautions suggested to hedge against bullwhip problem in this study. In this paper, symptoms of bullwhip effect are listed as excessive inventory, poor product forecasts, insufficient or excessive capacities, poor customer service, uncertain production planning and high costs.

This is a basic study in literature that deals with the preliminaries of bullwhip effect. Moreover, Beer Distribution Game, which was developed at MIT in 1960's, is a successful tool to visualize the bullwhip effect. There are four roles, namely retailer, wholesaler, distributor and manufacturer, which try to satisfy demand in lower levels in the chain. The parties do not know the actual demand figures downstream, but the order amount from one level down. The resulting orders are highly variable specifically in upper levels. Because safety inventory held by one level is supposed to be the actual demand figure for the supplier and all plans are made accordingly. One scenario lets all of the players to see the customer demand. This time, information availability decreases the variability. Consequently, this game illustrates the bullwhip phenomenon very effectively.

Disney and Towill have a study on the effects of vendor-managed inventory on bullwhip effect reduction. Simulation models are presented to show manufacturer's ordering decisions. Important results gathered from this study are:

- With VMI implementation two sources of the bullwhip effect may be completely eliminated, i.e. rationing game or the Houlihan effect, and the order batching effect or the Burbidge effect.
- VMI is also significantly better at responding to rogue changes in demand due to the promotion effect or to price induced variations.
- VMI offers a significant opportunity to reduce the bullwhip effect in real-world supply chains.

Lee et al. has a study on value of information sharing in a two level supply chain. The authors are dealing with the benefits of information sharing here. They claim that information sharing could provide significant inventory reduction and cost savings to the manufacturer. Moreover, they show that underlying demand process and the lead times have significant impact on the magnitudes of cost savings and inventory reductions that come along with information sharing. Demand is characterized by AR process in this research. Retailer observes inventory level after demand materializes and places its order; the process is the same with the one that we will be applying in our model with multiple retailers.

Backordering is permitted. At manufacturer side, demand is met one way or another. If manufacturer does not have enough resources on hand, it has to meet the demand from an alternative source. Ordering decisions of the parties are analyzed, manufacturer's decision is analyzed with and without information sharing. As a result it is presented that retailer's cost is not affected by information sharing whereas manufacturer's cost is decreased in case where information is shared. Moreover, it is concluded that if demand is highly correlated over time, highly variable or lead-time is long; manufacturer gains large reductions when information is shared among members of the chain.

Cachon has a paper on supply chain demand variability with scheduled ordering policies. There are one-supplier and N retailers that face stochastic demand. The main result of this study is that the supplier's demand variance will generally decline as the retailers' order interval is lengthened or as their batch size is increased. Moreover, there are five variables presented that influence the supplier's demand variance. Two of the variables are structural: consumer demand variability and the number of retailers.

Remaining three variables are policy parameters, which are the retailers' batch size; the retailers' order interval length, and the alignment of the retailers' order intervals. Furthermore, Cachon and Fisher have a study on supply chain inventory management and value of shared information. They analyzed the value of sharing information in a model with one supplier, N identical retailers, and stationary stochastic consumer demand.

They compare a traditional information policy that does not use shared information with a full information policy that does exploit shared information. In a numerical study they find that supply chain costs are 2.2% lower on average with the full information policy than with the traditional information policy, and the maximum difference is 12.1%. In full information gathering policy, supplier reaches the inventory position data of the retailers. However, this study concludes that cost reductions via full information are not very significant; there can be more reductions via lead-time and batch size related differences.

The inspiring study behind this proposal is the Chen et al.'s "Quantifying the Bullwhip Effect in a Simple Supply Chain: The Impact of Forecasting, Lead Times and Information". This study intends to be an extension to that study. The distinguishing feature of the model to be analyzed is the multi retailer environment set here rather than

a two-stage chain with one retailer only. An in depth reference will be given to that study since the proposal is an extension. Chen et al. considers a supply chain, a single retailer observes its inventory level and places its order to a single manufacturer. After order is given, retailer fills customer demand for the period. Unmet demands can be backlogged. There is a fixed lead-time, L , between placement of orders and receipt of the orders. They assume order-up-to inventory policy. The forecast method is simple moving average, where p is number of periods to base the forecast on.

There are analyses with the scenarios in which excess inventory is returned and not returned. It is found that the way one treats excess inventory has little impact on the increase in variability for different values of p and ρ , which is the correlation parameter for demand process.

Moreover, when forecasts are dependent on larger p values, increase in variability is negligible. Also, one of the results is that when lead times increase, variability increases. Correlation coefficient related results are such that if the demands are positively correlated, variability is smaller and when the demands are negatively correlated for even values of p , the variability will be smaller whereas the variability will be higher for odd values of p .

Furthermore, in a multistage supply chain, where all demand information is shared by all parties, and the same forecasting technique is used by all, the bullwhip effect will not be completely eliminated.

In addition to those results, it is found that for supply chains with centralized demand information, increase in variability at each stage is an additive function of the lead time and the lead time squared, while for supply chains without centralized information increase in variability is a multiplicative. Thus, centralizing demand information can significantly reduce the bullwhip effect. One of the drawbacks of this paper is the lack of complexities related with real supply chains. Ryan has a study on multi retailer case but there are not any other researches on this issue in the literature. The motivation lies in here.

Interdependence is a Higher Value than Independence

As rightly said in the above book by Stephen Covey, the value of interdependence is as much important in the business of Retail as it is important in the business of life. Standing on the threshold of a retail revolution and witnessing a fast changing retail landscape, the retail sector is poised for a big leap. Currently retail sector in India accounts for Rs. 55,000 crore (\$12.4 billion) business at current prices in the calendar year 2006, increasing its share to 4.6% of the total Indian Retail Value that stood at Rs. 12,00,000 crore (\$270 billion). With the potential of crossing Rs 2,00,000 crore (\$45 billion) business by the Year 2010, generating employment for some 2.5 million people in various retail operations and over 10 million additional workforce in retail support activities including contract production & processing, supply chain & logistics, retail real estate development & management etc.; the retail sector is growing at a scorching

pace of about 37 percent in 2007 and expected to grow by 42 per cent in 2008. With this enormous growth, the retail sector is also facing challenges on the fronts of escalating real estate cost, scarcity of skilled workforce and structured supply of merchandise.

Importance of Supply Chain and Logistics Management

One of the most important challenge in organized retail in India is faced by poor supply chain and logistics management. The importance can be understood by the fact that the logistics management cost component in India is as high as 7% -10% against the global average of 4% - 5% of the total retail price. Therefore, the margins in the retail sector can be improved by 3% - 5% by just improving the supply chain and logistics management.

In India, with demand for end-to-end logistics solutions far outstripping supply, the logistics market for organised retail is pegged at \$50 million and is growing at 16%. It is expected to reach \$120-\$130 million by 2010. Organised retail on the other hand is growing at 400% and is expected to reach around \$30 billion by 2010. Even supply chain and logistics firms like Hong Kong based Heng Tai Consumables and ABS Procurement Co and ACM China (the greenhouse specialist) is also eyeing the opportunity for managing the supplies.

The supply chain management is logistics aspect of a value delivery chain. It comprises all of the parties that participate in the retail logistics process: Manufacturers, Wholesalers, Third Party Specialists like Shippers, Order Fulfillment House etc. and the Retailer. Here, logistics is the total process of planning, implementing and coordinating the physical movement of merchandise from manufacturer to retailer to customer in the most timely, effective and cost efficient manner possible. Logistics regards order processing and fulfillment, transportation, warehousing, customer service and inventory management as interdependent functions in the value delivery chain. It oversees inventory management decisions as items travel through a retail supply chain. If a logistics system works well, the retail firm reduces stock outs, hold down inventories and improve customer service – all at the same time.

Logistics and Supply Chain enables an organized retailer to move or store products more effectively. Efficient logistics management not only prevents needless movement of goods, vehicles transferring products back and forth; but also frees up storage space for more productive use. Retail analysts say on-time order replenishments will become even more critical once the Wal-Mart/Bharti combine begins operations - the American retailer works almost entirely on cross-docking and is likely to demand higher service levels, including potential levies for delays in shipment.

The efficiency and effectiveness of supply chain and logistics management can also be understood by the fact that modern retail stores maintain lower inventories than traditional retail. In India, generally in the traditional kirana stores, three weeks inventories are kept; while in a modern retail store like Hypercity, it's nine days and it's under two weeks for Food Bazaar. Now, it is beneficial for both the manufacturer

as well as the retailer. If we go through the following food supply chain in India, we find that a lot can be improved by maintaining the supply chain and logistics.

FOOD SUPPLY CHAIN IN INDIA

In India, about 60 percent of food quality is lost in the supply chain from the farm to the final consumer. Consumers actually end up paying approximately about 35 percent more than what they could be paying if the supply chain was improved, because of wastage as well as multiple margins in the current supply structure. The farmer in India gets around 30 percent of what the consumer pays at the retail store. Compare this with the situation obtaining in the USA, where farmers can receive up to 70 percent of the final retail price and wastage levels are as low as 4 to 6 percent. One can easily understand the benefits that could be generated from emulating those practices and tapping that expertise for the supply chain in India.

As supply chain Management involves procuring the right inputs (raw materials, components and capital equipments); converting them efficiently into finished products and dispatching them to the final destinations; there is a need to study as to how the company's suppliers obtain their inputs.

The supply chain perspective can help the retailers identify superior suppliers and distributors and help them improve productivity, which ultimately brings down the customers costs. At the same time, Market logistics helps planning the infrastructure to meet demand, then implementing and controlling the physical flows of material and final goods from point of origin to points of use, to meet customer requirements at a profit.

Till now most retailers in India have invested majority into the front end, but relatively little on the back end and supply chain. Even in countries like the USA, Germany and England, where organized retail is highly developed; supply chain efficiency is a major concern. The nature of retail sector in India is different from other countries around the world. The organized retail sector in India is highly fragmented and there are huge inefficiencies in the supply chain.

The most important part of retailing business is to find a balance between investing in front-end and back-end operations. The channel dynamics is going to change over next couple of years as the retailers start growing in size and their bargaining power is likely to increase. Probably that would bring some kind of mutual understanding between manufactures and retailers to develop strong supply chain network. In such a scenario, both the existing operators and new operators must put collaborative efforts to phase out inefficiencies in the supply chain network.

Now, let us try to find out what efforts are being taken up by the big retailers in India like Future Group with retail stores like Big Bazaar and Pantaloons, Reliance Retail and Wal-Mart & Bharti to improve the efficiency and effectiveness of supply chain and logistics. We will also try to find out the changed role of Agriculture Produce Marketing Cooperatives and third party sourcing firms.

FUTURE GROUP

Future Group is the country's leading retail business group that caters to the entire Indian consumption space. It operates through six verticals: Future Retail (encompassing all lines of retail business), Future Capital (financial products and services), Future Brands (all brands owned or managed by group companies), Future Space (management of retail real estate), Future Logistics (management of supply chain and distribution) and Future Media (development and management of retail media spaces).

The group's flagship company, Pantaloon Retail (India) Limited operates over 5 million square feet through 450 stores in 40 cities. Some of its leading retail formats include, Pantaloons, Big Bazaar, Central, Food Bazaar, Home Town, EZone, Depot, Health & Beauty Malls and on-line retail format, www.futurebazaar.com.

The group's joint venture partners include Italian insurance major, Generali, French retailer ETAM group, US-based stationary products retailer, Staples and UK-based Lee Cooper and India-based Talwalkar's, Blue Foods and Liberty Shoes. Future Group is working on the vendor network as well as the logistics network. The company has identified up to 40 anchor vendors, each with turnovers of US\$45 million, to achieve economies of scale. The group is also keen to ensure that its smaller vendors are able to reach turnovers of around US\$1 million and a growth rate of 40% annually, to be able to pass on the benefits of scales. The company is also working towards bringing its 1,200 vendors on-line, like Wal-Mart.

Going further in this direction, the Future Group has also launched Future Logistics initially aimed at handling the supply chain logistics of the group. However, sensing immense opportunity in this area, the company is now looking to offer its services to its 1000-odd vendors, spread across consumer related goods, to reach a targeted turnover of about Rs.700 crore by 2010. The thrust at present will be on modes of surface transport like roads and rail only. However, at a later stage, sea and air modes might also be considered as per the requirement, said sources.

In India, Future group derives significant economies of scale in managing their supply chain. With more than 170000 products, the company maintains a strong supplier relationship in a partnership mode, avoiding the exploitative supplier – buyer transactional philosophy.

The IT enabled back-end operations and supply chain management increases the reliability and efficiency of the business. As part of the operation, Future Group is also undertaking to reduce its warehousing costs through a consolidation process. In a country like India, where most retail stores are located in the heart of the city—where rents are high and storage space is scarce—supply chain management has even more serious business implications. Future Logistics now handles two-and-a-half million SKUs (or stock keeping units) a day across the Future Group's various retail formats around the country. By 2010, this number is expected to increase to more than 30 million SKUs a day. Even with 98% accuracy, some 600,000 pieces will not be delivered correctly, resulting in an estimated sales loss of more than Rs 4 crore a day.

The biggest driver in consumer logistics is going to be zero defect in managing the supply chain. While infrastructure, technology, automation, processes and people will all play an important role, zero defect can only be achieved through vertical integration across the entire supply chain—from raw material supply, production, wholesale and retail. The different parts of the supply chain will no longer be able to work in silos as they do today.

RELIANCE FRESH

Reliance Retail is also going to open one store for every 3,000 families within a radius of 2 km across all locations by 2011. The company is competing directly with the large number of traditional local provision stores. Reliance Retail is either going to set up new stores in the identified areas or take over existing stores. The company has already done that in Mumbai and other cities.

Of the four million sq ft of retail space to be created under the “Reliance Fresh” brand (for groceries), one million will be through acquisitions. The retailer is also moving into laundry, personal care and apparel product lines, in which it plans to launch private labels. Reliance is planning to roll out its specialty format stores this year, beginning with consumer durables, for which it has struck sourcing deals with companies in Hong Kong, the Chinese mainland and with Videocon in India.

To strengthen its links with farmers, the company is setting up integrated agri-retail business centres, which include three processing and distribution centres, 51 retail outlets for farmers and 75 rural business hubs, all with an investment of US\$445 million. Many companies, looking at the retail boom in food and grocery, are setting up ventures to help retailers source these goods.

Reliance Logistics Ltd part of Reliance Industries Ltd, currently handles Reliance Retail’s logistics services.

WAL-MART AND BHARTI

The success of Wal-Mart is well known all across the world. One of the major factors behind their success is the right implementation of supply and logistics management. Now the same Supply Chain and Logistics Management take a front seat here and that’s why Wal-Mart is coming to India in a joint venture with Bharti Group. Here, Wal-Mart is going to manage the back end operation, while Bharti will manage the front end operations. Wal-Mart has also stated that it would replicate its global supply chain model in India, while taking into account the unique features of the Indian market. They are also going to emphasise on local sourcing of goods. Besides sourcing locally, Wal-Mart, through its international operations is also in a position to source globally. The company is set to roll out its first set of stores by the first quarter of 2008, in cities that have a population of one million. Wal-Mart claims it will take 35% of the Indian retail market by 2015. It is the sheer importance of the logistics management that Wal-Mart’s fully-owned logistics arm Gazeley has already confirmed its India foray and is

going to look after the Wal-Mart and Bharti retail venture. They are closely studying various logistics providers like Radhakrishnan Foods, before they finally closes on its India model. Again, Bharti Enterprises is directly negotiating with the rail authorities instead of negotiating with a logistics provider.

WAL-MART AND BHARTI FIELDFRESH

Just like Reliance Fresh, Bharti Group in a joint venture with NM Rothschild is launching Field Fresh to provide premium quality fresh produce to markets worldwide. It has over 5,000 acres of land under cultivation all over the country producing many varieties of fruits and vegetables and is planning to double land under cultivation by the end of 2007. The company is to supply fresh produce to the Bharti-Wal-Mart venture. To ensure best qualities and varieties, Field Fresh has engaged ACM China, an industry leader in building greenhouses, to set up state-of-the-art glass-based greenhouses at the Field Fresh Agri Centre of Excellence in the Punjab. Field Fresh is also planning investments to the tune of US\$220 million in the backend, including investments in cold chains and warehouses. Bharti's Field Fresh will enter this segment within the next three months. A number of companies are also venturing into this segment to service the backend needs of retailers.

Role of it in Supply Chain Management

SCM is essentially an information-driven function. Time and responsiveness play a vital role in SCM and information technology has an important role to play toward this goal. The most critical task in any information-driven function is processing of large chunks of data and maintaining a large database. In the past, these records were maintained manually. Today, any global company cannot survive without thinking of integrating its supply chain. Another milestone has been the recent development of the Internet. All these developments are bringing the world closer and closer. SCM is a function that calls for extensive coordination with both external and internal environment. IT has a substantial role to play in customer servicing. Cargo management companies like DHL, FedEx etc are using this medium extensively for better customer servicing and information flow. If a customer wants to know the status of his shipment, all he needs to do is to log on to the website and enter his airway bill number. Immediately, within seconds he gets the status. Many companies feel that their current information management systems do not provide adequate support for their supply chain initiatives. Consequently there is an ever-increasing need for fully integrated supply chain information management solutions which incorporate all the functionality of network strategy/supply configuration, demand planning, transportation management and warehouse management.

It- based Tools for Supply Chain Management

A number of IT-based SCM tools are now available to provide intelligent decision support and execution management. They can be transaction processing systems focused

on day –to-day operations; operational planning systems or strategic planning tools used to redesign the supply chain infrastructure. Some of the major developments in IT which are transforming the supply chain today are as follows:-

ELECTRONIC DATA INTERCHANGE (EDI)

Electronic Data Interchange (EDI) is the inter-organizational exchange of business documentation in a structured machine-processable form. It consists of standardized electronic message formats for common business documents such as request for quotations, purchase orders, invoices and other standard business correspondence documents.

These electronic transactions sets enable the computer in one company to communicate with the computer in another organization without actually producing paper documents. All human efforts required to sort and transport the document are eliminated. A fully integrated EDI solution adds speed and efficiency to business processes enabling the organization to maximize resources, minimize waste and increase customer satisfaction. The key benefits of EDI are: -

- EDI helps in reducing transaction costs across the supply chain of an organization through a reduction in labour and material costs, communication costs and administrative costs.
- With no data re-entry, EDI ensures grater accuracy of information while reducing the likelihood of costly errors.
- Reduced inventory and its associated costs is one of the biggest advantages of EDI.
- Critical information is available instantly, enabling quicker response to changes in the marketplace.
- EDI increases business opportunities by making it easier for customer to do business with the company.

ENTERPRISE RESOURCE PLANNING (ERP)

ERP is a philosophy where one tries to integrate the value chain of the organization to reduce the wastage or slack of the entire process of delivering the end product right from the sourcing of raw materials. ERP is a comprehensive planning and control framework that has evolved over a thirty year time. It finds its genesis in materials requirement planning (MRP), manufacturing requirement planning (MRP II), relational Database management systems (RDBMS) and 4th generation computer languages (4GL). It also is influenced by just in time (JIT) and computer integrated manufacturing (CIM) and takes advantage of latest IT developments such as client-server computing and Internet.

The key benefits of ERP are:

- ERP links all the activities in the organization with customer orders and thus the customer becomes the key focus of all departments.

- An ERP system regulates the flow of goods from a number of manufacturing sites to the stocking points. It captures and consolidates related data from the retailer that can be used to change the production schedule quickly.
- ERP as a tool can enhance overall performance by reduction of costs, increased per capita productivity and improved quality of goods and services.

Internet Commerce

Internet is transforming the entire nature of supply chains by eliminating middlemen, making commerce more democratic and creating a frictionless economy. Internet commerce is changing the manner in which the entire supply chain is managed today. It is reducing entry barriers for the new entrants and the costs of operations for the existing ones at the same time and also offering the customers a wider choice for selection.

BAR CODING

A bar code is a grouping of parallel bars (usually blocks) of varying widths separated by light spaces (usually white) of varying width. Scanner is used to read the bars and spaces and it uses software to interpret their meaning. In the supply chain, the accurate, rapid identification of products and use of this information in controlling the entire process have been key factors. The following are the benefits of bar code technology in supply chain:-

- Speed data entry
- Enhances data accuracy
- Reduces materials handling labour
- Verifies orders at receiving and shipping
- Improves customer service.

COMMUNICATION TECHNOLOGY

Information and Communication Technology (ICT) also significantly enhances the supply chain performance through faster and widespread communication. Applications of radio frequency, satellite communications and image processing technologies have overcome the problems caused by product movement and geographic decentralization. Improved customer service is provided in the form of more timely definition of tasks, quicker transport tracing, and faster transfer of sales and inventory information. The availability of shared information has led to increase efficiency and effectiveness across the supply chain. In today's competitive global environment, the onus is now on supply chain management. Companies whose SCM is competitive will gain in the long run. The advances in information technology have transformed the supply chain elements and enabled organizations to make significant improvements in productivity and competitiveness. The IT-enabled options available today for supply chain facilitate real time information flow through networking and electronic data transfer, faster response time and improved decision making, through timely availability of relevant information.

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